

NEW ISSUES – BOOK-ENTRY ONLY**RATINGS:****Moody's: "Aaa"****S&P: "AAA"****(See "MISCELLANEOUS – Ratings.")**

In the opinion of Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the District, based upon an analysis of existing laws, regulations, rulings and court decisions, and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Tax-Exempt Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986. In the further opinion of Bond Counsel, interest on the Tax-Exempt Bonds is not a specific preference item for purposes of the federal alternative minimum tax. Bond Counsel is also of the opinion that interest on the Bonds is exempt from State of California personal income taxes. Bond Counsel observes that interest on the Taxable Bonds is not excluded from gross income for federal income tax purposes under Section 103 of the Code. Bond Counsel expresses no opinion regarding any other tax consequences related to the ownership or disposition of, or the amount, accrual or receipt of interest on, the Bonds. See "TAX MATTERS."

FREMONT UNION HIGH SCHOOL DISTRICT
(County of Santa Clara, State of California)



\$100,280,000
GENERAL OBLIGATION
BONDS, SERIES 2019A

\$30,000,000
GENERAL OBLIGATION BONDS,
SERIES 2019B (GREEN BONDS)

\$19,720,000
GENERAL OBLIGATION
BONDS, SERIES 2019C
(FEDERALLY TAXABLE)

Dated: Date of Delivery**Due: August 1, as shown on inside cover pages**

This cover page is not a summary of this issue; it is only a reference to the information contained in this Official Statement. Investors must read the entire Official Statement to obtain information essential to the making of an informed investment decision. Capitalized terms used on this cover page shall have the meanings given such terms herein.

The Fremont Union High School District General Obligation Bonds, Series 2019A (the "Series 2019A Bonds"), the Fremont Union High School District General Obligation Bonds, Series 2019B (Green Bonds) (the "Series 2019B Green Bonds" and, together with the Series 2019A Bonds, the "Tax-Exempt Bonds") and the Fremont Union High School District General Obligation Bonds, Series 2019C (Federally Taxable) (the "Series 2019C Bonds" or the "Taxable Bonds" and, together with the Tax-Exempt Bonds, the "Bonds") are issued by the Fremont Union High School District (the "District"), located in the County of Santa Clara (the "County"). The Series 2019A Bonds and the Series 2019C Bonds are issued to (i) finance specific construction and modernization projects approved by the voters of the District and (ii) pay costs of issuance of the Series 2019A Bonds and the Series 2019C Bonds, respectively. The Series 2019B Green Bonds are issued to (i) finance specific green construction and modernization projects approved by the voters of the District and (ii) pay costs of issuance of the Series 2019B Green Bonds. The Board of Supervisors of the County is empowered and is obligated to levy *ad valorem* taxes upon all property subject to taxation by the District, without limitation as to rate or amount (except as to certain personal property which is taxable at limited rates), for the payment of principal of and interest on the Bonds, all as more fully described herein. See "SECURITY AND SOURCE OF PAYMENT FOR THE BONDS."

The Bonds will be issued as current interest bonds. Interest on the Tax-Exempt Bonds is payable on February 1, 2020, and thereafter on each February 1 and August 1 to maturity or redemption prior thereto. Principal of the Tax-Exempt Bonds is payable on August 1 of each year shown on the Maturity Schedules on the inside cover pages. Principal and interest on the Taxable Bonds is payable on August 1, 2019 as shown on the Maturity Schedules on the inside cover pages. Payments of principal of and interest on the Bonds will be made by the Paying Agent, initially U.S. Bank National Association, to The Depository Trust Company, New York, New York ("DTC"), for subsequent disbursement to DTC Participants, who will remit such payments to the Beneficial Owners of the Bonds. See "THE BONDS – Payment of Principal and Interest."

The Bonds will be issued in book-entry form only and will be issued and registered in the name of Cede & Co., as nominee of DTC. Purchasers will not receive certificates representing their interests in the Bonds. See "THE BONDS – Form and Registration of the Bonds."

The Series 2019A Bonds and Series 2019B Green Bonds are subject to redemption prior to maturity. See "THE BONDS – Redemption."

See Inside Cover Pages for
Maturity Schedules

The Bonds will be offered when, as and if issued by the District and received by the Underwriters, subject to approval of their validity by Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the District. Certain legal matters will be passed upon for the District by Orrick, Herrington & Sutcliffe LLP, as Disclosure Counsel, and for the Underwriters by Stradling Yocca Carlson & Rauth, a Professional Corporation, as Underwriters' Counsel. It is anticipated that the Bonds, in book-entry form, will be available for delivery through DTC in New York, New York, on or about June 6, 2019.

Morgan Stanley

RAYMOND JAMES

Wells Fargo Securities

MATURITY SCHEDULES

\$100,280,000
FREMONT UNION HIGH SCHOOL DISTRICT
(County of Santa Clara, State of California)
GENERAL OBLIGATION BONDS, SERIES 2019A

\$70,430,000 Serial Bonds

Maturity (August 1)	Principal Amount	Interest Rate	Yield*	CUSIP [†] No. (357172)
2020	\$4,505,000	3.000%	1.250%	ZA6
2021	6,500,000	4.000	1.260	ZB4
2023	1,515,000	5.000	1.260	ZC2
2024	1,590,000	5.000	1.270	ZD0
2025	1,670,000	5.000	1.280	ZE8
2026	1,755,000	5.000	1.300	ZF5
2027	1,845,000	5.000	1.350	ZG3
2028	1,935,000	5.000	1.400 ^C	ZH1
2029	2,030,000	5.000	1.500 ^C	ZJ7
2030	2,135,000	5.000	1.620 ^C	ZK4
2031	2,240,000	5.000	1.710 ^C	ZL2
2032	2,350,000	5.000	1.820 ^C	ZM0
2033	2,470,000	5.000	1.880 ^C	ZN8
2034	2,595,000	5.000	1.940 ^C	郑3
2035	5,140,000	4.000	2.320 ^C	ZQ1
2036	5,410,000	4.000	2.420 ^C	ZR9
2037	5,710,000	4.000	2.490 ^C	ZS7
2038	6,035,000	4.000	2.550 ^C	ZT5
2039	6,380,000	4.000	2.610 ^C	ZU2
2040	6,620,000	4.000	2.660 ^C	ZV0

\$29,850,000 4.000% Term Bond due August 1, 2046; Yield* 2.760%^C; CUSIP[†] 357172 ZW8

* Yields certified by the Underwriters. The District takes no responsibility therefor.

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^C Yield to the first optional par call date of August 1, 2027.

FREMONT UNION HIGH SCHOOL DISTRICT
(County of Santa Clara, State of California)
GENERAL OBLIGATION BONDS, SERIES 2019B (GREEN BONDS)

\$30,000,000 Serial Bonds

Maturity (August 1)	Principal Amount	Interest Rate	Yield*	CUSIP [†] No. (357172)
2024	\$1,775,000	5.000%	1.270%	ZX6
2025	1,990,000	5.000	1.280	ZY4
2026	2,075,000	5.000	1.300	ZZ1
2027	2,250,000	5.000	1.350	A21
2028	2,440,000	5.000	1.400 ^C	A39
2029	2,645,000	5.000	1.500 ^C	A47
2030	2,865,000	5.000	1.620 ^C	A54
2031	3,105,000	5.000	1.710 ^C	A62
2032	3,360,000	5.000	1.820 ^C	A70
2033	3,635,000	5.000	1.880 ^C	A88
2034	3,860,000	5.000	1.940 ^C	A96

FREMONT UNION HIGH SCHOOL DISTRICT
(County of Santa Clara, State of California)
GENERAL OBLIGATION BONDS, SERIES 2019C (FEDERALLY TAXABLE)

\$19,720,000 Serial Bonds

Maturity (August 1)	Principal Amount	Interest Rate	Yield*	CUSIP [†] No. (357172)
2019	\$19,720,000	2.330%	2.330%	B20

* Yields certified by the Underwriters. The District takes no responsibility therefor.

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^C Yield to the first optional par call date of August 1, 2027.

This Official Statement does not constitute an offering of any security other than the original offering of the Bonds by the District. No dealer, broker, salesperson or other person has been authorized by the District to give any information or to make any representations other than as contained in this Official Statement, and if given or made, such other information or representation not so authorized should not be relied upon as having been given or authorized by the District.

The Bonds are exempt from registration under the Securities Act of 1933, as amended, pursuant to Section 3(a)(2) thereof. This Official Statement does not constitute an offer to sell or a solicitation of an offer to buy Bonds in any state in which such offer or solicitation is not authorized or in which the person making such offer or solicitation is not qualified to do so, or to any person to whom it is unlawful to make such offer or solicitation.

The information set forth herein other than that furnished by the District, although obtained from sources which are believed to be reliable, is not guaranteed as to accuracy or completeness, and is not to be construed as a representation by the District. The information and expressions of opinion herein are subject to change without notice and neither delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the District since the date hereof. This Official Statement is submitted in connection with the sale of the Bonds referred to herein and may not be reproduced or used, in whole or in part, for any other purpose.

The Underwriters have provided the following sentence for inclusion in this Official Statement: The Underwriters have reviewed the information in this Official Statement in accordance with, and as a part of, their responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriters do not guarantee the accuracy or completeness of such information.

Certain statements included or incorporated by reference in this Official Statement constitute "forward-looking statements." Such statements are generally identifiable by the terminology used, such as "plan," "expect," "estimate," "budget" or other similar words. The achievement of certain results or other expectations contained in such forward-looking statements involve known and unknown risks, uncertainties and other factors which may cause actual results, performance or achievements described to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. The District does not plan to issue any updates or revisions to those forward-looking statements if or when their expectations, or events, conditions or circumstances on which such statements are based, occur.

The District maintains a website. However, the information presented there is not part of this Official Statement and should not be relied upon in making an investment decision with respect to the Bonds.

IN CONNECTION WITH THIS OFFERING, THE UNDERWRITERS MAY OVERALLOT OR EFFECT TRANSACTIONS WHICH STABILIZE OR MAINTAIN THE MARKET PRICES OF THE BONDS AT A LEVEL ABOVE THAT WHICH MIGHT OTHERWISE PREVAIL IN THE OPEN MARKET. SUCH STABILIZING, IF COMMENCED, MAY BE DISCONTINUED AT ANY TIME. THE UNDERWRITERS MAY OFFER AND SELL THE BONDS TO CERTAIN SECURITIES DEALERS AND DEALER BANKS AND BANKS ACTING AS AGENT AT PRICES LOWER THAN THE PUBLIC OFFERING PRICES STATED ON THE INSIDE FRONT COVER PAGES HEREOF AND SAID PUBLIC OFFERING PRICES MAY BE CHANGED FROM TIME TO TIME BY THE UNDERWRITERS.

FREMONT UNION HIGH SCHOOL DISTRICT
(County of Santa Clara, State of California)

BOARD OF TRUSTEES

Roy Rocklin, *President*
Jeff Moe, *Vice President*
Bill Wilson, *Clerk*
Rosa Kim, *Member*
Naomi Nakano-Matsumoto, *Member*

ADMINISTRATION

Polly M. Bove, *Superintendent*
Graham Clark, *Deputy Superintendent*
Christine Mallery, *Chief Business Officer/Associate Superintendent*
Tom Avvakumovits, *Associate Superintendent, Teaching and Learning*
Trudy Gross, *Associate Superintendent, Teaching and Learning*

PROFESSIONAL SERVICES

Bond Counsel and Disclosure Counsel

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San Francisco, California

Municipal Advisors

PFM Financial Advisors LLC
San Francisco, California

Isom Advisors, a Division of Urban Futures, Inc.
Walnut Creek, California

Paying Agent

U.S. Bank National Association
San Francisco, California

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**FREMONT UNION HIGH SCHOOL DISTRICT
(County of Santa Clara, State of California)**

\$100,280,000	\$30,000,000	\$19,720,000
GENERAL OBLIGATION BONDS, SERIES 2019A	GENERAL OBLIGATION BONDS, SERIES 2019B (GREEN BONDS)	GENERAL OBLIGATION BONDS, SERIES 2019C (FEDERALLY TAXABLE)

INTRODUCTION

General

This Official Statement, which includes the front and inside cover pages and appendices hereto (this “Official Statement”), is provided to furnish information in connection with the Fremont Union High School District General Obligation Bonds, Series 2019A (the “Series 2019A Bonds”), the Fremont Union High School District General Obligation Bonds, Series 2019B (Green Bonds) (the “Series 2019B Green Bonds” and, together with the Series 2019A Bonds, the “Tax-Exempt Bonds”) and the Fremont Union High School District General Obligation Bonds, Series 2019C (Federally Taxable) (the “Series 2019C Bonds” or the “Taxable Bonds” and, together with the Tax-Exempt Bonds, the “Bonds”), as described more fully herein.

This Official Statement speaks only as of its date, and the information contained herein is subject to change. The District has no obligation to update the information in this Official Statement, except as required by the Continuing Disclosure Certificate to be executed by the District. See “OTHER LEGAL MATTERS – Continuing Disclosure.”

The purpose of this Official Statement is to supply information to prospective buyers of the Bonds. Quotations from and summaries and explanations of the Bonds, the resolution of the Board of Trustees of the District with respect to the Bonds, the resolution of the Board of Supervisors of the County, and the constitutional provisions, statutes and other documents described herein, do not purport to be complete, and reference is hereby made to said documents, constitutional provisions and statutes for the complete provisions thereof.

Any statements in this Official Statement involving matters of opinion, whether or not expressly so stated, are intended as such and not as representations of fact. This Official Statement is not to be construed as a contract or agreement between the District and the purchasers or Owners of any of the Bonds.

Copies of documents referred to herein and information concerning the Bonds are available from the District by contacting: Fremont Union High School District, 589 W. Fremont Avenue, Sunnyvale, California 94087, Attention: Chief Business Officer/Associate Superintendent. The District may impose a charge for copying, handling and mailing such requested documents.

The District

The Fremont Union High School District (the “District”) provides educational services to the residents of the cities of Sunnyvale and Cupertino and parts of the cities of San Jose, Los Altos, Saratoga, and Santa Clara. The District operates five high schools, one community day school, one adult school, and various educational options programs. The District’s current enrollment for fiscal year 2018-19 is approximately 11,051 students, and the District’s projected fiscal year 2018-19 general fund expenditures are approximately \$163.4 million. Taxable property in the District has a fiscal year 2018-19 total assessed

value of approximately \$75.8 billion. For fiscal year 2018-19, the District projects to employ 547.0 full-time equivalent (“FTE”) certificated (teaching staff) employees, 314.6 FTE classified employees, and 70.8 management and supervisory personnel.

The District operates under the jurisdiction of the Santa Clara County Superintendent of Schools. The District is governed by a Board of Trustees (the “Board of Trustees”) consisting of five elected members and one nonvoting student member. The elected members are elected to four-year terms in staggered years. The District’s day-to-day operations are managed by a board-appointed Superintendent. Polly M. Bove has served as Superintendent since 2006.

For additional information about the District, see APPENDIX A – “INFORMATION RELATING TO THE DISTRICT’S OPERATIONS AND BUDGET” and APPENDIX B – “FINANCIAL STATEMENTS OF THE DISTRICT FOR THE FISCAL YEAR ENDED JUNE 30, 2018.”

THE BONDS

Authority for Issuance

The Series 2019A Bonds. The Series 2019A Bonds are being issued by the District pursuant to the Constitution and laws of the State of California (the “State”), including Article 4.5 of Chapter 3 of Part 1 of Division 2 of Title 5 of the California Government Code (the “Government Code”), and other applicable provisions of law, including applicable provisions of the California Education Code (the “Education Code”). The Series 2019A Bonds are being issued pursuant to a paying agent agreement, dated as of June 1, 2019 (the “Paying Agent Agreement”), by and between the District and U.S. Bank National Association, as paying agent (the “Paying Agent”), and a resolution (the “District Resolution”), adopted by the Board of Trustees on April 23, 2019. The Board of Supervisors of the County authorized the District to issue and sell the Series 2019A Bonds on its own behalf pursuant to a resolution (the “County Resolution”) adopted by the Board of Supervisors on May 7, 2019.

At an election held on November 4, 2014, the District received authorization to issue general obligation bonds of the District in an aggregate principal amount not to exceed \$295,000,000 to: avoid overcrowding at Cupertino, Fremont, Homestead, Lynbrook and Monta Vista High Schools by building new classrooms and facilities needed to serve a growing student population, updating computer network capability and science labs, upgrading classroom computers and technology, and replacing, acquiring, constructing and renovating school facilities (the “2014 Authorization”).

At an election held on November 6, 2018, the District received authorization to issue general obligation bonds of the District in an aggregate principal amount not to exceed \$275,000,000 to: upgrade school safety and security systems; repair leaky roofs and windows; support programs in science, technology, English, arts, and math with 21st century infrastructure; provide essential seismic upgrades, and acquire, construct, repair sites, facilities and equipment (the “2018 Authorization”).

The Series 2019A Bonds represent the fourth series of bonds to be issued under the 2014 Authorization, and \$53,085,000 of the total par amount of the Series 2019A Bonds are issued under the 2014 Authorization. The Series 2019A Bonds represent the first series of bonds to be issued under the 2018 Authorization, and \$47,195,000 of the total par amount of the Series 2019A Bonds are issued under the 2018 Authorization.

The Series 2019B Green Bonds. The Series 2019B Green Bonds are being issued by the District pursuant to the Constitution and laws of the State, including Article 4.5 of Chapter 3 of Part 1 of Division 2 of Title 5 of the Government Code, and other applicable provisions of law, including

applicable provisions of the Education Code, the Paying Agent Agreement and the District Resolution. The Board of Supervisors of the County authorized the District to issue and sell the Series 2019B Green Bonds on its own behalf pursuant to the County Resolution.

The Series 2019B Green Bonds represent the fifth series of bonds to be issued under the 2014 Authorization. No portion of the Series 2019B Green Bonds are issued under the 2018 Authorization.

The Series 2019C Bonds. The Series 2019C Bonds are being issued by the District pursuant to the Constitution and laws of the State, including Article 4.5 of Chapter 3 of Part 1 of Division 2 of Title 5 of the Government Code, and other applicable provisions of law, including applicable provisions of the Education Code, the Paying Agent Agreement and the District Resolution. The Board of Supervisors of the County authorized the District to issue and sell the Series 2019C Bonds on its own behalf pursuant to the County Resolution.

The Series 2019C Bonds represent the sixth series of bonds to be issued under the 2014 Authorization, and \$11,915,000 of the total par amount of the Series 2019C Bonds are issued under the 2014 Authorization. The Series 2019C Bonds represent the second series of bonds to be issued under the 2018 Authorization, and \$7,805,000 of the total par amount of the Series 2019C Bonds are issued under the 2018 Authorization.

Designation of Series 2019B Green Bonds as Green Bonds

The District has a long standing commitment to sustainability and green design in its operations and facilities. The District is issuing its Series 2019B Green Bonds as “Green Bonds” to allow investors to invest directly in bonds which will finance such sustainable projects. The owners of the Series 2019B Green Bonds do not assume any specific project risk or economic benefit related to the District’s projects as a result of the Green Bonds designation.

The District has participated in a variety of programs to improve the energy efficiency of its existing facilities. Most recently, the District participated in the California Clean Energy Jobs Act of 2012, which provided funding to replace old light fixtures with new light-emitting diode (LED) fixtures. In 2009 the District made a significant investment in renewable energy by constructing large solar photovoltaic arrays at each of the District’s facilities. At Cupertino High School alone, the newly installed solar panels offset more than 7,000 metric tons of carbon.

The District’s commitment to environmental responsibility extends into the design and construction of certain facilities projects with the use of the Collaborative for High Performance Schools (CHPS) California criteria. CHPS is a non-profit organization founded to promote and guide the development of sustainable schools to improve the quality of the physical learning environment, conserve resources and minimize environmental impacts.

Use of the Series 2019B Green Bonds Proceeds. The District is undertaking the following projects that will comply with the CHPS criteria (the “Green Projects”).

1. **Educational Options Building:** The Educational Options Program is currently housed in a remodeled maintenance building and a series of relocatable classroom buildings behind the existing District Office. The District is replacing these buildings with a single, new facility that will accommodate all of the program needs.
2. **Lynbrook High School Guidance and Student Services Administration Building:** New critical campus facility including 12,000 square foot single story building with lobby facing public entry.

3. Homestead High School Guidance and Student Services Administration Building: A new Administration/Guidance and Student Services building totaling approximately 10,200 square feet.
4. Lynbrook High School Cafeteria/Quad/Gym Lobby: Upgrades the quad and replaces the prior cafeteria with a café with stronger connections to the quad and improved food service facilities.

Each of the District's Green Projects incorporates some or all of the following sustainable building practices and components:

- California Clean Energy Jobs Act of 2012 Renewable Energy: Solar panels mounted to the building roofs to provide renewable electricity to the campus.
- Efficient Building Envelope: Building envelopes designed to be highly efficient, utilizing rigid foam and fiberglass insulation, high performance window systems and high emissivity roof coatings to minimize heat gain.
- Daylighting and views. Projects designed to provide ample and balanced daylight at all classroom spaces. This is achieved by large areas of high performance glazing with integrated exterior sunshades to limit solar heat gain and blinds to minimize glare. The windows also provide ample access to views for students, which has been shown to benefit learning.
- Efficient Building Systems: Heating, ventilation and air conditioning (HVAC) equipment that include high efficiency split system units that exceed energy efficiency requirements. The lighting systems utilize direct-indirect linear LED fixtures to provide high quality illumination and maximum energy efficiency. Integral daylighting controls are provided to dim or turn off lights when adequate daylight is required.
- Indoor Environmental Quality: Building materials selected to minimize the amount of Volatile Organic Compounds (VOCs) in the buildings and the HVAC systems are designed to exceed American Society of Heating, Refrigerating and Air-Conditioning Engineers (ASHRAE) guidelines for fresh air ventilation to provide improved indoor air quality. Additionally, construction of indoor air quality measures are specified to reduce the air pollutants in the buildings when occupied by teachers and students.

Process for Project Evaluation and Selection. The District designs and constructs certain facilities according to the CHPS criteria. The CHPS criteria provide guidance and standards for high performance school design across seven categories. These standards are based on the latest in sustainable building practices and research and are used to evaluate school facility designs in a 250 point rating system. Those projects funded by the Series 2019B Green Bonds align with the CHPS criteria.

Management of Proceeds. The net proceeds of the Series 2019B Green Bonds will be deposited into the Building Fund (as defined herein) in a separate Series 2019B Green Bonds subaccount. The District will track the net proceeds and confirm that such proceeds are expended exclusively for the Green Projects.

Reporting. The District will post an annual update on the use of proceeds of the Series 2019B Green Bonds on its website, <https://www.fuhisd.org/departments/bond-program/measure-k-bond-program>, by December 31 each year until all proceeds have been spent. Such website is not incorporated by

reference into this Official Statement. Once all proceeds of the Series 2019B Green Bonds have been spent, no further updates will be provided. In addition, when available, the District will post CHPS reports related to the projects funded by the Series 2019B Green Bonds. Such updates and reports are provided on a voluntary basis and are not included as part of the Continuing Disclosure Certificate.

Form and Registration of the Bonds

The Bonds will be issued in fully registered book-entry only form, in denominations of \$5,000 principal amount or integral multiples thereof. The Bonds will initially be registered in the name of Cede & Co., as nominee of The Depository Trust Company (“DTC”), New York, New York. DTC will act as securities depository for the Bonds. Purchases of Bonds under the DTC system must be made by or through a DTC participant, and ownership interests in Bonds or any transfer thereof will be recorded as entries on the books of said participants. Except in the event that use of this book-entry system is discontinued for the Bonds, Beneficial Owners will not receive physical certificates representing their ownership interests. Principal and interest will be paid by the Paying Agent to DTC, which will in turn remit such payments to its participants, for subsequent distribution to Beneficial Owners of the Bonds, as described herein. See APPENDIX F – “BOOK-ENTRY SYSTEM.”

Purpose of Issue

Proceeds of the Series 2019A Bonds and the Series 2019C Bonds will be applied to (i) finance specific construction and modernization projects approved by the voters of the District and (ii) pay costs of issuance of the Series 2019A Bonds and the Series 2019C Bonds, respectively. Proceeds of the Series 2019B Green Bonds will be applied to (i) finance specific green construction and modernization projects approved by the voters of the District and (ii) pay costs of issuance of the Series 2019B Green Bonds. See “THE BONDS – Application and Investment of Proceeds of the Bonds” and “ – Designation of Series 2019B Green Bonds as Green Bonds.”

Payment of Principal and Interest

The Bonds will be dated the date of their delivery, and bear interest at the rates set forth on the inside cover pages hereof, payable on February 1 and August 1 of each year, commencing on February 1, 2020 with respect to the Tax-Exempt Bonds and payable on August 1, 2019 with respect to the Taxable Bonds (each, an “Interest Payment Date”), until payment of the principal amount thereof, computed using a year of 360 days, consisting of twelve 30 day months. Tax-Exempt Bonds authenticated and registered on any date prior to the close of business on January 15, 2020 will bear interest from the date of their delivery. Taxable Bonds authenticated and registered on any date prior to the close of business on July 15, 2019 will bear interest from the date of their delivery. Bonds authenticated during the period between the 15th day of the calendar month immediately preceding an Interest Payment Date (the “Record Date”) and the close of business on that Interest Payment Date will bear interest from that Interest Payment Date. Any other Bond will bear interest from the Interest Payment Date immediately preceding the date of its authentication. If, at the time of authentication of any Bond, interest is then in default on outstanding Bonds, such Bond will bear interest from the Interest Payment Date to which interest has previously been paid or made available for payment thereon.

Payment of interest on any Bond on each Interest Payment Date (or on the following business day, if the Interest Payment Date does not fall on a business day) will be made to the person appearing on the registration books of the Paying Agent as the registered Owner thereof as of the preceding Record Date, such interest to be paid by check or draft mailed to such Owner at such Owner’s address as it appears on such registration books or at such other address as the Owner may have filed with the Paying Agent for that purpose on or before the Record Date. The Owner of an aggregate principal amount of

\$1,000,000 or more of Bonds may request in writing to the Paying Agent that such Owner be paid interest by wire transfer to the bank and account number on file with the Paying Agent as of the applicable Record Date.

Principal of the Tax-Exempt Bonds will be payable on August 1 of each year shown on the Maturity Schedules on the inside cover pages, upon surrender of such Tax-Exempt Bonds at such office of the Paying Agent as the Paying Agent shall designate. Principal of the Taxable Bonds will be payable on August 1, 2019, upon surrender of such Taxable Bonds at such office of the Paying Agent as the Paying Agent shall designate. The interest, principal and premiums, if any, on the Bonds will be payable in lawful money of the United States of America from moneys on deposit in the interest and sinking fund of the District (the "Interest and Sinking Fund") within the County treasury, consisting of *ad valorem* property taxes collected and held by the Director of Finance of the County (the "Director of Finance"), together with any accrued interest received upon issuance of the Bonds.

So long as all outstanding Bonds are held in book-entry form and registered in the name of a securities depository or its nominee, all payments of principal of, premium, if any, and interest on the Bonds and all notices with respect to such Bonds will be made and given, respectively, to such securities depository or its nominee and not to Beneficial Owners. So long as the Bonds are held by Cede & Co., as nominee of DTC, payment will be made by wire transfer.

Redemption

Optional Redemption of the Series 2019A Bonds. The Series 2019A Bonds maturing on or before August 1, 2027, are not subject to redemption prior to their respective stated maturity dates. The Series 2019A Bonds maturing on and after August 1, 2028, are subject to redemption prior to their respective stated maturity dates, at the option of the District, from any source of available funds, as a whole or in part on any date, on or after August 1, 2027 at a redemption price equal to 100% of the principal amount of the Series 2019A Bonds called for redemption, together with interest accrued thereon to the date of redemption, without premium.

Optional Redemption of the Series 2019B Green Bonds. The Series 2019B Green Bonds maturing on or before August 1, 2027, are not subject to redemption prior to their respective stated maturity dates. The Series 2019B Green Bonds maturing on and after August 1, 2028, are subject to redemption prior to their respective stated maturity dates, at the option of the District, from any source of available funds, as a whole or in part on any date, on or after August 1, 2027 at a redemption price equal to 100% of the principal amount of the Series 2019B Green Bonds called for redemption, together with interest accrued thereon to the date of redemption, without premium.

Optional Redemption of the Series 2019C Bonds. The Series 2019C Bonds are not subject to optional redemption prior to maturity.

Mandatory Sinking Fund Redemption of the Series 2019A Bonds. The \$29,850,000 Term Series 2019A Bond maturing on August 1, 2046, is also subject to mandatory sinking fund redemption on each mandatory sinking fund redemption date and in the respective principal amounts as set forth in the following schedule, at a redemption price equal to 100% of the principal amount thereof to be redeemed, without premium, together with interest accrued thereon to the date fixed for redemption:

Mandatory Sinking Fund Redemption Date (August 1)	Principal Amount To be Redeemed
2041	\$3,435,000
2042	3,590,000
2043	3,770,000
2044	3,970,000
2045	7,280,000
2046 [†]	7,805,000

[†] Maturity

The principal amount of the Term Series 2019A Bonds to be redeemed in each year shown in the table above will be reduced proportionately, in integral multiples of \$5,000, by the amount of such Term Series 2019A Bond optionally redeemed prior to the mandatory sinking fund redemption date.

Mandatory Sinking Fund Redemption of the Series 2019B Green Bonds. The Series 2019B Green Bonds are not subject to mandatory sinking fund redemption.

Mandatory Sinking Fund Redemption of the Series 2019C Bonds. The Series 2019C Bonds are not subject to mandatory sinking fund redemption.

Selection of Bonds for Redemption. If less than all of the Bonds of a series are called for redemption, such Bonds will be redeemed in inverse order of maturities or as directed by the District, and if less than all of the Bonds of any given maturity of a series are called for redemption, the portions of such Bonds of a given maturity to be redeemed will be determined by the District by lot. For purposes of such selection, each Bond will be deemed to consist of individual Bonds of denominations of \$5,000 principal amount each, which may be separately redeemed.

Notice of Redemption. Notice of redemption of the Bonds will be mailed by the Paying Agent, upon written direction of the District, postage prepaid, not less than 20 nor more than 60 days prior to the date fixed for redemption (i) by first-class mail to the respective Owners of Bonds at the addresses appearing on the bond registration books of the Paying Agent and (ii) as may be further required in accordance with the Continuing Disclosure Certificate. See APPENDIX D – “FORM OF CONTINUING DISCLOSURE CERTIFICATE.”

Each notice of redemption will contain all of the following information: (i) the date of such notice; (ii) the name of the affected Bonds and the date of issue of the Bonds; (iii) the date fixed for redemption; (iv) the redemption price, if available; (v) the dates of maturity of the Bonds to be redeemed; (vi) if less than all of the Bonds of any maturity are to be redeemed, the distinctive numbers of the Bonds of each maturity to be redeemed; (vii) in the case of Bonds redeemed in part only, the respective maturities or portions of the principal amount of the Bonds of each maturity to be redeemed; (viii) the CUSIP number, if any, of each maturity of Bonds to be redeemed; and (ix) a statement that such Bonds must be surrendered by the Owners at the office of the Paying Agent designated by the Paying Agent for such purpose.

Effect of Notice of Redemption. When notice of redemption has been given substantially as provided for in the Paying Agent Agreement, and when the amount necessary for the payment of the redemption price, if any, is set aside for the purpose as described in the Paying Agent Agreement, the Bonds designated for redemption will become due and payable on the date fixed for redemption thereof,

and upon presentation and surrender of such Bonds at the place specified in the notice of redemption, such Bonds will be redeemed and paid at the redemption price thereof out of the money provided therefor.

Rescission of Notice of Redemption. The District may rescind any optional redemption and notice thereof for any reason on any date prior to the date fixed for redemption by causing written notice of the rescission to be given to the Owners of the Bonds so called for redemption. Any optional redemption and notice thereof will be rescinded if for any reason on the date fixed for redemption moneys are not available in the Interest and Sinking Fund or otherwise held in trust for such purpose in an amount sufficient to pay in full on said date the principal of, interest, and any premium due on the Bonds called for redemption. Notice of rescission of redemption will be given in the same manner in which notice of redemption was originally given. The actual receipt by the Owner of any Bond of notice of such rescission will not be a condition precedent to rescission, and failure to receive such notice or any defect in such notice will not affect the validity of the rescission.

Conditional Notice. Any notice of optional redemption given under the Paying Agent Agreement may be conditioned on any fact or circumstance stated therein, and if such condition will not have been satisfied on or prior to the date fixed for redemption stated in such notice, said notice will be of no force and effect on and as of the stated date fixed for redemption, the redemption will be cancelled, and the District will not be required to redeem the Bonds that were the subject of the notice. The Paying Agent will, pursuant to the District's written direction, give notice of such cancellation and the reason therefor in the same manner in which notice of redemption was originally given. The actual receipt by the Owner of any Bond of notice of such cancellation will not be a condition precedent to cancellation, and failure to receive such notice or any defect in such notice will not affect the validity of the cancellation.

Defeasance of Bonds

The District may pay and discharge any or all of the Bonds by depositing in trust with the Paying Agent or an escrow agent at or before maturity, money or non-callable direct obligations of the United States of America or other non-callable obligations the payment of the principal of and interest on which is guaranteed by a pledge of the full faith and credit of the United States of America, in an amount which will, together with the interest to accrue thereon and available moneys then on deposit in the Interest and Sinking Fund, be fully sufficient in the opinion of a certified public accountant licensed to practice in the State to pay and discharge the indebtedness on such Bonds (including all principal, interest and redemption premiums) at or before their respective maturity dates.

If at any time the District pays or causes to be paid or there is otherwise paid to the Owners of any or all outstanding Bonds all of the principal, interest and premium, if any, represented by such Bonds when due, or as provided above, or as otherwise provided by law, then such Owners will cease to be entitled to the obligation of the County to levy and collect taxes for payment of the Bonds, and such obligation and all agreements and covenants of the District to such Owners will thereupon be satisfied and discharged and will terminate, except only that the District will remain liable for payment of all principal, interest and premium, if any, represented by such Bonds, but only out of moneys on deposit in the Interest and Sinking Fund or otherwise held in trust for such payment, provided that the unclaimed moneys provisions described below will apply in all events.

Unclaimed Moneys

Any money held in any fund created pursuant to the Paying Agent Agreement, or held by the Paying Agent in trust, for the payment of the principal of, redemption premium, if any, or interest on the Bonds and remaining unclaimed for two years after the principal of all of the Bonds has become due and payable (whether by maturity or upon prior redemption) will be transferred to the Interest and Sinking

Fund for payment of any outstanding bonds of the District payable from said fund; or, if no such bonds of the District are at such time outstanding, said moneys will be transferred to the general fund of the District as provided and permitted by law.

Application and Investment of Proceeds of the Bonds

The proceeds from the sale of the Bonds, net any costs of issuance thereof, will be deposited in the County treasury to the credit of the building fund of the District (the “Building Fund”) and shall be accounted for together with the proceeds of other bonds of the District separately from all other District and County funds. Such proceeds shall be applied solely for the purposes for which the respective series of Bonds were authorized, and separate subaccounts shall be maintained for the portion of each series of Bonds issued under and allocable to the 2014 Authorization and 2018 Authorization, respectively and as applicable. Any premium or accrued interest on the Bonds received by the District will be deposited in the Interest and Sinking Fund of the District in the County treasury. Interest and earnings on each fund will accrue to that fund. All funds held by the Director of Finance in the Building Fund and the Interest and Sinking Fund are expected to be invested at the sole discretion of the Director of Finance on behalf of the District in such investments as are authorized by Section 53601 et seq. of the Government Code and the investment policy of the County, as either may be amended or supplemented from time to time. See APPENDIX E – “COUNTY OF SANTA CLARA INVESTMENT POLICY AND QUARTERLY INVESTMENT REPORT” for a description of the permitted investments under the investment policy of the County. In addition, to the extent permitted by law, the District may request in writing that all or any portion of the funds held in the Building Fund may be invested (i) in the Local Agency Investment Fund in the treasury of the State, (ii) in investment agreements, including guaranteed investment contracts, float contracts or other investment products which will not adversely affect the rating on the Series 2019A Bonds, or (iii) in accordance with Sections 41015 and 41016 of the Education Code. The Director of Finance does not monitor such investments for arbitrage compliance and does not perform any arbitrage calculations with respect to such investments. See APPENDIX E – “COUNTY OF SANTA CLARA INVESTMENT POLICY AND QUARTERLY INVESTMENT REPORT.”

A portion of the proceeds of the Bonds will be retained by the Paying Agent in a costs of issuance fund designated as the “Series 2019 Costs of Issuance Fund,” and shall be used to pay costs associated with the issuance the Bonds. Any proceeds of sale of the Bonds deposited in the Series 2019 Costs of Issuance Fund and not needed to pay costs of issuance of the Bonds will be transferred to the Director of Finance for deposit in the Building Fund and shall be applied solely for the purposes for which the respective series of Bonds were authorized. Any premium or accrued interest on such funds received by the District will be deposited in the Interest and Sinking Fund of the District in the County treasury. Amounts deposited into the Interest and Sinking Fund, as well as proceeds of taxes held therein for payment of the Bonds, will be invested at the sole discretion of the Director of Finance pursuant to law and the County’s investment policy. See APPENDIX E – “COUNTY OF SANTA CLARA INVESTMENT POLICY AND QUARTERLY INVESTMENT REPORT.”

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DEBT SERVICE SCHEDULES

Semi-Annual Debt Service of the Series 2019A Bonds

The scheduled semi-annual principal and interest payments on the Series 2019A Bonds, assuming no optional redemptions prior to maturity, are shown in the following table:

Period Ending	Principal	Interest	Semi-Annual Debt Service
2/1/2020	-	\$2,746,529.86	\$2,746,529.86
8/1/2020	\$4,505,000	2,103,725.00	6,608,725.00
2/1/2021	-	2,036,150.00	2,036,150.00
8/1/2021	6,500,000	2,036,150.00	8,536,150.00
2/1/2022	-	1,906,150.00	1,906,150.00
8/1/2022	-	1,906,150.00	1,906,150.00
2/1/2023	-	1,906,150.00	1,906,150.00
8/1/2023	1,515,000	1,906,150.00	3,421,150.00
2/1/2024	-	1,868,275.00	1,868,275.00
8/1/2024	1,590,000	1,868,275.00	3,458,275.00
2/1/2025	-	1,828,525.00	1,828,525.00
8/1/2025	1,670,000	1,828,525.00	3,498,525.00
2/1/2026	-	1,786,775.00	1,786,775.00
8/1/2026	1,755,000	1,786,775.00	3,541,775.00
2/1/2027	-	1,742,900.00	1,742,900.00
8/1/2027	1,845,000	1,742,900.00	3,587,900.00
2/1/2028	-	1,696,775.00	1,696,775.00
8/1/2028	1,935,000	1,696,775.00	3,631,775.00
2/1/2029	-	1,648,400.00	1,648,400.00
8/1/2029	2,030,000	1,648,400.00	3,678,400.00
2/1/2030	-	1,597,650.00	1,597,650.00
8/1/2030	2,135,000	1,597,650.00	3,732,650.00
2/1/2031	-	1,544,275.00	1,544,275.00
8/1/2031	2,240,000	1,544,275.00	3,784,275.00
2/1/2032	-	1,488,275.00	1,488,275.00
8/1/2032	2,350,000	1,488,275.00	3,838,275.00
2/1/2033	-	1,429,525.00	1,429,525.00
8/1/2033	2,470,000	1,429,525.00	3,899,525.00
2/1/2034	-	1,367,775.00	1,367,775.00
8/1/2034	2,595,000	1,367,775.00	3,962,775.00
2/1/2035	-	1,302,900.00	1,302,900.00
8/1/2035	5,140,000	1,302,900.00	6,442,900.00
2/1/2036	-	1,200,100.00	1,200,100.00
8/1/2036	5,410,000	1,200,100.00	6,610,100.00
2/1/2037	-	1,091,900.00	1,091,900.00
8/1/2037	5,710,000	1,091,900.00	6,801,900.00
2/1/2038	-	977,700.00	977,700.00
8/1/2038	6,035,000	977,700.00	7,012,700.00
2/1/2039	-	857,000.00	857,000.00
8/1/2039	6,380,000	857,000.00	7,237,000.00
2/1/2040	-	729,400.00	729,400.00
8/1/2040	6,620,000	729,400.00	7,349,400.00
2/1/2041	-	597,000.00	597,000.00
8/1/2041	3,435,000	597,000.00	4,032,000.00
2/1/2042	-	528,300.00	528,300.00
8/1/2042	3,590,000	528,300.00	4,118,300.00
2/1/2043	-	456,500.00	456,500.00
8/1/2043	3,770,000	456,500.00	4,226,500.00
2/1/2044	-	381,100.00	381,100.00
8/1/2044	3,970,000	381,100.00	4,351,100.00
2/1/2045	-	301,700.00	301,700.00
8/1/2045	7,280,000	301,700.00	7,581,700.00
2/1/2046	-	156,100.00	156,100.00
8/1/2046	7,805,000	156,100.00	7,961,100.00
Total	\$100,280,000	\$69,704,854.86	\$169,984,854.86

Semi-Annual Debt Service of the Series 2019B Green Bonds

The scheduled semi-annual principal and interest payments on the Series 2019B Green Bonds, assuming no optional redemptions prior to maturity, are shown in the following table:

Period Ending	Principal	Interest	Semi-Annual Debt Service
2/1/2020	-	\$979,166.67	\$ 979,166.67
8/1/2020	-	750,000.00	750,000.00
2/1/2021	-	750,000.00	750,000.00
8/1/2021	-	750,000.00	750,000.00
2/1/2022	-	750,000.00	750,000.00
8/1/2022	-	750,000.00	750,000.00
2/1/2023	-	750,000.00	750,000.00
8/1/2023	-	750,000.00	750,000.00
2/1/2024	-	750,000.00	750,000.00
8/1/2024	\$1,775,000	750,000.00	2,525,000.00
2/1/2025	-	705,625.00	705,625.00
8/1/2025	1,990,000	705,625.00	2,695,625.00
2/1/2026	-	655,875.00	655,875.00
8/1/2026	2,075,000	655,875.00	2,730,875.00
2/1/2027	-	604,000.00	604,000.00
8/1/2027	2,250,000	604,000.00	2,854,000.00
2/1/2028	-	547,750.00	547,750.00
8/1/2028	2,440,000	547,750.00	2,987,750.00
2/1/2029	-	486,750.00	486,750.00
8/1/2029	2,645,000	486,750.00	3,131,750.00
2/1/2030	-	420,625.00	420,625.00
8/1/2030	2,865,000	420,625.00	3,285,625.00
2/1/2031	-	349,000.00	349,000.00
8/1/2031	3,105,000	349,000.00	3,454,000.00
2/1/2032	-	271,375.00	271,375.00
8/1/2032	3,360,000	271,375.00	3,631,375.00
2/1/2033	-	187,375.00	187,375.00
8/1/2033	3,635,000	187,375.00	3,822,375.00
2/1/2034	-	96,500.00	96,500.00
8/1/2034	3,860,000	96,500.00	3,956,500.00
Total	\$30,000,000	\$16,378,916.67	\$46,378,916.67

Semi-Annual Debt Service of the Series 2019C Bonds

The scheduled semi-annual principal and interest payments on the Series 2019C Bonds are shown in the following table:

Period Ending	Principal	Interest	Semi-Annual Debt Service
8/1/2019	\$19,720,000	\$70,197.72	\$19,790,197.72
Total	\$19,720,000	\$70,197.72	\$19,790,197.72

Combined Annual Debt Service

The District has previously issued and currently has outstanding its General Obligation Bonds (Election of 2008), Series 2011B Capital Appreciation Bonds and Series 2011D Qualified School Construction Bonds, its General Obligation Bonds (Election of 2008), Series 2013, its General Obligation Bonds (Election of 2014), Series 2015, its 2015 General Obligation Refunding Bonds, and its General Obligation Bonds, Series 2017A and Series 2017B (Green Bonds). See APPENDIX A – “INFORMATION RELATING TO THE DISTRICT’S OPERATIONS AND BUDGET – DISTRICT FINANCIAL MATTERS – District Debt Structure.” The following table shows the annual debt service of all outstanding general obligation bonds of the District, including the Bonds.

FREMONT UNION HIGH SCHOOL DISTRICT Outstanding General Obligation Bonds Annual Debt Service

Period Ending (August 1)	Outstanding Bonds	Series 2019A Bonds	Series 2019B Green Bonds	Series 2019C Bonds	Aggregate Debt Service
2019	\$39,570,056.26	-	-	\$19,790,197.72	\$59,360,253.98
2020	31,735,083.76	\$9,355,254.86	\$1,729,166.67	-	42,819,505.29
2021	32,236,706.26	10,572,300.00	1,500,000.00	-	44,309,006.26
2022	33,268,538.76	3,812,300.00	1,500,000.00	-	38,580,838.76
2023	22,208,266.76	5,327,300.00	1,500,000.00	-	29,035,566.76
2024	22,293,168.76	5,326,550.00	3,275,000.00	-	30,894,718.76
2025	20,132,976.76	5,327,050.00	3,401,250.00	-	28,861,276.76
2026	20,799,418.76	5,328,550.00	3,386,750.00	-	29,514,718.76
2027	19,418,718.76	5,330,800.00	3,458,000.00	-	28,207,518.76
2028	19,984,068.76	5,328,550.00	3,535,500.00	-	28,848,118.76
2029	20,606,768.76	5,326,800.00	3,618,500.00	-	29,552,068.76
2030	21,212,556.26	5,330,300.00	3,706,250.00	-	30,249,106.26
2031	21,766,956.26	5,328,550.00	3,803,000.00	-	30,898,506.26
2032	22,254,106.26	5,326,550.00	3,902,750.00	-	31,483,406.26
2033	22,920,406.26	5,329,050.00	4,009,750.00	-	32,259,206.26
2034	23,635,537.50	5,330,550.00	4,053,000.00	-	33,019,087.50
2035	24,278,137.50	7,745,800.00	-	-	32,023,937.50
2036	25,132,287.50	7,810,200.00	-	-	32,942,487.50
2037	25,988,087.50	7,893,800.00	-	-	33,881,887.50
2038	26,858,075.00	7,990,400.00	-	-	34,848,475.00
2039	27,725,250.00	8,094,000.00	-	-	35,819,250.00
2040	28,942,100.00	8,078,800.00	-	-	37,020,900.00
2041	30,767,212.50	4,629,000.00	-	-	35,396,212.50
2042	31,927,275.00	4,646,600.00	-	-	36,573,875.00
2043	29,765,000.00	4,683,000.00	-	-	34,448,000.00
2044	33,452,150.00	4,732,200.00	-	-	38,184,350.00
2045	10,260,600.00	7,883,400.00	-	-	18,144,000.00
2046	10,571,600.00	8,117,200.00	-	-	18,688,800.00
Total	\$699,711,109.90	\$169,984,854.86	\$46,378,916.67	\$19,790,197.72	\$935,865,079.15

ESTIMATED SOURCES AND USES

The proceeds of the Bonds are expected to be applied as follows:

	Series 2019A Bonds	Series 2019B Green Bonds	Series 2019C Bonds	Total
Sources of Funds				
Principal Amount	\$100,280,000.00	\$30,000,000.00	\$19,720,000.00	\$150,000,000.00
Original Issue Premium	12,759,961.90	7,359,865.80	-	20,119,827.70
Total Sources:	\$113,039,961.90	\$37,359,865.80	\$19,720,000.00	\$170,119,827.70
Uses of Funds				
Deposit to Building Fund	\$99,998,518.57	\$29,925,789.49	\$19,650,438.67	\$149,574,746.73
Deposit to Interest and Sinking Fund	12,511,919.98	7,285,660.99	-	19,797,580.97
Costs of Issuance ⁽¹⁾	281,481.43	74,210.51	54,308.06	410,000.00
Underwriters' Discount	248,041.92	74,204.81	15,253.27	337,500.00
Total Uses:	\$113,039,961.90	\$37,359,865.80	\$19,720,000.00	\$170,119,827.70

⁽¹⁾ Includes municipal advisor fees, bond counsel fees, disclosure counsel fees, rating agency fees, paying agent fees, printing fees and other miscellaneous expenses.

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SECURITY AND SOURCE OF PAYMENT FOR THE BONDS

General

In order to provide sufficient funds for repayment of principal of and interest when due on the Bonds, the Board of Supervisors of the County is empowered and is obligated to levy *ad valorem* taxes upon all property subject to taxation by the District within the County, without limitation as to rate or amount (except as to certain personal property which is taxable at limited rates). Such taxes are in addition to other taxes levied upon property within the District, including the countywide tax of 1% of taxable value. When collected, the tax revenues will be deposited by the County in the Interest and Sinking Fund, which is required to be maintained by the County and to be used solely for the payment of the bonds of the District.

The Bonds are payable from the *ad valorem* taxes to be levied within the District pursuant to the California Constitution and other State law, and are not a debt or obligation of the County. No fund of the County is pledged or obligated to repayment of the Bonds.

Statutory Lien on Taxes (Senate Bill 222)

Pursuant to Section 53515 of the Government Code (which became effective on January 1, 2016), all general obligation bonds issued by local agencies, including refunding bonds, will be secured by a statutory lien on all revenues received pursuant to the levy and collection of the tax. Section 53515 provides that the lien will automatically arise, without the need for any action or authorization by the local agency or its governing board, and will be valid and binding from the time the bonds are executed and delivered. Section 53515 further provides that the revenues received pursuant to the levy and collection of the tax will be immediately subject to the lien, and the lien will immediately attach to the revenues and be effective, binding and enforceable against the local agency, its successor, transferees and creditors, and all others asserting rights therein, irrespective of whether those parties have notice of the lien and without the need for physical delivery, recordation, filing or further act.

Pledge of Tax Revenues

Pursuant to the District Resolution, the District pledges all revenues from the property taxes collected from the levy by the Board of Supervisors of the County for the payment of the Bonds and the outstanding bonds of the District issued pursuant to voter approved measures of the District, including any refunding bonds thereof (for the purpose of this pledge, hereinafter collectively referred to as the "District Bonds") and amounts on deposit in the Interest and Sinking Fund to the payment of the principal or redemption price of and interest on the District Bonds. This pledge shall be valid and binding from the date of the Resolution for the benefit of the owners of the District Bonds and successors thereto. The Resolution provides that property taxes and amounts held in the Interest and Sinking Fund shall be immediately subject to this pledge, and the pledge constitutes a lien and security interest which immediately attaches to the property taxes and amounts held in the Interest and Sinking Fund to secure the payment of the District Bonds and is effective, binding, and enforceable against the District, its successors, creditors and all others irrespective of whether those parties have notice of the pledge and without the need of any physical delivery, recordation, filing, or further act.

The Resolution provides that this pledge is an agreement between the District and the bondholders to provide security for the Bonds in addition to any statutory lien that may exist, and the Bonds and each of the other District Bonds secured by the pledge are or were issued to finance one or more of the projects specified in the applicable voter-approved measure.

Property Taxation System

Property tax revenues result from the application of the appropriate tax rate to the total assessed value of taxable property in the District. School districts levy property taxes for payment of voter-approved bonds and receive property taxes for general operating purposes as well.

Local property taxation is the responsibility of various county officers. For each school district located in a county, the county assessor computes the value of locally assessed taxable property. Based on the assessed value of property and the scheduled debt service on outstanding bonds in each year, the county auditor-controller computes the rate of tax necessary to pay such debt service, and presents the tax rolls (including rates of tax for all taxing jurisdictions in the county) to the county board of supervisors for approval. The county treasurer/tax collector prepares and mails tax bills to taxpayers and collects the taxes. In addition, the county treasurer/tax collector, as ex officio treasurer of each school district located in the county, holds and invests school district funds, including taxes collected for payment of school bonds, and is charged with payment of principal of and interest on such bonds when due.

Assessed Valuation of Property Within the District

Taxable property located in the District has a 2018-19 assessed value of approximately \$75.8 billion. All property (real, personal and intangible) is taxable unless an exemption is granted by the California Constitution or United States law. Under the State Constitution, exempt classes of property include household and personal effects, intangible personal property (such as bank accounts, stocks and bonds), business inventories, and property used for religious, hospital, scientific and charitable purposes. The State Legislature may create additional exemptions for personal property, but not for real property. Most taxable property is assessed by the assessor of the county in which the property is located. Some special classes of property are assessed by the State Board of Equalization, as described below.

Taxes are levied for each fiscal year on taxable real and personal property assessed as of the preceding January 1, at which time the lien attaches. The assessed value is required to be adjusted during the course of the year when property changes ownership or new construction is completed. State law also affords an appeal procedure to taxpayers who disagree with the assessed value of any property. When necessitated by changes in assessed value during the course of a year, a supplemental assessment is prepared so that taxes can be levied on the new assessed value before the next regular assessment roll is completed. See “– *Appeals of Assessed Valuation; Blanket Reductions of Assessed Values*” below.

State-Assessed Property. Under the State Constitution, the State Board of Equalization assesses property of State-regulated transportation and communications utilities, including railways, telephone and telegraph companies, and companies transmitting or selling gas or electricity. The Board of Equalization also is required to assess pipelines, flumes, canals and aqueducts lying within two or more counties. The value of property assessed by the Board of Equalization is allocated by a formula to local jurisdictions in the county, including school districts, and taxed by the local county tax officials in the same manner as for locally assessed property. Taxes on privately owned railway cars, however, are levied and collected directly by the Board of Equalization. Property used in the generation of electricity by a company that does not also transmit or sell that electricity is taxed locally instead of by the Board of Equalization. Thus, the reorganization of regulated utilities and the transfer of electricity-generating property to non-utility companies, as often occurred under electric power deregulation in California, affects how those assets are assessed, and which local agencies benefit from the property taxes derived. In general, the transfer of State-assessed property located in the District to non-utility companies will increase the assessed value of property in the District, since the property’s value will no longer be divided among all taxing jurisdictions in the County. The transfer of property located and taxed in the District to a State-assessed utility will have the opposite effect: generally reducing the assessed value in the District, as the value is shared

among the other jurisdictions in the County. The District is unable to predict future transfers of State-assessed property in the District and the County, the impact of such transfers on its utility property tax revenues, or whether future legislation or litigation may affect ownership of utility assets, the State's methods of assessing utility property, or the method by which tax revenues of utility property is allocated to local taxing agencies, including the District.

Classification of Locally Taxed Property. Locally taxed property is classified either as “secured” or “unsecured,” and is listed accordingly on separate parts of the assessment roll. The “secured roll” is that part of the assessment roll containing State-assessed property and property (real or personal) for which there is a lien on real property sufficient, in the opinion of the county assessor, to secure payment of the taxes. All other property is “unsecured,” and is assessed on the “unsecured roll.” Secured property assessed by the State Board of Equalization is commonly identified for taxation purposes as “utility” property.

The greater the assessed value of taxable property in the District, the lower the tax rate necessary to generate taxes sufficient to pay scheduled debt service on the Bonds. The following table shows the recent history of taxable property assessed valuation in the District.

**FREMONT UNION HIGH SCHOOL DISTRICT
Assessed Valuation of Secured and Unsecured Property**

Fiscal Year	Local Secured	Utility	Unsecured	Total	% Change
2009-10	\$41,538,125,528	\$1,390,000	\$3,143,752,066	\$44,683,267,594	-
2010-11	41,525,948,647	1,390,000	2,882,607,434	44,409,946,081	(0.6)%
2011-12	41,998,367,080	1,390,000	3,069,742,727	45,069,499,807	1.5
2012-13	43,746,675,427	1,390,000	3,348,353,896	47,096,419,323	4.5
2013-14	47,848,000,368	1,390,000	3,473,099,914	51,322,490,282	9.0
2014-15	50,702,475,370	0	3,963,322,022	54,665,797,392	6.5
2015-16	56,168,992,385	0	3,692,613,264	59,861,605,649	9.5
2016-17	60,883,659,833	0	3,701,953,317	64,585,613,150	7.9
2017-18	65,473,816,117	0	4,153,584,476	69,627,400,593	7.8
2018-19	71,286,518,086	0	4,482,940,538	75,769,458,624	8.8

Source: California Municipal Statistics, Inc.

Appeals of Assessed Valuation; Blanket Reductions of Assessed Values. There are two basic types of property tax assessment appeals provided for under State law. The first type of appeal, commonly referred to as a base year assessment appeal, involves a dispute on the valuation assigned by the assessor immediately subsequent to an instance of a change in ownership or completion of new construction. If the base year value assigned by the assessor is reduced, the valuation of the property cannot increase in subsequent years more than 2% annually unless and until another change in ownership and/or additional new construction activity occurs.

The second type of appeal, commonly referred to as a Proposition 8 appeal (which Proposition 8 was approved by the voters in 1978), can result if factors occur causing a decline in the market value of the property to a level below the property's then current taxable value (escalated base year value). Pursuant to State law, a property owner may apply for a Proposition 8 reduction of the property tax assessment for such owner's property by filing a written application, in the form prescribed by the State Board of Equalization, with the appropriate county board of equalization or assessment appeals board. A property owner desiring a Proposition 8 reduction of the assessed value of such owner's property in any one year must submit an application to the county assessment appeals board (the “Appeals Board”). Following a review of the application by the county assessor's office, the county assessor may offer to the property owner the opportunity to stipulate to a reduced assessment, or may confirm the assessment. If no

stipulation is agreed to, and the applicant elects to pursue the appeal, the matter is brought before the Appeals Board (or, in some cases, a hearing examiner) for a hearing and decision. The Appeals Board generally is required to determine the outcome of appeals within two years of each appeal's filing date. Any reduction in the assessment ultimately granted applies only to the year for which application is made and during which the written application is filed. The assessed value increases to its pre-reduction level (escalated to the inflation rate of no more than 2%) following the year for which the reduction application is filed. However, the county assessor has the power to grant a reduction not only for the year for which application was originally made, but also for the then current year and any intervening years as well. In practice, such a reduced assessment may and often does remain in effect beyond the year in which it is granted.

In addition, Article XIII A of the State Constitution provides that the full cash value base of real property used in determining taxable value may be adjusted from year to year to reflect the inflationary rate, not to exceed a 2% increase for any given year, or may be reduced to reflect a reduction in the consumer price index or comparable local data. This measure is computed on a calendar year basis. No assurance can be given that property tax appeals and/or blanket reductions of assessed property values will not significantly reduce the assessed valuation of property within the District in the future.

See APPENDIX A – “INFORMATION RELATING TO THE DISTRICT’S OPERATIONS AND BUDGET – CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Limitations on Revenues” for a discussion of other limitations on the valuation of real property with respect to *ad valorem* taxes.

Bonding Capacity. As a union high school district, the District may issue bonds in an amount up to 1.25% of the assessed valuation of taxable property within its boundaries. The District’s fiscal year 2018-19 gross bonding capacity (also commonly referred to as the “bonding limit” or “debt limit”) is approximately \$947.1 million, and its net bonding capacity is approximately \$534.9 million, not taking into account the issuance of the Bonds. Refunding bonds may be issued without regard to this limitation; however, once issued, the outstanding principal of any refunding bonds is included when calculating the District’s bonding capacity.

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Assessed Valuation by Land Use. The following table gives a distribution of taxable real property located in the District by the principal purpose for which the land is used, and the assessed valuation and number of parcels for each use.

**FREMONT UNION HIGH SCHOOL DISTRICT
2018-19 Assessed Valuation and Parcels by Land Use**

	2018-19 Assessed Valuation ⁽¹⁾	% of Total	No. of Parcels	% of Total
Non-Residential:				
Agricultural/Quarry	\$ 283,299,261	0.40%	137	0.23%
Commercial/Office Building	13,046,337,397	18.30	1,394	2.34
Industrial	9,033,772,551	12.67	595	1.00
Recreational	32,205,766	0.05	21	0.04
Government/Social/Institutional	174,846,761	0.25	307	0.52
Miscellaneous	<u>92,794,276</u>	<u>0.13</u>	<u>92</u>	<u>0.15</u>
Subtotal Non-Residential	\$22,663,256,012	31.79%	2,546	4.28%
Residential:				
Single Family Residence	\$33,794,490,395	47.41%	40,662	68.29%
Condominium/Townhouse	7,576,924,387	10.63	12,183	20.46
Mobile Home	78,394,059	0.11	948	1.59
2-4 Residential Units	1,657,350,294	2.32	2,251	3.78
5+ Residential Units/Apartments	<u>5,188,963,197</u>	<u>7.28</u>	<u>652</u>	<u>1.09</u>
Subtotal Residential	\$48,296,122,332	67.75%	56,696	95.22%
Vacant Parcels	\$327,139,742	0.46%	302	0.51%
Total	\$71,286,518,086	100.00%	59,544	100.00%

⁽¹⁾ Local Secured Assessed Valuation, excluding tax-exempt property.
Source: California Municipal Statistics, Inc.

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Assessed Valuation of Single-Family Homes. The following table focuses on single-family residential properties only, the value of which comprises approximately 47.4% of the assessed value of taxable property in the District in fiscal year 2018-19. The average assessed value is \$831,107, and the median assessed value is \$717,419.

**FREMONT UNION HIGH SCHOOL DISTRICT
Per Parcel Assessed Valuation of Single-Family Homes
Fiscal Year 2018-19**

	No. of <u>Parcels</u>	2018-19 <u>Assessed Valuation</u>	Average <u>Assessed Valuation</u>	Median <u>Assessed Valuation</u>
Single Family Residential	40,662	\$33,794,490,395	\$831,107	\$717,419

2018-19 <u>Assessed Valuation</u>	No. of <u>Parcels</u> ⁽¹⁾	% of <u>Total</u>	Cumulative <u>% of Total</u>	Total <u>Valuation</u>	% of <u>Total</u>	Cumulative <u>% of Total</u>
\$0 - \$99,999	3,714	9.134%	9.134%	\$ 285,428,395	0.845%	0.845%
\$100,000 - \$199,999	3,803	9.353	18.487	533,803,489	1.580	2.424
\$200,000 - \$299,999	2,276	5.597	24.084	576,442,036	1.706	4.130
\$300,000 - \$399,999	2,379	5.851	29.935	829,103,943	2.453	6.583
\$400,000 - \$499,999	2,557	6.288	36.223	1,153,584,728	3.414	9.997
\$500,000 - \$599,999	2,722	6.694	42.917	1,498,287,493	4.434	14.430
\$600,000 - \$699,999	2,478	6.094	49.011	1,606,309,380	4.753	19.183
\$700,000 - \$799,999	2,258	5.553	54.564	1,693,950,003	5.013	24.196
\$800,000 - \$899,999	2,319	5.703	60.268	1,970,322,121	5.830	30.026
\$900,000 - \$999,999	2,368	5.824	66.091	2,248,288,728	6.653	36.679
\$1,000,000 - \$1,099,999	2,095	5.152	71.243	2,196,743,708	6.500	43.179
\$1,100,000 - \$1,199,999	1,772	4.358	75.601	2,036,115,056	6.025	49.204
\$1,200,000 - \$1,299,999	1,503	3.696	79.298	1,876,000,070	5.551	54.756
\$1,300,000 - \$1,399,999	1,223	3.008	82.305	1,649,847,725	4.882	59.638
\$1,400,000 - \$1,499,999	1,156	2.843	85.148	1,674,372,075	4.955	64.592
\$1,500,000 - \$1,599,999	1,002	2.464	87.613	1,551,380,173	4.591	69.183
\$1,600,000 - \$1,699,999	944	2.322	89.934	1,556,851,733	4.607	73.790
\$1,700,000 - \$1,799,999	790	1.943	91.877	1,379,793,812	4.083	77.873
\$1,800,000 - \$1,899,999	689	1.694	93.571	1,273,359,213	3.768	81.640
\$1,900,000 - \$1,999,999	510	1.254	94.826	991,598,811	2.934	84.575
\$2,000,000 and greater	<u>2,104</u>	<u>5.174</u>	100.000	<u>5,212,907,703</u>	<u>15.425</u>	100.000
Total	40,662	100.000%		\$33,794,490,395	100.000%	

⁽¹⁾ Improved single family residential parcels. Excludes condominiums and parcels with multiple family units.
Source: California Municipal Statistics, Inc.

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Largest Taxpayers in District. The twenty taxpayers in the District with the greatest combined assessed valuation of taxable property on the 2018-19 tax roll, and the assessed valuations thereof, are shown below.

**FREMONT UNION HIGH SCHOOL DISTRICT
Largest 2018-19 Local Secured Taxpayers**

	<u>Property Owner</u>	<u>2018-19 Primary Land Use</u>	<u>% of Assessed Valuation</u>	<u>Total⁽¹⁾</u>
1.	Google Inc.	Office Building	\$ 1,652,423,403	2.32%
2.	Apple Computer Inc.	Office Building	1,184,912,964	1.66
3.	Campus Holdings Inc.	Office Building	1,085,271,485	1.52
4.	Lockheed Missiles and Space Co. Inc.	Industrial	890,099,074	1.25
5.	Yahoo Holdings Inc.	Office Building	656,370,000	0.92
6.	Menlo & Juniper Networks LLC	Office Building	612,073,068	0.86
7.	Applied Materials Inc.	Industrial	497,364,625	0.70
8.	Intuitive Surgical Inc.	Office Building	490,800,743	0.69
9.	CW SPE LLC	Office Building	459,731,664	0.64
10.	441 Real Estate LLC	Industrial	406,680,172	0.57
11.	Network Appliance Inc.	Industrial	383,803,164	0.54
12.	MP 521 LLC	Office Building	375,488,974	0.53
13.	Moffett Place LLC	Office Building	373,784,716	0.52
14.	KR 555 Mathilda LLC	Office Building	363,573,406	0.51
15.	Main Street Cupertino	Office Building	356,035,768	0.50
16.	Vallco Property Owner LLC	Shopping Center	333,251,833	0.47
17.	SPF Mathilda LLC	Office Building	314,020,600	0.44
18.	Desert Sunrise LLC	Industrial	296,514,000	0.42
19.	Agilent Technologies Inc.	Industrial	295,678,974	0.41
20.	Sunnyvale Office Acquisition	Office Building	<u>280,908,000</u>	<u>0.39</u>
			\$11,308,786,633	15.86%

⁽¹⁾ 2018-19 Local Secured Assessed Valuation: \$71,286,518,086.

Source: California Municipal Statistics, Inc.

The more property (by assessed value) owned by a single taxpayer, the more exposure of tax collections to weakness in that taxpayer's financial situation and ability or willingness to pay property taxes. No single taxpayer owns more than 2.32% of the local secured taxable property in the District in fiscal year 2018-19. The District cannot determine from County assessment records whether individual persons, corporations or other organizations are liable for tax payments with respect to multiple properties held in various names that in aggregate may be larger than is suggested by the table.

Tax Rates

The State Constitution permits the levy of an *ad valorem* tax on taxable property not to exceed 1% of the full cash value of the property, and State law requires the full 1% tax to be levied. The levy of special *ad valorem* property taxes in excess of the 1% levy is permitted as necessary to provide for debt service payments on school bonds and other voter-approved indebtedness.

The rate of tax necessary to pay fixed debt service on the Bonds in a given year depends on the assessed value of taxable property in that year. (The rate of tax imposed on unsecured property for repayment of the Bonds is based on the prior year's secured property tax rate.) Economic and other factors beyond the District's control, such as a general market decline in land values, reclassification of

property to a class exempt from taxation, whether by ownership or use (such as exemptions for property owned by State and local agencies and property used for qualified educational, hospital, charitable or religious purposes), or the complete or partial destruction of taxable property caused by natural or manmade disaster, such as earthquake, flood, fire, toxic dumping, etc., could cause a reduction in the assessed value of taxable property within the District and necessitate a corresponding increase in the annual tax rate to be levied to pay the principal of and interest on the Bonds. Issuance of additional authorized bonds in the future might also cause the tax rate to increase.

Typical Tax Rate Area. The following tables show *ad valorem* property tax rates for the last five years in a typical Tax Rate Area of the District (TRA 9-002). The fiscal year 2018-19 assessed valuation of TRA 9-002 is \$26,133,592,795.

FREMONT UNION HIGH SCHOOL DISTRICT
Typical Total Tax Rates By Assessed Value
TRA 9-002

	<u>2014-15</u>	<u>2015-16</u>	<u>2016-17</u>	<u>2017-18</u>	<u>2018-19</u>
County	1.0000	1.0000	1.0000	1.0000	1.0000
County Retirement Levy	.0388	.0388	.0388	.0388	.0388
County Hospital and Housing Bonds	.0091	.0088	.0086	.0209	.0177
Sunnyvale School District Bond	.0492	.0409	.0263	.0368	.0368
Foothill-De Anza Community College Bond	.0276	.0240	.0234	.0220	.0217
Fremont Union High School District Bond	.0396	.0525	.0403	.0464	.0430
El Camino Hospital District	.0129	.0129	.0129	.0100	.0100
Midpeninsula Open Space District	<u>-</u>	<u>.0008</u>	<u>.0006</u>	<u>.0009</u>	<u>.0018</u>
Total All Property	1.1772	1.1787	1.1509	1.1758	1.1698
Santa Clara Valley Water District State Water Project	<u>.0065</u>	<u>.0057</u>	<u>.0086</u>	<u>.0062</u>	<u>.0042</u>
Total Land and Improvement	.0065	.0057	.0086	.0062	.0042

Source: California Municipal Statistics, Inc.

Tax Charges and Delinquencies

A school district's share of the 1% countywide tax is based on the actual allocation of property tax revenues to each taxing jurisdiction in the county in fiscal year 1978-79, as adjusted according to a complicated statutory scheme enacted since that time. Revenues derived from special *ad valorem* taxes for voter-approved indebtedness, including the Bonds, are reserved to the taxing jurisdiction that approved and issued the debt, and may only be used to repay that debt.

The county treasurer-tax collector prepares the property tax bills. Property taxes on the regular secured assessment roll are due in two equal installments: the first installment is due on November 1, and becomes delinquent after December 10. The second installment is due on February 1 and becomes delinquent after April 10. If taxes are not paid by the delinquent date, a 10% penalty attaches and a \$23 cost is added to unpaid second installments. If taxes remain unpaid by June 30, the tax is deemed to be in default, and a \$15 state redemption fee applies. Interest then begins to accrue at the rate of 1.5% per month. The property owner has the right to redeem the property by paying the taxes, accrued penalties, and costs within five years of the date the property went into default. If the property is not redeemed within five years, it is subject to sale at a public auction by the county treasurer-tax collector.

Property taxes on the unsecured roll are due in one payment based on the lien date, January 1, and become delinquent after August 31. A 10% penalty attaches to delinquent taxes on assessments on the unsecured roll, and an additional penalty of 1.5% per month begins to accrue on November 1. To collect

unpaid taxes, the county treasurer-tax collector records a tax lien and may seize and/or sell personal property, improvements and possessory interests of the taxpayer. The county treasurer-tax collector may also bring a civil suit against the taxpayer for payment. The date on which taxes on supplemental assessments are due depends on when the supplemental tax bill is mailed.

The following table shows real property tax charges and corresponding delinquencies with respect to property located in the District for the last ten fiscal years.

**FREMONT UNION HIGH SCHOOL DISTRICT
Secured Tax Charges and Delinquencies**

Fiscal Year	Secured Tax Charge ⁽¹⁾	Amount Delinquent June 30 ⁽³⁾	% Delinquent June 30 ⁽³⁾
2008-09	\$13,492,921.28	\$168,452.47	1.25%
2009-10	12,531,788.07	138,302.12	1.10
2010-11	14,830,941.71	135,378.88	0.91
2011-12	17,100,467.92	107,436.98	0.63
2012-13 ⁽²⁾	-	-	0.73
2013-14	19,378,425.18	166,194.09	0.86
2014-15	20,242,094.72	107,204.84	0.53
2015-16	29,564,326.55	109,813.77	0.37
2016-17	24,532,889.28	57,443.32	0.23
2017-18	30,345,581.61	52,339.10	0.17

⁽¹⁾ Amounts represent taxes collected by the County within the District's boundaries for bond debt service only.

⁽²⁾ Secured Tax Charge and Amount Delinquent not available for fiscal year 2012-13.

⁽³⁾ Pursuant to the Teeter Plan (see below), delinquencies do not reduce amounts available to the District for payment of debt service.

Source: California Municipal Statistics, Inc.

Teeter Plan. The County has adopted the Alternative Method of Distribution of Tax Levies and Collections and of Tax Sale Proceeds (the "Teeter Plan"), as provided for in Section 4701 et seq. of the California Revenue and Taxation Code. Under the Teeter Plan, each participating local agency levying property taxes in the County, including the District, receives the full amount of uncollected taxes credited to its fund (including delinquent taxes, if any), in the same manner as if the full amount due from taxpayers had been collected. In return, the County receives and retains delinquent payments, penalties and interest as collected that would have been due the local agency. The County applies the Teeter Plan to taxes levied for repayment of school district bonds.

The Teeter Plan is to remain in effect unless the County Board of Supervisors orders its discontinuance or unless, prior to the commencement of any fiscal year of the County (which commences on July 1), the Board of Supervisors receives a petition for its discontinuance from two-thirds of the participating revenue districts in the County. The Board of Supervisors may also, after holding a public hearing on the matter, discontinue the Teeter Plan with respect to any tax levying agency or assessment levying agency in the County if the rate of secured tax delinquency in that agency in any year exceeds 3% of the total of all taxes and assessments levied on the secured roll in that agency.

Direct and Overlapping Debt

Set forth below is a schedule of direct and overlapping debt prepared by California Municipal Statistics Inc. effective May 1, 2019, for debt issued as of May 1, 2019. The table is included for general information purposes only. The District has not reviewed this table for completeness or accuracy and makes no representations in connection therewith. The first column in the table names each public agency which has outstanding debt as of the date of the schedule and whose territory overlaps the District in

whole or in part. Column two shows the percentage of each overlapping agency's assessed value located within the boundaries of the District. This percentage, multiplied by the total outstanding debt of each overlapping agency (which is not shown in the table) produces the amount shown in column three, which is the apportionment of each overlapping agency's outstanding debt to taxable property in the District.

The schedule generally includes long-term obligations sold in the public credit markets by public agencies whose boundaries overlap the boundaries of the District. Such long-term obligations generally are not payable from revenues of the District (except as indicated) nor are they necessarily obligations secured by land within the District. In many cases, long-term obligations issued by a public agency are payable only from the general fund or other revenues of such public agency.

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FREMONT UNION HIGH SCHOOL DISTRICT

Statement of Direct and Overlapping Bonded Debt

2018-19 Assessed Valuation: \$75,769,458,624

<u>DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT:</u>	<u>% Applicable</u>	<u>Debt 5/1/19</u>
Santa Clara County	15.692%	\$ 148,637,762
Foothill-De Anza Community College District	45.265	280,708,130
West Valley-Mission Community College District	0.001	6,353
Fremont Union High School District	100.000	412,210,088⁽¹⁾
Cupertino Union School District	100.000	274,238,303
Sunnyvale School District	100.000	188,710,820
City of Palo Alto	0.019	11,495
City of San Jose	3.673	11,867,830
City of Saratoga	15.766	1,355,876
El Camino Hospital District	39.926	49,703,877
Saratoga Fire Protection District	2.559	70,200
Midpeninsula Regional Open Space District	22.827	21,105,844
Santa Clara Valley Water District Benefit Assessment District	15.692	11,544,604
City of Sunnyvale Community Facilities District No. 1	100.000	14,560,000
TOTAL DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT		\$1,414,731,182
 <u>OVERLAPPING GENERAL FUND DEBT:</u>		
Santa Clara County General Fund Obligations	15.692%	\$113,875,137
Santa Clara County Pension Obligation Bonds	15.692	55,295,294
Santa Clara County Board of Education Certificates of Participation	15.692	667,695
Foothill-De Anza Community College District Certificates of Participation	45.265	12,096,167
West Hills-Mission Community College District Certificates of Participation	0.001	622
City of Cupertino General Fund Obligations	86.043	27,120,754
City of San Jose General Fund Obligations	3.673	18,377,856
City of Santa Clara General Fund Obligations	4.759	802,320
City of Sunnyvale General Fund Obligations	84.557	12,565,170
Other City General Fund Obligations	Various	222,098
Midpeninsula Regional Open Space District General Fund Obligations	22.827	26,810,448
Santa Clara County Vector Control District Certificates of Participation	15.692	387,592
TOTAL GROSS OVERLAPPING GENERAL FUND DEBT		\$268,221,153
Less: Santa Clara County supported obligations		51,983,500
TOTAL NET OVERLAPPING GENERAL FUND DEBT		\$216,237,653
 <u>OVERLAPPING TAX INCREMENT DEBT:</u>		
Successor Agency to Sunnyvale Redevelopment Agency	100.000%	\$2,195,000
TOTAL OVERLAPPING TAX INCREMENT DEBT		\$2,195,000
 GROSS COMBINED TOTAL DEBT		\$1,685,147,335⁽²⁾
NET COMBINED TOTAL DEBT		\$1,633,163,835

Ratios to 2018-19 Assessed Valuation:

Direct Debt (\$412,210,088)	0.54%
Total Direct and Overlapping Tax and Assessment Debt.....	1.87%
Gross Combined Total Debt.....	2.22%
Net Combined Total Debt	2.16%

Ratios to Redevelopment Incremental Valuation (\$1,637,092,696):

Overlapping Tax Increment Debt	0.13%
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(1) Excludes the Bonds.

(2) Excludes tax and revenue anticipation notes, enterprise revenue, mortgage revenue and non-bonded capital lease obligations.

Source: California Municipal Statistics, Inc.

TAX MATTERS

Tax-Exempt Bonds

In the opinion of Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the District (“Bond Counsel”), based upon an analysis of existing laws, regulations, rulings and court decisions, and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Tax-Exempt Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986 (the “Code”), and is exempt from State of California personal income taxes. Bond Counsel is of the further opinion that interest on the Tax-Exempt Bonds is not a specific preference item for purposes of the federal alternative minimum tax. A complete copy of the proposed form of opinion of Bond Counsel is set forth in Appendix C hereto.

To the extent the issue price of any maturity of the Tax-Exempt Bonds is less than the amount to be paid at maturity of such Tax-Exempt Bonds (excluding amounts stated to be interest and payable at least annually over the term of such Tax-Exempt Bonds), the difference constitutes “original issue discount,” the accrual of which, to the extent properly allocable to each Beneficial Owner thereof, is treated as interest on the Tax-Exempt Bonds which is excluded from gross income for federal income tax purposes and State of California personal income taxes. For this purpose, the issue price of a particular maturity of the Tax-Exempt Bonds is the first price at which a substantial amount of such maturity of the Tax-Exempt Bonds is sold to the public (excluding bond houses, brokers, or similar persons or organizations acting in the capacity of underwriters, placement agents or wholesalers). The original issue discount with respect to any maturity of the Tax-Exempt Bonds accrues daily over the term to maturity of such Tax-Exempt Bonds on the basis of a constant interest rate compounded semiannually (with straight-line interpolations between compounding dates). The accruing original issue discount is added to the adjusted basis of such Tax-Exempt Bonds to determine taxable gain or loss upon disposition (including sale, redemption, or payment on maturity) of such Tax-Exempt Bonds. Beneficial Owners of the Tax-Exempt Bonds should consult their own tax advisors with respect to the tax consequences of ownership of Tax-Exempt Bonds with original issue discount, including the treatment of Beneficial Owners who do not purchase such Tax-Exempt Bonds in the original offering to the public at the first price at which a substantial amount of such Tax-Exempt Bonds is sold to the public.

Tax-Exempt Bonds purchased, whether at original issuance or otherwise, for an amount higher than their principal amount payable at maturity (or, in some cases, at their earlier call date) (“Premium Bonds”) will be treated as having amortizable bond premium. No deduction is allowable for the amortizable bond premium in the case of bonds, like the Premium Bonds, the interest on which is excluded from gross income for federal income tax purposes. However, the amount of tax-exempt interest received, and a Beneficial Owner’s basis in a Premium Bond, will be reduced by the amount of amortizable bond premium properly allocable to such Beneficial Owner. Beneficial Owners of Premium Bonds should consult their own tax advisors with respect to the proper treatment of amortizable bond premium in their particular circumstances.

The Code imposes various restrictions, conditions and requirements relating to the exclusion from gross income for federal income tax purposes of interest on obligations such as the Tax-Exempt Bonds. The District has made certain representations and covenanted to comply with certain restrictions, conditions and requirements designed to ensure that interest on the Tax-Exempt Bonds will not be included in federal gross income. Inaccuracy of these representations or failure to comply with these covenants may result in interest on the Tax-Exempt Bonds being included in gross income for federal income tax purposes, possibly from the date of original issuance of the Tax-Exempt Bonds. The opinion of Bond Counsel assumes the accuracy of these representations and compliance with these covenants. Bond Counsel has not undertaken to determine (or to inform any person) whether any actions taken (or

not taken), or events occurring (or not occurring), or any other matters coming to Bond Counsel's attention after the date of issuance of the Tax-Exempt Bonds may adversely affect the value of, or the tax status of interest on, the Tax-Exempt Bonds. Accordingly, the opinion of Bond Counsel is not intended to, and may not, be relied upon in connection with any such actions, events or matters.

Although Bond Counsel is of the opinion that interest on the Tax-Exempt Bonds is excluded from gross income for federal income tax purposes and is exempt from State of California personal income taxes, the ownership or disposition of, or the accrual or receipt of amounts treated as interest on, the Tax-Exempt Bonds may otherwise affect a Beneficial Owner's federal, state or local tax liability. The nature and extent of these other tax consequences depends upon the particular tax status of the Beneficial Owner or the Beneficial Owner's other items of income or deduction. Bond Counsel expresses no opinion regarding any such other tax consequences.

Current and future legislative proposals, if enacted into law, clarification of the Code or court decisions may cause interest on the Tax-Exempt Bonds to be subject, directly or indirectly, in whole or in part, to federal income taxation or to be subject to or exempted from state income taxation, or otherwise prevent Beneficial Owners from realizing the full current benefit of the tax status of such interest. The introduction or enactment of any such legislative proposals or clarification of the Code or court decisions may also affect, perhaps significantly, the market price for, or marketability of, the Tax-Exempt Bonds. Prospective purchasers of the Tax-Exempt Bonds should consult their own tax advisors regarding the potential impact of any pending or proposed federal or state tax legislation, regulations or litigation, as to which Bond Counsel is expected to express no opinion.

The opinion of Bond Counsel is based on current legal authority, covers certain matters not directly addressed by such authorities, and represents Bond Counsel's judgment as to the proper treatment of the Tax-Exempt Bonds for federal income tax purposes. It is not binding on the Internal Revenue Service ("IRS") or the courts. Furthermore, Bond Counsel cannot give and has not given any opinion or assurance about the future activities of the District, or about the effect of future changes in the Code, the applicable regulations, the interpretation thereof or the enforcement thereof by the IRS. The District has covenanted, however, to comply with the requirements of the Code.

Bond Counsel's engagement with respect to the Tax-Exempt Bonds ends with the issuance of the Tax-Exempt Bonds, and, unless separately engaged, Bond Counsel is not obligated to defend the District or the Beneficial Owners regarding the tax-exempt status of the Tax-Exempt Bonds in the event of an audit examination by the IRS. Under current procedures, parties other than the District and their appointed counsel, including the Beneficial Owners, would have little, if any, right to participate in the audit examination process. Moreover, because achieving judicial review in connection with an audit examination of tax-exempt bonds is difficult, obtaining an independent review of IRS positions with which the District legitimately disagrees, may not be practicable. Any action of the IRS, including but not limited to selection of the Tax-Exempt Bonds for audit, or the course or result of such audit, or an audit of bonds presenting similar tax issues may affect the market price for, or the marketability of, the Tax-Exempt Bonds, and may cause the District or the Beneficial Owners to incur significant expense.

Taxable Bonds

In the opinion of Bond Counsel, based upon an analysis of existing laws, regulations, rulings and court decisions, and assuming, among other matters, the accuracy of certain representations and compliance with certain covenants, interest on the Taxable Bonds is exempt from State of California personal income taxes. Bond Counsel observes that interest on the Taxable Bonds is not excluded from gross income for federal income tax purposes under Section 103 of the Code. Bond Counsel expresses no opinion regarding any other tax consequences relating to the ownership or disposition of, or the amount,

accrual, or receipt of interest on, the Taxable Bonds. The proposed form of opinion of Bond Counsel is contained in Appendix C hereto.

The following discussion summarizes certain U.S. federal tax considerations generally applicable to holders of the Taxable Bonds that acquire their Taxable Bonds in the initial offering. The discussion below is based upon laws, regulations, rulings, and decisions in effect and available on the date hereof, all of which are subject to change, possibly with retroactive effect. Prospective investors should note that no rulings have been or are expected to be sought from the IRS with respect to any of the U.S. federal tax consequences discussed below, and no assurance can be given that the IRS will not take contrary positions. Further, the following discussion does not deal with U.S. tax consequences applicable to any given investor, nor does it address the U.S. tax considerations applicable to all categories of investors, some of which may be subject to special taxing rules (regardless of whether or not such investors constitute U.S. Holders), such as certain U.S. expatriates, banks, REITs, RICs, insurance companies, tax-exempt organizations, dealers or traders in securities or currencies, partnerships, S corporations, estates and trusts, investors that hold their Taxable Bonds as part of a hedge, straddle or an integrated or conversion transaction, or investors whose “functional currency” is not the U.S. dollar. Furthermore, it does not address (i) alternative minimum tax consequences, (ii) the net investment income tax imposed under Section 1411 of the Code, or (iii) the indirect effects on persons who hold equity interests in a holder. This summary also does not consider the taxation of the Taxable Bonds under state, local or non-U.S. tax laws. In addition, this summary generally is limited to U.S. tax considerations applicable to investors that acquire their Taxable Bonds pursuant to this offering for the issue price that is applicable to such Taxable Bonds (i.e., the price at which a substantial amount of the Taxable Bonds are sold to the public) and who will hold their Taxable Bonds as “capital assets” within the meaning of Section 1221 of the Code.

As used herein, “U.S. Holder” means a beneficial owner of a Taxable Bond that for U.S. federal income tax purposes is an individual citizen or resident of the United States, a corporation or other entity taxable as a corporation created or organized in or under the laws of the United States or any state thereof (including the District of Columbia), an estate the income of which is subject to U.S. federal income taxation regardless of its source or a trust where a court within the United States is able to exercise primary supervision over the administration of the trust and one or more United States persons (as defined in the Code) have the authority to control all substantial decisions of the trust (or a trust that has made a valid election under U.S. Treasury Regulations to be treated as a domestic trust). As used herein, “Non-U.S. Holder” generally means a beneficial owner of a Taxable Bond (other than a partnership) that is not a U.S. Holder. If a partnership holds Taxable Bonds, the tax treatment of such partnership or a partner in such partnership generally will depend upon the status of the partner and upon the activities of the partnership. Partnerships holding Taxable Bonds, and partners in such partnerships, should consult their own tax advisors regarding the tax consequences of an investment in the Taxable Bonds (including their status as U.S. Holders or Non-U.S. Holders).

Notwithstanding the rules described below, it should be noted that, under newly enacted law that is effective for tax years beginning after December 31, 2017 (or, in the case of original issue discount, for tax years beginning after December 31, 2018), certain taxpayers that are required to prepare certified financial statements or file financial statements with certain regulatory or governmental agencies may be required to recognize income, gain and loss with respect to the Taxable Bonds at the time that such income, gain or loss is recognized on such financial statements instead of under the rules described below.

Prospective investors should consult their own tax advisors in determining the U.S. federal, state, local or non-U.S. tax consequences to them from the purchase, ownership and disposition of the Taxable Bonds in light of their particular circumstances.

U.S. Holders

Interest. Interest on the Taxable Bonds generally will be taxable to a U.S. Holder as ordinary interest income at the time such amounts are accrued or received, in accordance with the U.S. Holder's method of accounting for U.S. federal income tax purposes.

To the extent that the issue price of any maturity of the Taxable Bonds is less than the amount to be paid at maturity of such Taxable Bonds (excluding amounts stated to be interest and payable at least annually over the term of such Taxable Bonds) by more than a de minimis amount, the difference may constitute original issue discount ("OID"). U.S. Holders of Taxable Bonds will be required to include OID in income for U.S. federal income tax purposes as it accrues, in accordance with a constant yield method based on a compounding of interest (which may be before the receipt of cash payments attributable to such income). Under this method, U.S. Holders generally will be required to include in income increasingly greater amounts of OID in successive accrual periods.

Taxable Bonds purchased for an amount in excess of the principal amount payable at maturity (or, in some cases, at their earlier call date) will be treated as issued at a premium. A U.S. Holder of a Taxable Bond issued at a premium may make an election, applicable to all debt securities purchased at a premium by such U.S. Holder, to amortize such premium, using a constant yield method over the term of such Taxable Bond.

Sale or Other Taxable Disposition of the Taxable Bonds. Unless a nonrecognition provision of the Code applies, the sale, exchange, redemption, retirement (including pursuant to an offer by the District) or other disposition of a Taxable Bond will be a taxable event for U.S. federal income tax purposes. In such event, in general, a U.S. Holder of a Taxable Bond will recognize gain or loss equal to the difference between (i) the amount of cash plus the fair market value of property received (except to the extent attributable to accrued but unpaid interest on the Taxable Bond, which will be taxed in the manner described above) and (ii) the U.S. Holder's adjusted U.S. federal income tax basis in the Taxable Bond (generally, the purchase price paid by the U.S. Holder for the Taxable Bond, decreased by any amortized premium, and increased by the amount of any OID previously included in income by such U.S. Holder with respect to such Taxable Bond). Any such gain or loss generally will be capital gain or loss. In the case of a non-corporate U.S. Holder of the Taxable Bonds, the maximum marginal U.S. federal income tax rate applicable to any such gain will be lower than the maximum marginal U.S. federal income tax rate applicable to ordinary income if such U.S. holder's holding period for the Taxable Bonds exceeds one year. The deductibility of capital losses is subject to limitations.

Defeasance of the Taxable Bonds. If the District defeases any Taxable Bond, the Taxable Bond may be deemed to be retired for U.S. federal income tax purposes as a result of the defeasance. In that event, in general, a holder will recognize taxable gain or loss equal to the difference between (i) the amount realized from the deemed sale, exchange or retirement (less any accrued qualified stated interest which will be taxable as such) and (ii) the holder's adjusted tax basis in the Taxable Bond.

Information Reporting and Backup Withholding. Payments on the Taxable Bonds generally will be subject to U.S. information reporting and possibly to "backup withholding." Under Section 3406 of the Code and applicable U.S. Treasury Regulations issued thereunder, a non-corporate U.S. Holder of the Taxable Bonds may be subject to backup withholding at the current rate of 24% with respect to "reportable payments," which include interest paid on the Taxable Bonds and the gross proceeds of a sale, exchange, redemption, retirement or other disposition of the Taxable Bonds. The payor will be required to deduct and withhold the prescribed amounts if (i) the payee fails to furnish a U.S. taxpayer identification number ("TIN") to the payor in the manner required, (ii) the IRS notifies the payor that the TIN furnished by the payee is incorrect, (iii) there has been a "notified payee underreporting" described in

Section 3406(c) of the Code or (iv) the payee fails to certify under penalty of perjury that the payee is not subject to withholding under Section 3406(a)(1)(C) of the Code. Amounts withheld under the backup withholding rules may be refunded or credited against the U.S. Holder's federal income tax liability, if any, provided that the required information is timely furnished to the IRS. Certain U.S. holders (including among others, corporations and certain tax-exempt organizations) are not subject to backup withholding. A holder's failure to comply with the backup withholding rules may result in the imposition of penalties by the IRS.

Non-U.S. Holders

Interest. Subject to the discussions below under the headings "Information Reporting and Backup Withholding" and "Foreign Account Tax Compliance Act," payments of principal of, and interest on, any Taxable Bond to a Non-U.S. Holder, other than (1) a controlled foreign corporation, a such term is defined in the Code, which is related to the District through stock ownership and (2) a bank which acquires such Taxable Bond in consideration of an extension of credit made pursuant to a loan agreement entered into in the ordinary course of business, will not be subject to any U.S. federal withholding tax provided that the beneficial owner of the Taxable Bond provides a certification completed in compliance with applicable statutory and regulatory requirements, which requirements are discussed below under the heading "Information Reporting and Backup Withholding," or an exemption is otherwise established.

Disposition of the Taxable Bonds. Subject to the discussions below under the headings "Information Reporting and Backup Withholding" and "FATCA," any gain realized by a Non-U.S. Holder upon the sale, exchange, redemption, retirement (including pursuant to an offer by the District or a deemed retirement due to defeasance of the Taxable Bond) or other disposition of a Taxable Bond generally will not be subject to U.S. federal income tax, unless (i) such gain is effectively connected with the conduct by such Non-U.S. Holder of a trade or business within the United States; or (ii) in the case of any gain realized by an individual Non-U.S. Holder, such holder is present in the United States for 183 days or more in the taxable year of such sale, exchange, redemption, retirement (including pursuant to an offer by the District) or other disposition and certain other conditions are met.

U.S. Federal Estate Tax. A Taxable Bond that is held by an individual who at the time of death is not a citizen or resident of the United States will not be subject to U.S. federal estate tax as a result of such individual's death, provided that, at the time of such individual's death, payments of interest with respect to such Taxable Bond would not have been effectively connected with the conduct by such individual of a trade or business within the United States.

Information Reporting and Backup Withholding. Subject to the discussion below under the heading "FATCA," under current U.S. Treasury Regulations, payments of principal and interest on any Taxable Bonds to a holder that is not a United States person will not be subject to any backup withholding tax requirements if the beneficial owner of the Taxable Bond or a financial institution holding the Taxable Bond on behalf of the beneficial owner in the ordinary course of its trade or business provides an appropriate certification to the payor and the payor does not have actual knowledge that the certification is false. If a beneficial owner provides the certification, the certification must give the name and address of such owner, state that such owner is not a United States person, or, in the case of an individual, that such owner is neither a citizen nor a resident of the United States, and the owner must sign the certificate under penalties of perjury. The current backup withholding tax rate is 24%.

Foreign Account Tax Compliance Act ("FATCA") – U.S. Holders and Non-U.S. Holders

Sections 1471 through 1474 of the Code impose a 30% withholding tax on certain types of payments made to foreign financial institutions, unless the foreign financial institution enters into an

agreement with the U.S. Treasury to, among other things, undertake to identify accounts held by certain U.S. persons or U.S.-owned entities, annually report certain information about such accounts, and withhold 30% on payments to account holders whose actions prevent it from complying with these and other reporting requirements, or unless the foreign financial institution is otherwise exempt from those requirements. In addition, FATCA imposes a 30% withholding tax on the same types of payments to a non-financial foreign entity unless the entity certifies that it does not have any substantial U.S. owners or the entity furnishes identifying information regarding each substantial U.S. owner. Failure to comply with the additional certification, information reporting and other specified requirements imposed under FATCA could result in the 30% withholding tax being imposed on payments of interest and principal under the Taxable Bonds and sales proceeds of Taxable Bonds held by or through a foreign entity. In general, withholding under FATCA currently applies to payments of U.S. source interest (including OID) and, under current guidance, will apply to (i) gross proceeds from the sale, exchange or retirement of debt obligations paid after December 31, 2018 and (ii) certain “pass-thru” payments no earlier than January 1, 2019. Prospective investors should consult their own tax advisors regarding FATCA and its effect on them.

The foregoing summary is included herein for general information only and does not discuss all aspects of U.S. federal taxation that may be relevant to a particular holder of Taxable Bonds in light of the holder’s particular circumstances and income tax situation. Prospective investors are urged to consult their own tax advisors as to any tax consequences to them from the purchase, ownership and disposition of Taxable Bonds, including the application and effect of state, local, non-U.S., and other tax laws.

OTHER LEGAL MATTERS

Possible Limitations on Remedies

General. Following is a discussion of certain considerations in the event that the District should become a debtor in a bankruptcy proceeding. It is not an exhaustive discussion of the potential application of bankruptcy law to the District.

State law contains a number of safeguards to protect the financial solvency of school districts. If the safeguards are not successful in preventing a school district from becoming insolvent, the State Superintendent of Public Instruction (the “State Superintendent”), operating through an administrator appointed by the State Superintendent, may be authorized under State law to file a petition under Chapter 9 of the United States Bankruptcy Code (the “Bankruptcy Code”) on behalf of the District for the adjustment of its debts, assuming that the District meets certain other requirements contained in the Bankruptcy Code necessary for filing such a petition. Under current State law, the District is not itself authorized to file a bankruptcy proceeding, and it is not subject to an involuntary bankruptcy proceeding.

Bankruptcy courts are courts of equity and as such have broad discretionary powers. If the District were to become the debtor in a proceeding under Chapter 9 of the Bankruptcy Code, the parties to the proceedings may be prohibited from taking any action to collect any amount from the District (including *ad valorem* tax revenues) or to enforce any obligation of the District, without the bankruptcy court’s permission, except as described below in the case of “special revenues.” In such a proceeding, as part of its plan of adjustment in bankruptcy, the District may be able to alter the priority, interest rate, principal amount, payment terms, collateral, maturity dates, payment sources, covenants (including tax-related covenants), and other terms or provisions of the Bonds and other transaction documents related to the Bonds, including the obligation of the County and the District to raise taxes if necessary to pay the Bonds, if the bankruptcy court determines that the plan is fair, equitable, not unfairly discriminatory and is in the best interests of creditors and otherwise complies with the Bankruptcy Code. There also may be other possible effects of a bankruptcy of the District that could result in delays or reductions in payments

on the Bonds. Regardless of any specific adverse determinations in any District bankruptcy proceeding, the fact of a District bankruptcy proceeding could have an adverse effect on the liquidity and market price of the Bonds.

Limitations on Plans of Adjustments. Chapter 9 of the Bankruptcy Code provides that it does not limit or impair the power of a state to control, by legislation or otherwise, a political subdivision of the state in the exercise of its political or governmental powers, including expenditures for the exercise. In addition, Chapter 9 provides that a bankruptcy court may not interfere with the political or governmental powers of a political subdivision debtor, unless the political subdivision approves a plan of adjustment to that effect or consents to that action. State law provides that *ad valorem* taxes may be levied to pay the principal of and interest on the Bonds and other voted general obligation bonds of the District in an unlimited amount, and that proceeds of such a levy must be used for the payment of principal of and interest on the District's general obligation bonds, including the Bonds, and for no other purpose. Under State law, the District's share of the 1% limited tax imposed by the County is the only *ad valorem* tax revenue that may be raised and expended to pay liabilities and expenses of the District other than its voter-approved debt, such as its general obligation bonds. If the District should become a debtor in a Chapter 9 proceeding, then it must propose a plan of adjustment of its debts. The plan may not become effective until confirmed by the bankruptcy court. The court may not approve a plan unless it finds, among other conditions, that the District is not prohibited by law from taking any action necessary to carry out the plan and that the plan is in the best interests of creditors and is feasible. If the State law restriction on the levy and expenditure of *ad valorem* taxes is respected in a bankruptcy case, then *ad valorem* tax revenue in excess of the District's share of the 1% limited County tax could not be used by the District for any purpose under its plan other than to make payments on the Bonds and its other voted general obligation bonds. It is possible, however, that a bankruptcy court could conclude that the restriction should not be respected.

Statutory Lien. Pursuant to Senate Bill 222, all general obligation bonds issued by local agencies, including the Bonds, will be secured by a statutory lien on all revenues received pursuant to the levy and collection of the *ad valorem* taxes. SB 222 provides that the lien will automatically arise, without the need for any action or authorization by the local agency or its governing board, and will be valid and binding from the time the bonds are executed and delivered. As a result, the lien on debt service taxes will continue to be valid with respect to post-petition receipts of debt service taxes, should the District become the subject of bankruptcy proceedings. However, the automatic stay provisions of the Bankruptcy Code would apply, preventing bondholders from enforcing their rights to payment from such taxes, so payments that become due and owing on the Bonds during the pendency of the Chapter 9 proceeding could be delayed.

Special Revenues. If the *ad valorem* tax revenues that are pledged to the payment of the Bonds are determined to be "special revenues" within the meaning of the Bankruptcy Code, then the application in a manner consistent with the Bankruptcy Code of the pledged *ad valorem* tax revenues that are collected after the date of the bankruptcy filing should not be subject to the automatic stay. "Special revenues" are defined to include, among others, taxes specifically levied to finance one or more projects or systems of the debtor, but excluding receipts from general property, sales, or income taxes levied to finance the general purposes of the debtor. The District has specifically pledged the *ad valorem* taxes for payment of the Bonds. The Bonds and the District's other general obligation bonds were approved at elections held on propositions that described the projects for which such bonds may be issued. As noted above, State law prohibits the use of the proceeds of the District's debt service tax for any purpose other than payment of its general obligation bonds, and the bond proceeds may only be used to fund the acquisition or improvement of real property and other capital expenditures included in the proposition, so such tax revenues appear to fit the definition of special revenues. However, there is no binding judicial precedent dealing with the treatment in bankruptcy proceedings of *ad valorem* tax revenues collected for

the payment of general obligation bonds in the State, so no assurance can be given that a bankruptcy court would not hold otherwise.

The Bankruptcy Code provides that there is no stay of application of pledged special revenues to payment of indebtedness secured by such revenues. The United States Court of Appeals for the First Circuit, in a case arising out of the insolvency proceedings of Puerto Rico, recently held that this provision permitted voluntary payments of debt service by the issuer of bonds backed by special revenues, but did not permit the bondholders to compel the issuer to make payments of debt service from special revenues. If this decision is followed by other courts, the holders of the Bonds may be prohibited from taking any action to require the District or the County to make payments on the Bonds without the bankruptcy court's permission. This could result in substantial delays in payments on the Bonds.

In addition, even if the *ad valorem* tax revenues are determined to be "special revenues," the Bankruptcy Code provides that special revenues can be applied to necessary operating expenses of the project or system, before they are applied to other obligations. This rule applies regardless of the provisions of the transaction documents. Thus, a bankruptcy court could determine that the District is entitled to use the *ad valorem* tax revenues to pay necessary operating expenses of the District and its schools, before the remaining revenues are paid to the owners of the Bonds.

Bondholders may experience delays or reductions in payments on the Bonds, the Bonds may decline in value or Bondholders may experience other adverse effects should the District file for bankruptcy.

Possession of Tax Revenues; Remedies. If the County or the District goes into bankruptcy and has possession of tax revenues (whether collected before or after commencement of the bankruptcy), and if the County or the District, as applicable, does not voluntarily pay such tax revenues to the owners of the Bonds, it is not clear what procedures the owners of the Bonds would have to follow to attempt to obtain possession of such tax revenues, how much time it would take for such procedures to be completed, or whether such procedures would ultimately be successful.

Opinion of Bond Counsel Qualified by Reference to Bankruptcy, Insolvency and Other Laws Relating to or Affecting Creditor's Rights. The proposed form of opinion of Bond Counsel, attached hereto as Appendix C, is qualified by reference to bankruptcy, insolvency and other laws relating to or affecting creditor's rights.

Legal Opinion

The validity of the Bonds and certain other legal matters are subject to the approving opinion of Orrick, Herrington & Sutcliffe LLP, Bond Counsel to the District. Bond Counsel expects to deliver an opinion with respect to the Bonds at the time of issuance of such series substantially in the form set forth in Appendix C hereto. Bond Counsel, as such, undertakes no responsibility for the accuracy, completeness or fairness of this Official Statement. Certain legal matters will be passed upon for the District by Orrick, Herrington & Sutcliffe LLP, as Disclosure Counsel to the District.

Legality for Investment in California

Under the provisions of the California Financial Code, the Bonds are a legal investment for commercial banks in California to the extent that the Bonds, in the informed opinion of the bank, are prudent for the investment of funds of depositors, and, under provisions of the Government Code, the Bonds are eligible securities for deposit of public moneys in the State.

Continuing Disclosure

The District has covenanted for the benefit of the holders and Beneficial Owners of the Bonds to provide, or to cause to be provided, to the Municipal Securities Rulemaking Board through its Electronic Municipal Market Access system or such other electronic system designated by the Municipal Securities Rulemaking Board (the “EMMA System”) certain annual financial information and operating data relating to the District (the “Annual Report”) by not later than nine months following the end of the District’s fiscal year (currently ending June 30), commencing with the report for the 2018-19 fiscal year (which is due no later than April 1, 2020) and notice of the occurrence of certain enumerated events (“Notice Events”) in a timely manner not in excess of ten business days after the occurrence of such a Notice Event. The specific nature of the information to be contained in the Annual Report and the notices of Notice Events is set forth in APPENDIX D – “FORM OF CONTINUING DISCLOSURE CERTIFICATE.” These covenants have been made in order to assist the Underwriters in complying with Securities and Exchange Commission Rule 15c2-12(b)(5) (the “Rule”).

The District is not aware of any instances in the five most recent years in which it has failed to comply in any material respect with any previous continuing disclosure undertakings in regard to the Rule. The District has implemented procedures to assist with compliance. The District has retained PFM Financial Advisors LLC to provide technical guidance with regards to the reporting process.

No Litigation

No litigation is pending or threatened concerning or contesting the validity of the Bonds or the District’s ability to receive *ad valorem* taxes and to collect other revenues, or contesting the District’s ability to issue and retire the Bonds. The District is not aware of any litigation pending or threatened questioning the political existence of the District or contesting the title to their offices of County or District officers who will execute the Bonds or County or District officials who will sign certifications relating to the Bonds, or the powers of those offices. A certificate (or certificates) to that effect will be furnished to the Underwriters at the time of the original delivery of the Bonds.

The District is occasionally subject to lawsuits and claims. In the opinion of the District, the aggregate amount of the uninsured liabilities of the District under these lawsuits and claims will not materially affect the financial position or operations of the District.

MISCELLANEOUS

Ratings

Moody’s Investors Service and S&P Global Ratings, a business unit of Standard & Poor’s Financial Services LLC, have assigned ratings of “Aaa” and “AAA,” respectively, to the Bonds. Rating agencies generally base their ratings on their own investigations, studies and assumptions. The ratings reflect only the view of the rating agency furnishing the same, and any explanation of the significance of such rating should be obtained only from the rating agency providing the same. Such ratings are not a recommendation to buy, sell or hold the Bonds. There is no assurance that any rating will continue for any given period of time or that they will not be revised downward or withdrawn entirely by the rating agency providing the same, if, in the judgment of such rating agency, circumstances so warrant. Any such downward revision or withdrawal of a rating may have an adverse effect on the market price of the Bonds. Neither the Underwriters nor the District has undertaken any responsibility after the offering of the Bonds to assure the maintenance of these ratings or to oppose any such revision or withdrawal.

Professionals Involved in the Offering

Orrick, Herrington & Sutcliffe LLP is acting as Bond Counsel and Disclosure Counsel with respect to the Bonds, and will receive compensation from the District contingent upon the sale and delivery of the Bonds. Payment of the fees and expenses of PFM Financial Advisors LLC and Isom Advisors, a Division of Urban Futures, Inc., the District's municipal advisors, are also contingent upon the sale and delivery of the Bonds.

Underwriting

The Bonds are being purchased for reoffering to the public by Morgan Stanley & Co. LLC as representative (the "Representative") of itself and Wells Fargo Bank, N.A. and Raymond James & Associates, Inc. (collectively, the "Underwriters") pursuant to the terms of a bond purchase agreement executed on May 15, 2019, by and between the District and the Underwriters (the "Purchase Contract"). The Underwriters have agreed to purchase the Bonds at a price of \$169,782,327.70 (which represents the aggregate principal amount of the Bonds, plus \$20,119,827.70 original issue premium, and less \$337,500.00 Underwriters' discount). The Purchase Contract provides that the Underwriters will purchase all of the Bonds, subject to certain terms and conditions set forth in the Purchase Contract, including the approval of certain legal matters by counsel.

The Underwriters may offer and sell the Bonds to certain dealers and others at prices lower than the public offering prices shown on the inside front cover pages of this Official Statement. The offering prices may be changed from time to time by the Underwriters.

Morgan Stanley & Co. LLC has entered into a retail distribution arrangement with its affiliate Morgan Stanley Smith Barney LLC. As part of the distribution arrangement, Morgan Stanley & Co. LLC may distribute municipal securities to retail investors through the financial advisor network of Morgan Stanley Smith Barney LLC. As part of this arrangement, Morgan Stanley & Co. LLC may compensate Morgan Stanley Smith Barney LLC for its selling efforts with respect to the Bonds.

Wells Fargo Securities is the trade name for certain securities-related capital markets and investment banking services of Wells Fargo & Company and its subsidiaries, including Wells Fargo Bank, National Association, which conducts its municipal securities sales, trading and underwriting operations through the Wells Fargo Bank, NA Municipal Products Group, a separately identifiable department of Wells Fargo Bank, National Association, registered with the Securities and Exchange Commission as a municipal securities dealer pursuant to Section 15B(a) of the Securities Exchange Act of 1934.

Wells Fargo Bank, National Association, acting through its Municipal Products Group ("WFBNA"), one of the underwriters of the Bonds, has entered into an agreement (the "WFA Distribution Agreement") with its affiliate, Wells Fargo Clearing Services, LLC (which uses the trade name "Wells Fargo Advisors") ("WFA"), for the distribution of certain municipal securities offerings, including the Bonds. Pursuant to the WFA Distribution Agreement, WFBNA will share a portion of its underwriting or remarketing agent compensation, as applicable, with respect to the Bonds with WFA. WFBNA has also entered into an agreement (the "WFSLLC Distribution Agreement") with its affiliate Wells Fargo Securities, LLC ("WFSLLC"), for the distribution of municipal securities offerings, including the Bonds. Pursuant to the WFSLLC Distribution Agreement, WFBNA pays a portion of WFSLLC's expenses based on its municipal securities transactions. WFBNA, WFSLLC, and WFA are each wholly-owned subsidiaries of Wells Fargo & Company.

ADDITIONAL INFORMATION

The purpose of this Official Statement is to supply information to purchasers of the Bonds. Quotations from and summaries and explanations of the Bonds and of the statutes and documents contained herein do not purport to be complete, and reference is made to such documents and statutes for full and complete statements of their provisions.

Any statements in this Official Statement involving matters of opinion, whether or not expressly so stated, are intended as such and not as representations of fact. This Official Statement is not to be construed as a contract or agreement between the District and the purchasers or Owners of any of the Bonds.

The District has duly authorized the delivery of this Official Statement.

FREMONT UNION HIGH SCHOOL DISTRICT

By: /s/ Polly M. Bove
Superintendent

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APPENDIX A

INFORMATION RELATING TO THE DISTRICT'S OPERATIONS AND BUDGET

The information in this Appendix A concerning the operations of the Fremont Union High School District (the "District"), the District's finances, and State of California funding of education, is provided as supplementary information only, and it should not be inferred from the inclusion of this information in this Official Statement that the principal of or interest on the Bonds are payable from the general fund of the District or from State revenues. The Bonds are payable from the proceeds of an ad valorem tax approved by the voters of the District pursuant to all applicable laws and State Constitutional requirements, and required to be levied by the County of Santa Clara on all taxable property within the District in an amount sufficient for the timely payment of principal of and interest on the Bonds. See "SECURITY AND SOURCE OF PAYMENT FOR THE BONDS."

THE DISTRICT

Introduction

The Fremont Union High School District (the "District") was organized in 1923 under the laws of the State of California (the "State"). The District is located in the County of Santa Clara (the "County") and consists of an area comprising approximately 42 square miles. The District provides educational services to grades nine through twelve ("9-12") to residents of parts of the cities of Sunnyvale, Cupertino, San Jose, Los Altos, Saratoga, and Santa Clara.

The District operates five high schools, one community day school, one adult school, and various educational options programs. The District's current enrollment for fiscal year 2018-19 is approximately 11,051 students, and the District's projected fiscal year 2018-19 general fund expenditures are approximately \$163.4 million. Taxable property in the District has a fiscal year 2018-19 total assessed value of approximately \$75.8 billion. For fiscal year 2018-19, the District has projected employment of 547.0 full-time equivalent ("FTE") certificated (teaching staff) employees, 314.6 FTE classified employees, and 70.8 management and supervisory personnel.

The District operates under the jurisdiction of the Santa Clara County Superintendent of Schools. The District's day-to-day operations are managed by a board-appointed Superintendent of Schools.

Board of Trustees

The District is governed by a Board of Trustees (the "Board of Trustees") consisting of five elected members and one nonvoting student member. The elected members of the Board of Trustees are elected to four-year terms in staggered years. The following table summarizes the current elected members of the Board of Trustees, their office and the date their term expires:

Name	Office	Term Expires
Roy Rocklin	President	2020
Jeff Moe	Vice President	2020
Bill Wilson	Clerk	2022
Rosa Kim	Member	2022
Naomi Nakano-Matsumoto	Member	2022

District Administration

Polly M. Bove, Superintendent. Polly M. Bove was appointed Superintendent in 2006. Superintendent Bove has previously served as the District's Deputy Superintendent, Assistant Superintendent of Human Resources and Executive Director of Educational Services. She has approximately 40 years of experience in education and district administration. Superintendent Bove holds a master's degree in Mathematics from San Jose State University, a master's degree in Educational Administration from San Jose State University and a bachelor's degree in Mathematics and Rhetoric from the University of Illinois.

Graham Clark, Deputy Superintendent. Graham Clark was appointed Deputy Superintendent in July 2018. He previously served as Associate Superintendent of Administrative Services, Principal, Assistant Principal and teacher at the District. Mr. Clark has approximately 20 years of experience in education and district administration. He holds an M.B.A. in Business Administration from Santa Clara University, a master's degree in Education Administration from San Jose State University and a bachelor's degree in Finance from Santa Clara University.

Christine Mallery, Chief Business Officer / Associate Superintendent. Christine Mallery was appointed Chief Business Officer / Associate Superintendent in 2008. She previously served as the District's Director of Business and Property Services. Ms. Mallery has approximately 20 years of experience in finance and accounting. She holds a bachelor's degree in Economics from San Diego State University.

DISTRICT FINANCIAL MATTERS

State Funding of Education; State Budget Process

General. As is true for all school districts in California, the District's operating income consists primarily of two components: a State portion funded from the State's general fund in accordance with the Local Control Funding Formula ("Local Control Funding Formula" or "LCFF") (see "– Allocation of State Funding to School Districts; Local Control Funding Formula" below) and a local portion derived from the District's share of the 1% local *ad valorem* tax authorized by the State Constitution. In addition, school districts may be eligible for other special categorical funding from State and federal government programs. The District has projected to receive approximately 10.3% of its general fund revenues from State funds (not including the local portion derived from the District's share of the local *ad valorem* tax), budgeted at approximately \$17.2 million in fiscal year 2018-19. Such amount includes both the State funding provided under the LCFF as well as other State revenues (see "– Allocation of State Funding to School Districts; Local Control Funding Formula" and "– Other District Revenues – *Other State Revenues*" below). As a result, decreases or deferrals in State revenues, or in State legislative appropriations made to fund education, may significantly affect the District's revenues and operations.

Under Proposition 98, a constitutional and statutory amendment adopted by the State's voters in 1988 and amended by Proposition 111 in 1990 (now found at Article XVI, Sections 8 and 8.5 of the State Constitution), a minimum level of funding is guaranteed to school districts, community college districts and other State agencies that provide direct elementary and secondary instructional programs. Historically, there have been disruptions in State revenues from personal income taxes, sales and use taxes, and corporate taxes, making it increasingly difficult for the State to meet its Proposition 98 funding mandate, which normally commands about 45% of all State general fund revenues, while providing for other fixed State costs and priority programs and services. Because education funding constitutes such a large part of the State's general fund expenditures, it is generally at the center of annual budget negotiations and adjustments.

In connection with the State Budget Act for fiscal year 2013-14, the State and local educational agencies therein implemented a new funding formula for school finance system called the Local Control Funding Formula (the “Local Control Funding Formula” or “LCFF”). Funding from the LCFF replaced the revenue limit funding system and most categorical programs. See “– Allocation of State Funding to School Districts; Local Control Funding Formula” below for more information.

State Budget Process. According to the State Constitution, the Governor must propose a budget to the State Legislature no later than January 10 of each year, and a final budget must be adopted no later than June 15. Historically, the budget required a two-thirds vote of each house of the State Legislature for passage. However, on November 2, 2010, the State’s voters approved Proposition 25, which amended the State Constitution to lower the vote requirement necessary for each house of the State Legislature to pass a budget bill and send it to the Governor. Specifically, the vote requirement was lowered from two-thirds to a simple majority (50% plus one) of each house of the State Legislature. The lower vote requirement also would apply to trailer bills that appropriate funds and are identified by the State Legislature “as related to the budget in the budget bill.” The budget becomes law upon the signature of the Governor, who may veto specific items of expenditure. Under Proposition 25, a two-thirds vote of the State Legislature is still required to override any veto by the Governor. School district budgets must generally be adopted by July 1, and revised by the school board within 45 days after the Governor signs the budget act to reflect any changes in budgeted revenues and expenditures made necessary by the adopted State budget. The Governor signed the fiscal year 2018-19 State budget on June 27, 2018.

When the State budget is not adopted on time, basic appropriations and the categorical funding portion of each school district’s State funding are affected differently. Under the rule of *White v. Davis* (also referred to as *Jarvis v. Connell*), a State Court of Appeal decision reached in 2002, there is no constitutional mandate for appropriations to school districts without an adopted budget or emergency appropriation, and funds for State programs cannot be disbursed by the State Controller until that time, unless the expenditure is (i) authorized by a continuing appropriation found in statute, (ii) mandated by the State Constitution (such as appropriations for salaries of elected State officers), or (iii) mandated by federal law (such as payments to State workers at no more than minimum wage). The State Controller has consistently stated that basic State funding for schools is continuously appropriated by statute, but that special and categorical funds may not be appropriated without an adopted budget. Should the State Legislature fail to pass a budget or emergency appropriation before the start of any fiscal year, the District might experience delays in receiving certain expected revenues. The District is authorized to borrow temporary funds to cover its annual cash flow deficits, and as a result of the *White v. Davis* decision, the District might find it necessary to increase the size or frequency of its cash flow borrowings, or to borrow earlier in the fiscal year. The District does not expect the *White v. Davis* decision to have any long-term effect on its operating budgets.

Aggregate State Education Funding. The Proposition 98 guaranteed amount for education is based on prior-year funding, as adjusted through various formulas and tests that take into account State proceeds of taxes, local property tax proceeds, school enrollment, per-capita personal income, and other factors. The State’s share of the guaranteed amount is based on State general fund tax proceeds and is not based on the general fund in total or on the State budget. The local share of the guaranteed amount is funded from local property taxes. The total guaranteed amount varies from year to year and throughout the stages of any given fiscal year’s budget, from the Governor’s initial budget proposal to actual expenditures to post-year-end revisions, as better information regarding the various factors becomes available. Over the long run, the guaranteed amount will increase as enrollment and per capita personal income grow.

If, at year-end, the guaranteed amount is calculated to be higher than the amount actually appropriated in that year, the difference becomes an additional education funding obligation, referred to

as “settle-up.” If the amount appropriated is higher than the guaranteed amount in any year, that higher funding level permanently increases the base guaranteed amount in future years. The Proposition 98 guaranteed amount is reduced in years when general fund revenue growth lags personal income growth, and may be suspended for one year at a time by enactment of an urgency statute. In either case, in subsequent years when State general fund revenues grow faster than personal income (or sooner, as the Legislature may determine), the funding level must be restored to the guaranteed amount, the obligation to do so being referred to as “maintenance factor.”

Although the State Constitution requires the State to approve a balanced State Budget Act each fiscal year, the State’s response to fiscal difficulties in some years has had a significant impact on the Proposition 98 minimum guarantee and the treatment of settle-up payments with respect to years in which the Proposition 98 minimum guarantee was suspended. The State has sought to avoid or delay paying settle-up amounts when funding has lagged the guaranteed amount. In response, teachers’ unions, the State Superintendent and others sued the State or Governor in 1995, 2005, 2009 and 2011 to force them to fund schools in the full amount required. The settlement of the 1995 and 2005 lawsuits has so far resulted in over \$4 billion in accrued State settle-up obligations. However, legislation enacted to pay down the obligations through additional education funding over time, including the Quality Education Investment Act of 2006, have also become part of annual budget negotiations, resulting in repeated adjustments and deferrals of the settle-up amounts. However, to date, the State has retired the settle-up obligations associated with the 1995 and 2005 lawsuits.

The State has also sought to preserve general fund cash while avoiding increases in the base guaranteed amount through various mechanisms: by treating any excess appropriations as advances against subsequent years’ Proposition 98 minimum funding levels rather than current year increases; by temporarily deferring apportionments of Proposition 98 funds from one fiscal year to the next; by permanently deferring apportionments of Proposition 98 funds from one fiscal year to the next; by suspending Proposition 98, as the State did in fiscal year 2004-05, fiscal year 2010-11, fiscal year 2011-12 and fiscal year 2012-13; and by proposing to amend the State Constitution’s definition of the guaranteed amount and settle-up requirement under certain circumstances.

The District cannot predict how State income or State education funding will vary over the term to maturity of the Bonds, and the District takes no responsibility for informing owners of the Bonds as to actions the State Legislature or Governor may take affecting the current year’s budget after its adoption. Information about the State budget and State spending for education is regularly available at various State-maintained websites. Text of proposed and adopted budgets may be found at the website of the Department of Finance, www.dof.ca.gov, under the heading “California Budget.” An impartial analysis of the State budget is posted by the Office of the Legislative Analyst at www.lao.ca.gov. In addition, various State of California official statements, many of which contain a summary of the current and past State budgets and the impact of those budgets on school districts in the State, may be found at the website of the State Treasurer, www.treasurer.ca.gov. The information referred to is prepared by the respective State agency maintaining each website and not by the District, and the District can take no responsibility for the continued accuracy of these internet addresses or for the accuracy, completeness or timeliness of information posted there, and such information is not incorporated herein by these references.

Rainy Day Fund; SB 858. In connection with the 2014-15 State Budget, the Governor proposed certain constitutional amendments (“Proposition 2”) to the rainy day fund (the “Rainy Day Fund”) for the November 2014 Statewide election. Senate Bill 858 (2014) (“SB 858”) amends the Education Code of the State to, among other things, limit the amount of reserves that may be maintained by a school district subject to certain State budget matters. Upon the approval of Proposition 2, SB 858 became operational. See “CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Proposition 2.”

AB 1469. As part of the 2014-15 State Budget, the Governor signed Assembly Bill 1469 (“AB 1469”) which implements a new funding strategy for the California State Teachers’ Retirement System (“CalSTRS”), increasing the employer contribution rates in fiscal years 2014-15 through 2020-21. See “– Retirement Benefits – *CalSTRS*” below for more information about CalSTRS and AB 1469.

2018-19 State Budget. The Governor signed the fiscal year 2018-19 State Budget (the “2018-19 State Budget”) on June 27, 2018. The 2018-19 State Budget sets forth a balanced budget for fiscal year 2018-19 that projects approximately \$133.33 billion in revenues, and \$83.82 billion in non-Proposition 98 expenditures and \$54.87 billion in Proposition 98 expenditures. The 2018-19 State Budget includes a \$1.96 billion reserve in the Special Fund for Economic Uncertainties. The 2018-19 State Budget uses dedicated proceeds from Proposition 2 to pay down approximately \$1.75 billion in past budgetary borrowing and State employee pension liabilities. The 2018-19 State Budget includes total funding of \$97.2 billion (\$56.1 billion General Fund and \$41.1 billion other funds) for all K-12 education programs. The 2018-19 State Budget provides \$3.7 billion in new funding for the LCFF, which fully implements the school district and charter school formula two years earlier than originally scheduled, including both a 2.71% cost of living adjustment and an additional \$570 million above the cost of living adjustment as an ongoing increase to the formula. The 2018-19 State Budget also provides \$300 million one-time Proposition 98 General Fund resources for the Low-Performing Students Block Grant, which will provide resources in addition to LCFF funds to local educational agencies with students who perform at the lowest levels on the State’s academic assessments and do not generate supplemental LCFF funds or State or federal special education resources.

Certain budgeted adjustments for K-12 education set forth in the 2018-19 State Budget include the following:

- Statewide System of Support. The 2018-19 State Budget includes \$57.8 million in Proposition 98 General Fund resources for county offices of education to provide technical assistance to school districts, of which \$4 million will go towards geographical regional leads to build systemwide capacity to support school district improvement.
- Multi-Tiered Systems of Support (MTSS). The 2018-19 State Budget includes \$15 million one-time Proposition 98 General Fund resources to expand the State’s MTSS framework to foster positive school climate in both academic and behavioral areas.
- Community Engagement Initiative. The 2018-19 State Budget includes \$13.3 million one-time Proposition 98 General Fund resources for the California Collaborative for Educational Excellence and a co-lead county office of education to help school districts build capacity for community engagement in the local control and accountability plan (“LCAP”) process.
- California Collaborative for Educational Excellence. The 2018-19 State Budget includes \$11.5 million Proposition 98 General Fund resources to support the California Collaborative for Educational Excellence in its role within the statewide system of support.
- Special Education Local Plan Area (SELPA) Technical Assistance. The 2018-19 State Budget includes \$10 million Proposition 98 General Fund resources for SELPAs to assist county offices of education in providing technical assistance to

school districts identified for differentiated assistance (specific to students with exceptional needs) within the statewide system of support.

- Strong Workforce Program. The 2018-19 State Budget includes \$164 million ongoing Proposition 98 General Fund resources to establish a K-12 specific component within the Strong Workforce Program designed to encourage local educational agencies to offer high-quality career technical education programs that are aligned with needed industry skills and regional workforce development efforts occurring through the existing Strong Workforce Program.
- Career Technical Education Incentive Grant Program. The 2018-19 State Budget includes \$150 million ongoing Proposition 98 General Fund resources to make permanent the Career Technical Education Incentive Grant Program.
- Inclusive Early Education Expansion Program. The 2018-19 State Budget creates the Inclusive Early Education Expansion Program, providing \$167.2 million one-time Proposition 98 General Fund resources through a competitive grant program to increase the availability of inclusive early education and care for children aged zero to five years old, especially in low-income areas and in areas with relatively low access to care.

The complete 2018-19 State Budget is available from the California Department of Finance website at www.dof.ca.gov. The District can take no responsibility for the continued accuracy of this internet address or for the accuracy, completeness or timeliness of information posted therein, and such information is not incorporated herein by such reference.

Proposed 2019-20 State Budget. The Governor released his proposed State budget for fiscal year 2019-20 (the “Proposed 2019-20 State Budget”) on January 10, 2019. The Proposed 2019-20 State Budget sets forth a balanced budget for fiscal year 2019-20. However, the Governor cautions that there are uncertainties that must be considered as the budget is revised, including the impact of the global political and economic climate, changes to federal policy, rising costs and risk of recession. The Proposed 2019-20 State Budget estimates that total resources available in fiscal year 2018-19 totaled approximately \$149.3 billion (including a prior year balance of approximately \$12.4 billion) and total expenditures in fiscal year 2018-19 totaled approximately \$144.1 billion. The Proposed 2019-20 State Budget projects total resources available for fiscal year 2019-20 of approximately \$147.9 billion, inclusive of revenues and transfers of approximately \$142.6 billion and a prior year balance of \$5.2 billion. The Proposed 2019-20 State Budget projects total expenditures of \$144.2 billion, inclusive of non-Proposition 98 expenditures of approximately \$88.9 billion and Proposition 98 expenditures of approximately \$55.3 billion. The Proposed 2019-20 State Budget proposes to allocate approximately \$1.4 billion of the general fund’s projected fund balance to the Reserve for Liquidation of Encumbrances and \$2.3 billion of such fund balance to the State’s Special Fund for Economic Uncertainties. In addition, the Proposed 2019-20 State Budget estimates the Rainy Day Fund will have a fund balance of \$15.3 billion.

Certain budgeted adjustments for K-12 education set forth in the Proposed 2019-20 State Budget include the following:

- Local Control Funding Formula. The Proposed 2019-20 State Budget includes an increase of \$2 billion in Proposition 98 general fund resources for the LCFF.
- CalSTRS Pension Costs. The Proposed 2019-20 State Budget includes a \$3 billion one-time payment of non-Proposition 98 general fund resources to CalSTRS to reduce long-term liabilities for local educational agencies and community colleges, of which \$700

million will go towards buying down employer contribution rates in fiscal years 2019-20 and 2020-21. The remaining \$2.3 billion will be allocated to the employers' long-term unfunded liability.

- Statewide System of Support. The Proposed 2019-20 State Budget includes an increase of \$20.2 million of Proposition 98 general fund resources for county offices of education to provide technical assistance to school districts, consistent with the formula adopted in the 2018-19 State Budget.
- Special Education. The Proposed 2019-20 State Budget includes \$576 million of Proposition 98 general fund resources, of which \$186 million is on a one-time basis, to support expanded special education services and school readiness supports at local educational agencies with high percentages of both students with disabilities and unduplicated students who are low-income, youth in foster care, and English language learners.
- Access to Full-Day Kindergarten Programs. The Proposed 2019-20 State Budget includes an increase of \$750 million of one-time non-Proposition 98 general fund resources to increase participation in kindergarten programs by constructing new or retrofitting existing facilities for full-day kindergarten programs.
- Longitudinal Education Data. The Proposed 2019-20 State Budget includes an increase of \$10 million of one-time non-Proposition 98 general fund resources for the development of a longitudinal data system to improve coordination across educational data systems and track the impact of State investments on achieving educational goals. This system will host student information from early education providers, K-12 schools, higher education institutions, employers, other workforce entities, and health and human services agencies. Stakeholder meetings will be held to consider data reliability and ways to improve data quality at each education segment.
- Proposition 98 Certification. The Proposed 2019-20 State Budget proposes to revise the Proposition 98 certification process to eliminate the cost allocation schedule and prohibit the State from adjusting Proposition 98 funding levels for a prior fiscal year in order to protect local educational agencies from unanticipated revenue drops in past fiscal years.
- School District Average Daily Attendance. The Proposed 2019-20 State Budget includes a decrease of \$388 million of Proposition 98 general fund resources in 2018-19 for school districts as a result of a decrease in projected average daily attendance from the 2018-19 State Budget, and a decrease of \$187 million of Proposition 98 general fund resources in 2019-20 for school districts as a result of further projected decline in average daily attendance for 2019-20.
- Local Property Tax Adjustments. The Proposed 2019-20 State Budget includes a decrease of \$283 million of Proposition 98 general fund resources for school districts and county offices of education in 2018-19 as a result of higher offsetting property tax revenues, and a decrease of \$1.25 billion of Proposition 98 general fund resources for school districts and county offices of education in 2019-20 as a result of increased offsetting property taxes.

- Cost-of-Living Adjustments. The Proposed 2019-20 State Budget includes an increase of \$187 million of Proposition 98 general fund resources to support a 3.46% cost-of-living adjustment for categorical programs that remain outside of the LCFF, including Special Education, Child Nutrition, State Preschool, Youth in Foster Care, the Mandates Block Grant, American Indian Education Centers, and the American Indian Early Childhood Education Program.
- CalWORKs Stages 2 and 3 Child Care. The Proposed 2019-20 State Budget includes a net increase of \$119.4 million of non-Proposition 98 general fund resources in 2019-20 to reflect increases in the number of CalWORKs child care cases. Total costs for Stage 2 and Stage 3 child care are \$597.0 million and \$482.2 million, respectively.
- Full-Year Implementation of Prior Year State Preschool Slots. The Proposed 2019-20 State Budget includes an increase of \$26.8 million of Proposition 98 general fund resources to reflect full-year costs of 2,959 full-day State Preschool slots implemented part-way through fiscal year 2018-19.
- County Offices of Education. The Proposed 2019-20 State Budget includes an increase of \$9 million of Proposition 98 general fund resources for county offices of education to reflect a 3.46% cost-of-living adjustment and average daily attendance changes applicable to the LCFF.
- Emergency Readiness, Response and Recovery Grant. The Proposed 2019-20 State Budget includes an increase of \$50 million of one-time non-Proposition 98 general fund resources to commence a comprehensive, statewide education campaign on disaster preparedness and safety.

The complete Proposed 2019-20 State Budget is available from the California Department of Finance website at www.dof.ca.gov. The District can take no responsibility for the continued accuracy of this internet address or for the accuracy, completeness or timeliness of information posted therein, and such information is not incorporated herein by such reference.

LAO Overview of Proposed 2019-20 State Budget. The Legislative Analyst’s Office (“LAO”), a nonpartisan State office which provides fiscal and policy information and advice to the State Legislature, released its report on the Proposed 2019-20 State Budget entitled “The 2019-20 Budget: Overview of the Governor’s Budget” on January 14, 2019 (the “2019-20 Proposed Budget Overview”). In the 2019-20 Proposed Budget Overview, the LAO summarizes the condition of the Proposed 2019-20 State Budget in light of uncertainties such as market volatility, rising costs and risk of recession. The LAO also highlights key features of the Proposed 2019-20 State Budget, which include prioritizing debt repayments and one-time programmatic spending and the early introduction of new policy goals.

The LAO notes that the Proposed 2019-20 State Budget is in a positive position, based in large part on the availability of significant discretionary resources in the amount of \$20.6 billion. The LAO explains that this is due to the administration’s higher revenue assumptions and lower-than-expected spending in health and human services programs. The LAO anticipates that capital gains revenues will likely be lower than the Proposed 2019-20 State Budget assumes due to the recent volatility of the financial market, including the sharp decline in stock prices at the end of 2018. However, the LAO suggests that any losses in capital gains revenues would likely be off-set by lower constitutionally required spending and reserve deposits. As a result, the LAO explains that under current conditions, the net effect on discretionary resources would be less than the full revenue decline. Although the LAO maintains a positive outlook on the Proposed 2019-20 State Budget, the LAO recognizes that the current

financial market and economic conditions can change significantly and affect revenues in the May Revision of the Proposed 2019-20 State Budget.

The LAO summarizes that the Proposed 2019-20 State Budget allocates \$20.6 billion in discretionary resources among a variety of priorities, including \$9.7 billion for reducing debts and liabilities on a one-time basis, \$5.1 billion for programmatic spending on a one-time basis, \$2.7 billion for ongoing spending and \$3 billion for reserves. The LAO points out that the Proposed 2019-20 State Budget uses a significant portion of discretionary resources for debt repayment and prioritizes one-time spending for programmatic expansions. The LAO finds this allocation prudent even though the Proposed 2019-20 State Budget apportions a smaller share of resources for reserves than recent budgets. The LAO explains that this approach benefits the budget in future years and in some cases reduces ongoing spending growth.

The LAO notes that the Proposed 2019-20 State Budget apportions \$2.7 billion for ongoing spending, which will reach an estimated \$3.5 billion under full implementation as costs grow over time. The LAO explains that these expenditure levels are in line with estimates of available ongoing resources. However, the LAO cautions that these costs could grow due to various uncertainties not captured in the spending proposals, such as increased costs for CalWORKs grants in case of recession and costs for disaster mitigation, response and recovery. The LAO further notes that while the Proposed 2019-20 State Budget includes mostly one-time spending for these purposes, they are more likely to be ongoing costs.

The LAO explains that the Proposed 2019-20 State Budget establishes a number of policy goals, including developing a plan for implementing universal preschool, negotiating existing state prescription drug prices and reviewing related negotiation and procurement practices, and expanding paid family leave. The LAO notes that these proposals are still in the process of development and, therefore, are not reflected in the administration's budget bottom line. The LAO finds that by proposing these policy goals at the beginning of the budget process, the Governor gives the State Legislature the opportunity to collaborate with the administration to shape these policies.

The 2019-20 Proposed Budget Overview is available on the LAO website at www.lao.ca.gov. The District can take no responsibility for the continued accuracy of this internet address or for the accuracy, completeness or timeliness of information posted therein, and such information is not incorporated herein by such reference.

May Revision to the 2019-20 Proposed State Budget. The Governor released the May Revision to the proposed fiscal year 2019-20 State budget (the "2019-20 May Revision") on May 9, 2019. The 2019-20 May Revision proposes a balanced budget for fiscal year 2019-20. The 2019-20 May Revision projects an increase of \$3.2 billion in short-term general fund revenues as compared to the Proposed 2019-20 State Budget. However, most of the increased revenues are constitutionally obligated to reserves, debt repayments and schools. Therefore, the budget surplus remains relatively unchanged. The 2019-20 May Revision estimates that total resources available in fiscal year 2018-19 will be approximately \$149.5 billion (including revenues and transfers of approximately \$138.1 billion and a prior year balance of \$11.4 billion) and total expenditures in fiscal year 2018-19 will be approximately \$143.2 billion. The 2019-20 May Revision projects total resources available for fiscal year 2019-20 of approximately \$150.1 billion, inclusive of revenues and transfers of approximately \$143.8 billion and a prior year balance of approximately \$6.2 billion. The 2019-20 May Revision projects total expenditures of approximately \$147.0 billion, inclusive of non-Proposition 98 expenditures of \$91.1 billion and Proposition 98 expenditures of \$55.9 billion. The 2019-20 May Revision proposes to allocate approximately \$1.4 billion of the State general fund's projected fund balance to the Reserve for Liquidation of Encumbrances and approximately \$1.7 billion of such fund balance to the State's special fund for economic uncertainties. In

addition, the 2019-20 May Revision estimates that the State's Proposition 2 rainy day fund (the "Rainy Day Fund") will have a fund balance of approximately \$16.5 billion.

The 2019-20 May Revision assumes slow economic expansion and a balanced budget through fiscal year 2019-20, although its forecasts are limited by growing uncertainty related to the global political and economic climate, federal policies, rising costs and the duration of the current economic expansion. The 2019-20 May Revision projects that the Rainy Day Fund will reach its maximum of 10% of general fund revenues in fiscal year 2020-21. By the end of fiscal year 2022-23, the 2019-20 May Revision projects that the Rainy Day Fund balance will have a balance of \$18.7 billion.

The 2019-20 May Revision includes total funding of \$101.8 billion for all K-12 education programs, including \$58.9 billion from the general fund and \$42.9 billion from other funds.

Certain adjustments and budgetary proposals for K-12 education set forth in the 2019-20 May Revision include the following:

- Proposition 98 Minimum Guarantee. The 2019-20 May Revision projects increased Proposition 98 funding by \$78.4 million in fiscal year 2017-18, \$278.8 million in fiscal year 2018-19 and \$389.3 million in fiscal year 2019-20, due to an increase in general fund revenues, an increase in the minimum guarantee funding level in fiscal year 2017-18 and a slightly slower decline in A.D.A. than projected in the Proposed 2019-20 State Budget.
- Public School System Stabilization Account. For the first time, the 2019-20 May Revision projects that a deposit is required to the Public School System Stabilization Account in the amount of \$389.3 million in Proposition 98 resources.
- Special Education. The 2019-20 May Revision proposes to allocate \$696.2 million in ongoing Proposition 98 general fund resources to special education, \$119.2 million more than set forth in the Proposed 2019-20 State Budget, to increase coordination between local general education and special education programs, and for program governance and accountability for special education student outcomes.
- Retaining Well-Prepared Educators. The 2019-20 May Revision includes \$89.8 million in one-time non-Proposition 98 general fund resources for loan repayments of newly credentialed teachers to work in high-need schools. The 2019-20 May Revision also includes \$44.8 million in one-time non-Proposition 98 general fund resources to provide training and resources for classroom educators, including teachers and paraprofessionals, and \$13.9 million in ongoing federal funds for professional learning opportunities for public school administrators supporting diverse student populations in State public schools.
- Access to Computer Science Education. The 2019-20 May Revision includes \$15 million in one-time Proposition 98 general fund resources for broadband infrastructure and \$1 million in one-time non-Proposition 98 general fund resources for the State Board of Education to establish a State Computer Science Coordinator.
- CalSTRS Employer Contribution Rate. The 2019-20 May Revision includes \$150 million in one-time non-Proposition 98 general fund resources to reduce the employer contribution rate to 16.7% in fiscal year 2019-20.

- Local Control Funding Formula Adjustments. The 2019-20 May Revision proposes an increase of \$70 million in Proposition 98 general fund resources in fiscal year 2018-19 and a decrease of \$63.9 million in Proposition 98 general fund resources in fiscal year 2019-20 for school districts, charter schools and county offices of education to reflect changes in A.D.A. and cost-of-living in fiscal year 2019-20 that affect the LCFF calculation.
- Classified School Employees Summer Assistance Program. The 2019-20 May Revision includes an increase of \$36 million in one-time Proposition 98 general fund resources to provide an additional year of funding for the Classified School Employees Summer Assistance Program, which provides a State match for classified employee savings used to provide income during summer months.
- Local Property Tax Adjustments. The 2019-20 May Revision proposes an increase of \$146.6 million of Proposition 98 general fund resources in fiscal year 2018-19 and \$142.1 million in fiscal year 2019-20 for school districts, special education local plan areas, and county offices of education as a result of lower offsetting property tax revenues in these years.
- Wildfire-Related Cost Adjustments. The 2019-20 May Revision proposes an increase of \$2 million in one-time Proposition 98 general fund resources to reflect adjustments in the estimate for property tax backfill for basic aid school districts impacted by wildfires in 2017 and 2018. The 2019-20 May Revision also proposes an increase of \$727,000 in one-time Proposition 98 general fund resources to reflect adjustments to the State's student nutrition programs resulting from wildfire-related losses.
- Categorical Program Cost-of-Living Adjustments. The 2019-20 May Revision proposes to decrease the Proposition 98 general fund by \$7.4 million for selected categorical programs during fiscal year 2019-20. Such decrease reflects a change in the cost-of-living set forth in the Proposed 2019-20 State Budget of 3.46% to 3.26% in the 2019-20 May Revision.
- Categorical Program Growth. The 2019-20 May Revision proposes to increase the Proposition 98 general fund by \$7.6 million for selected categorical programs, based on updated estimates of A.D.A. growth.

The complete 2019-20 May Revision is available from the California Department of Finance website at www.dof.ca.gov. The District can take no responsibility for the continued accuracy of this internet address or for the accuracy, completeness or timeliness of information posted therein, and such information is not incorporated herein by such reference.

Changes in State Budget. The final fiscal year 2019-20 State budget, which requires approval by a majority vote of each house of the State Legislature, may differ substantially from the Governor's budget proposal. Accordingly, the District cannot provide any assurances that there will not be any changes in the final fiscal year 2019-20 State budget from the Proposed 2019-20 State Budget or the 2019-20 May Revision. Additionally, the District cannot predict the impact that the final fiscal year 2019-20 State budget, or subsequent budgets, will have on its finances and operations. The final fiscal year 2019-20 State budget may be affected by national and State economic conditions and other factors which the District cannot predict.

Future Budgets and Budgetary Actions. The District cannot predict what future actions will be taken by the State Legislature and the Governor to address changing State revenues and expenditures or the impact such actions will have on State revenues available in the current or future years for education. The State budget will be affected by national and State economic conditions and other factors beyond the

District's ability to predict or control. Certain actions could result in a significant shortfall of revenue and cash, and could impair the State's ability to fund schools during fiscal year 2018-19 and in future fiscal years. Certain factors, like an economic recession, could result in State budget shortfalls in any fiscal year and could have a material adverse financial impact on the District. As the Bonds are payable from *ad valorem* property taxes, the State budget is not expected to have an impact on the payment of the Bonds.

Prohibitions on Diverting Local Revenues for State Purposes. Beginning in fiscal year 1992-93, the State satisfied a portion of its Proposition 98 obligations by shifting part of the property tax revenues otherwise belonging to cities, counties, special districts, and redevelopment agencies, to school and community college districts through a local Educational Revenue Augmentation Fund ("ERAF") in each county. Local agencies, objecting to invasions of their local revenues by the State, sponsored a statewide ballot initiative intended to eliminate the practice. In response, the State Legislature proposed an amendment to the State Constitution, which the State's voters approved as Proposition 1A at the November 2004 election. That measure was generally superseded by the passage of a new initiative constitutional amendment at the November 2010 election, known as "Proposition 22."

The effect of Proposition 22 is to prohibit the State, even during a period of severe fiscal hardship, from delaying the distribution of tax revenues for transportation, redevelopment, or local government projects and services. It prevents the State from redirecting redevelopment agency property tax increment to any other local government, including school districts, or from temporarily shifting property taxes from cities, counties and special districts to schools, as in the ERAF program. This is intended to, among other things, stabilize local government revenue sources by restricting the State's control over local property taxes. One effect of this amendment will be to deprive the State of fuel tax revenues to pay debt service on most State bonds for transportation projects, reducing the amount of State general fund resources available for other purposes, including education.

Prior to the passage of Proposition 22, the State invoked Proposition 1A to divert \$1.935 billion in local property tax revenues in 2009-10 from cities, counties, and special districts to the State to offset State general fund spending for education and other programs, and included another diversion in the adopted 2009-10 State budget of \$1.7 billion in local property tax revenues from local redevelopment agencies, which local redevelopment agencies have now been dissolved (see "*Dissolution of Redevelopment Agencies*" below). Redevelopment agencies had sued the State over this latter diversion. However, the lawsuit was decided against the California Redevelopment Association on May 1, 2010. Because Proposition 22 reduces the State's authority to use or shift certain revenue sources, fees and taxes for State general fund purposes, the State will have to take other actions to balance its budget in some years — such as reducing State spending or increasing State taxes, and school and community college districts that receive Proposition 98 or other funding from the State will be more directly dependent upon the State's general fund.

Dissolution of Redevelopment Agencies. The adopted State budget for fiscal year 2011-12, as signed by the Governor on June 30, 2011, included as trailer bills Assembly Bill No. 26 (First Extraordinary Session) ("AB1X 26") and Assembly Bill No. 27 (First Extraordinary Session) ("AB1X 27"), which the Governor signed on June 29, 2011. AB1X 26 suspended most redevelopment agency activities and prohibited redevelopment agencies from incurring indebtedness, making loans or grants, or entering into contracts after June 29, 2011. AB1X 26 dissolved all redevelopment agencies in existence and designated "successor agencies" and "oversight boards" to satisfy "enforceable obligations" of the former redevelopment agencies and administer dissolution and wind down of the former redevelopment agencies. Certain provisions of AB1X 26 are described further below.

In July of 2011, various parties filed an action before the Supreme Court of the State of California (the "Court") challenging the validity of AB1X 26 and AB1X 27 on various grounds (*California*

Redevelopment Association v. Matosantos). On December 29, 2011, the Court rendered its decision in *Matosantos* upholding virtually all of AB1X 26 and invalidating AB1X 27. In its decision, the Court also modified various deadlines for the implementation of AB1X 26. The deadlines for implementation of AB1X 26 described below take into account the modifications made by the Court in *Matosantos*.

On February 1, 2012, and pursuant to *Matosantos*, AB1X 26 dissolved all redevelopment agencies in existence and designated “successor agencies” and “oversight boards” to satisfy “enforceable obligations” of the former redevelopment agencies and administer dissolution and wind down of the former redevelopment agencies. With limited exceptions, all assets, properties, contracts, leases, records, buildings and equipment, including cash and cash equivalents of a former redevelopment agency, will be transferred to the control of its successor agency and, unless otherwise required pursuant to the terms of an enforceable obligation, distributed to various related taxing agencies pursuant to AB1X 26.

AB1X 26 requires redevelopment agencies to continue to make scheduled payments on and perform obligations required under its “enforceable obligations.” For this purpose, AB1X 26 defines “enforceable obligations” to include “bonds, including the required debt service, reserve set-asides, and any other payments required under the indenture or similar documents governing the issuance of outstanding bonds of the former redevelopment agency” and “any legally binding and enforceable agreement or contract that is not otherwise void as violating the debt limit or public policy.” AB1X 26 specifies that only payments included on an “enforceable obligation payment schedule” adopted by a redevelopment agency shall be made by a redevelopment agency until its dissolution. However, until a successor agency adopts a “recognized obligation payment schedule” the only payments permitted to be made are payments on enforceable obligations included on an enforceable obligation payment schedule. A successor agency may amend the enforceable obligation payment schedule at any public meeting, subject to the approval of its oversight board.

Under AB1X 26, commencing February 1, 2012, property taxes that would have been allocated to each redevelopment agency if the agencies had not been dissolved will instead be deposited in a “redevelopment property tax trust fund” created for each former redevelopment agency by the related county auditor-controller and held and administered by the related county auditor-controller as provided in AB1X 26. AB1X 26 generally requires each county auditor-controller, on May 16, 2012 and June 1, 2012 and each January 16 and June 1 (now each January 2 and June 1 pursuant to AB 1484, as described below) thereafter, to apply amounts in a related redevelopment property tax trust fund, after deduction of the county auditor-controller’s administrative costs, in the following order of priority:

- To pay pass-through payments to affected taxing entities in the amounts that would have been owed had the former redevelopment agency not been dissolved; provided, however, that if a successor agency determines that insufficient funds will be available to make payments on the recognized obligation payment schedule and the county auditor-controller and State Controller verify such determination, pass-through payments that had previously been subordinated to debt service may be reduced;
- To the former redevelopment agency’s successor agency for payments listed on the successor agency’s recognized obligation payment schedule for the ensuing six-month period;
- To the former redevelopment agency’s successor agency for payment of administrative costs; and
- Any remaining balance to school entities and local taxing agencies.

The District received \$277,415 in pass-through payments in fiscal year 2017-18 and projects it will receive \$273,000 in pass-through payments in fiscal year 2018-19.

It is possible that there will be additional legislation proposed and/or enacted to “clean up” various inconsistencies contained in AB1X 26 and there may be additional legislation proposed and/or enacted in the future affecting the current scheme of dissolution and winding up of redevelopment agencies currently contemplated by AB1X 26. For example, AB 1484 was signed by the Governor on June 27, 2012, to clarify and amend certain aspects of AB1X 26. AB 1484, among other things, attempts to clarify the role and requirements of successor agencies, provides successor agencies with more control over agency bond proceeds and properties previously owned by redevelopment agencies and adds other new and modified requirements and deadlines. AB 1484 also provides for a “tax claw back” provision, wherein the State is authorized to withhold sales and use tax revenue allocations to local successor agencies to offset payment of property taxes owed and not paid by such local successor agencies to other local taxing agencies. This “tax claw back” provision has been challenged in court by certain cities and successor agencies. The District cannot predict the outcome of such litigation and what effect, if any, it will have on the District. Additionally, no assurances can be given as to the effect of any such future proposed and/or enacted legislation on the District.

Allocation of State Funding to School Districts; Local Control Funding Formula

Prior to the implementation of the Local Control Funding Formula in fiscal year 2013-14, under Section 42238 et seq. of the Education Code of the State, each school district was determined to have a target funding level: a “base revenue limit” per student multiplied by the district’s student enrollment measured in units of average daily attendance. The base revenue limit was calculated from the district’s prior-year funding level, as adjusted for a number of factors, such as inflation, special or increased instructional needs and costs, employee retirement costs, especially low enrollment, increased pupil transportation costs, etc. Generally, the amount of State funding allocated to each school district was the amount needed to reach that district’s base revenue limit after taking into account certain other revenues, in particular, locally generated property taxes. This is referred to as State “equalization aid.” To the extent local tax revenues increased due to growth in local property assessed valuation, the additional revenue was offset by a decline in the State’s contribution; ultimately, a school district whose local property tax revenues exceeded its base revenue limit was entitled to receive no State equalization aid, and received only its special categorical aid, which is deemed to include the “basic aid” of \$120 per student per year guaranteed by Article IX, Section 6 of the Constitution. Such districts were known as “basic aid districts,” and are now referred to as “community funded districts.” School districts that received some equalization aid were commonly referred to as “revenue limit districts,” and are now referred to as “LCFF districts.” The District has been a community funded district (previously known as a basic aid district) for over 25 years. In fiscal year 2018-19, the District’s local tax revenues are projected to exceed the threshold for categorization as a community funded district by approximately \$35 million.

Beginning in fiscal year 2013-14, the LCFF replaced the revenue limit funding system and most categorical programs, and distributes combined resources to school districts through a base revenue limit funding grant (“Base Grant”) per unit of average daily attendance (“A.D.A.”) with additional supplemental funding (the “Supplemental Grant”) allocated to local educational agencies based on their proportion of English language learners, students from low-income families and foster youth. The LCFF originally had an eight year implementation program to incrementally close the gap between actual funding and the target level of funding, as described below. In fiscal year 2018-19, the LCFF was fully funded ahead of the eight year implementation schedule. The LCFF includes the following components:

- A Base Grant for each local education agency (“LEA”). The Base Grants are based on four uniform, grade-span base rates. For fiscal year 2018-19, the LCFF provided to school districts and charter schools: (a) a Target Base Grant for each LEA equivalent to \$7,459 per A.D.A. for kindergarten through grade 3; (b) a Target Base Grant for each LEA equivalent to \$7,571 per A.D.A. for grades 4 through 6; (c) a Target Base Grant for

each LEA equivalent to \$7,796 per A.D.A. for grades 7 and 8; (d) a Target Base Grant for each LEA equivalent to \$9,034 per A.D.A. for grades 9 through 12. However, the amount of actual funding allocated to the Base Grant, Supplemental Grants and Concentration Grants will be subject to the discretion of the State.

- A 20% Supplemental Grant for the unduplicated number of English language learners, students from low-income families and foster youth to reflect increased costs associated with educating those students.
- An additional Concentration Grant of up to 50% of a local education agency's Base Grant, based on the number of English language learners, students from low-income families and foster youth served by the LEA that comprise more than 55% of enrollment.
- An Economic Recovery Target (the "ERT") that is intended to ensure that almost every LEA receives at least their pre-recession funding level (i.e., the fiscal year 2007-08 revenue limit per unit of A.D.A.), adjusted for inflation, at full implementation of the LCFF. Upon full implementation, LEAs would receive the greater of the Base Grant or the ERT.

Under the new formula, for community funded districts, local property tax revenues would be used to offset up to the entire allocation. However, community funded districts would continue to receive the same level of State aid as allocated in fiscal year 2012-13.

Local Control Accountability Plans. A feature of the LCFF is a system of support and intervention for local educational agencies. School districts, county offices of education and charter schools are required to develop, implement and annually update a three-year local control and accountability plan or LCAP. Each LCAP must be developed with input from teachers, parents and the community, and should describe local goals as they pertain to eight areas identified as state priorities, including student achievement, parent engagement and school climate, as well as detail a course of action to attain those goals. Moreover, the LCAPs must be designed to align with the district's budget to ensure adequate funding is allocated for the planned actions.

Each school district must submit its LCAP annually on or before July 1 for approval by its county superintendent. The county superintendent then has until August 15 to seek clarification regarding the contents of the LCAP, and the school district must respond in writing. The county superintendent can submit recommendations for amending the LCAP, and such recommendations must be considered, but are not mandatory. A school district's LCAP must be approved by its county superintendent by October 8 of each year if such superintendent finds (i) the LCAP adheres to the State template, and (ii) the district's budgeted expenditures are sufficient to implement the strategies outlined in the LCAP.

Performance evaluations are to be conducted to assess progress toward goals and guide future actions. County superintendents are expected to review and provide support to the school districts under their jurisdiction, while the State Superintendent of Public Instruction performs a corresponding role for county offices of education. The California Collaborative for Education Excellence (the "Collaborative"), a newly established body of educational specialists, was created to advise and assist local education agencies in achieving the goals identified in their LCAPs. For local education agencies that continue to struggle in meeting their goals, and when the Collaborative indicates that additional intervention is needed, the State Superintendent of Public Instruction would have authority to make changes to a local education agency's LCAP.

Attendance and LCFF. The following table sets forth the District’s actual and projected A.D.A. and enrollment (including percentage of students who are English language learners, from low-income families and/or foster youth (collectively, “EL/LI Students”)), and targeted Base Grant per unit of A.D.A. for fiscal years 2013-14 through 2018-19, respectively. The A.D.A. and enrollment numbers reflected in the following table include special education but exclude adult education.

FREMONT UNION HIGH SCHOOL DISTRICT
Average Daily Attendance, Enrollment and Targeted Base Grant
Fiscal Years 2013-14 through 2018-19

Fiscal Year		A.D.A. ⁽²⁾	Total Enrollment ⁽⁹⁾	Unduplicated % of EL/LI Students
2013-14	A.D.A. ⁽²⁾	10,321	10,710	19.38%
	Targeted Base Grant ⁽³⁾ :	\$89,497,886	-	-
2014-15	A.D.A. ⁽²⁾	10,430	10,742	18.83%
	Targeted Base Grant ⁽³⁾⁽⁴⁾ :	\$91,733,962	-	-
2015-16	A.D.A. ⁽²⁾	10,368	10,736	18.36%
	Targeted Base Grant ⁽³⁾⁽⁵⁾ :	\$92,027,216	-	-
2016-17	A.D.A. ⁽²⁾	10,528	10,911	17.38%
	Targeted Base Grant ⁽³⁾⁽⁶⁾ :	\$96,719,542	-	-
2017-18	A.D.A. ⁽²⁾	10,763	11,172	17.74%
	Targeted Base Grant ⁽³⁾⁽⁷⁾ :	\$100,469,185	-	-
2018-19 ⁽¹⁾	A.D.A. ⁽²⁾	10,766	11,051	17.77%
	Targeted Base Grant ⁽³⁾⁽⁸⁾ :	\$104,174,962	-	-

⁽¹⁾ Figures are projections.

⁽²⁾ A.D.A. for the second period of attendance, typically in mid-April of each school year.

⁽³⁾ Such amounts represent the targeted amount of Base Grant per unit of A.D.A., and do not include any supplemental and concentration grants under the LCFF. Such amounts are not expected to be fully funded in any of the fiscal years listed above.

⁽⁴⁾ Targeted fiscal year 2014-15 Base Grant amounts reflect a 0.85% cost of living adjustment from targeted fiscal year 2013-14 Base Grant amounts.

⁽⁵⁾ Targeted fiscal year 2015-16 Base Grant amounts reflect a 1.02% cost of living adjustment from targeted fiscal year 2014-15 Base Grant amounts.

⁽⁶⁾ Targeted fiscal year 2016-17 Base Grant amounts reflect a 0.00% cost of living adjustment from targeted fiscal year 2015-16 Base Grant amounts.

⁽⁷⁾ Targeted fiscal year 2017-18 Base Grant amount reflects a 1.56% cost-of-living adjustment from targeted fiscal year 2016-17 Base Grant amounts.

⁽⁸⁾ Targeted fiscal year 2018-19 Base Grant amount reflects a 3.70% cost-of-living adjustment from targeted fiscal year 2017-18 Base Grant amounts.

⁽⁹⁾ Reflects enrollment as of October report submitted to the CBEDS in each school year. For purposes of calculating Supplemental and Concentration Grants, a school district’s fiscal year 2013-14 percentage of unduplicated EL/LI Students was expressed solely as a percentage of its fiscal year 2013-14 total enrollment. For fiscal year 2014-15, the percentage of unduplicated EL/LI Students enrollment was based on the two-year average of EL/LI Students enrollment in fiscal years 2013-14 and 2014-15. Beginning in fiscal year 2015-16, the percentage of unduplicated EL/LI Students was and will be based on a rolling average of such school district’s EL/LI Students enrollment for the then-current fiscal year and the two immediately preceding fiscal years.

Source: The District.

The District received approximately \$129.6 million in aggregate revenues allocated under LCFF sources in fiscal year 2017-18, and has projected to receive approximately \$140.5 million in aggregate revenues under the LCFF in fiscal year 2018-19 (or approximately 85.8% of its general fund revenues in fiscal year 2018-19). Such amount includes an estimated \$3.4 million in supplemental grants in fiscal year 2017-18 and is projected to be approximately \$3.4 million in fiscal year 2018-19. The District did not receive any concentration grants in fiscal year 2017-18, and does not expect to receive any concentration grants in fiscal year 2018-19.

Local Sources of Education Funding

The principal component of local revenues is a school district’s property tax revenues, i.e., each district’s share of the local 1% property tax, received pursuant to Sections 75 et seq. and Sections 95 et

seq. of the Revenue and Taxation Code of the State. Section 42238(h) of the Education Code of the State itemizes the local revenues that are counted towards the amount allocated under the LCFF (and formerly, the base revenue limit) before calculating how much the State must provide in State aid. The more local property taxes a district receives, the less State aid it is entitled to receive. Prior to the implementation of the LCFF, a school district whose local property tax revenues exceeded its base revenue limit was entitled to receive no State aid, and received only its special categorical aid which is deemed to include the “basic aid” of \$120 per student per year guaranteed by Article IX, Section 6 of the Constitution. Such districts were known as “basic aid districts,” and are now referred to as “community funded districts.” School districts that received some State equalization aid were commonly referred to as “revenue limit districts.” The District is a community-funded district.

Under the LCFF, local property tax revenues are used to offset up to the entire State aid collection under the new formula; however, community funded districts would continue to receive, at a minimum, the same level of State aid as allotted in fiscal year 2012-13. See “– Allocation of State Funding to School Districts; Local Control Funding Formula” above for more information about the LCFF.

Local property tax revenues account for approximately 96.8% of the District’s aggregate revenues allocated under the LCFF, and are budgeted to be approximately \$136.3 million, or 82.1% of total general fund revenues in fiscal year 2018-19.

For a discussion of legal limitations on the ability of the District to raise revenues through local property taxes, see “CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS.”

Effect of Changes in Enrollment. Changes in local property tax income and A.D.A. affect LCFF districts and community funded districts differently. In an LCFF district, increasing enrollment increases the total amount distributed under the LCFF and thus generally increases a district’s entitlement to State equalization aid, while increases in property taxes do nothing to increase district revenues, but only offset the State funding requirement of equalization aid. Operating costs increase disproportionately slowly to enrollment growth; and only at the point where additional teachers and classroom facilities are needed. Declining enrollment has the reverse effect on LCFF districts, generally resulting in a loss of State equalization aid, while operating costs decrease slowly and only when, for example, the district decides to lay off teachers or close schools.

In community funded districts such as the District, the opposite is generally true: increasing enrollment increases the amount to which the district would be entitled were it an LCFF district, but since all LCFF income (and more) is already generated by local property taxes, there is no increase in State income. Meanwhile, as new students impose increased operating costs, property tax income is stretched further. Declining enrollment does not reduce property tax income, and has a negligible impact on State aid, but eventually reduces operating costs, and thus can be financially beneficial to a community funded district. Enrollment can fluctuate due to factors such as population growth, competition from private, parochial, and public charter schools, inter-district transfers in or out, and other causes. Losses in enrollment will cause a school district to lose operating revenues, without necessarily permitting the District to make adjustments in fixed operating costs.

The District cannot make any predictions regarding how the current economic environment or changes thereto will affect the State’s ability to meet the revenue and spending assumptions in the State’s adopted budget, and the effect of these changes on school finance. The District’s adopted budget and projected A.D.A. are used for planning purposes only, and do not represent a prediction as to the actual financial performance, attendance, or the District’s actual funding level for fiscal year 2018-19 or beyond,

particularly because the District is a community funded district. Certain adjustments will have to be made throughout the year based on actual State funding and actual attendance.

Other District Revenues

Federal Revenues. The federal government provides funding for several District programs, including special education programs. Federal revenues, most of which are restricted, comprise approximately 1.8% (or approximately \$3.0 million) of the District's general fund projected revenues for fiscal year 2018-19.

Other State Revenues. In addition to State apportionments for Proposition 98 funding through the Local Control Funding Formula, the District receives other State revenues, consisting primarily of restricted revenues designed to implement State mandated programs. Beginning in fiscal year 2013-14, categorical spending restrictions associated with a majority of State mandated programs were eliminated, and funding for these programs was folded into LCFF. Categorical funding for certain programs was excluded from LCFF, and school districts will continue to receive restricted State revenues to fund these programs. Other State revenues comprise approximately 8.2% (or approximately \$13.7 million) of the District's general fund budgeted revenues for fiscal year 2018-19. A significant portion of such other State revenues are amounts the District expects to receive from State lottery funds, which may not be used for non-instructional purposes, such as the acquisition of real property, the construction of facilities, or the financing of research. School districts receive lottery funds proportional to their total A.D.A. The District's State lottery revenue is projected at approximately \$2.1 million for fiscal year 2018-19.

Other Local Revenues. In addition to *ad valorem* property taxes, the District receives additional local revenues from items such as interest earnings, parcel taxes and other local sources. Other local revenues comprise approximately 5.2% (or approximately \$8.7 million) of the District's general fund budgeted revenues for fiscal year 2018-19.

Parcel Tax. On November 2, 2004, more than two-thirds of the voters of the District approved a qualified special tax (the "2004 Parcel Tax") at \$98 per parcel for six years, which commenced on July 1, 2005. On May 6, 2010, more than two-thirds of the voters of the District approved the renewal of the 2004 Parcel Tax with the same annual tax rate of \$98 per parcel for six years, which commenced on July 1, 2010. The 2004 Parcel Tax was renewed again on November 4, 2014 (the "2014 Parcel Tax") at the same annual tax rate of \$98 per parcel for an additional six years, commencing July 1, 2016. The District continues to rely upon the approximate \$5.2 million received annually from the 2014 Parcel Tax. Proceeds from the 2014 Parcel Tax are authorized to be used to preserve core academic classes and retain experienced teachers. An exemption is provided to parcels owned and occupied by taxpayers aged 65 and older and disabled taxpayers, upon proper application.

Significant Accounting Policies and Audited Financial Reports

Independently audited financial reports are prepared annually in conformity with generally accepted accounting principles for educational institutions. The annual audit report is generally available about six months after the June 30 close of each fiscal year. The following table shows the statement of revenues, expenditures and changes in fund balances for the District's general fund for the fiscal years 2013-14 through 2017-18 abstracted from financial statements prepared by the District's independent auditor, Vavrinek, Trine, Day & Co., LLP, Certified Public Accountants & Consultants, Palo Alto, California. Vavrinek, Trine, Day & Co., LLP has not been requested to consent to the use or to the inclusion of its respective reports in this Official Statement, and they have neither audited nor reviewed this Official Statement. The District is required by law to adopt its audited financial statements after a public meeting to be conducted no later than January 31 following the close of each fiscal year.

FREMONT UNION HIGH SCHOOL DISTRICT
Statement of General Fund Revenues, Expenditures and Changes in Fund Balance
Fiscal Years 2013-14 through 2017-18

	Fiscal Year 2013-14	Fiscal Year 2014-15	Fiscal Year 2015-16	Fiscal Year 2016-17	Fiscal Year 2017-18
Revenues					
Local Control Funding Formula	\$93,441,458	\$98,067,877	\$116,398,990	\$121,644,784	\$129,640,260
Federal Revenues	3,082,086	2,610,473	2,763,542	2,849,821	2,857,797
Other State Revenues	6,195,187	4,880,184	14,584,912	11,871,303	12,009,256
Other Local Revenues	10,080,348	11,025,659	8,949,826	8,671,395	8,656,828
Total Revenues ⁽¹⁾	\$112,799,079	\$116,584,193	\$142,697,270	\$145,037,303	\$153,164,141
Expenditures					
Certificated Salaries	\$51,242,030	\$55,934,292	\$60,649,476	\$65,213,745	\$68,049,619
Classified Salaries	17,575,087	18,807,301	21,295,570	23,983,129	24,469,275
Employee Benefits	22,049,594	24,030,371	29,906,295	32,976,439	37,604,752
Books and Supplies	4,501,494	4,496,726	4,129,004	5,726,147	5,731,375
Services and Other Operating	11,727,560	12,245,432	13,430,237	15,466,479	17,421,208
Other Outgo	(184,431)	(215,004)	(239,676)	(229,094)	(249,036)
Capital Outlay	69,187	312,738	69,252	2,860,084	746,005
Total Expenditures ⁽¹⁾	\$106,980,521	\$115,611,856	\$129,240,158	\$145,996,929	\$153,773,198
Excess (Deficiency) Of Revenues Over Expenditures	\$5,818,558	\$972,337	\$13,457,112	\$(959,626)	\$(609,057)
Other Financing Sources (Uses)					
Transfers In	\$ 422,323	\$ 1,858,439	-	-	-
Transfers Out ⁽²⁾	(1,151,389)	(1,080,318)	\$(2,144,923)	\$(4,952,721)	\$(2,050,315)
Net Financing Sources (Uses)	\$(729,066)	\$778,121	\$(2,144,923)	\$(4,952,721)	\$(2,050,315)
Net Change In Fund Balance	\$5,089,492	\$1,750,458	\$11,312,189	\$(5,912,347)	\$(2,659,372)
Fund Balance – Beginning	\$19,437,421	\$24,526,913	\$26,277,371	\$37,589,560	\$31,677,213
Fund Balance – Ending ⁽³⁾	\$24,526,913	\$26,277,371	\$37,589,560	\$31,677,213	\$29,017,841

⁽¹⁾ Excludes on behalf payments of \$2,574,934 for fiscal year 2013-14 and \$2,796,370 for fiscal year 2014-15. On behalf payments are included in total revenues beginning in fiscal year 2015-16 due to implementation of Governmental Accounting Standard Board's Statement Number 24 and Statement Number 68.

⁽²⁾ Transfers Out represent General Fund support to the Cafeteria Fund.

⁽³⁾ The increase in the District's General Fund balance for fiscal year 2013-14 was primarily due to one-time Common Core funding and an increase in property taxes.

Source: Fremont Union High School District Annual Financial Report for fiscal years ended June 30, 2014, 2015, 2016, 2017 and 2018.

District Budget Process and County Review

State law requires school districts to maintain a balanced budget in each fiscal year. The State Department of Education imposes a uniform budgeting and accounting format for school districts.

Under current law, a school district governing board must adopt and file with the county superintendent of schools a tentative budget by July 1 in each fiscal year. The District is under the jurisdiction of the County of Santa Clara Superintendent of Schools.

The county superintendent must review and approve, conditionally approve or disapprove the budget no later than September 15. The county superintendent is required to examine the adopted budget for compliance with the standards and criteria adopted by the State Board of Education and identify technical corrections necessary to bring the budget into compliance with the established standards. In the event that the county superintendent conditionally approves or disapproves the school district's budget,

the county superintendent will submit to the governing board of the school district no later than September 15 of such year written recommendations regarding revisions of the budget and the reasons for the recommendations, including, but not limited to, the amounts of any budget adjustments needed before the county superintendent can approve that budget.

The governing board of the school district, together with the county superintendent, must review and respond to the recommendations of the county superintendent on or before October 8 at a regular meeting of the governing board of the school district. The county superintendent will examine and approve or disapprove of the revised budget by November 8 of such year. If the county superintendent disapproves a revised budget, the county superintendent will call for the formation of a budget review committee. By December 31 of each year, every school district must have an adopted budget, or the Superintendent of Public Instruction may impose a budget and will report such school district to the State Legislature and the Department of Finance.

Subsequent to approval, the county superintendent will monitor each school district under its jurisdiction throughout the fiscal year pursuant to its adopted budget to determine on an ongoing basis if the school district can meet its current or subsequent year financial obligations.

If, after taking various remedial actions, the county superintendent determines that a school district cannot meet its current or the subsequent year's obligations, the county superintendent will notify the school district's governing board, the Superintendent of Public Instruction and the president of the State board (or the president's designee) of the determination and take at least one of the following actions, and all actions that are necessary to ensure that the school district meets its financial obligations: (a) develop and impose, after also consulting with the Superintendent of Public Instruction and the school district's governing board, revisions to the budget that will enable the school district to meet its financial obligations in the current fiscal year, (b) stay or rescind any action inconsistent with the ability of the school district to meet its obligations for the current or subsequent fiscal year, (c) assist in developing, in consultation with the school district's governing board, a financial plan that will enable the school district to meet its future obligations, (d) assist in developing, in consultation with the school district's governing board, a budget for the subsequent fiscal year, and (e) as necessary, appoint a fiscal advisor to perform the aforementioned duties. The county superintendent will also make a report to the Superintendent of Public Instruction and the president of the State board or the president's designee about the financial condition of the school district and the remedial actions proposed by the county superintendent. However, the county superintendent may not abrogate any provision of a collective bargaining agreement that was entered into prior to the date upon which the county superintendent assumed authority.

A State law adopted in 1991 (known as "A.B. 1200") imposed additional financial reporting requirements on school districts, and established guidelines for emergency State aid apportionments. Under the provisions of A.B. 1200 and the Education Code (Section 42100 *et. seq.*), each school district is required to file two interim certifications with the county superintendent (on December 15, for the period ended October 31, and by mid-March for the period ended January 31) as to its ability to meet its financial obligations for the remainder of the then-current fiscal year and, based on current forecasts, for the subsequent fiscal year. The county superintendent reviews the certification and issues either a positive, negative or qualified certification. A positive certification is assigned to any school district that, based on then current projections, will meet its financial obligations for the current fiscal year and the subsequent two fiscal years. A negative certification is assigned to any school district that, based on then current projections, will be unable to meet its financial obligations for the remainder of the fiscal year or the subsequent fiscal year. A qualified certification is assigned to any school district that, based on then current projections, will not meet its financial obligations for the current fiscal year or the two subsequent fiscal years. A certification may be revised to a negative or qualified certification by the county superintendent, as appropriate. A school district that receives a qualified or negative certification for its

second interim report must provide to the county superintendent, the State Controller and the Superintendent no later than June 1, financial statement projections of the school district's fund and cash balances through June 30 for the period ending April 30.

Any school district that receives a qualified or negative certification in any fiscal year may not issue, in that fiscal year or in the next succeeding fiscal year, certificates of participation, tax and revenue anticipation notes, revenue bonds or any other debt instruments that do not require the approval of the voters of the school district, unless the county superintendent determines that the school district's repayment of indebtedness is probable. In the last five years, the District has not received a negative or qualified certification for an interim financial report.

For school districts under fiscal distress, the county superintendent is authorized to take a number of actions to ensure that the school district meets its financial obligations, including budget revisions. However, the county superintendent is not authorized to approve any diversion of revenue from *ad valorem* property taxes levied to pay debt service on district general obligation bonds. A school district that becomes insolvent may, upon the approval of a fiscal plan by the county superintendent, request an emergency appropriation from the State, in which case the county superintendent, the Superintendent of Public Instruction and the president of the State board or the president's designee will appoint a trustee to serve the school district until it has adequate fiscal systems and controls in place. The acceptance by a school district of an emergency apportionment exceeding 200% of the reserve recommended for that school district constitutes an agreement that the county superintendent will assume control of the school district in order to ensure the school district's return to fiscal solvency.

In the event the State elects to provide an emergency apportionment to a school district, such apportionment will constitute an advance payment of apportionments owed to the school district from the State School Fund and the Education Protection Account. The emergency apportionment may be accomplished in two ways. First, a school district may participate in a two-part financing in which the school district receives an interim loan from the State General Fund, with the agreement that the school district will subsequently enter into a lease financing with the California Infrastructure and Economic Development Bank for purposes of financing the emergency apportionment, including repaying such amounts advanced to the State General Fund. State law provides that so long as bonds from such lease financing are outstanding, the recipient school district (via its administrator) cannot file for bankruptcy. As an alternative, a school district may receive an emergency apportionment from the State General Fund that must be repaid in 20 years. Each year, the Superintendent of Public Instruction will withhold from the apportionments to be made to the school district from the State School Fund and the Education Protection Account an amount equal to the emergency apportionment repayment that becomes due that year. The determination as to whether the emergency apportionment will take the form of a lease financing or an emergency apportionment from the State General Fund will be based upon the availability of funds within the State General Fund.

The following table summarizes the District's original adopted general fund budget for fiscal year 2018-19, adopted June 19, 2018, the first interim report for fiscal year 2018-19, adopted December 10, 2018, and the second interim report for fiscal year 2018-19, adopted March 19, 2019.

FREMONT UNION HIGH SCHOOL DISTRICT
General Fund Budget for Fiscal Year 2018-19⁽¹⁾

	2018-19 Original Adopted Budget	2018-19 First Interim Report	2018-19 Second Interim Report
REVENUES			
LCFF Sources	\$135,234,723	\$140,493,042	\$140,814,953
Federal Revenues	2,880,221	2,944,139	2,966,335
Other State Revenues	9,962,552	12,098,792	13,659,193
Other Local Revenues	7,970,373	8,274,290	8,700,471
TOTAL REVENUES	\$156,047,870	\$163,810,263	\$166,140,952
EXPENDITURES			
Certificated Salaries	\$68,703,540	\$68,646,965	\$68,561,831
Classified Salaries	24,701,442	24,657,052	24,640,654
Employee Benefits	39,962,746	39,974,759	41,877,129
Books and Supplies	6,383,866	7,880,730	7,978,248
Services and Other Operating Expenditures	18,696,565	19,384,890	19,807,494
Capital Outlay	786,663	802,891	816,659
Other Outgo (Excluding Transfers of Indirect Costs)	46,564	46,564	48,049
Other Outgo – Transfers of Indirect Costs	(264,649)	(300,854)	(305,919)
TOTAL EXPENDITURES	\$159,016,737	\$161,092,997	\$163,424,147
EXCESS (DEFICIENCY) OF REVENUES OVER EXPENDITURES	\$(2,968,868)	\$2,717,265	\$2,716,805
OTHER FINANCING SOURCES (USES)			
Transfers In	\$ 3,058,064	\$ 1,712,655	\$ 1,712,655
Transfers Out	(1,207,383)	(1,498,608)	(1,498,608)
TOTAL OTHER FINANCING SOURCES (USES)	\$1,850,681	\$214,047	\$214,047
NET INCREASE (DECREASE) IN FUND BALANCE	\$(1,118,187)	\$2,931,312	\$2,930,852
FUND BALANCE - BEGINNING	\$29,017,841	\$29,017,841	\$29,017,841
FUND BALANCE - ENDING	\$27,899,654	\$31,949,153	\$31,948,693

⁽¹⁾ Totals may not add due to rounding.

Source: Fremont Union High School District First Interim Report and Second Interim Report for fiscal year 2018-19.

District Debt Structure

Long-Term Obligations. The following table summarizes the District's long-term obligations for the year ended June 30, 2018:

Long-Term Debt	Balance July 1, 2017	Additions	Deductions	Balance June 30, 2018	Due in One Year
General Obligation Bonds ⁽¹⁾	\$464,692,035	\$342,432	\$29,920,000	\$435,114,467	\$21,070,000
Bond Premium ⁽¹⁾	35,573,650	-	1,687,110	33,886,540	1,687,109
Compensated Absences ⁽²⁾	1,478,028	43,239	-	1,521,267	1,521,267
Total	\$501,743,713	\$385,671	\$31,607,110	\$470,522,274	\$24,278,376

⁽¹⁾ Payments on general obligation bonds are made by the interest and sinking fund with *ad valorem* property taxes.

⁽²⁾ Compensated absences will be paid by the fund for which the employee worked.

Source: Fremont Union High School District Annual Financial Report June 30, 2018.

General Obligation Bonds. In addition to the Bonds, the District has outstanding seven additional series of general obligation bonds, each of which is secured by *ad valorem* taxes upon all property subject to taxation by the District on a parity with the Bonds.

On February 3, 2005, the Fremont Union High School District 2005 General Obligation Refunding Bonds (the "Series 2005 Refunding Bonds"), in an aggregate principal amount of \$143,400,000, were issued by the District to advance refund a portion of the Fremont Union High School District, General Obligation Bonds, Election of 1998, Series A, Series B, and Series C.

The District received authorization at an election held on June 3, 2008, to issue general obligation bonds of the District in an aggregate principal amount not to exceed \$198,000,000 to finance specific construction and modernization projects (the "2008 Authorization"). On August 28, 2008, the Fremont Union High School District General Obligation Bonds, Election of 2008, Series 2008 (the "Series 2008 Bonds"), in an aggregate principal amount of \$80,000,000 were issued as the first series of bonds under the 2008 Authorization. On March 23, 2011, the Fremont Union High School District General Obligation Bonds (Election of 2008), Series 2011A Current Interest Bonds (the "Series 2011A Bonds"), in an aggregate principal amount of \$28,905,000, the Fremont Union High School District General Obligation Bonds (Election of 2008), Series 2011B Capital Appreciation Bonds (the "Series 2011B Bonds"), in an initial principal amount of \$16,090,108.30, and the Fremont Union High School District General Obligation Bonds (Election of 2008), Series 2011D Qualified School Construction Bonds (the "Series 2011D Bonds"), in an aggregate principal amount of \$25,000,000, were issued as the second, third and fourth series of bonds under the 2008 Authorization. On February 12, 2013, the Fremont Union High School District, General Obligation Bonds (Election of 2008), Series 2013 (the "Series 2013 Bonds"), in an aggregate principal amount of \$48,000,000 were issued as the fifth and final series of bonds under the 2008 Authorization.

The District received authorization at an election held on November 4, 2014, to issue general obligation bonds of the District in an aggregate principal amount not to exceed \$295,000,000 to finance specific projects (the "2014 Authorization"). On April 22, 2015, the Fremont Union High School District General Obligation Bonds (Election of 2014), Series 2015 (the "Series 2015 Bonds") were issued in an aggregate principal amount of \$100,000,000 as the first series of bonds under the 2014 Authorization. On July 11, 2017, the Fremont Union High School District General Obligation Bonds, Series 2017A (the "Series 2017A Bonds"), in an aggregate principal amount of \$113,080,000 and the Fremont Union High School District General Obligation Bonds, Series 2017B (Green Bonds) (the "Series 2017B Green Bonds"), in an aggregate principal amount of \$31,170,000 were issued as the second and third series of

bonds under the 2014 Authorization. The Series 2017A Bonds also refunded a portion of the outstanding Series 2008 Bonds and all of the outstanding Series 2011A Bonds.

On June 4, 2015, Fremont Union High School District 2015 General Obligation Refunding Bonds (the “Series 2015 Refunding Bonds”), in an aggregate principal amount of \$156,115,000, were issued by the District to refund all of the outstanding Series 2005 Refunding Bonds, a portion of the outstanding Series 2008 Bonds and a portion of the outstanding Series 2011B Bonds, and converted all of the District’s callable capital appreciation bonds to current interest bonds.

The following table summarizes the District’s outstanding general obligation bonded debt as of May 1, 2019, not including the Bonds:

Dated Date	Series	Final Maturity	Amount of Original Issue	Outstanding (May 1, 2019)
03/23/2011	Series 2011B Bonds (CABs)	2040	\$ 16,090,108	\$ 1,720,088.70
03/23/2011	Series 2011D Bonds (QSCBs)	2026	25,000,000	17,565,000.00
02/12/2013	Series 2013 Bonds	2043	48,000,000	48,000,000.00
04/22/2015	Series 2015 Bonds	2044	100,000,000	82,000,000.00
06/04/2015	Series 2015 Refunding Bonds	2046	156,115,000	128,645,000.00
07/11/2017	Series 2017A Bonds	2030	113,080,000	112,055,000.00
07/11/2017	Series 2017B Green Bonds	2040	31,170,000	22,225,000.00
Total:			\$598,360,108	\$412,210,088.70

Source: PFM Financial Advisors LLC and Isom Advisors, a Division of Urban Futures, Inc.

See “DEBT SERVICE SCHEDULES – Combined Annual Debt Service” in the front portion of this Official Statement for the annual debt service requirements for the District’s outstanding bonds.

Accumulated Unpaid Employee Vacation. The long-term portion of accumulated unpaid employee vacation for the District at June 30, 2018, amounted to \$1,521,267.

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Lease Revenues. The District has leased properties built in the 1950s where the total construction costs have been fully depreciated for a number of years. Lease agreements have been entered into with various lessees for terms that exceed one year. None of the agreements contain purchase options. All of the agreements contain a termination clause providing for cancellation after a specified number of days written notice to lessors, but it is unlikely that the District will cancel any of the agreements prior to their expiration date. The future minimum lease payments expected to be received under these agreements are as follows:

Year Ending June 30,	Lease Payment
2019	\$ 4,332,099
2020	3,930,867
2021	4,048,793
2022	4,170,257
2023	4,295,365
2024-2028	23,488,816
2029-2033	27,229,975
2034-2038	16,093,649
2039-2042	<u>14,701,775</u>
Total	<u>\$102,291,596</u>

Source: Fremont Union High School District Annual Financial Report June 30, 2018.

Postemployment Health Care Plan and OPEB Obligation. In addition to the retirement plan benefits with CalSTRS and the State Public Employees' Retirement System ("CalPERS") (see "Retirement Benefits" below), the District provides certain post-retirement healthcare benefits, in accordance with District employment contracts. The Retiree Health and Welfare Benefit (the "Plan") is a single-employer defined benefit healthcare plan administered by the District. The Plan provides medical and dental insurance benefits to eligible retirees and their spouses. Membership of the Plan consists of 118 retirees and beneficiaries currently receiving benefits and 979 active plan members.

The contribution requirements of plan members and the District are established and may be amended by the District and the Fremont Educators Association ("FEA"), the local California Service Employees Association ("CSEA"), and unrepresented groups. The required contribution is based on projected pay-as-you-go financing requirements, with an additional amount to prefund benefits as determined annually through agreements between the District, FEA, CSEA and the unrepresented groups. For fiscal year 2017-18, the District contributed \$1,000,905 to the plan, of which all was used for current premiums. Plan members receiving benefits contributed the same amount as the total premiums. The District contributes \$1,084, \$811 and \$1,391 monthly for each FEA, CSEA and Fremont Management Association ("FMA"), respectively. Any premiums over the District's contribution are paid by plan members.

During fiscal year 2006-07 the District established an irrevocable trust with American United Life that is administered by MidAmerica to fund the liability. The Trust had a restricted fund balance of \$7.23 million as of June 30, 2018. The formation of the irrevocable trust protects the funds set aside for retiree benefits and was an important element to the District being an early adopter of Governmental Accounting Standards Board's ("GASB") Statement Number 45 ("Statement Number 45"), implementing the requirements three years ahead of schedule. During fiscal year 2016-17, the District adopted GASB Statement Number 74, and as a result restated the liability for the OPEB at June 30, 2016 from \$12.89 million to \$13.54 million.

In 2017, the District implemented GASB Statement Number 75 (“Statement Number 75”), as a replacement to GASB Statement Number 45. Under Statement Number 75, net OPEB liability is measured as the portion of the present value of projected benefit payments to be provided to current active and inactive employees that is attributed to those employees’ past periods of service (“total OPEB liability”), less the amount of the OPEB plan’s fiduciary net position. The District’s total OPEB liability for the year ended June 30, 2018, was \$25,518,400, and its net OPEB liability was \$18,215,455. For the year ended June 30, 2018, the District recognized OPEB expense was \$3,259,216 with deferred outflows of resources in the amount of \$164,976. See APPENDIX B – “FINANCIAL STATEMENTS OF THE DISTRICT FOR THE FISCAL YEAR ENDED JUNE 30, 2018,” Note 15 for additional information regarding the OPEB obligation and the postemployment benefits plan.

For additional information about the District’s Plan, as well as information regarding the actuarial study of retiree health liabilities, see Note 15 to the District’s financial statements attached hereto as APPENDIX B – “FINANCIAL STATEMENTS OF THE DISTRICT FOR THE FISCAL YEAR ENDED JUNE 30, 2018.”

Tax and Revenue Anticipation Notes. Tax and Revenue Anticipation Notes issued by the District are a general obligation of the District, payable from the District’s general fund and any other lawfully available moneys. The District evaluates each year whether or not temporary borrowing will be necessary or economically beneficial. The District has not issued temporary notes since fiscal year 2014-15. The District does not plan to issue tax and revenue anticipation notes in fiscal year 2018-19.

Employment

For fiscal year 2018-19, the District projects to employ 547.0 full-time equivalent (“FTE”) certificated (teaching staff) employees, 314.6 FTE classified employees, 70.8 management and supervisory personnel, and 29.0 adult and community education employees. For fiscal year 2018-19, the total certificated and classified payrolls are projected to be approximately \$68.6 million and \$24.7 million, respectively.

District employees are represented by employee bargaining units as follows:

Name of Bargaining Unit	Number of Employees Represented	Current Contract Expiration Date
Fremont Education Association (Certified)	547.0	06/30/2020
California School Employees Association (Classified)	314.6	06/30/2020
Fremont Management Association (Management) ⁽¹⁾	70.8	-
AFT – Adult and Community Education Employees	29.0	06/30/2021

⁽¹⁾ No contract.

Source: The District.

Retirement Benefits

The District participates in retirement plans with CalSTRS, which covers all full-time certificated District employees, and CalPERS, which covers certain classified employees. Classified school personnel who are employed four or more hours per day may participate in CalPERS.

CalSTRS. Contributions to CalSTRS are fixed in statute. For fiscal year 2013-14, teachers contributed 8.0% of salary to CalSTRS, while school districts contributed 8.25%. In addition to the teacher and school contributions, the State contributed 4.517% of teacher payroll to CalSTRS (calculated

on payroll data from two fiscal years ago). Unlike typical defined benefit programs, however, neither the CalSTRS employer nor the State contribution rate varies annually to make up funding shortfalls or assess credits for actuarial surpluses. The State does pay a surcharge when the teacher and school district contributions are not sufficient to fully fund the basic defined benefit pension (generally consisting of 2.0% of salary for each year of service at age 60 referred to herein as “pre-enhancement benefits”) within a 30-year period. However, this surcharge does not apply to system-wide unfunded liability resulting from recent benefit enhancements.

As part of the 2014-15 State Budget, the Governor signed Assembly Bill 1469 which implemented a new funding strategy for CalSTRS and increased the employer contribution rate in fiscal year 2014-15 from 8.25% to 8.88% of covered payroll. Such rate increased by 1.85% beginning in fiscal year 2015-16 until the employer contribution rate is 19.10% of covered payroll as further described below. AB 1469 increased member contributions, which were previously set at 8.0% of pay, to 10.25% of pay for members hired on or before December 31, 2012 and 9.205% of pay for members hired on or after January 1, 2013 effective July 1, 2016. The State’s total contribution also increased from approximately 3.0% in fiscal year 2013-14 to 6.30% of payroll in fiscal year 2016-17, plus the continued payment of 2.5% of payroll annually for a supplemental inflation protection program for a total of 8.80%. In addition, AB 1469 provides the State Teachers Retirement Board with authority to modify the percentages paid by employers and employees for fiscal year 2021-22 and each fiscal year thereafter to eliminate the CalSTRS unfunded liability by June 30, 2046. The State Teachers Retirement Board would also have authority to reduce employer and State contributions if they are no longer necessary.

On February 1, 2017, the State Teachers’ Retirement Board voted to adopt revised actuarial assumptions reflecting members’ increasing life expectancies and current economic trends. The revised assumptions include a decrease from 7.50% to a 7.25% investment rate of return for the June 30, 2016 actuarial valuation, a decrease from 7.25% to a 7.0% investment rate of return for the June 30, 2017 actuarial valuation, a decrease from 3.75% to a 3.50% projected wage growth, and a decrease from 3.0% to a 2.75% price inflation factor.

As of June 30, 2017, an actuarial valuation (the “2017 CalSTRS Actuarial Valuation”) for the entire CalSTRS defined benefit program showed an estimated unfunded actuarial liability of \$107.3 billion, an increase of approximately \$10.6 billion from the June 30, 2016 valuation. The funded ratios of the actuarial value of valuation assets over the actuarial accrued liabilities as of June 30, 2017, June 30, 2016 and June 30, 2015, based on the actuarial assumptions, were approximately 63.9%, 63.7% and 68.5%, respectively. Future estimates of the actuarial unfunded liability may change due to market performance, legislative actions and other experience that may differ from the actuarial assumptions used for the CalSTRS valuation. The following are certain of the actuarial assumptions set forth in the 2017 CalSTRS Actuarial Valuation: measurement of accruing costs by the “Entry Age Normal Actuarial Cost Method,” an assumed 7.00% investment rate of return for measurements subsequent to June 30, 2016, 3.00% interest on member accounts, 3.50% projected wage growth, and 2.75% projected inflation and demographic assumptions relating to mortality rates, length of service, rates of disability, rates of withdrawal, probability of refund, and merit salary increases. The 2017 CalSTRS Actuarial Valuation also assumes that all members hired on or after January 1, 2013 are subject to the provisions of PEPRA (as defined herein). See “– *California Public Employees’ Pension Reform Act of 2013*” below for a discussion of the pension reform measure signed by the Governor in August 2012 expected to help reduce future pension obligations of public employers with respect to employees hired on or after January 1, 2013. Future estimates of the actuarial unfunded liability may change due to market performance, legislative actions, changes in actuarial assumptions and other experiences that may differ from the actuarial assumptions.

As indicated above, there was no required contribution from teachers, school districts or the State to fund the unfunded actuarial liability for the CalSTRS defined benefit program and only the State legislature can change contribution rates. The actuarial valuation as of June 30, 2016 stated that the aggregate contribution rate as of June 30, 2017, inclusive of an equivalent rate contribution of 10.219% from members, 8.000% from employers relating to the base rate, 0.250% from employers based on the sick leave rate, 10.096% from employers based on the supplemental rate, 1.881% from the State based on the base rate and 4.021% from the State based on the supplemental rate is equivalent to 34.467%.

Pursuant to Assembly Bill 1469, school districts' contribution rates will increase in accordance with the following schedule:

Effective Date (July 1)	School District Contribution Rate
2018	16.28%
2019	18.13
2020	19.10

Source: Assembly Bill 1469.

The following table sets forth the District's total employer contributions to CalSTRS for fiscal years 2012-13 through 2017-18, and the projected contribution for fiscal year 2018-19:

FREMONT UNION HIGH SCHOOL DISTRICT
(County of Santa Clara, California)
Contributions to CalSTRS for Fiscal Years 2012-13 through 2018-19

Fiscal Year	Contribution
2012-13	\$ 4,048,611
2013-14	4,297,489
2014-15	6,430,351
2015-16	4,907,917
2016-17	7,918,756
2017-18	9,573,015
2018-19 ⁽¹⁾	10,755,841

⁽¹⁾ Projected.

Source: The District.

With the implementation of AB1469, the District anticipates that its contributions to CalSTRS will increase in future fiscal years as compared to prior fiscal years. The District, nonetheless, is unable to predict all factors or any changes in law that could affect its required contributions to CalSTRS in future fiscal years.

CalSTRS produces a comprehensive annual financial report and actuarial valuations which include financial statements and required supplementary information. Copies of the CalSTRS comprehensive annual financial report and actuarial valuations may be obtained from CalSTRS. The information presented in these reports is not incorporated by reference in this Official Statement.

CalPERS. The District also participates in CalPERS for all full-time and some part-time classified employees. All qualifying classified employees of K-12 school districts in the State are members in CalPERS, and all of such districts participate in the same plan. As such, all such districts share the same contribution rate in each year. The school districts' contributions to CalPERS fluctuate each year and include a normal cost component and a component equal to an amortized amount of the

unfunded liability. Accordingly, the District cannot provide any assurances that the District's required contributions to CalPERS will not significantly increase in the future above current levels.

The districts are currently required to contribute to CalPERS at an actuarially determined rate, which was 11.847%, 13.888% and 15.531% of eligible salary expenditures for fiscal years 2015-16, 2016-17, and 2017-18, respectively, and 18.062% of eligible salary expenditures for fiscal year 2018-19. Plan participants enrolled in CalPERS prior to January 1, 2013 contribute 7% of their respective salaries, while participants enrolled after January 1, 2013 contribute at an actuarially determined rate, which was 6% of their respective salaries in fiscal years 2015-16 and 2016-17, 6.50% in fiscal year 2017-18 and 7.00% in fiscal year 2018-19.

On April 17, 2013, the CalPERS board of administration (the "CalPERS Board") approved new actuarial policies aimed at returning CalPERS to fully-funded status within 30 years. The policies include a rate smoothing method with a 30-year amortization period for gains and losses and a five-year ramp-up of rates at the start and a five year ramp-down of rates at the end. The CalPERS Board delayed the implementation of the new policies until fiscal year 2015-16 for the State, schools and all other public agencies. In December 2016, the CalPERS Board voted to lower the discount rate from 7.5% to 7.375% for fiscal year 2017-18, 7.25% for fiscal year 2018-19 and 7.0% beginning in fiscal year 2019-20. The new discount rate for the State went into effect beginning July 1, 2017 and the new discount rate for school districts became effective July 1, 2018. With regards to districts that contract with CalPERS to administer their pension plans, the change in the assumed rate of return is expected to result in increases in such districts' normal costs and unfunded actuarial liabilities.

Also, on February 20, 2014, the CalPERS Board approved new demographic assumptions reflecting (i) expected longer life spans of public agency employees and related increases in costs for the CalPERS system and (ii) trends of higher rates of retirement for certain public agency employee classes, including police officers and firefighters. The cost of the revised assumptions shall be amortized over a 20 year period and related increases in public agency contribution rates shall be affected over a three year period, beginning in fiscal year 2014-15. The new demographic assumptions affect the State, school districts and all other public agencies.

The CalPERS Board is required to undertake an experience study every four years under its Actuarial Assumptions Policy and State law. As a result of the most recent experience study, on December 20, 2017, the CalPERS Board approved new actuarial assumptions, including (i) lowering the inflation assumption rate from 2.75% to 2.625% for the June 30, 2018 actuarial valuation and to 2.50% for the June 30, 2019 actuarial valuation, (ii) lowering the payroll growth rate to 2.875% for the June 30, 2018 actuarial valuation and 2.75% for the June 30, 2019 actuarial valuation, and (iii) certain changes to demographic assumptions relating to the salary scale for most constituent groups, and modifications to the mortality, retirement, and disability retirement rates.

On February 14, 2018, the CalPERS Board approved modifying the CalPERS amortization policy for investment gains/losses from 30 years to 20 years, requiring that the amortization payments for all unfunded accrued liability bases established after the effective date be computed to remain a level dollar amount throughout the amortization period, and eliminating the 5-year ramp-up/ramp-down policy for all gains/losses except for the ramp-up policy for investment gains/losses. Such policy changes will be reflected in actuarial valuations beginning June 30, 2019, and will be implemented starting with fiscal year 2021-22 contributions. Such policy applies only to prospective accumulation of amortization and will not affect current accrued unfunded liabilities, with the exception that, with regards to the CalPERS Schools Pool Actuarial Valuation, the impact of the discount rate change from 7.25% to 7.00% in the June 30, 2019 valuation will be amortized under the old policy. Shortening the amortization period will increase employer contributions and help pay down the pension fund's unfunded liability faster, which

may result in interest cost savings.

On April 18, 2018, the CalPERS Board established the employer contribution rates for fiscal year 2018-19 and released certain information from the CalPERS Schools Pool Actuarial Valuation as of June 30, 2017, ahead of its summer 2018 release date. Based on the changes in the discount rate, inflation rate, payroll growth rate and demographic assumptions, along with expected reductions in normal cost due to the continuing transition of active members from those employees hired prior to the Implementation Date (defined below), to those hired after such date, the projected contribution for fiscal year 2019-20 is projected to be 20.8%, with annual increases thereafter, resulting in a projected 25.7% employer contribution rate for fiscal year 2025-26.

The following table sets forth the District's total employer contributions to CalPERS for fiscal years 2012-13 through 2017-18, and the projected contribution for fiscal year 2018-19:

FREMONT UNION HIGH SCHOOL DISTRICT
(County of Santa Clara, California)
Contributions to CalPERS for Fiscal Years 2012-13 through 2018-19

Fiscal Year	Contribution
2012-13	\$2,222,313
2013-14	2,481,727
2014-15	3,095,439
2015-16	2,647,574
2016-17	3,855,057
2017-18	4,581,719
2018-19 ⁽¹⁾	4,629,875

⁽¹⁾ Projected.

Source: The District.

The District's total employer contributions to CalPERS for fiscal years 2012-13 through 2017-18 were equal to 100% of the required contributions for each year. With the change in actuarial assumptions described above, the District anticipates that its contributions to CalPERS will increase in future fiscal years as the increased costs are phased in. The implementation of PEPR (see "*California Public Employees' Pension Reform Act of 2013*" below), however, is expected to help reduce certain future pension obligations of public employers with respect to employees hired on or after January 1, 2013. The District cannot predict the impact these changes will have on its contributions to CalPERS in future years.

CalPERS produces a comprehensive annual financial report and actuarial valuations that include financial statements and required supplementary information. Copies of the CalPERS comprehensive annual financial report and actuarial valuations may be obtained from CalPERS Financial Services Division. The information presented in these reports is not incorporated by reference in this Official Statement.

California Public Employees' Pension Reform Act of 2013. The Governor signed the California Public Employee's Pension Reform Act of 2013 (the "Reform Act" or "PEPRA") into law on September 12, 2012. The Reform Act affects both CalSTRS and CalPERS, most substantially as they relate to new employees hired after January 1, 2013 (the "Implementation Date"). As it pertains to CalSTRS participants hired after the Implementation Date, the Reform Act changes the normal retirement age, increasing the eligibility for the 2.0% "age factor" (the percent of final compensation to which an employee is entitled to for each year of service) from age 60 to 62 and increasing the eligibility of the maximum age factor of 2.4% from age 63 to 65. For non-safety CalPERS participants hired after the Implementation Date, the Reform Act changes the normal retirement age by increasing the eligibility for

the 2.0% age factor from age 55 to 62 and also increases the eligibility requirement for the maximum age factor of 2.5% to age 67.

The Reform Act also implements certain other changes to CalPERS and CalSTRS including the following: (a) all new participants enrolled in CalPERS and CalSTRS after the Implementation Date are required to contribute at least 50% of the total annual normal cost of their pension benefit each year as determined by an actuary, (b) CalSTRS and CalPERS are both required to determine the final compensation amount for employees based upon the highest annual compensation earnable averaged over a consecutive 36-month period as the basis for calculating retirement benefits for new participants enrolled after the Implementation Date (currently 12 months for CalSTRS members who retire with 25 years of service), and (c) “pensionable compensation” is capped for new participants enrolled after the Implementation Date at 100% of the federal Social Security contribution and benefit base for members participating in Social Security or 120% for CalSTRS and CalPERS members not participating in social security.

The District is unable to predict what the amount of State pension liabilities will be in the future, or the amount of the contributions which the District may be required to make (except as already announced). CalSTRS and CalPERS are more fully described in Note 14 to the District’s financial statements attached hereto as APPENDIX B – “FINANCIAL STATEMENTS OF THE DISTRICT FOR THE FISCAL YEAR ENDED JUNE 30, 2018.” The District is not permitted to pay down its portion of retirement liability for CalSTRS or CalPERS.

GASB 67 and 68. In June 2012, GASB approved a pair of related statements, Statement Number 67, Financial Reporting for Pension Plans (“Statement Number 67”), which addresses financial reporting for pension plans, and Statement Number 68, Accounting and Financial Reporting for Pensions (“Statement Number 68”), which establishes new accounting and financial reporting requirements for governments that provide their employees with pensions. The guidance contained in these statements changed how governments calculated and reported the costs and obligations associated with pensions. Statement Number 67 replaced the requirements of Statement Number 25, Financial Reporting for Defined Benefit Pension Plans and Note Disclosures for Defined Contribution Plans, for most public employee pension plans, and Statement Number 68 replaced the requirements of Statement Number 27, Accounting for Pensions by State and Local Governmental Employers, for most government employers. The new statements also replaced the requirements of Statement Number 50, Pension Disclosures, for those governments and pension plans. Certain of the major changes included: (i) the inclusion of unfunded pension liabilities on the government’s balance sheet (such unfunded liabilities are currently typically included as notes to the government’s financial statements); (ii) full pension costs would be shown as expenses regardless of actual contribution levels; (iii) lower actuarial discount rates would be required to be used for most plans for certain purposes of the financial statements, resulting in increased liabilities and pension expenses; and (iv) shorter amortization periods for unfunded liabilities would be required to be used for certain purposes of the financial statements, which generally would increase pension expenses. Statement Number 67 became effective beginning in fiscal year 2013-14, and Statement Number 68 became effective beginning in fiscal year 2014-15.

Insurance, Risk Pooling and Joint Powers Agreements and Joint Ventures

The District is a member of the Silicon Valley Joint Powers Transportation Agency (“SVJPA”), the Santa Clara County Schools Insurance Group (“SCCSIG”), and the Northern California Regional Liability Excess Fund (“North CalReLiEF”). The relationship between the District, the pools and the joint powers authorities are such that they are not component units of the District for financial reporting purposes.

The District has appointed one board member to the Governing Board of SVJPA, SCCSIG, and North CalReLiEF. During the year ended June 30, 2018, the District made payments as follows:

Related Entities	Service Payments	Service Provided
SVJPA	\$2,304,116	Transportation for special education students
SCCSIG	1,205,862	Excess workers' compensation insurance
North CalReLiEF	651,523	Property and liability insurance

Source: The District's Annual Financial Report for the fiscal year ended June 30, 2018.

See Note 17 to the District's financial statements attached here to as APPENDIX B – "FINANCIAL STATEMENTS OF THE DISTRICT FOR THE FISCAL YEAR ENDED JUNE 30, 2018."

Charter Schools

Independent charter schools operate as autonomous public schools, under charter from a school district, county office of education, or the State Board of Education, with minimal supervision by the local school district. Independent charter schools receive revenues from the State and from the District for each student enrolled, and thus effectively reduce revenues available for students enrolled in District schools. The District is also required to accommodate charter school students originating in the District in facilities comparable to those provided to regular District students.

Three independent charter high schools currently operate in the District's boundaries (with a combined A.D.A. of approximately 59.6 students): Grizzly ChalleNGe Charter, Summit Public School: Denali and Opportunity Youth Academy. The Santa Clara County Office of Education approved the charters for Summit Public School: Denali and Opportunity Youth Academy. Grizzly ChalleNGe Charter's charter was approved by the San Luis Obispo County Office of Education.

The District pays revenue in lieu of property taxes based on each charter school's individual LCFF calculation. For fiscal year 2018-19, the District has budgeted a total transfer of in lieu payments to the charter schools of approximately \$458,388.

CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS

Limitations on Revenues

On June 6, 1978, State voters approved Proposition 13 ("Proposition 13"), which added Article XIII A to the State Constitution ("Article XIII A"). Article XIII A limits the amount of any *ad valorem* tax on real property to 1% of the full cash value thereof, except that additional *ad valorem* taxes may be levied to pay debt service on (i) indebtedness approved by the voters prior to July 1, 1978, (ii) bonded indebtedness for the acquisition or improvement of real property which has been approved on or after July 1, 1978 by two-thirds of the voters on such indebtedness, and (iii) bonded indebtedness incurred by a school district or community college district for the construction, reconstruction, rehabilitation or replacement of school facilities or the acquisition or lease of real property for school facilities, approved by 55% of the voters of the district, but only if certain accountability measures are included in the proposition. Article XIII A defines full cash value to mean "the county assessor's valuation of real property as shown on the 1975-76 tax bill under full cash value, or thereafter, the appraised value of real property when purchased, newly constructed, or a change in ownership have occurred after the 1975 assessment." This full cash value may be increased at a rate not to exceed 2% per year to account for inflation.

Article XIII A has subsequently been amended to permit reduction of the “full cash value” base in the event of declining property values caused by damage, destruction or other factors, to provide that there would be no increase in the “full cash value” base in the event of reconstruction of property damaged or destroyed in a disaster and in other minor or technical ways.

County of Orange v. Orange County Assessment Appeals Board No. 3. Section 51 of the Revenue and Taxation Code of the State permits county assessors who have reduced the assessed valuation of a property as a result of natural disasters, economic downturns or other factors, to subsequently “recapture” such value (up to the pre-decline value of the property) at an annual rate higher than 2%, depending on the assessor’s measure of the restoration of value of the damaged property. The constitutionality of this procedure was challenged in a lawsuit brought in 2001 in the Orange County Superior Court, and in similar lawsuits brought in other counties, on the basis that the decrease in assessed value creates a new “base year value” for purposes of Proposition 13 and that subsequent increases in the assessed value of a property by more than 2% in a single year violate Article XIII A. On appeal, the California Court of Appeal upheld the recapture practice in 2004, and the State Supreme Court declined to review the ruling, leaving the recapture law in place.

Legislation Implementing Article XIII A. Legislation has been enacted and amended a number of times since 1978 to implement Article XIII A. Under current law, local agencies are no longer permitted to levy directly any property tax (except to pay voter-approved indebtedness). The 1% property tax is automatically levied by the county and distributed according to a formula among taxing agencies. The formula apportions the tax roughly in proportion to the relative shares of taxes levied prior to 1989.

Increases of assessed valuation resulting from reappraisals of property due to new construction, change in ownership or from the 2% annual adjustment are allocated among the various jurisdictions in the “taxing area” based upon their respective “situs.” Any such allocation made to a local agency continues as part of its allocation in future years.

Beginning in the 1981-82 fiscal year, assessors in the State no longer record property values on tax rolls at the assessed value of 25% of market value which was expressed at \$4 per \$100 assessed value. All taxable property is now shown at full market value on the tax rolls. Consequently, the tax rate is expressed as \$1 per \$100 of taxable value. All taxable property value included in this Official Statement is shown at 100% of market value (unless noted differently) and all tax rates reflect the \$1 per \$100 of taxable value.

Article XIII B of the State Constitution

An initiative to amend the State Constitution entitled “Limitation of Government Appropriations” was approved on September 6, 1979, thereby adding Article XIII B to the State Constitution (“Article XIII B”). Under Article XIII B state and local governmental entities have an annual “appropriations limit” and are not permitted to spend certain moneys which are called “appropriations subject to limitation” (consisting of tax revenues, state subventions and certain other funds) in an amount higher than the “appropriations limit.” Article XIII B does not affect the appropriation of moneys which are excluded from the definition of “appropriations subject to limitation,” including debt service on indebtedness existing or authorized as of January 1, 1979, or bonded indebtedness subsequently approved by the voters. In general terms, the “appropriations limit” is to be based on certain 1978-79 expenditures, and is to be adjusted annually to reflect changes in consumer prices, populations, and services provided by these entities. Among other provisions of Article XIII B, if these entities’ revenues in any year exceed the amounts permitted to be spent, the excess would have to be returned by revising tax rates or fee schedules over the subsequent two years.

In fiscal year 2017-18, the District had an appropriations limit of \$130,541,193.61 and appropriations subject to such limit of \$130,541,193.61. The District has budgeted an appropriations limit in fiscal year 2018-19 of \$134,980,192.07. Any proceeds of taxes received by the District in excess of the allowable limit are absorbed into the State's allowable limit.

Article XIIC and Article XIID of the State Constitution

On November 5, 1996, the voters of the State approved Proposition 218, popularly known as the "Right to Vote on Taxes Act." Proposition 218 added to the State Constitution Articles XIIC and XIID ("Article XIIC" and "Article XIID," respectively), which contain a number of provisions affecting the ability of local agencies, including school districts, to levy and collect both existing and future taxes, assessments, fees and charges.

According to the "Title and Summary" of Proposition 218 prepared by the State Attorney General, Proposition 218 limits "the authority of local governments to impose taxes and property-related assessments, fees and charges." Among other things, Article XIIC establishes that every tax is either a "general tax" (imposed for general governmental purposes) or a "special tax" (imposed for specific purposes), prohibits special purpose government agencies such as school districts from levying general taxes, and prohibits any local agency from imposing, extending or increasing any special tax beyond its maximum authorized rate without a two-thirds vote; and also provides that the initiative power will not be limited in matters of reducing or repealing local taxes, assessments, fees and charges. Article XIIC further provides that no tax may be assessed on property other than *ad valorem* property taxes imposed in accordance with Articles XIII and XIII A of the State Constitution and special taxes approved by a two-thirds vote under Article XIII A, Section 4. Article XIID deals with assessments and property-related fees and charges, and explicitly provides that nothing in Article XIIC or XIID will be construed to affect existing laws relating to the imposition of fees or charges as a condition of property development.

The District imposes a parcel tax which is subject to the provisions of Proposition 218. On November 4, 2014, voters within the District approved Measure J by a two-thirds vote; the ballot measure renewed an existing annual tax of \$98 per parcel, for each year between July 1, 2016 and June 30, 2022. The District also receives a portion of the basic 1% *ad valorem* property tax levied and collected by the County pursuant to Article XIII A of the State Constitution. The provisions of Proposition 218 may have an indirect effect on the District, such as by limiting or reducing the revenues otherwise available to other local governments whose boundaries encompass property located within the District thereby causing such local governments to reduce service levels and possibly adversely affecting the value of property within the District.

Statutory Limitations

On November 4, 1986, State voters approved Proposition 62, an initiative statute limiting the imposition of new or higher taxes by local agencies. The statute: (a) requires new or higher general taxes to be approved by two-thirds of the local agency's governing body and a majority of its voters; (b) requires the inclusion of specific information in all local ordinances or resolutions proposing new or higher general or special taxes; (c) penalizes local agencies that fail to comply with the foregoing; and (d) required local agencies to stop collecting any new or higher general tax adopted after July 31, 1985, unless a majority of the voters approved the tax by November 1, 1988.

Appellate court decisions following the approval of Proposition 62 determined that certain provisions of Proposition 62 were unconstitutional. However, the California Supreme Court upheld Proposition 62 in its decision on September 28, 1995 in *Santa Clara County Transportation Authority v. Guardino*. This decision reaffirmed the constitutionality of Proposition 62. Certain matters regarding Proposition 62 were not

addressed in the Supreme Court's decision, such as whether the decision applies retroactively, what remedies exist for taxpayers subject to a tax not in compliance with Proposition 62, and whether the decision applies to charter cities.

Proposition 98 and Proposition 111

On November 8, 1988, voters approved Proposition 98, a combined initiative constitutional amendment and statute called the "Classroom Instructional Improvement and Accountability Act" (the "Accountability Act"). The Accountability Act changed State funding of public education below the university level, and the operation of the State's Appropriations Limit. The Accountability Act guarantees State funding for K-12 school districts and community college districts (collectively, "K-14 districts") at a level equal to the greater of (a) the same percentage of general fund revenues as the percentage appropriated to such districts in 1986-87, which percentage is equal to 40.9%, or (b) the amount actually appropriated to such districts from the general fund in the previous fiscal year, adjusted for growth in enrollment and inflation.

Since the Accountability Act is unclear in some details, there can be no assurance that the Legislature or a court might not interpret the Accountability Act to require a different percentage of general fund revenues to be allocated to K-14 districts than the 40.9%, or to apply the relevant percentage to the State's budgets in a different way than is proposed in the Governor's Budget. In any event, the Governor and other fiscal observers expect the Accountability Act to place increasing pressure on the State's budget over future years, potentially reducing resources available for other State programs, especially to the extent the Article XIII B spending limit would restrain the State's ability to fund such other programs by raising taxes.

The Accountability Act also changes how tax revenues in excess of the State Appropriations Limit are distributed. Any excess State tax revenues up to a specified amount would, instead of being returned to taxpayers, be transferred to K-14 districts. Such transfer would be excluded from the Appropriations Limit for K-14 school districts and the K-14 school Appropriations Limits for the next year would automatically be increased by the amount of such transfer. These additional moneys would enter the base funding calculation for K-14 districts for subsequent years, creating further pressure on other portions of the State budget, particularly if revenues decline in a year following an Article XIII B surplus. The maximum amount of excess tax revenues which could be transferred to schools is 4% of the minimum State spending for education mandated by the Accountability Act, as described above.

On June 5, 1990, State voters approved Proposition 111 (Senate Constitutional Amendment 1), which further modified the State Constitution to alter the spending limit and education funding provisions of Proposition 98. Most significantly, Proposition 111 (1) liberalized the annual adjustments to the spending limit by measuring the "change in the cost of living" by the change in State per capita personal income rather than the Consumer Price Index, and specified that a portion of the State's spending limit would be adjusted to reflect changes in school attendance; (2) provided that 50% of the "excess" tax revenues, determined based on a two-year cycle, would be transferred to K-14 school districts with the balance returned to taxpayers (rather than the previous 100% but only up to a cap of 4% of the districts' minimum funding level), and that any such transfer to K-14 school districts would not be built into the school districts' base expenditures for calculating their entitlement for State aid in the following year and would not increase the State's appropriations limit; (3) excluded from the calculation of appropriations that are subject to the limit appropriations for certain "qualified capital outlay projects" and certain increases in gasoline taxes, sales and use taxes, and receipts from vehicle weight fees; (4) provided that the Appropriations Limit for each unit of government, including the State, would be recalculated beginning in the 1990-91 fiscal year, based on the actual limit for fiscal year 1986-87, adjusted forward to 1990-91 as if Senate Constitutional Amendment 1 had been in effect; and (5) adjusted the Proposition 98 formula that guarantees K-14 school districts a certain amount of general fund revenues, as described below.

Under prior law, K-14 school districts were guaranteed the greater of (a) 40.9% of general fund revenues (the “first test”) or (b) the amount appropriated in the prior year adjusted for changes in the cost of living (measured as in Article XIII B by reference to per capita personal income) and enrollment (the “second test”). Under Proposition 111, school districts would receive the greater of (a) the first test, (b) the second test or (c) a third test, which would replace the second test in any year when growth in per capita general fund revenues from the prior year was less than the annual growth in State per capita personal income. Under the third test, school districts would receive the amount appropriated in the prior year adjusted for change in enrollment and per capita general fund revenues, plus an additional small adjustment factor. If the third test were used in any year, the difference between the third test and the second test would become a “credit” to be paid in future years when general fund revenue growth exceeds personal income growth.

Proposition 39

Proposition 39, which was approved by California voters in November 2000 (“Proposition 39”), provides an alternative method for passage of school facilities bond measures by lowering the constitutional voting requirement from two-thirds to 55% of voters and allows property taxes to exceed the current 1% limit in order to repay such bonds. The lower 55% vote requirement would apply only to bond issues to be used for construction, rehabilitation, or equipping of school facilities or the acquisition of real property for school facilities. The State Legislature enacted additional legislation which placed certain limitations on this lowered threshold, requiring that (i) two-thirds of the governing board of a school district approve placing a bond issue on the ballot, (ii) the bond proposal be included on the ballot of a Statewide or primary election, a regularly scheduled local election, or a Statewide special election (rather than a school district election held at any time during the year), (iii) the tax rate levied as a result of any single election not exceed \$25 for a community college district, \$60 for a unified school district, or \$30 for an elementary school or high school district per \$100,000 of taxable property value, and (iv) the governing board of the school district appoint a citizen’s oversight committee to inform the public concerning the spending of the bond proceeds. In addition, the school board of the applicable district is required to perform an annual, independent financial and performance audit until all bond funds have been spent to ensure that the funds have been used only for the projects listed in the measure. The District’s bonds issued under the 2008 Authorization and 2014 Authorization were authorized pursuant to Proposition 39. The District is in full compliance with all Proposition 39 requirements.

Proposition 30 and Proposition 55

On November 6, 2012, voters approved Proposition 30, also referred to as the Temporary Taxes to Fund Education, Guaranteed Local Public Safety Funding, Initiative Constitutional Amendment. Proposition 30 temporarily (a) increased the personal income tax on certain of the State’s income taxpayers by one to three percent for a period of seven years from January 1, 2012 through the end of 2018, and (b) increased the sales and use tax by one-quarter percent for a period of four years from January 1, 2013 through the end of 2016. The revenues generated from such tax increases are included in the calculation of the Proposition 98 minimum funding guarantee (see “– Proposition 98 and Proposition 111” above). The revenues generated from such temporary tax increases are deposited into a State account created pursuant to Proposition 30 (the “Education Protection Account”), and 89% of the amounts therein are allocated to school districts and 11% of the amounts therein are allocated to community college districts.

The Proposition 30 sales and use tax increases expired at the end of the 2016 tax year. Under Proposition 30, the personal income tax increases were set to expire at the end of the 2018 tax year. However, the California Tax Extension to Fund Education and Healthcare Initiative (“Proposition 55”), approved by voters on November 8, 2016, extends by twelve years the temporary personal income tax increases on incomes over \$250,000 that was first enacted by Proposition 30; Proposition 55 did not extend

the sales tax increases imposed by Proposition 30. Revenues from the tax increase will be allocated to school districts and community colleges in the State.

Applications of Constitutional and Statutory Provisions

The application of Proposition 98 and other statutory regulations has become increasingly difficult to predict accurately in recent years. For a discussion of how the provisions of Proposition 98 have been applied to school funding see “DISTRICT FINANCIAL MATTERS – State Funding of Education; State Budget Process.”

Proposition 2

General. Proposition 2, which included certain constitutional amendments to the Rainy Day Fund and, upon its approval, triggered the implementation of certain provisions which could limit the amount of reserves that may be maintained by a school district, was approved by the voters in the November 2014 election.

Rainy Day Fund. The Proposition 2 constitutional amendments related to the Rainy Day Fund (i) require deposits into the Rainy Day Fund whenever capital gains revenues rise to more than 8% of general fund tax revenues; (ii) set the maximum size of the Rainy Day Fund at 10% of general fund revenues; (iii) for the next 15 years, require half of each year’s deposit to be used for supplemental payments to pay down the budgetary debts or other long-term liabilities and, thereafter, require at least half of each year’s deposit to be saved and the remainder used for supplemental debt payments or savings; (iv) allow the withdrawal of funds only for a disaster or if spending remains at or below the highest level of spending from the past three years; (v) require the State to provide a multiyear budget forecast; and (vi) create a Proposition 98 reserve (the “Public School System Stabilization Account”) to set aside funds in good years to minimize future cuts and smooth school spending. The State may deposit amounts into such account only after it has paid all amounts owing to school districts relating to the Proposition 98 maintenance factor for fiscal years prior to fiscal year 2014-15. The State, in addition, may not transfer funds to the Public School System Stabilization Account unless the State is in a Test 1 year under Proposition 98 or in any year in which a maintenance factor is created.

SB 858. Senate Bill 858 (“SB 858”) became effective upon the passage of Proposition 2. SB 858 includes provisions which could limit the amount of reserves that may be maintained by a school district in certain circumstances. Under SB 858, in any fiscal year immediately following a fiscal year in which the State has made a transfer into the Public School System Stabilization Account, any adopted or revised budget by a school district would need to contain a combined unassigned and assigned ending fund balance that (a) for school districts with an A.D.A. of less than 400,000, is not more than two times the amount of the reserve for economic uncertainties mandated by the Education Code of the State, or (b) for school districts with an A.D.A. that is more than 400,000, is not more than three times the amount of the reserve for economic uncertainties mandated by the Education Code of the State. In certain cases, the county superintendent of schools may grant a school district a waiver from this limitation on reserves for up to two consecutive years within a three-year period if there are certain extraordinary fiscal circumstances.

The District, which has an A.D.A. of less than 400,000, is required to maintain a reserve for economic uncertainty in an amount equal to 3% of its general fund expenditures and other financing uses.

SB 751. Senate Bill 751 (“SB 751”), enacted on October 11, 2017, alters the reserve requirements imposed by SB 858. Under SB 751, in a fiscal year immediately after a fiscal year in which the amount of moneys in the Public School System Stabilization Account is equal to or exceeds 3% of the combined total general fund revenues appropriated for school districts and allocated local proceeds of taxes for that fiscal

year, a school district budget that is adopted or revised cannot have an assigned or unassigned ending fund balance that exceeds 10% of those funds. SB 751 excludes from the requirements of those provisions basic aid school districts (also known as community funded districts) and small school districts having fewer than 2,501 units of average daily attendance.

The Bonds are payable from *ad valorem* taxes to be levied within the District pursuant to the State Constitution and other State law. Accordingly, the District does not expect SB 858 or SB 751 to adversely affect its ability to pay the principal of and interest on the Bonds as and when due.

Future Initiatives

Article XIII A, Article XIII B, Article XIII C, Article XIII D, as well as Propositions 2, 30, 55, 62, 98, 111 and 218 were each adopted as measures that qualified for the ballot pursuant to the State's initiative process. From time to time other initiative measures could be adopted, further affecting District revenues or the District's ability to expend revenues.

APPENDIX B

**FINANCIAL STATEMENTS OF THE DISTRICT
FOR THE FISCAL YEAR ENDED JUNE 30, 2018**

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**FREMONT UNION
HIGH SCHOOL DISTRICT
ANNUAL FINANCIAL REPORT
FOR THE YEAR ENDED
JUNE 30, 2018**

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FREMONT UNION HIGH SCHOOL DISTRICT

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JUNE 30, 2018

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FINANCIAL SECTION

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VAVRINEK, TRINE, DAY & CO., LLP
Certified Public Accountants

VALUE THE *difference*

INDEPENDENT AUDITOR'S REPORT

Governing Board
Fremont Union High School District
Sunnyvale, California

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of the Fremont Union High School District (the District) as of and for the year ended June 30, 2018, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the *2017-2018 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*, issued by the California Education Audit Appeals Panel as regulations. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, each major fund, and the aggregate remaining fund information of the Fremont Union High School District, as of June 30, 2018, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis and other required supplementary information as listed in the table of contents, be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the Fremont Union High School District's basic financial statements. The Schedule of Expenditures of Federal Awards, as required by *Title 2 U.S. Code of Federal Regulations (CFR) Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance)* and the other supplementary information as listed in the table of contents are presented for purposes of additional analysis and are not a required part of the basic financial statements.

The Schedule of Expenditures of Federal Awards and other supplementary information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the accompanying supplementary information including the Schedule of Expenditures of Federal Awards and other supplemental information, is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated November 29, 2018, on our consideration of the Fremont Union High School District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of Fremont Union High School District's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Fremont Union High School District's internal control over financial reporting and compliance.

A handwritten signature in black ink that reads "Laurinek, Trine, Day & Co., LLP". The signature is written in a cursive, flowing style.

Palo Alto, California
November 29, 2018



FREMONT UNION HIGH SCHOOL DISTRICT

Cupertino High School | Fremont High School | Homestead High School | Lynbrook High School | Monta Vista High School | Adult & Community Ed.

MANAGEMENT'S DISCUSSION AND ANALYSIS JUNE 30, 2018

This section of Fremont Union High School District's (FUHSD) annual financial report presents management's discussion and analysis of the District's financial performance during the fiscal year that ended on June 30, 2018. Please read it in conjunction with the District's financial statements, which immediately follow this section. Comparative analyses are presented in the tables that follow:

OVERVIEW OF THE FINANCIAL STATEMENTS

The Financial Statements

The financial statements presented herein include all of the activities of the Fremont Union High School District (the District) using the integrated approach as prescribed by GASB Statement Number 34.

The *Government-Wide Financial Statements* present the financial picture of the District from the economic resources measurement focus using the accrual basis of accounting and include the governmental activities. These statements include all assets of the District (including capital assets) as well as all liabilities (including long-term debt). Additionally, certain eliminations have occurred as prescribed by the statement in regards to interfund activity, payables and receivables.

The *Fund Financial Statements* include statements for each of the three categories of activities: governmental, proprietary, and fiduciary.

The *Governmental Activities* are prepared using the current financial resources measurement focus and modified accrual basis of accounting.

The *Fiduciary Funds* are prepared using the economic resources measurement focus and the accrual basis of accounting.

Reconciliation of the Fund Financial Statements to the Government-Wide Financial Statements is provided to explain the differences created by the integrated approach.

The financial statements also include notes that explain some of the information in the statements and provide detailed data. The statements are followed by a section of required supplementary budget information that further explains and supports the financial statements.

The Primary unit of the government is the Fremont Union High School District.

FREMONT UNION HIGH SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS

JUNE 30, 2018

FINANCIAL HIGHLIGHTS OF THE PAST YEAR

The economy has improved. Much of the state's education policy now revolves around the Local Control Funding Formula (LCFF) and the Local Control Accountability Plan (LCAP).

Overall, the District experienced an increase in total enrollment for the third consecutive year. Fremont High School and Lynbrook High School saw the largest increases from the prior year (74). Homestead and Monta Vista grew by 24 and 44 respectively. Though Cupertino High School was the only school showing a decline in enrollment, this was due to the Board Approved inter-district transfer program to increase enrollment at Lynbrook high School. If not for this program, Cupertino would have increased in enrollment and Lynbrook would have declined. The other three schools continue to grow as projected. Our current projections for the district are for a gradual decline in enrollment over the next 5 years.

The District's residency verification program continued in 2017-2018 as the District remains committed to this effort. The program contains a full time investigator and two part time investigators along with a manager and clerical support positions.

The relationship between all of our bargaining groups continues to be collaborative and positive. This includes our Classified Union – CSEA, our Certificated Union – FEA, and a bargaining group AFT which represents our Adult and Community Education employees. 2017-18 marked the fourth consecutive year that each bargaining group participating in the Revenue Sharing Process saw positive returns.

The District continues to rely upon the \$5.2 million received annually from the parcel tax that was originally approved by the voters in November 2004. In May of 2010, District voters renewed the parcel tax for a period of six years. The Parcel Tax was again renewed on November 4, 2014 for an additional six years, commencing July 1, 2016. In accordance with the ballot language, the funds are used to preserve core academic classes and retain experienced teachers. The District has been careful to track the particular programs funded through parcel tax revenues. Exemptions are offered to senior citizens and disabled.

On November 4, 2014 voters also approved a Proposition 39 bond known as Measure K. In June 2017, the District issued the second series of bonds under the 2014 Measure K bond authorization. The par amount of the Series 2017A and 2017B bonds was \$113,080,000 and \$31,170,000, respectively. A portion of Series 2017A bonds refunded a portion of the outstanding General Obligation Bonds, Election of 2008, Series 2008, and a portion of the outstanding General Obligation Bonds, Election of 2008, Series 2011A. The refunding generated approximately \$6.1 million in present value savings. The Series 2017B bonds were issued as Green Bonds to fund Green Projects. The District has a long-standing commitment to sustainability and green design in its operations and facilities. The District was one of the first California school districts to issue green bonds.

In addition, On November 6, 2018, voters approved a new Proposition 39 bond known as Measure CC. Measure CC passed by a 63% to 37% margin. This measure approved the sale of an additional \$275,000,000 in General Obligation Bonds to further the Districts facilities and modernization plan.

FREMONT UNION HIGH SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS

JUNE 30, 2018

As required by the Education Code of the State and the 2008 Measure B, 2014 Measure K, and 2018 Measure CC bond authorizations, the District has established a Citizens' Oversight Committee to review the District's expenditure of bond proceeds and its progress in completing the projects specified in the measure, and to make periodic reports to the public in order to ensure that bond funds are spent only for authorized purposes. At their January 20, 2015 meeting, the Board combined the Measure B and Measure K oversight committees and incorporated responsibility for oversight of the 2014 Measure J parcel tax into one committee named "Fremont Union High School District's Bond and Parcel Tax Citizens' Oversight Committee". The committee is comprised of community members representing the business community within the District, senior citizens organization, taxpayers organization, parent or guardian of a child enrolled in the District, parent or guardian of a child enrolled in the District who is active in a parent-teacher organization and the public at large. Members are appointed for two year terms.

REPORTING THE DISTRICT AS A WHOLE

The Statement of Net Position and the Statement of Activities

The *Statement of Net Position* and the *Statement of Activities* report information about the District as a whole and about its activities. These statements include all assets and liabilities of the District using the accrual basis of accounting, which is similar to the accounting used by most private-sector companies. All of the current year's revenues and expenses are taken into account regardless of when cash is received or paid.

These two statements report the District's net position and changes in it. Net position is the difference between assets and liabilities, and is one way to measure the District's financial health, or financial position. Over time, increases or decreases in the District's net position are one indicator of whether its financial health is improving or deteriorating. Other factors to consider are changes in the District's property tax base and the condition of the District's facilities.

The relationship between revenues and expenses is shown in the District's operating results. Since the Board's responsibility is to provide services to students and not to generate profit as commercial entities do, one must consider other factors when evaluating the overall health of the District. The quality of education and the safety of our schools will be important components in this evaluation.

In the *Statement of Net Position* and the *Statement of Activities*, we include the District activities as follows:

Governmental Activities - All of the District's services are reported in this category. This includes the education of ninth through twelfth grade students, adult education students, the operation of child development activities, and the on-going effort to improve and maintain buildings and sites. Property taxes, state income taxes, user fees, interest income, Federal, state, and local grants, as well as general obligation bonds, finance these activities.

FREMONT UNION HIGH SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS JUNE 30, 2018

REPORTING THE DISTRICT'S MOST SIGNIFICANT FUNDS

Fund Financial Statements

The fund financial statements provide detailed information about the most significant funds – not the District as a whole. Some funds are required to be established by State law and by bond covenants. However, management establishes many other funds to help it control and manage money for particular purposes or to show that it is meeting legal responsibilities for using certain taxes, grants, and other money that it receives from the U.S. and California Departments of Education.

Governmental Funds - Most of the District's basic services are reported in governmental funds, which focus on how money flows into and out of those funds and the balances left at year-end that are available for spending. These funds are reported using an accounting method called modified accrual accounting, which measures cash and all other financial assets that can readily be converted to cash. The governmental fund statements provide a detailed short-term view of the District's general government operations and the basic services it provides. Governmental fund information helps determine whether there are more or fewer financial resources that can be spent in the near future to finance the District's programs. The differences in results between the governmental fund financial statements to those in the government-wide financial statements are explained in a reconciliation following each governmental fund financial statement.

Proprietary Funds - When the District charges users for the services it provides, whether to outside customers or to other departments within the District, these services are generally reported in proprietary funds. Proprietary funds are reported in the same way that all activities are reported in the *Statement of Net Position* and the *Statement of Revenues, Expenses and Changes in Fund Net Position*. We use internal service funds (a type of proprietary funds) to report activities that provide supplies and services for the District's other programs and activities - such as the District's Self-Insurance Fund. The internal service funds are reported with governmental activities in the government-wide financial statements.

THE DISTRICT AS TRUSTEE

Reporting the District's Fiduciary Responsibilities

The District is the trustee, or fiduciary, for funds held on behalf of others, such as the funds for associated student body activities. The District's fiduciary activities are reported in the *Statements of Fiduciary Net Position*.

These activities are excluded from the District's other financial statements because the District cannot use these assets to finance its operations. The District is responsible for ensuring that the assets reported in these funds are used for their intended purposes.

FREMONT UNION HIGH SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS JUNE 30, 2018

THE DISTRICT AS A WHOLE

Net Position

The District's net position was \$70.62 million for the fiscal year ended June 30, 2018. Of this amount, \$64.61 million deficit was unrestricted. Restricted net position is reported separately to show legal constraints from debt covenants and enabling legislation that limit the School Board's ability to use the net position for day-to-day operations. The analysis below focuses on net position (Table 1) and the change in net position (Table 2) of the District's governmental activities.

TABLE 1

(Amounts in millions)	2017	2018	CHANGE
Current and other assets	\$ 307.41	\$ 234.09	\$ (73.32)
Capital assets	389.29	455.61	66.32
Total Assets	696.70	689.70	(7.00)
Deferred outflow or resources	45.16	61.96	16.80
Current liabilities	18.46	25.16	6.70
Long-term liabilities	656.81	649.69	(7.12)
Total Liabilities	675.27	674.85	(0.42)
Deferred inflow or resources	3.64	6.19	2.55
Net Position			
Net investment in capital assets	67.15	90.44	23.29
Restricted	54.72	44.79	(9.93)
Unrestricted: excluding pension activities	53.11	96.35	43.24
Unrestricted: related to pension activities	(112.03)	(160.96)	(48.93)
Total Net Position	\$ 62.95	\$ 70.62	\$ 7.67

The \$96.35 million and negative \$160.96 million in unrestricted net position of governmental activities represents the accumulated results of all past years' operations. It means that if the District had to pay off all of its bills today including all of its non-capital liabilities (compensated absences and pension liability as examples), there would be \$70.62 million. The total unrestricted deficit amount of \$64.61 million is the result of adaption of GASB statement No. 68, *Accounting and Financial Reporting for Pension*, by the District. Though listed as unrestricted for purposes of this report, the \$96.35 million is committed or assigned to various programs of the District.

FREMONT UNION HIGH SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS JUNE 30, 2018

Changes in Net Position

The results of this year's operations for the District as a whole are reported in the *Statement of Activities* on page 16. Table 2 takes the information from the Statement, rounds off the numbers, and rearranges them slightly so you can see the total revenues for the year.

TABLE 2

(Amounts in millions)

<u>REVENUES</u>	<u>2017</u>	<u>2018</u>	<u>CHANGE</u>
Program revenues:			
Charges for services	\$ 0.29	\$ 0.13	\$ (0.16)
Operating grants and contributions	12.12	16.24	4.12
Federal and state sources	10.86	9.87	(0.99)
Property taxes	153.03	167.05	14.02
Other general revenue	14.15	14.00	(0.15)
Total Revenues	190.45	207.29	16.84
<u>EXPENSES</u>			
Instruction	97.97	107.44	9.47
Instruction-related services	27.62	28.14	0.52
Pupil services	19.94	22.01	2.07
General administration	9.56	9.28	(0.28)
Plant services	13.21	14.68	1.47
Ancillary services	0.45	0.40	(0.05)
Community services	0.0	0.01	0.01
Enterprise services	0.0	0.22	0.22
Interest on long-term debt	16.27	17.39	1.12
Other outgo	0.02	0.03	0.01
Total Expenditures	185.04	199.60	14.56
NET CHANGE IN POSITION	\$ 5.41	\$ 7.69	\$ 2.28

Governmental Activities

As reported in the Statement of Activities on page 16 the cost of all governmental activities this year was \$199.60 million. However, the amount that the taxpayers ultimately financed for these activities through local taxes was \$167.05 million because the cost was paid by those who benefited from the programs or by other governments and organizations who subsidized certain programs with grants and contributions (\$16.24 million). The District paid for the remaining "public benefit" portion of our governmental activities with \$24.00 million in state revenue limit sources, State funds and with other revenues, such as interest and general entitlements.

FREMONT UNION HIGH SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS JUNE 30, 2018

In Table 3, we have presented the cost and net cost of each of the District's largest functions: instruction including, special instruction programs and other instructional programs, pupil services, administration, plant services, and all other services. As discussed above, net cost shows the financial burden that was placed on the District's taxpayers by each of these functions. Providing this information allows our citizens to consider the cost of each function in comparison to the benefits they believe are provided by that function.

TABLE 3

(Amounts in millions)	<u>2017</u>	<u>2018</u>	<u>CHANGE</u>
Instruction	\$ 91.29	\$ 99.53	\$ 8.24
Instruction-related services:			
Supervision of instruction	4.95	6.09	1.14
Instructional library, media and technology	2.70	2.88	0.18
School administration	18.42	17.84	(0.58)
Pupil services:			
Home-to-school transportation	2.92	2.87	(0.05)
Food services	2.88	3.11	0.23
All other pupil services	11.81	13.45	1.64
General administration:			
Data processing	0.50	0.51	0.01
All other general administration	8.65	8.35	(0.30)
Plant services	13.18	14.67	1.49
Ancillary services	0.45	0.40	(0.05)
Community services	0.01	0.01	-
Enterprise services	-	0.22	0.22
Interest on long-term debt	16.27	17.39	1.12
Other outgo	(1.40)	(4.09)	(2.69)
TOTAL NET COST	<u>\$ 172.63</u>	<u>\$ 183.23</u>	<u>\$ 10.60</u>

Other General Administration activities include fiscal services, personnel services, and central support services. This category includes attendance recording and reporting activities performed at the District level. This category also includes all other costs of property or general liability insurance not charged to a specific function. In addition, the costs of assistant superintendents for instruction or equivalent positions having first-line responsibility for instructional administration and for participation in district/county policy may be charged as follows:

- 50 percent to Instructional Supervision and Administration (Function 2100).
- 50 percent to Other General Administration (Function 7200).

FREMONT UNION HIGH SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS

JUNE 30, 2018

THE DISTRICT'S FUNDS

As the District completed this year, governmental funds had a reported combined fund balance of \$215.67 million, which is a decrease of \$78.52 million from last year.

The primary reasons for these changes are:

- a) The General Fund is the principal operating fund. The fund balance in the General Fund decreased from \$31.68 million to \$29.02 million. This decrease was a combination of an ongoing salary increase of about 2.2% for all three units, spent down site carryover and one-time restricted revenues.
- b) The Building fund showed a decrease from \$201.43 million to \$133.04 million. This was primarily due to the activities on the construction funded by Measure K bonds.
- c) The Bond Interest and Redemption fund decreased from \$46.89 million to \$36.21 million. This was primarily due to a decrease in funds set aside for future debt redemption associated with the new bond sale.

General Fund Budgetary Highlights

The Education Code requires that all school districts adopt a budget by July 1, and then twice a year submit to their County Offices of Education interim financial reports. These first and second interim reports reflect the status of district finances as of October 31 and January 31. Year-end actuals are submitted by September 15.

Significant revenue and expenditure revisions to the 2018-2019 budgets were made. This is primarily due to property tax increases, salary increases and school site carryover from 2017-2018 at the time of budget adoption.

Over the course of the year, the District revises its budget as it attempts to deal with unexpected changes in revenues and expenditures. The final amendment to the budget was adopted on June 06, 2017. (A schedule showing the District's original and final budget amounts compared with amounts actually paid and received is provided in our annual report on page 68).

- Significant revenue revisions made to the 2017-2018 budget were due to STRS on-behalf rate increase.
- Significant expenditure revisions made to the 2017-2018 budget were due to the bargaining settlement reached during 2017-2018: 2.48% increased for FEA, 2.24% for CSEA, and 2.21% for FMA (Fremont Management Association).
- Decreases in books and supplies categories due to carryovers of departments and school sites to be budgeted in 2017-2018 fiscal year.

FREMONT UNION HIGH SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS JUNE 30, 2018

CAPITAL ASSET AND DEBT ADMINISTRATION

Capital Assets

At June 30, 2018, the District had \$455.62 million in a broad range of capital assets, including land, buildings, and furniture and equipment. This amount represents a net increase (including additions, depreciation and disposal) of \$66.33 million from last year.

TABLE 4

(Amounts in millions)	Governmental Activities		
	2017	2018	CHANGE
Land	\$ 1.96	\$ 1.96	\$ -
Construction in progress	45.60	79.84	34.24
Buildings and improvements	414.37	454.69	40.32
Furniture and equipment	7.73	9.15	1.42
Total Assets	469.66	545.64	75.98
Less Accumulated Depreciation	(80.37)	(90.02)	(9.65)
Totals	\$ 389.29	\$ 455.62	\$ 66.33

This year's additions included school modernization of \$74.56 million, and equipment of \$1.42 million. Several capital projects are planned for completion in the 2018-2019 year. More information about our capital assets is presented in Note 4 to the financial statements.

Long-Term Obligations

At the end of this year, the District had \$649.70 million in long-term debt outstanding versus \$656.82 million last year, a decrease of 1.08%.

TABLE 5

(Amounts in millions)	Governmental Activities		
	2017	2018	CHANGE
General obligation bonds and premiums	\$ 500.27	\$ 469.00	\$ (31.27)
Compensated absences	1.48	1.52	0.04
Sub-total	501.75	470.52	(31.23)
Net pension liabilities	139.26	160.96	21.70
Net postemployment benefit liabilities	15.81	18.22	2.41
Totals	\$ 656.82	\$ 649.70	\$ (7.12)

The District's general obligation bond rating is Aaa (based on Moody's Investor Services) and AAA (based on Standard and Poor's). The State limits the amount of general obligation debt that the District can issue. The District's outstanding general obligation bond debt of \$469.00 million is below this limit. Other obligations include compensated absences payable. More detailed information is presented in Note 10 of the financial statements.

FREMONT UNION HIGH SCHOOL DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS

JUNE 30, 2018

The District has an estimated liability of \$18.22 million for OPEB (Other Post-Employment Benefits). During fiscal year 2006-2007 the District established an irrevocable trust with American United Life that is administered by MidAmerica to fund this liability. The trust had a restricted fund balance of \$7.23 million at June 30, 2018. The formation of this irrevocable trust protects the funds set aside for retiree benefits and was an important element to the District being an early adopter of GASB 45, implementing the requirements three years ahead of schedule. During fiscal year 2016-2017, the District adopted GASB 74, and as the result, restated the liability for OPEB at June 30, 2016 from \$12.89 to \$13.54. More detailed information is presented in Note 15 of the financial statements

GASB Statements No. 68 and No. 71 introduce new requirements for accrual-basis recognition by state and local governments of employer costs and obligations for pensions. Under the new accounting standards, if the present value of benefits earned by all employees participating in the CalSTRS and CalPERS pension plan exceeds the resources accumulated by the pension plan to benefits, LEAs must now report in their government wide financial statements their proportionate share of the plan's net pension liability. At present, both CalSTRS and CalPERS have a net pension liability. The district implemented GASB Statement No. 68 and No. 71 for the fiscal year ended June 30, 2015. (See Note 14 to the accompanying financial statements).

ECONOMIC FACTORS AND NEXT YEAR'S BUDGETS AND RATES

The District's 2018-2019 Budget

District Administration is projecting that its financial position will improve for the 2018-2019 budget. The State enacted the Local Control Funding Formula (LCFF) to replace revenue limits and most categorical programs, commencing in 2018-2019. This is the most sweeping reform of the state's school finance system since the enactment of Senate Bill 90 in the early 1970's, the Legislature's response to the landmark Serrano court decision.

Based upon our most recent demographic report, District enrollment is expected to increase by a total of 20 students in the next 3 years. Long term projections show a gradual decrease in enrollment from 2021-2025. However, the continued escalating costs of housing and development in our District, long term projections are difficult to assess.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide our citizens, taxpayers, students, investors and creditors with a general overview of the District's finances and to show the District's accountability for the money it receives. If you have questions about this report or need any additional financial information, contact the office of Christine Mallery, Chief Business Officer/Associate Superintendent, at the Fremont Union High School District, 589 W. Fremont Avenue, Sunnyvale, California, (408) 522-2245.

FREMONT UNION HIGH SCHOOL DISTRICT

STATEMENT OF NET POSITION JUNE 30, 2018

	Governmental Activities
ASSETS	
Deposits and investments	\$ 229,465,454
Receivables	4,223,712
Prepaid expenses	381,415
Stores inventories	18,142
Capital assets not depreciated	81,797,094
Capital assets, net of accumulated depreciation	373,818,948
Total Assets	<u>689,704,765</u>
DEFERRED OUTFLOWS OF RESOURCES	
Deferred charge on refunding	13,687,900
Deferred outflows of resources related to pensions	48,108,221
Deferred outflows of resources related to OPEB	164,976
Total Deferred Outflows of Resources	<u>61,961,097</u>
LIABILITIES	
Accounts payable	15,421,042
Interest payable	7,690,637
Unearned revenue	1,802,580
Claims liability	244,992
Long-term obligations:	
Current portion of long-term obligations other than pensions	24,278,376
Noncurrent portion of long-term obligations other than pensions	446,243,898
Aggregate net pension liability	160,959,349
Net other postemployment benefit (OPEB) liability	18,215,455
Total Liabilities	<u>674,856,329</u>
DEFERRED INFLOWS OF RESOURCES	
Deferred inflows of resources related to pensions	6,187,105
Total Deferred Inflows of Resources	<u>6,187,105</u>
NET POSITION	
Net investment in capital assets	90,447,026
Restricted for:	
Debt service	28,522,608
Capital projects	9,298,385
Educational programs	5,892,972
Scholarship	106,983
Self insurance	949,027
Food programs	18,517
Unrestricted	(64,613,090)
Total Net Position	<u>\$ 70,622,428</u>

The accompanying notes are an integral part of these financial statements.

FREMONT UNION HIGH SCHOOL DISTRICT

STATEMENT OF ACTIVITIES FOR THE YEAR ENDED JUNE 30, 2018

Functions/Programs	Expenses	Program Revenues		Net (Expenses) Revenues and Changes in Net Position
		Charges for Services and Sales	Operating Grants and Contributions	Governmental Activities
Governmental Activities:				
Instruction	\$ 107,439,815	\$ 6,521	\$ 7,899,888	\$ (99,533,406)
Instruction-related activities:				
Supervision of instruction	6,601,760	556	506,565	(6,094,639)
Instructional library, media, and technology	2,917,394	-	34,934	(2,882,460)
School site administration	18,633,708	1,110	797,199	(17,835,399)
Pupil services:				
Home-to-school transportation	2,868,205	-	715	(2,867,490)
Food services	3,819,606	-	712,145	(3,107,461)
All other pupil services	15,317,454	-	1,869,699	(13,447,755)
Administration:				
Data processing	512,913	-	-	(512,913)
All other administration	8,763,505	85	413,202	(8,350,218)
Plant services	14,683,628	-	11,298	(14,672,330)
Ancillary services	401,784	-	-	(401,784)
Community services	12,222	-	-	(12,222)
Enterprise services	223,183	-	-	(223,183)
Interest on long-term obligations	17,387,097	-	-	(17,387,097)
Other outgo	15,854	119,771	3,990,521	4,094,438
Total Governmental Activities	\$ 199,598,128	\$ 128,043	\$ 16,236,166	(183,233,919)
General revenues:				
				127,248,388
Property taxes, levied for general purposes				34,460,679
Property taxes, levied for debt service				5,331,397
Taxes levied for other specific purposes				9,866,534
Federal and State aid not restricted to specific purposes				1,019,252
Interest and investment earnings				12,984,291
Miscellaneous				
Subtotal, General Revenues				190,910,541
Change in Net Position				7,676,622
Net Position - Beginning				62,945,806
Net Position - Ending				\$ 70,622,428

The accompanying notes are an integral part of these financial statements.

FREMONT UNION HIGH SCHOOL DISTRICT

GOVERNMENTAL FUNDS

BALANCE SHEET

JUNE 30, 2018

	General Fund	Building Fund	Bond Interest and Redemption Fund
ASSETS			
Deposits and investments	\$ 32,020,220	\$ 143,881,952	\$ 36,112,325
Receivables	2,533,990	1,063,793	100,920
Due from other funds	190,974	743,473	-
Prepaid expenditures	240,979	-	-
Stores inventories	-	-	-
Total Assets	<u>\$ 34,986,163</u>	<u>\$ 145,689,218</u>	<u>\$ 36,213,245</u>
LIABILITIES AND FUND BALANCES			
Liabilities:			
Accounts payable	\$ 2,827,974	\$ 12,486,487	\$ -
Due to other funds	1,636,364	-	-
Unearned revenue	1,503,984	160,680	-
Total Liabilities	<u>5,968,322</u>	<u>12,647,167</u>	<u>-</u>
Fund Balances:			
Nonspendable	255,982	-	-
Restricted	5,833,324	90,144,091	36,213,245
Committed	11,038,183	-	-
Assigned	6,659,806	42,897,960	-
Unassigned	5,230,546	-	-
Total Fund Balances	<u>29,017,841</u>	<u>133,042,051</u>	<u>36,213,245</u>
Total Liabilities and Fund Balances	<u>\$ 34,986,163</u>	<u>\$ 145,689,218</u>	<u>\$ 36,213,245</u>

The accompanying notes are an integral part of these financial statements.

Non-Major Governmental Funds	Total Governmental Funds
\$ 16,470,324	\$ 228,484,821
521,027	4,219,730
819,794	1,754,241
4,129	245,108
18,142	18,142
<u>\$ 17,833,416</u>	<u>\$ 234,722,042</u>

\$ 106,581	\$ 15,421,042
190,974	1,827,338
137,916	1,802,580
<u>435,471</u>	<u>19,050,960</u>
22,646	278,628
9,460,887	141,651,547
7,914,412	18,952,595
-	49,557,766
-	5,230,546
<u>17,397,945</u>	<u>215,671,082</u>
<u>\$ 17,833,416</u>	<u>\$ 234,722,042</u>

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FREMONT UNION HIGH SCHOOL DISTRICT

RECONCILIATION OF THE GOVERNMENTAL FUNDS BALANCE SHEET TO THE STATEMENT OF NET POSITION JUNE 30, 2018

Total Fund Balance - Governmental Funds **\$ 215,671,082**

Amounts Reported for Governmental Activities in the Statement of Net Position
are Different Because:

Capital assets used in governmental activities are not financial resources and,
therefore, are not reported as assets in governmental funds.

The cost of capital assets is:	545,637,156	
Accumulated depreciation is:	<u>(90,021,114)</u>	
Net Capital Assets		455,616,042

Deferred charges on refunding related to the loss on refunding of debt
which is classified as a deferred outflow of resources and expensed over
the life of the debt on the government-wide financial statements, but was
recorded as an expenditure in the governmental fund statements when
the debt was issued. 13,687,900

In governmental funds, unmatured interest on long-term obligations is
recognized in the period when it is due. On the government-wide financial
statements, unmatured interest on long-term obligations is recognized when
it is incurred. (7,690,637)

An internal service fund is used by the District's management to charge the
costs of the workers' compensation insurance program to the individual
funds. The assets and liabilities of the internal service fund are included
with governmental activities. 949,027

Deferred outflows of resources related to OPEB represent a
consumption of net position in a future period and is not reported in
the District's funds. 164,976

Deferred outflows (inflows) of resources related to pension represent a
consumption (credit) of net position in a future period and is not reported in
the District's funds. 41,921,116

Certain liabilities are not due and payable in the current period and therefore
are not reported in the governmental funds:

Bonds payable	(435,114,467)
Bonds premium	(33,886,540)
Compensated absences (vacations)	(1,521,267)
Net OPEB Liability	(18,215,455)
Net pension Liability	<u>(160,959,349)</u>

Total Net Position - Governmental Activities **\$ 70,622,428**

The accompanying notes are an integral part of these financial statements.

FREMONT UNION HIGH SCHOOL DISTRICT

GOVERNMENTAL FUNDS

STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES FOR THE YEAR ENDED JUNE 30, 2018

	General Fund	Building Fund
REVENUES		
Local control funding formula	\$ 129,640,260	\$ -
Federal sources	2,857,797	-
Other State sources	12,009,256	13,045
Other local sources	8,656,828	6,932,122
Total Revenues	<u>153,164,141</u>	<u>6,945,167</u>
EXPENDITURES		
Current		
Instruction	94,154,026	-
Instruction-related activities:		
Supervision of instruction	5,811,268	-
Instructional library, media and technology	2,579,171	-
School site administration	14,052,965	-
Pupil services:		
Home-to-school transportation	2,552,624	-
Food services	-	-
All other pupil services	13,632,112	-
Administration:		
Data processing	456,478	-
All other administration	7,611,320	-
Plant services	11,903,341	307,717
Ancillary services	357,576	-
Community services	10,877	-
Other outgo	15,854	-
Capital Outlays	635,586	75,880,070
Debt service		
Principal	-	-
Interest and other	-	-
Total Expenditures	<u>153,773,198</u>	<u>76,187,787</u>
Excess (Deficiency) of Revenues Over Expenditures	<u>(609,057)</u>	<u>(69,242,620)</u>
Other Financing Sources (Uses)		
Transfers in	-	853,819
Transfers out	(2,050,315)	-
Net Financing Sources (Uses)	<u>(2,050,315)</u>	<u>853,819</u>
NET CHANGE IN FUND BALANCES	<u>(2,659,372)</u>	<u>(68,388,801)</u>
Fund Balance - Beginning	31,677,213	201,430,852
Fund Balance - Ending	<u>\$ 29,017,841</u>	<u>\$ 133,042,051</u>

The accompanying notes are an integral part of these financial statements.

Bond Interest and Redemption Fund	Non-Major Governmental Funds	Total Governmental Funds
\$ -	\$ 767,602	\$ 130,407,862
966,069	1,027,757	4,851,623
113,921	2,957,088	15,093,310
34,635,228	5,524,207	55,748,385
<u>35,715,218</u>	<u>10,276,654</u>	<u>206,101,180</u>
-	1,464,447	95,618,473
-	64,116	5,875,384
-	17,229	2,596,400
-	2,530,521	16,583,486
-	-	2,552,624
-	3,399,344	3,399,344
-	-	13,632,112
-	-	456,478
-	290,915	7,902,235
-	353,128	12,564,186
-	-	357,576
-	-	10,877
-	-	15,854
-	75,529	76,591,185
29,920,000	-	29,920,000
16,469,768	-	16,469,768
<u>46,389,768</u>	<u>8,195,229</u>	<u>284,545,982</u>
<u>(10,674,550)</u>	<u>2,081,425</u>	<u>(78,444,802)</u>
-	1,123,399	1,977,218
-	-	(2,050,315)
-	1,123,399	(73,097)
<u>(10,674,550)</u>	<u>3,204,824</u>	<u>(78,517,899)</u>
<u>46,887,795</u>	<u>14,193,121</u>	<u>294,188,981</u>
<u>\$ 36,213,245</u>	<u>\$ 17,397,945</u>	<u>\$ 215,671,082</u>

FREMONT UNION HIGH SCHOOL DISTRICT

RECONCILIATION OF THE GOVERNMENTAL FUNDS STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES TO THE STATEMENT OF ACTIVITIES FOR THE YEAR ENDED JUNE 30, 2018

Total Net Change in Fund Balances - Governmental Funds **\$ (78,517,899)**

Amounts Reported for Governmental Activities in the Statement of
Activities are Different Because:

Capital outlay to purchase or build capital assets are reported in governmental funds as expenditures; however, for governmental activities, those costs are shown in the statement of net position and allocated over their estimated useful lives as annual depreciation expenses in the statement of activities. This is the amount by which capital outlays exceeds depreciation in the period.

Capital outlays	77,493,444
Depreciation expense	(9,700,337)
Net Expense Adjustment	<u>67,793,107</u>

Gain or loss on disposal of capital assets is recorded on a cash basis of accounting in the governmental funds. However, in the statement of activities, the related gain or loss is accounted on a full accrual basis of accounting.

(1,468,388)

Deferred refunding finance charge is an expense on the statement of activities but is not recorded on the governmental funds.

(605,923)

In the statement of activities, certain operating expenses, such as compensated absences (vacations) are measured by the amounts earned during the year. In the governmental funds, however, expenditures for these items are measured by the amount of financial resources used (essentially, the amounts actually paid). Vacation earned was more than the amounts used.

(43,239)

In the governmental funds, pension costs are based on employer contributions made to pension plans during the year. However, in the statement of activities, pension expense is the net effect of all changes in the deferred outflows, deferred inflows and net pension liability during the year.

(7,005,270)

The accompanying notes are an integral part of these financial statements.

FREMONT UNION HIGH SCHOOL DISTRICT

RECONCILIATION OF THE GOVERNMENTAL FUNDS STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES TO THE STATEMENT OF ACTIVITIES, Continued FOR THE YEAR ENDED JUNE 30, 2018

In the governmental funds, OPEB costs are based on employer contributions made to pension plans during the year. However, in the statement of activities, OPEB expense is the net effect of all changes in the deferred outflows, deferred inflows and net OPEB liability during the year.	(2,243,285)
Amortization of bond premiums reduce long-term obligations in the statement of net position and is recorded in the statement of activities as revenue, but does not affect the governmental funds.	1,687,110
Accreted interest is not an expenditure in the governmental funds, but it increases the long-term liabilities in the statement of net position and is relected as additional interest expense in the statement of activities.	(342,432)
Payment of principal on long-term obligations is an expenditure in the governmental funds, but it reduces long-term obligations in the statement of net position and does not affect the statement of activities.	29,920,000
Interest on long-term obligations is recorded as an expenditure in the funds when it is due; however, in the statement of activities, interest expense is recognized as the interest accrues, regardless of when it is due.	(1,656,084)
An internal service fund is used by the District's management to charge the costs of the self-insurance program to the individual funds. The net income of the Internal Service fund is reported with governmental activities.	158,925
Change in Net Position of Governmental Activities	\$ 7,676,622

The accompanying notes are an integral part of these financial statements.

FREMONT UNION HIGH SCHOOL DISTRICT

PROPRIETARY FUND STATEMENT OF NET POSITION JUNE 30, 2018

	Governmental Activities - Internal Service Fund
ASSETS	
Current Assets	
Deposits and investments	\$ 980,633
Receivables	3,982
Due from other funds	73,097
Prepaid expenses	136,307
Total Current Assets	<u>1,194,019</u>
LIABILITIES	
Noncurrent Liabilities	
Claims liability	<u>244,992</u>
Total Liabilities	<u>244,992</u>
NET POSITION	
Restricted for insurance programs	<u><u>\$ 949,027</u></u>

The accompanying notes are an integral part of these financial statements.

FREMONT UNION HIGH SCHOOL DISTRICT

PROPRIETARY FUND

STATEMENT OF REVENUES, EXPENSES, AND CHANGES

IN NET POSITION

FOR THE YEAR ENDED JUNE 30, 2018

	Governmental Activities - Internal Service Fund
OPERATING REVENUES	
In-District premium	\$ 2,397,528
OPERATING EXPENSES	
Professional and contract services	2,320,498
Operating Income	77,030
NONOPERATING REVENUES	
Interest income	8,798
Transfers in	73,097
Change in Net Position	158,925
Total Net Position - Beginning	790,102
Total Net Position - Ending	\$ 949,027

The accompanying notes are an integral part of these financial statements.

FREMONT UNION HIGH SCHOOL DISTRICT

PROPRIETARY FUND STATEMENT OF CASH FLOWS FOR THE YEAR ENDED JUNE 30, 2018

	Governmental Activities - Internal Service Fund
CASH FLOWS FROM OPERATING ACTIVITIES	
Cash received from user charges	\$ 2,479,783
Cash payments for insurance claims	(2,213,765)
Net Cash Provided By Operating Activities	<u>266,018</u>
CASH FLOWS FROM INVESTING ACTIVITIES	
Interest on investments	6,470
Cash received from assessments made to other funds	73,097
Net Cash Provided by Investing Activities	<u>79,567</u>
Net increase in cash and cash equivalents	345,585
Cash and cash equivalents - Beginning	635,048
Cash and cash equivalents - Ending	<u><u>\$ 980,633</u></u>
RECONCILIATION OF OPERATING INCOME TO NET CASH USED BY OPERATING ACTIVITIES	
Operating income	\$ 77,030
Changes in assets and liabilities:	
Due from other fund	82,255
Prepaid expenses	110,469
Accrued liabilities	(3,736)
Net Cash Provided By Operating Activities	<u><u>\$ 266,018</u></u>

The accompanying notes are an integral part of these financial statements.

FREMONT UNION HIGH SCHOOL DISTRICT

FIDUCIARY FUNDS

STATEMENT OF NET POSITION

JUNE 30, 2018

	Retiree Benefits Trust	Agency Funds
ASSETS		
Deposits and investments	\$ 7,329,562	\$ 2,538,829
Receivables	512	-
Total Assets	<u>7,330,074</u>	<u>2,538,829</u>
LIABILITIES		
Accounts payable	100,000	-
Due to student groups	-	2,538,829
Total Liabilities	<u>100,000</u>	<u>\$ 2,538,829</u>
NET POSITION		
Restricted for postemployment benefits	<u>\$ 7,230,074</u>	

The accompanying notes are an integral part of these financial statements.

FREMONT UNION HIGH SCHOOL DISTRICT

FIDUCIARY FUNDS STATEMENT OF CHANGES IN NET POSITION FOR THE YEAR ENDED JUNE 30, 2018

	Retiree Benefits Trust
ADDITIONS	
Employer contributions	\$ 1,007,957
Investment income	107,212
Total Additions	<u>1,115,169</u>
DEDUCTIONS	
Benefit payments	<u>1,189,521</u>
Total Deductions	
Change in Net Position	(74,352)
Net Position - Beginning	<u>7,304,426</u>
Net Position - Ending	<u><u>\$ 7,230,074</u></u>

The accompanying notes are an integral part of these financial statements.

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Financial Reporting Entity

The Fremont Union High School District was organized in 1925 under the laws of the State of California. The District operates under a locally elected five-member Board form of government and provides educational services to grades 9-12 as mandated by the State and Federal agencies. The District operates five high schools, one alternative high school, one adult, and one independent study school.

A reporting entity is comprised of the primary government, component units, and other organizations that are included to ensure the financial statements are not misleading. The primary government of the District consists of all funds, departments, boards, and agencies that are not legally separate from the District. For Fremont Union High School District, this includes general operations, food service, and student related activities of the District.

Basis of Presentation - Fund Accounting

The accounting system is organized and operated on a fund basis. A fund is defined as a fiscal and accounting entity with a self-balancing set of accounts, which are segregated for the purpose of carrying on specific activities or attaining certain objectives in accordance with special regulations, restrictions, or limitations. The District's funds are grouped into three broad fund categories: governmental, proprietary and fiduciary.

Governmental Funds Governmental funds are those through which most governmental functions typically are financed. Governmental fund reporting focuses on the sources, uses, and balances of current financial resources. Expendable assets are assigned to the various governmental funds according to the purposes for which they may or must be used. Current liabilities are assigned to the fund from which they will be paid. The difference between governmental fund assets and liabilities is reported as fund balance. The following are the District's major and non-major governmental funds:

Major Governmental Funds

General Fund The General Fund is the chief operating fund for all districts. It is used to account for and report all financial resources not accounted for reported in another fund.

Building Fund The Building Fund exists primarily to account separately for proceeds from sale of bonds and acquisition of major governmental capital facilities and buildings.

Bond Interest and Redemption Fund The Bond Interest and Redemption Fund is used to account for the accumulation of resources for, and the repayment of, district bonds, interest, and related costs.

Non-Major Governmental Funds

Special Revenue Funds The Special Revenue funds are used to account for the proceeds from specific revenue sources (other than trusts, major capital projects, or debt service) that are restricted or committed to the financing of particular activities, that compose a substantial portion of the inflows of the fund, and that are reasonably expected to continue. Additional resources that are restricted, committed, or assigned to the purpose of the fund may also be reported in the fund.

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

Adult Education Fund The Adult Education Fund is used to account separately for Federal, State, and local revenues for adult education programs and is to be expended for adult education purposes only, except, for State revenues which, as a result of Senate Bill 4 of the 2009-10 Third Extraordinary Session (SBX3 4), may be used for any educational purpose.

Cafeteria Fund The Cafeteria Fund is used to account separately for Federal, State, and local resources to operate the food service program (*Education Code* Sections 38090-38093) and is used only for those expenditures authorized by the governing board as necessary for the operation of the District's food service program (*Education Code* Sections 38091 and 38100).

Deferred Maintenance Fund The Deferred Maintenance Fund is used to account separately for revenues that are restricted or committed for deferred maintenance purposes (*Education Code* Section 17582).

Permanent Funds The Permanent funds were introduced as part of the governmental financial reporting model established by GASB Statement No. 34 to account for permanent foundations that benefit a district.

Special Reserve Foundation Fund The Special Reserve Foundation Fund is used to account resources received from gifts or bequests pursuant to *Education Code* Section 41031 under which both earnings and principal may be used for purposes that support the LEA's own programs and where there is a formal trust agreement with the donor.

Capital Project Funds The Capital Project funds are used to account for financial resources that are restricted, committed, or assigned to the acquisition or construction of major capital facilities and other capital assets (other than those financed by proprietary funds and trust funds).

Capital Facilities Fund The Capital Facilities Fund is used primarily to account separately for monies received from fees levied on developers or other agencies as a condition of approving a development (*Education Code* Sections 17620-17626). Expenditures are restricted to the purposes specified in *Government Code* Sections 65970-65981 or to the items specified in agreements with the developer (*Government Code* Section 66006).

County School Facilities Fund The County School Facilities Fund is established pursuant to *Education Code* Section 17070.43 to receive apportionments from the 1998 State School Facilities Fund (Proposition 1A), the 2002 State School Facilities Fund (Proposition 47), the 2004 State School Facilities Fund (Proposition 55), or the 2006 State Schools Facilities Fund (Proposition 1D) authorized by the State Allocation Board for new school facility construction, modernization projects, and facility hardship grants, as provided in the Leroy F. Greene School Facilities Act of 1998 (*Education Code* Section 17070 et seq.).

Proprietary Funds Proprietary funds are used to account for activities that are more business-like than government-like in nature. Business-type activities include those for which a fee is charged to external users or to other organizational units of the local education agency, normally on a full cost-recovery basis. Proprietary funds are generally intended to be self-supporting and are classified as enterprise or internal service.

Internal Service Fund Internal service funds may be used to account for goods or services provided to other funds of the District on a cost reimbursement basis. The District operates a workers' compensation, dental, vision, and property and liability programs that are accounted for in an internal service fund.

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

Fiduciary Funds Fiduciary funds are used to account for assets held in trustee or agent capacity for others that cannot be used to support the District's own programs. The fiduciary fund category is split into four classifications: pension trust funds, investment trust funds, private-purpose trust funds, and agency funds. The key distinction between trust and agency funds is that trust funds are subject to a trust agreement that affects the degree of management involvement and the length of time that the resources are held.

Trust funds are used to account for the assets held by the District under a trust agreement for individuals, private organizations, or other governments and are therefore, not available to support the District's own programs. The District's trust funds include the Retiree Benefits fund. Agency funds are custodial in nature (assets equal liabilities) and do not involve measurement of results of operations. Such funds have no equity accounts since all assets are due to individuals or entities at some future time. The District's trust fund accounts for contribution and payments related to retiree benefit activities and agency fund accounts for student body activities (ASB).

Basis of Accounting - Measurement Focus

Government-Wide Financial Statements The government-wide financial statements are prepared using the economic resources measurement focus and the accrual basis of accounting. This is the same approach used in the preparation of the proprietary fund financial statements, but differs from the manner in which governmental fund financial statements are prepared.

The government-wide statement of activities presents a comparison between expenses, both direct and indirect, and program revenues of the District and for each governmental function, and exclude fiduciary activity. Direct expenses are those that are specifically associated with a service, program, or department and are therefore, clearly identifiable to a particular function. The District does not allocate indirect expenses to functions in the Statement of Activities, except for depreciation. Program revenues include charges paid by the recipients of the goods or services offered by the programs and grants and contributions that are restricted to meeting the operational or capital requirements of a particular program. Revenues that are not classified as program revenues are presented as general revenues. The comparison of program revenues and expenses identifies the extent to which each program or business segment is self-financing or draws from the general revenues of the District. Eliminations have been made to minimize the double counting of internal activities.

Net position should be reported as restricted when constraints placed on net asset use are either externally imposed by creditors (such as through debt covenants), grantors, contributors, or laws or regulations of other governments or imposed by law through constitutional provisions or enabling legislation. The net position restricted for other activities result from special revenue funds and the restrictions on their net asset use.

Fund Financial Statements Fund financial statements report detailed information about the District. The focus of governmental and proprietary fund financial statements is on major funds rather than reporting funds by type. Each major fund is presented in a separate column. Non-major funds are aggregated and presented in a single column. The internal service fund is presented in a single column on the face of the proprietary fund statements.

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

Governmental Funds All governmental funds are accounted for using the flow of current financial resources measurement focus and the modified accrual basis of accounting. With this measurement focus, only current assets and current liabilities generally are included on the balance sheet. The statement of revenues, expenditures, and changes in fund balance reports on the sources (revenues and other financing sources) and uses (expenditures and other financing uses) of current financial resources. This approach differs from the manner in which the governmental activities of the government-wide financial statements are prepared. Governmental fund financial statements, therefore, include reconciliations with brief explanations to better identify the relationship between the government-wide financial statements, prepared using the economic resources measurement focus and the accrual basis of accounting, and the governmental fund financial statements, prepared using the flow of current financial resources measurement focus and the modified accrual basis of accounting.

Proprietary Funds Proprietary funds are accounted for using the flow of economic resources measurement focus and the accrual basis of accounting. All assets and all liabilities associated with the operation of this fund are included in the statement of net position. The statement of changes in fund net position presents increases (revenues) and decreases (expenses) in net total assets. The statement of cash flows provides information about how the District finances and meets the cash flow needs of its proprietary fund.

Fiduciary Funds Fiduciary funds are accounted for using the flow of economic resources measurement focus and the accrual basis of accounting. Fiduciary funds are excluded from the government-wide financial statements because they do not represent resources of the District.

Revenues - Exchange and Non-Exchange Transactions Revenue resulting from exchange transactions, in which each party gives and receives essentially equal value, is recorded on the accrual basis when the exchange takes place. On a modified accrual basis, revenue is recorded in the fiscal year in which the resources are measurable and become available. Available means that the resources will be collected within the current fiscal year or are expected to be collected soon enough thereafter, to be used to pay liabilities of the current fiscal year. To achieve comparability of reporting among California districts and so as not to distort normal revenue patterns, with specific respect to reimbursement grants and corrections to State-aid apportionments, the California Department of Education has defined available for districts as collectible within one year. The following revenue sources are considered to be both measurable and available at fiscal year-end: State apportionments, interest, certain grants, and other local sources.

Non-exchange transactions, in which the District receives value without directly giving equal value in return, include property taxes, certain grants, entitlements, and donations. Revenue from property taxes is recognized in the fiscal year in which the taxes are received. Revenue from certain grants, entitlements, and donations is recognized in the fiscal year in which all eligibility requirements have been satisfied. Eligibility requirements include time and purpose restrictions. On a modified accrual basis, revenue from non-exchange transactions must also be available before it can be recognized.

Unearned Revenue Unearned revenue arises when potential revenue does not meet both the "measurable" and "available" criteria for recognition in the current period or when resources are received by the District prior to the incurrence of qualifying expenditures. In subsequent periods, when both revenue recognition criteria are met, or when the District has a legal claim to the resources, the liability for unearned revenue is removed from the balance sheet and revenue is recognized.

Certain grants received before the eligibility requirements are met are recorded as unearned revenue. On the governmental fund financial statements, receivables that will not be collected within the available period are also recorded as unearned revenue.

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

Expenses/Expenditures On the accrual basis of accounting, expenses are recognized at the time they are incurred. The measurement focus of governmental fund accounting is on decreases in net financial resources (expenditures) rather than expenses. Expenditures are generally recognized in the accounting period in which the related fund liability is incurred, if measurable, and typically paid within 90 days. Principal and interest on long-term obligations, which has not matured, are recognized when paid in the governmental funds as expenditures. Allocations of costs, such as depreciation and amortization, are not recognized in the governmental funds but are recognized in the government-wide statements.

Cash and Cash Equivalents

The District's cash and cash equivalents are considered to be cash on hand, demand deposits, and short-term investments with original maturities of three months or less from the date of acquisition. Cash equivalents also include cash with county treasury balances for purposes of the statement of cash flows.

Investments

Investments held at June 30, 2018, with original maturities greater than one year are stated at fair value. Fair value is estimated based on quoted market prices at year-end. All investments not required to be reported at fair value are stated at cost or amortized cost. Fair values of investments in county are determined by the program sponsor.

Prepaid Expenditures (Expenses)

Prepaid expenditures (expenses) represent amounts paid in advance of receiving goods or services. The District has the option of reporting an expenditure in governmental funds for prepaid items either when purchased or during the benefiting period. The District has chosen to report the expenditures in the benefiting period.

Stores Inventories

Inventories consist of expendable food and supplies held for consumption. Inventories are stated at cost, on the weighted average basis. The costs of inventory items are recorded as expenditures in the governmental funds and expenses in the proprietary funds when used.

Capital Assets and Depreciation

The accounting and reporting treatment applied to the capital assets associated with a fund are determined by its measurement focus. Capital assets are long-lived assets of the District. The District maintains a capitalization threshold of \$10,000. The District does not possess any infrastructure. Improvements are capitalized; the costs of normal maintenance and repairs that do not add to the value of the asset or materially extend an asset's life are not capitalized, but are expensed as incurred.

When purchased, such assets are recorded as expenditures in the governmental funds and capitalized in the government-wide statement of net position. The valuation basis for capital assets is historical cost, or where historical cost is not available, estimated historical cost based on replacement cost.

Depreciation is computed using the straight-line method. Estimated useful lives of the various classes of depreciable capital assets are as follows: buildings and building improvement, 50 years; equipment, 5 to 15 years.

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

Interfund Balances

On fund financial statements, receivables and payables resulting from short-term interfund loans are classified as "interfund receivables/payables". These amounts are eliminated within the governmental funds and governmental activities.

Compensated Absences

Compensated absences are accrued as a liability as the benefits are earned. The entire compensated absence liability is reported on the government-wide statement of net position. For governmental funds, the current portion of unpaid compensated absences is recognized upon the occurrence of relevant events such as employee resignations and retirements that occur prior to year-end that have not yet been paid with expendable available financial resources. These amounts are reported in the fund from which the employees who have accumulated leave are paid.

Sick leave is accumulated without limit for each employee at the rate of one day for each month worked. Leave with pay is provided when employees are absent for health reasons; however, the employees do not gain a vested right to accumulated sick leave. Employees are never paid for any sick leave balance at termination of employment or any other time. Therefore, the value of accumulated sick leave is not recognized as a liability in the District's financial statements. However, credit for unused sick leave is applicable to all classified school members who retire after January 1, 1999. At retirement, each member will receive .004 year of service credit for each day of unused sick leave. Credit for unused sick leave is applicable to all certificated employees and is determined by dividing the number of unused sick days by the number of base service days required to complete the last school year, if employed full-time.

Accrued Liabilities and Long-Term Obligations

All payables, accrued liabilities, and long-term obligations are reported in the government-wide and proprietary fund financial statements. In general, governmental fund payables and accrued liabilities that, once incurred, are paid in a timely manner and in full from current financial resources are reported as obligations of the governmental funds.

However, claims and judgments, compensated absences, special termination benefits, and contractually required pension contributions that will be paid from governmental funds are reported as a liability in the governmental fund financial statements only to the extent that they are due for payment during the current year. Bonds, capital leases, and other long-term obligations are recognized as liabilities in the governmental fund financial statements when due.

Debt Issuance Costs, Premiums and Discounts

In the government-wide financial statements and in the proprietary fund type financial statements, long-term obligations are reported as liabilities in the applicable governmental activities, business-type activities, or proprietary fund statement of net position. Debt premiums and discounts, as well as issuance costs, related to prepaid insurance costs are amortized over the life of the bonds using the straight-line method.

In governmental fund financial statements, debt premiums and discounts, as well as debt issuance costs are recognized in the current period. The face amount of the debt is recorded as other financing sources. Premiums received on debt issuance are also reported as other financing sources. Issuance costs, whether or not withheld from the actual debt proceeds, are reported as debt service expenditures.

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

Deferred Outflows/Inflows of Resources

In addition to assets, the statement of financial position also reports deferred outflows of resources. This separate financial statement element represents a consumption of net position that applies to a future period and so will not be recognized as an expense or expenditure until then. The District reports deferred outflows of resources for deferred charges on refunding of debt and for pension related items.

In addition to liabilities, the statement of financial position reports a separate section for deferred inflows of resources. This separate financial statement element represents an acquisition of net position that applies to a future period and so will not be recognized as revenue until then. The District reports deferred inflows of resources for pension related items.

Pensions

For purposes of measuring the net pension liability and deferred outflows/inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the California State Teachers Retirement System (CalSTRS) and the California Public Employees' Retirement System (CalPERS) plan for schools (Plans) and additions to/deductions from the Plans' fiduciary net position have been determined on the same basis as they are reported by CalSTRS and CalPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Member contributions are recognized in the period in which they are earned. Investments are reported at fair value.

Postemployment Benefits Other Than Pensions (OPEB)

For purposes of measuring the net OPEB liability, deferred outflows of resources and deferred inflows of resources related to OPEB, and OPEB expense, information about the fiduciary net position of the District's plan (OPEB Plan) and additions to/deductions from the OPEB Plan's fiduciary net position have been determined on the same basis. For this purpose, benefit payments are recognized when currently due and payable in accordance with the benefit terms. Investments are reported at fair value.

Fund Balances – Governmental Funds

As of June 30, 2018, fund balances of the governmental funds are classified as follows:

Nonspendable – amounts that cannot be spent either because they are in nonspendable form or because they are legally or contractually required to be maintained intact.

Restricted – amounts that can be spent for specific purposes because of constitutional provisions or enabling legislation or because of constraints that are externally imposed by creditors, grantors, contributors, or the laws of regulations of other governments.

Committed – amounts that can be used only for specific purposes determined by a formal action of the governing board. The governing board is the highest level of decision-making authority for the District. Commitments may be established, modified, or rescinded only through resolutions or other action as approved by the governing board.

Assigned – amounts that do not meet the criteria to be classified as restricted or committed by that are intended to be used for specific purposes. Under the District's adopted policy, only the governing board or chief business officer/assistant superintendent of business services may assign amounts for specific purpose.

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

Unassigned – all other spendable amounts.

Spending Order Policy

When an expenditure is incurred for purposes for which both restricted and unrestricted fund balance is available, the District considers restricted funds to have been spent first. When an expenditure is incurred for which committed, assigned, or unassigned fund balances are available, the District considers amounts to have been spent first out of committed funds, then assigned funds, and finally, unassigned funds as needed, unless, the governing board has provided otherwise in its commitment or assignment actions.

Minimum Fund Balance Policy

In fiscal year 2017-2018, the governing board adopted a minimum fund balance policy for the General Fund in compliance with GASB 54 to establish fund balance policies in order to protect the district against revenue shortfalls or unpredicted one-time expenditures. The policy requires a Reserve for Economic Uncertainties consisting of committed and unassigned amounts equal to no less than 10 percent of General Fund expenditures and other financing uses. At June 30, 2018, \$11,038,183 and \$5,230,546 of the Fund balance for the General Fund was reported as amounts committed and unassigned, respectively, and in total \$16,268,729 was held for economic uncertainties.

Net Position

Net position represents the difference between assets and liabilities. Net position net of investment in capital assets, consists of capital assets, net of accumulated depreciation, reduced by the outstanding balances of any borrowings used for the acquisition, construction or improvement of those assets. Net position is reported as restricted when there are limitations imposed on their use either through the enabling legislation adopted by the District or through external restrictions imposed by creditors, grantors, or laws or regulations of other governments. The District first applies restricted resources when an expense is incurred for purposes for which both restricted and unrestricted net position is available.

Operating Revenues and Expenses

Operating revenues are those revenues that are generated directly from the primary activity of the proprietary funds. For the District, these revenues are primarily interfund insurance premiums. Operating expenses are necessary costs incurred to provide the good or service that is the primary activity of the fund. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses.

Interfund Activity

Transfers between governmental and business-type activities in the government-wide financial statements are reported in the same manner as general revenues.

Exchange transactions between funds are reported as revenues in the seller funds and as expenditures/expenses in the purchaser funds. Flows of cash or goods from one fund to another without a requirement for repayment are reported as interfund transfers. Interfund transfers are reported as other financing sources/uses in governmental funds and after non-operating revenues/expenses in proprietary funds. Repayments from funds responsible for particular expenditures/expenses to the funds that initially paid for them are not presented in the financial statements. Interfund transfers are eliminated in the governmental column of the statement of activities.

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

Estimates

The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

Property Tax

Secured property taxes attach as an enforceable lien on property as of January 1. Taxes are payable in two installments on November 1 and February 1 and become delinquent on December 10 and April 10, respectively. Unsecured property taxes are payable in one installment on or before August 31. The County of Santa Clara bills and collects the taxes on behalf of the District. Local property tax revenues are recorded when received.

Change in Accounting Principles

In June 2015, the GASB issued Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions*. The primary objective of this Statement is to improve accounting and financial reporting by State and local governments for postemployment benefits other than pensions (other postemployment benefits or OPEB). It also improves information provided by State and local governmental employers about financial support for OPEB that is provided by other entities. This Statement results from a comprehensive review of the effectiveness of existing standards of accounting and financial reporting for all postemployment benefits (pensions and OPEB) with regard to providing decision-useful information, supporting assessments of accountability and inter-period equity, and creating additional transparency.

This Statement replaces the requirements of Statements No. 45, *Accounting and Financial Reporting by Employers for Postemployment Benefits Other Than Pensions*, as amended, and No. 57, *OPEB Measurements by Agent Employers and Agent Multiple-Employer Plans*, for OPEB. Statement No. 74, *Financial Reporting for Postemployment Benefit Plans Other Than Pension Plans*, establishes new accounting and financial reporting requirements for OPEB plans.

The District has early implemented the provisions of this Statement as of June 30, 2017.

New Accounting Pronouncements Effective This Fiscal Year

In March 2017, the GASB issued Statement No. 85, *Omnibus 2017*. The objective of this Statement is to address practice issues that have been identified during implementation and application of certain GASB statements. This Statement addresses a variety of topics including issues related to blending component units, goodwill, fair value measurement and application, and postemployment benefits (pensions and other postemployment benefits [OPEB]). Specifically, this Statement addresses the following topics:

- Blending a component unit in circumstances in which the primary government is a business-type activity that reports in a single column for financial statement presentation;
- Reporting amounts previously reported as goodwill and "negative" goodwill;
- Classifying real estate held by insurance entities;
- Measuring certain money market investments and participating interest-earning investment contracts at amortized cost;

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

- Timing of the measurement of pension or OPEB liabilities and expenditures recognized in financial statements prepared using the current financial resources measurement focus;
- Recognizing on behalf payments for pensions or OPEB in employer financial statements;
- Presenting payroll-related measures in required supplementary information for purposes of reporting by OPEB plans and employers that provide OPEB;
- Classifying employer-paid member contributions for OPEB;
- Simplifying certain aspects of the alternative measurement method for OPEB; and
- Accounting and financial reporting for OPEB provided through certain multiple-employer defined benefit OPEB plans.

The District has implemented the provisions of this Statement as of June 30, 2018.

In May 2017, the GASB issued Statement No. 86, *Certain Debt Extinguishment Issues*. The primary objective of this Statement is to improve consistency in accounting and financial reporting for in-substance defeasance of debt by providing guidance for transactions in which cash and other monetary assets acquired with only existing resources—resources other than the proceeds of refunding debt—are placed in an irrevocable trust for the sole purpose of extinguishing debt. This Statement also improves accounting and financial reporting for prepaid insurance on debt that is extinguished and notes to financial statements for debt that is defeased in substance.

The District has implemented the provisions of this Statement as of June 30, 2018.

New Accounting Pronouncements Effective in Future Fiscal Years

In November 2016, the GASB issued Statement No. 83, *Certain Asset Retirement Obligations*. This Statement addresses accounting and financial reporting for certain asset retirement obligations (AROs). An ARO is a legally enforceable liability associated with the retirement of a tangible capital asset. A government that has legal obligations to perform future asset retirement activities related to its tangible capital assets should recognize a liability based on the guidance in this Statement.

This Statement establishes criteria for determining the timing and pattern of recognition of a liability and a corresponding deferred outflow of resources for AROs. This Statement requires that recognition occur when the liability is both incurred and reasonably estimable. The determination of when the liability is incurred should be based on the occurrence of external laws, regulations, contracts, or court judgments, together with the occurrence of an internal event that obligates a government to perform asset retirement activities. Laws and regulations may require governments to take specific actions to retire certain tangible capital assets at the end of the useful lives of those capital assets, such as decommissioning nuclear reactors and dismantling and removing sewage treatment plants. Other obligations to retire tangible capital assets may arise from contracts or court judgments. Internal obligating events include the occurrence of contamination, placing into operation a tangible capital asset that is required to be retired, abandoning a tangible capital asset before it is placed into operation, or acquiring a tangible capital asset that has an existing ARO.

The requirements of this Statement are effective for reporting periods beginning after June 15, 2018. Early implementation is encouraged.

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

In January 2017, the GASB issued Statement No. 84, *Fiduciary Activities*. The objective of this Statement is to improve guidance regarding the identification of fiduciary activities for accounting and financial reporting purposes and how those activities should be reported.

This Statement establishes criteria for identifying fiduciary activities of all State and local governments. The focus of the criteria generally is on (1) whether a government is controlling the assets of the fiduciary activity and (2) the beneficiaries with whom a fiduciary relationship exists. Separate criteria are included to identify fiduciary component units and postemployment benefit arrangements that are fiduciary activities.

The requirements of this Statement are effective for reporting periods beginning after December 15, 2018. Early implementation is encouraged.

In June 2017, the GASB issued Statement No. 87, *Leases*. The objective of this Statement is to better meet the information needs of financial statement users by improving accounting and financial reporting for leases by governments. This Statement increases the usefulness of governments' financial statements by requiring recognition of certain lease assets and liabilities for leases that previously were classified as operating leases and recognized as inflows of resources or outflows of resources based on the payment provisions of the contract. It establishes a single model for lease accounting based on the foundational principle that leases are financings of the right to use an underlying asset. Under this Statement, a lessee is required to recognize a lease liability and an intangible right-to-use lease asset, and a lessor is required to recognize a lease receivable and a deferred inflow of resources, thereby enhancing the relevance and consistency of information about governments' leasing activities.

The requirements of this Statement are effective for the reporting periods beginning after December 15, 2019. Early implementation is encouraged.

In April 2018, the GASB issued Statement No. 88, *Certain Disclosures Related to Debt, including Direct Borrowings and Direct Placements*. The primary objective of this Statement is to improve the information that is disclosed in notes to government financial statements related to debt, including direct borrowings and direct placements. It also clarifies which liabilities governments should include when disclosing information related to debt.

This Statement defines debt for purposes of disclosure in notes to financial statements as a liability that arises from a contractual obligation to pay cash (or other assets that may be used in lieu of cash) in one or more payments to settle an amount that is fixed at the date the contractual obligation is established.

This Statement requires that additional essential information related to debt be disclosed in notes to financial statements, including unused lines of credit; assets pledged as collateral for the debt; and terms specified in debt agreements related to significant events of default with finance-related consequences, significant termination events with finance-related consequences, and significant subjective acceleration clauses.

For notes to financial statements related to debt, this Statement also requires that existing and additional information be provided for direct borrowings and direct placements of debt separately from other debt.

The requirements of this Statement are effective for reporting periods beginning after June 15, 2018. Early implementation is encouraged.

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

In June 2018, the GASB issued Statement No. 89, *Accounting for Interest Cost Incurred Before the End of a Construction Period*. The objectives of this Statement are (1) to enhance the relevance and comparability of information about capital assets and the cost of borrowing for a reporting period and (2) to simplify accounting for interest cost incurred before the end of a construction period.

This Statement establishes accounting requirements for interest cost incurred before the end of a construction period. Such interest cost includes all interest that previously was accounted for in accordance with the requirements of paragraphs 5–22 of Statement No. 62, *Codification of Accounting and Financial Reporting Guidance Contained in Pre-November 30, 1989 FASB and AICPA Pronouncements*, which are superseded by this Statement. This Statement requires that interest cost incurred before the end of a construction period be recognized as an expense in the period in which the cost is incurred for financial statements prepared using the economic resources measurement focus. As a result, interest cost incurred before the end of a construction period will not be included in the historical cost of a capital asset reported in a business-type activity or enterprise fund.

This Statement also reiterates that in financial statements prepared using the current financial resources measurement focus, interest cost incurred before the end of a construction period should be recognized as an expenditure on a basis consistent with governmental fund accounting principles.

The requirements of this Statement are effective for reporting periods beginning after December 15, 2019. Earlier application is encouraged. The requirements of this Statement should be applied prospectively.

NOTE 2 - DEPOSITS AND INVESTMENTS

Summary of Deposits and Investments

Deposits and investments as of June 30, 2018, are classified in the accompanying financial statements as follows:

Governmental funds	\$ 228,484,821
Proprietary fund	980,633
Fiduciary funds	9,868,391
Total Deposits and Investments	<u><u>\$ 239,333,845</u></u>

Deposits and investments as of June 30, 2018, consist of the following:

Cash on hand and in banks	\$ 1,992,844
Cash in revolving	15,378
Investments	237,325,623
Total Deposits and Investments	<u><u>\$ 239,333,845</u></u>

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

Policies and Practices

The District is authorized under California Government Code to make direct investments in local agency bonds, notes, or warrants within the State; U.S. Treasury instruments; registered State warrants or treasury notes; securities of the U.S. Government, or its agencies; bankers acceptances; commercial paper; certificates of deposit placed with commercial banks and/or savings and loan companies; repurchase or reverse repurchase agreements; medium term corporate notes; shares of beneficial interest issued by diversified management companies, certificates of participation, obligations with first priority security; and collateralized mortgage obligations.

Investment in County Treasury - The District is considered to be an involuntary participant in an external investment pool as the District is required to deposit all receipts and collections of monies with their County Treasurer (*Education Code* Section 41001). The fair value of the District's investment in the pool is reported in the accounting financial statements at amounts based upon the District's pro-rata share of the fair value provided by the County Treasurer for the entire portfolio (in relation to the amortized cost of that portfolio). The balance available for withdrawal is based on the accounting records maintained by the County Treasurer, which is recorded on the amortized cost basis. The pool is not registered with Security Exchange Commission.

General Authorizations

Limitations as they relate to interest rate risk and concentration of credit risk are indicated in the schedules below:

Authorized Investment Type	Maximum Remaining Maturity	Maximum Percentage of Portfolio	Maximum Investment in One Issuer
Local Agency Bonds, Notes, Warrants	5 years	None	None
Registered State Bonds, Notes, Warrants	5 years	None	None
U.S. Treasury Obligations	5 years	None	None
U.S. Agency Securities	5 years	None	None
Banker's Acceptance	180 days	40%	30%
Commercial Paper	270 days	25%	10%
Negotiable Certificates of Deposit	5 years	30%	None
Repurchase Agreements	1 year	None	None
Reverse Repurchase Agreements	92 days	20% of base	None
Medium-Term Corporate Notes	5 years	30%	None
Mutual Funds	N/A	20%	10%
Money Market Mutual Funds	N/A	20%	10%
Mortgage Pass-Through Securities	5 years	20%	None
County Pooled Investment Funds	N/A	None	None
Local Agency Investment Fund (LAIF)	N/A	None	None
Joint Powers Authority Pools	N/A	None	None

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

Interest Rate Risk

Interest rate risk is the risk that changes in market interest rates will adversely affect the fair value of an investment. Generally, the longer the maturity of an investment the greater the sensitivity of its fair value to changes in market interest rates. The District monitors the interest rate risk inherent in its portfolio by measuring the average maturity of its portfolio. Information about the weighted average maturity of the District's portfolio is presented in the following schedule:

Investment Type	Fair Value	Average Maturity in Days
County Pool	\$ 229,431,733	479
Annuities for Retiree Benefit Trust Fund	7,302,944	Not applicable
Certificates of Deposits	590,946	414
Total	<u>\$ 237,325,623</u>	

Credit Risk

Credit risk is the risk that an issuer of an investment will not fulfill its obligation to the holder of the investment. This is measured by the assignment of a rating by a nationally recognized statistical rating organization. The annuity with ING ReliaStar Group is a fixed investment product with ING that is principal principal protected and guarantees a 3 percent minimum rate of return. ReliaStar life Insurance Company has a rating from Standard and Poor's AA.

Custodial Credit Risk - Deposits

This is the risk that in the event of a bank failure, the District's deposits may not be returned to it. The District does have a policy for custodial credit risk for deposits. However, the California Government Code requires that a financial institution secure deposits made by state or local governmental units by pledging securities in an undivided collateral pool held by a depository regulated under state law. The market value of the pledged securities in the collateral pool must equal at least 110 percent of the total amount deposited by the public agency. As of June 30, 2018, approximately \$1,293,534 of the District's bank balances of \$2,602,943 was exposed to custodial credit risk because it was uninsured but collateralized with securities held by the pledging financial institution's trust department or agent, but not in the name of the District.

Custodial Credit Risk - Investments

This is the risk that, in the event of the failure of the counterparty, the District will not be able to recover the value of its investments or collateral securities that are in possession of an outside party. Of the investment in mutual fund of \$7,302,944 the District has a custodial credit risk exposure of \$7,302,944 because the related securities are uninsured, unregistered and held by the brokerage firm which is also the counterparty for these securities. The District does not have a policy limiting the amount of securities that can be held by counterparties.

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

NOTE 3 - FAIR VALUE MEASUREMENTS

Generally accepted accounting principles (GAAP) provide guidance on how fair value should be determined when financial statement elements are required to be measured at fair value. Valuation techniques are ranked in three levels depending on the degree of objectivity of the inputs used with each level:

Level 1 inputs – quoted prices in active markets for identical assets.

Level 2 inputs – quoted prices in active or inactive for the same or similar assets.

Level 3 inputs – estimates using the best information available when there is little or no market.

Uncategorized - Investments in the County Treasury Investment Pool are not measured using the input levels above because the District's transactions are based on a stable net asset value per share. All contributions and redemptions are transacted at \$1.00 net asset value per share.

All assets have been valued using a market approach, with quoted market prices. The District's fair value measurements are as follows at June 30, 2018:

Investment Type	Fair Value	Fair Value Measurements Using			Uncategorized
		Level 1 Inputs	Level 2 Inputs	Level 3 Inputs	
County Pool	\$ 229,431,733	\$ -	\$ -	\$ -	\$ 229,431,733
Mutual Fund	7,302,944	7,302,944	-	-	-
Certificates of Deposits	590,946	590,946	-	-	-
Total	<u>\$ 237,325,623</u>	<u>\$ 7,893,890</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 229,431,733</u>

All assets have been valued using a market approach, with quoted market prices.

NOTE 4 – RECEIVABLES

Receivables at June 30, 2018, consisted of intergovernmental grants, entitlements, interest and other local sources. All receivables are considered collectible in full.

	General Fund	Building Fund	Bond Interest and Redemption Fund	Non-Major Governmental Funds	Proprietary Fund	Total
Federal Government						
Categorical aid	\$ 928,417	\$ -	\$ -	\$ 427,017	\$ -	\$ 1,355,434
State Government						
Categorical aid	416,217	-	-	7,207	-	423,424
Lottery	460,000	-	-	-	-	460,000
Local Government						
Interest	164,272	648,127	100,920	67,130	3,319	983,768
Other Local Sources						
Other	565,084	415,666	-	19,673	663	1,001,086
Total	<u>\$ 2,533,990</u>	<u>\$ 1,063,793</u>	<u>\$ 100,920</u>	<u>\$ 521,027</u>	<u>\$ 3,982</u>	<u>\$ 4,223,712</u>

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

NOTE 5 - CAPITAL ASSETS

Capital asset activity for the fiscal year ended June 30, 2018, was as follows:

	Balance July 1, 2017	Additions	Deductions/ Adjustments	Balance June 30, 2018
Governmental Activities				
Capital Assets Not Being Depreciated:				
Land	\$ 1,958,025	\$ -	\$ -	\$ 1,958,025
Construction in progress	45,601,892	76,070,342	41,833,165	79,839,069
Total Capital Assets Not Being Depreciated	47,559,917	76,070,342	41,833,165	81,797,094
Capital Assets Being Depreciated:				
Buildings and improvements	414,366,503	41,833,165	1,510,655	454,689,013
Furniture and equipment	7,727,947	1,423,102	-	9,151,049
Total Capital Assets Being Depreciated	422,094,450	43,256,267	1,510,655	463,840,062
Total Capital Assets	469,654,367	119,326,609	43,343,820	545,637,156
Less Accumulated Depreciation:				
Buildings and improvements	76,657,833	8,951,779	42,267	85,567,345
Furniture and equipment	3,705,211	748,558	-	4,453,769
Total Accumulated Depreciation	80,363,044	9,700,337	42,267	90,021,114
Governmental Activities Capital Assets, Net	\$ 389,291,323	\$ 109,626,272	\$ 43,301,553	\$ 455,616,042

Depreciation expense was charged as a direct expense to governmental functions as follows:

Governmental Activities	
Instruction	\$ 5,741,480
Supervision of instruction	352,792
Instructional library, media, and technology	155,903
School site administration	995,767
Home-to-school transportation	153,274
Food services	204,116
All other pupil services	818,550
Ancillary service	21,471
Community services	653
All other general administration	474,495
Data processing	27,410
Plant services	754,426
Total Depreciation Expenses Governmental Activities	<u>\$ 9,700,337</u>

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

NOTE 6 - INTERFUND TRANSACTIONS

Interfund Receivables/Payables (Due To/Due From)

Interfund receivables and payable balances arise from interfund transactions and are recorded by all funds affected in the period in which transactions are executed. Interfund receivables and payable balances at June 30, 2018, between major and non-major governmental funds, and the internal service fund are as follows:

Due To	Due From				Total
	General Fund	Building Fund	Non-Major Governmental Funds	Proprietary Fund	
General Fund	\$ -	\$ 743,473	\$ 819,794	\$ 73,097	\$ 1,636,364
Non-Major Governmental Funds	190,974	-	-	-	190,974
Total	<u>\$ 190,974</u>	<u>\$ 743,473</u>	<u>\$ 819,794</u>	<u>\$ 73,097</u>	<u>\$ 1,827,338</u>

All balances resulted from the time lag between the date that (1) interfund goods and services are provided or reimbursable expenditures occur, (2) transaction are recorded in the accounting system, and (3) payments between funds are made.

Operating Transfers

Interfund transfers for the year ended June 30, 2018, consisted of the following:

Transfer Out	Transfer In			Total
	Building Fund	Non-Major Governmental Funds	Proprietary Fund	
General Fund	<u>\$ 853,819</u>	<u>\$ 1,123,399</u>	<u>\$ 73,097</u>	<u>\$ 2,050,315</u>

The General fund transferred to the Cafeteria fund for support.	\$ 1,123,399
The General fund transferred to the Building fund for the District-wide Technology Fund.	853,819
The General fund transferred to the Self Insurance fund to support cash flow.	73,097
Total	<u>\$ 2,050,315</u>

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

NOTE 7 - DEFERRED CHARGE ON REFUNDING

Deferred outflows of resources is a consumption of net position by the District that is applicable to a future reporting period. For governmental activities, the net investment in capital assets amount of \$90,447,026 includes the effect of deferring the recognition of loss from advance refunding. The \$13,687,900 balance of the deferred outflows of resources at June 30, 2018, will be recognized as an expense and as a decrease in net position over the remaining life of related bonds.

Deferred charge on refunding at June 30, 2018, consisted of the following:

	Balance July 1, 2017	Additions	Deductions	Balance June 30, 2018
Deferred charges on refunding	\$ 14,293,823	\$ -	\$ 605,923	\$ 13,687,900

NOTE 8 - ACCOUNTS PAYABLE

Accounts payable at June 30, 2018, consisted of the following:

	General Fund	Building Fund	Non-Major Governmental Funds	Total
Vendor payables	\$ 1,794,148	\$ 12,486,374	\$ 50,285	\$ 14,330,807
State categorical	1,021,502	113	56,296	1,077,911
Other	12,324	-	-	12,324
Total	\$ 2,827,974	\$ 12,486,487	\$ 106,581	\$ 15,421,042

NOTE 9 - UNEARNED REVENUE

Unearned revenue at June 30, 2018, consists of the following:

	General Fund	Building Fund	Non-Major Governmental Funds	Total
Federal financial assistance	\$ 28,567	\$ -	\$ -	\$ 28,567
State categorical aid	1,405,969	-	-	1,405,969
Other local	69,448	160,680	137,916	368,044
Total	\$ 1,503,984	\$ 160,680	\$ 137,916	\$ 1,802,580

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

NOTE 10 - LONG-TERM OBLIGATIONS OTHER THAN OTHER POSTEMPLOYMENT BENEFITS (OPEB) AND PENSION LIABILITIES

Summary

The changes in the District's long-term obligations during the year consisted of the following:

	Balance July 1, 2017	Additions	Deductions	Balance June 30, 2018	Due in One Year
General obligation bonds	\$ 464,692,035	\$ 342,432	\$ 29,920,000	\$ 435,114,467	\$ 21,070,000
Bond premium	35,573,650	-	1,687,110	33,886,540	1,687,109
Compensated absences	1,478,028	43,239	-	1,521,267	1,521,267
Total	<u>501,743,713</u>	<u>385,671</u>	<u>31,607,110</u>	<u>470,522,274</u>	<u>24,278,376</u>

Payments on the general obligation bonds are made by the bond interest and redemption fund with local revenues. The Compensated absences will be paid by the fund for which the employee worked.

Bonded Debt

The outstanding general obligation bonded debt is as follows:

Issue Date	Maturity Date	Interest Rate	Original Issue	Bonds Outstanding July 1, 2017	Issued/ Accretion	Redeemed/ Refunded	Bonds Outstanding June 30, 2018
8/14/08	8/1/33	4-5%	\$ 80,000,000	\$ 2,725,000	\$ -	\$ 1,035,000	\$ 1,690,000
3/10/11	8/1/40	6.875-12%	16,090,108	3,212,035	342,432	-	3,554,467
3/10/11	2/1/26	5.45-6.08%	25,000,000	19,890,000	-	1,265,000	18,625,000
1/29/13	8/1/44	3-5%	48,000,000	48,000,000	-	-	48,000,000
4/8/15	8/1/44	3-5%	100,000,000	100,000,000	-	18,000,000	82,000,000
5/14/15	8/1/40	2-5%	156,115,000	146,615,000	-	8,595,000	138,020,000
6/20/17	8/1/46	2-5%	68,830,000	68,830,000	-	-	68,830,000
6/20/17	8/1/30	3-4%	31,170,000	31,170,000	-	-	31,170,000
6/20/17	8/1/44	2-5%	44,250,000	44,250,000	-	1,025,000	43,225,000
				<u>\$ 464,692,035</u>	<u>\$ 342,432</u>	<u>\$ 29,920,000</u>	<u>\$ 435,114,467</u>

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

Debt Service Requirements to Maturity

The bonds mature through 2047 as follows:

Fiscal Year	Principal	Interest to Maturity	Total
2019	\$ 21,070,000	\$ 18,026,293	\$ 39,096,293
2020	21,975,000	17,152,572	39,127,572
2021	15,025,000	16,350,897	31,375,897
2022	16,245,000	15,590,124	31,835,124
2023	18,080,000	14,738,404	32,818,404
2024-2028	34,986,441	68,860,117	103,846,558
2029-2033	40,198,648	64,798,888	104,997,536
2034-2038	73,130,000	47,340,694	120,470,694
2039-2043	115,275,000	28,695,858	143,970,858
2044-2047	77,295,000	5,069,350	82,364,350
Total	433,280,089	\$ 296,623,197	\$ 729,903,286
Accreted interest	1,834,378		
	<u>\$ 435,114,467</u>		

Accumulated Unpaid Employee Vacation

The long-term portion of accumulated unpaid employee vacation for the District at June 30, 2018, amounted to \$1,521,267.

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

NOTE 11 - FUND BALANCES

Fund balances with reservations and designations are composed of the following elements:

	General Fund	Building Fund	Bond Interest and Redemption Fund	Non-Major Governmental Funds	Total
Nonspendable					
Revolving cash	\$ 15,003	\$ -	\$ -	\$ 375	\$ 15,378
Stores inventories	-	-	-	18,142	18,142
Prepaid expenditures	240,979	-	-	4,129	245,108
Total Nonspendable	255,982	-	-	22,646	278,628
Restricted					
Educational programs	5,833,324	-	-	162,502	5,995,826
Capital projects	-	90,144,091	-	9,298,385	99,442,476
Debt services	-	-	36,213,245	-	36,213,245
Total Restricted	5,833,324	90,144,091	36,213,245	9,460,887	141,651,547
Committed					
Educational programs	11,038,183	-	-	-	11,038,183
Maintenance program	-	-	-	6,624,448	6,624,448
Adult education program	-	-	-	1,289,964	1,289,964
Total Committed	11,038,183	-	-	7,914,412	18,952,595
Assigned					
Program carryover	6,659,806	-	-	-	6,659,806
Capital projects	-	42,897,960	-	-	42,897,960
Total Assigned	6,659,806	42,897,960	-	-	49,557,766
Unassigned					
Reserve for economic uncertainties	4,730,650	-	-	-	4,730,650
Remaining unassigned	499,896	-	-	-	499,896
Total Unassigned	5,230,546	-	-	-	5,230,546
Total	\$ 29,017,841	\$ 133,042,051	\$ 36,213,245	\$ 17,397,945	\$ 215,671,082

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

NOTE 12 - LEASE REVENUES

The District has leased properties built in the 1950's where the total construction costs have been fully depreciated for a number of years. Lease agreements have been entered into with various lessees for terms that exceed one year. None of the agreements contain purchase options. All of the agreements contain a termination clause providing for cancellation after a specified number of days written notice to lessors, but is unlikely that the District will cancel any of the agreements prior to their expiration date. The future minimum lease revenues expected to be received under these agreements are as follows:

Year Ending June 30,	Lease Revenues
2019	\$ 4,332,099
2020	3,930,867
2021	4,048,793
2022	4,170,257
2023	4,295,365
2024-2028	23,488,816
2029-2033	27,229,975
2034-2038	16,093,649
2039-2042	14,701,775
Total	<u>\$ 102,291,596</u>

NOTE 13 - RISK MANAGEMENT

Property and Liability

The District is exposed to various risks of loss related to torts; theft of, damage to, and destruction of assets; errors and omissions; injuries to employees and natural disasters. During fiscal year ending June 30, 2018, the District participated in the Northern California Regional Liability Excess Fund (ReLiEF) for excess property and liability coverage. Settled claims have not exceeded this commercial coverage in any of the past three years. There has not been a significant reduction in coverage from the prior year.

Workers' Compensation

For fiscal year 2018, the District participated in the Santa Clara County Schools Insurance Group for the workers' compensation coverage.

Claims Liabilities

The District records an estimated liability for Workers' Compensation claims filed prior to March 1, 1996. Claims liabilities are based on estimates of the ultimate cost of reported claims (including future claim adjustment expenses) and estimates for claims incurred, but not reported based on historical experience for some self-insured programs, such as dental, vision and property and liability.

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

Unpaid Claims Liabilities

The fund establishes a liability for both reported and unreported events, which includes estimates of both future payments of losses and related claim adjustment expenses. The following represents the changes in approximate aggregate liabilities for the District from July 1, 2016 to June 30, 2018:

	Workers' Compensation	Dental	Vision	Property and Liability	Total
Liability Balance, July 1, 2016	\$ 33,295	\$ 62,279	\$ 8,705	\$ 28,216	\$ 132,495
Claims and changes in estimates	(43,453)	(1,244,761)	(185,337)	(702,628)	(2,176,179)
Claims payments	100,464	1,264,152	185,469	742,327	2,292,412
Liability Balance, June 30, 2017	\$ 90,306	\$ 81,670	\$ 8,837	\$ 67,915	\$ 248,728
Claims and changes in estimates	(15,581)	(1,409,289)	(630,632)	(225,225)	(2,280,727)
Claims payments	-	1,423,115	685,830	195,046	2,303,991
Liability Balance, June 30, 2018	<u>\$ 74,725</u>	<u>\$ 95,496</u>	<u>\$ 64,035</u>	<u>\$ 37,736</u>	<u>\$ 271,992</u>
Assets available to pay claims at June 30, 2018	<u>\$ 74,725</u>	<u>\$ 936,657</u>	<u>\$ 64,035</u>	<u>\$ 118,602</u>	<u>\$ 1,194,019</u>

NOTE 14 - EMPLOYEE RETIREMENT SYSTEMS

Qualified employees are covered under multiple-employer defined benefit pension plans maintained by agencies of the State of California. Academic employees are members of the California State Teachers' Retirement System (CalSTRS) and classified employees are members of the California Public Employees' Retirement System (CalPERS).

For the fiscal year ended June 30, 2018 the District reported net pension liabilities, deferred outflows of resources, deferred inflows of resources, and pension expense for each of the above plans as follows:

Pension Plan	Net Pension Liability	Deferred Outflows of Resources	Deferred Inflows of Resources	Pension Expense
CalSTRS	\$ 108,971,315	\$ 31,566,323	\$ 5,575,010	\$ 11,262,206
CalPERS	51,988,034	16,541,898	612,095	9,897,800
Total	<u>\$ 160,959,349</u>	<u>\$ 48,108,221</u>	<u>\$ 6,187,105</u>	<u>\$ 21,160,006</u>

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

The details of each plan are as follows:

California State Teachers' Retirement System (CalSTRS)

Plan Description

The District contributes to the State Teachers Retirement Plan (STRP) administered by the California State Teachers' Retirement System (CalSTRS). STRP is a cost-sharing multiple-employer public employee retirement system defined benefit pension plan. Benefit provisions are established by State statutes, as legislatively amended, within the State Teachers' Retirement Law.

A full description of the pension plan regarding benefit provisions, assumptions (for funding, but not accounting purposes), and membership information is listed in the June 30, 2016, annual actuarial valuation report, Defined Benefit Program Actuarial Valuation. This report and CalSTRS audited financial information are publicly available reports that can be found on the CalSTRS website under Publications at: www.calstrs.com/member-publications.

Benefits Provided

The STRP provides retirement, disability and survivor benefits to beneficiaries. Benefits are based on members' final compensation, age and years of service credit. Members hired on or before December 31, 2012, with five years of credited service are eligible for the normal retirement benefit at age 60. Members hired on or after January 1, 2013, with five years of credited service are eligible for the normal retirement benefit at age 62. The normal retirement benefit is equal to 2.0 percent of final compensation for each year of credited service.

The STRP is comprised of four programs: Defined Benefit Program, Defined Benefit Supplement Program, Cash Balance Benefit Program and Replacement Benefits Program. The STRP holds assets for the exclusive purpose of providing benefits to members and beneficiaries of these programs. CalSTRS also uses plan assets to defray reasonable expenses of administering the STRP. Although CalSTRS is the administrator of the STRP, the state is the sponsor of the STRP and obligor of the trust. In addition, the state is both an employer and nonemployer contributing entity to the STRP. The STRP provisions and benefits in effect at June 30, 2018, are summarized as follows:

The STRP provisions and benefits in effect at June 30, 2018, are summarized as follows:

	STRP Defined Benefit Program	
	On or before December 31, 2012	On or after January 1, 2013
Hire date	December 31, 2012	January 1, 2013
Benefit formula	2% at 60	2% at 62
Benefit vesting schedule	5 years of service	5 years of service
Benefit payments	Monthly for life	Monthly for life
Retirement age	60	62
Monthly benefits as a percentage of eligible compensation	2.0% - 2.4%	2.0% - 2.4%
Required employee contribution rate	10.25%	9.205%
Required employer contribution rate	14.43%	14.43%
Required state contribution rate	9.32800%	9.32800%

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

Contributions

Required member, District and State of California contributions rates are set by the California Legislature and Governor and detailed in Teachers' Retirement Law. The contributions rates are expressed as a level percentage of payroll using the entry age normal actuarial method. In accordance with AB 1469, employer contributions into the CalSTRS will be increasing to a total of 19.1 percent of applicable member earnings phased over a seven year period. The contribution rates for each plan for the year ended June 30, 2018, are presented above and the District's total contributions were \$9,573,016.

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2018, the District reported a liability for its proportionate share of the net pension liability that reflected a reduction for State pension support provided to the District. The amount recognized by the District as its proportionate share of the net pension liability, the related state support and the total portion of the net pension liability that was associated with the District were as follows:

Total net pension liability, including State share:

District's proportionate share of net pension liability	\$	108,971,315
State's proportionate share of the net pension liability associated with the District		64,466,509
Total	\$	<u>173,437,824</u>

The net pension liability was measured as of June 30, 2017. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating school districts and the State, actuarially determined. The District's proportionate share for the measurement period June 30, 2017 and June 30, 2016, respectively was 0.11783 percent and 0.11900 percent, resulting in a net increase in the proportionate share of 0.00118 percent.

For the year ended June 30, 2018, the District recognized pension expense of \$11,262,206. In addition, the District recognized pension expense and revenue of \$6,489,173 for support provided by the State. At June 30, 2018, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Pension contributions subsequent to measurement date	\$ 9,573,016	\$ -
Net change in proportionate share of net pension liability	1,402,112	772,263
Difference between projected and actual earnings	-	2,902,210
Change in assumption	20,188,209	
Differences between expected and actual experience in the measurement of the total pension liability	402,986	1,900,537
Total	<u>\$ 31,566,323</u>	<u>\$ 5,575,010</u>

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

The deferred outflows of resources related to pensions resulting from District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the subsequent fiscal year. The deferred outflows of resources related to the difference between projected and actual earnings on pension plan investments are amortized over a closed five-year period and will be recognized in pension expense as follows:

Year Ended June 30,	Deferred Outflows of Resources
2019	\$ (2,413,086)
2020	1,825,931
2021	263,326
2022	(2,578,381)
Total	<u>\$ (2,902,210)</u>

The deferred outflows/(inflows) of resources related to the net change in proportionate share of net pension liability, differences between expected and actual experience in the measurement of the total pension liability, and changes of assumptions will be amortized over the Expected Average Remaining Service Life (EARSL) of all members that are provided benefits (active, inactive, and retirees) as of the beginning of the measurement period. The EARSL for the measurement period is seven years and will be recognized in pension expense as follows:

Year Ended June 30,	Deferred Inflows of Resources
2019	\$ 6,817,064
2020	6,817,064
2021	6,120,920
2022	(144,387)
2023	(228,612)
Thereafter	(61,542)
Total	<u>\$ 19,320,507</u>

Actuarial Methods and Assumptions

Total pension liability for STRP was determined by applying update procedures to a financial reporting actuarial valuation as of June 30, 2016, and rolling forward the total pension liability to June 30, 2017. The financial reporting actuarial valuation as of June 30, 2016, used the following methods and assumptions, applied to all prior periods included in the measurement:

Valuation date	June 30, 2016
Measurement date	June 30, 2017
Experience study	July 1, 2010 through June 30, 2015
Actuarial cost method	Entry age normal
Discount rate	7.10%
Investment rate of return	7.10%
Consumer price inflation	2.75%
Wage growth	3.50%

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

CalSTRS uses a generational mortality assumption, which involves the use of a base mortality table and projection scales to reflect expected annual reductions in mortality rates at each age, resulting in increases in life expectancies each year into the future. The base mortality tables are CalSTRS custom tables derived to best fit the patterns of mortality among its members. The projection scale was set equal to 110 percent of the ultimate improvement factor from the Mortality Improvement Scale (MP-2016) table, issued by the Society of Actuaries.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. The best estimate ranges were developed using capital market assumptions from CalSTRS general investment consultant (Pension Consulting Alliance-PCA) as an input to the process. The actuarial investment rate of return assumption was adopted by the board in February 2017 in conjunction with the most recent experience study. For each future valuation, CalSTRS consulting actuary (Milliman) reviews the return assumption for reasonableness based on the most current capital market assumptions. Best estimates of 20-year geometrically-linked real rates of return and the assumed asset allocation for each major asset class for the year ended June 30, 2017, are summarized in the following table:

Asset Class	Assumed Asset Allocation	Long-Term Expected Real Rate of Return
Global equity	47%	6.30%
Fixed income	12%	0.30%
Real estate	13%	5.20%
Private equity	13%	9.30%
Absolute return/risk mitigating strategies	9%	2.90%
Inflation sensitive	4%	3.80%
Cash/liquidity	2%	-1.00%
	100%	

Discount Rate

The discount rate used to measure the total pension liability was 7.10 percent. The projection of cash flows used to determine the discount rate assumed the contributions from plan members and employers will be made at statutory contribution rates. Projected inflows from investment earnings were calculated using the long-term assumed investment rate of return (7.10 percent) and assuming that contributions, benefit payments and administrative expense occurred midyear. Based on these assumptions, the STRP's fiduciary net position was projected to be available to make all projected future benefit payments to current plan members. Therefore, the long-term assumed investment rate of return was applied to all periods of projected benefit payments to determine total pension liability.

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

The following presents the District's proportionate share of the net pension liability calculated using the current discount rate as well as what the net pension liability would be if it were calculated using a discount rate that is one percent lower or higher than the current rate:

Discount Rate	Net Pension Liability
1% decrease (6.10%)	\$ 160,004,486
Current discount rate (7.10%)	\$ 108,971,315
1% increase (8.10%)	\$ 67,554,438

California Public Employees Retirement System (CalPERS)

Plan Description

Qualified employees are eligible to participate in the School Employer Pool (SEP) under the California Public Employees' Retirement System (CalPERS), a cost-sharing multiple-employer public employee retirement system defined benefit pension plan administered by CalPERS. Benefit provisions are established by State statutes, as legislatively amended, within the Public Employees' Retirement Law.

A full description of the pension plan regarding benefit provisions, assumptions (for funding, but not accounting purposes), and membership information is listed in the June 30, 2016 annual actuarial valuation reports, Schools Pool Actuarial Valuation. These reports and CalPERS audited financial information are publically available reports that can be found on the CalPERS website under Forms and Publications at:
<https://www.calpers.ca.gov/page/forms-publications>.

Benefits Provided

CalPERS provides service retirement and disability benefits, annual cost of living adjustments and death benefits to plan members, who must be public employees and beneficiaries. Benefits are based on years of service credit, a benefit factor and the member's final compensation. Members hired on or before December 31, 2012, with five years of total service are eligible to retire at age 50 with statutorily reduced benefits. Members hired on or after January 1, 2013, with five years of total service are eligible to retire at age 52 with statutorily reduced benefits. All members are eligible for non-duty disability benefits after five years of service. The Basic Death Benefit is paid to any member's beneficiary if the member dies while actively employed. An employee's eligible survivor may receive the 1957 Survivor Benefit if the member dies while actively employed, is at least age 50 (or 52 for members hired on or after January 1, 2013), and has at least five years of credited service. The cost of living adjustments for each plan are applied as specified by the Public Employees' Retirement Law.

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

The CalPERS provisions and benefits in effect at June 30, 2018, are summarized as follows:

	School Employer Pool (CalPERS)	
	On or before December 31, 2012	On or after January 1, 2013
Hire date		
Benefit formula	2% at 55	2% at 62
Benefit vesting schedule	5 years of service	5 years of service
Benefit payments	Monthly for life	Monthly for life
Retirement age	55	62
Monthly benefits as a percentage of eligible compensation	1.1% - 2.5%	1.0% - 2.5%
Required employee contribution rate	7.00%	6.50%
Required employer contribution rate	15.531%	15.531%

Contributions

Section 20814(c) of the California Public Employees' Retirement Law requires that the employer contribution rates for all public employers be determined on an annual basis by the actuary and shall be effective on the July 1 following notice of a change in the rate. Total plan contributions are calculated through the CalPERS annual actuarial valuation process. The actuarially determined rate is the estimated amount necessary to finance the costs of benefits earned by employees during the year, with an additional amount to finance any unfunded accrued liability. The District is required to contribute the difference between the actuarially determined rate and the contribution rate of employees. The contributions rates are expressed as percentage of annual payroll. The contribution rates for each plan for the year ended June 30, 2018, are presented above and the total District contributions were \$4,581,720.

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

As of June 30, 2018, the District reported net pension liabilities for its proportionate share of the CalPERS net pension liability totaling \$51,988,034. The net pension liability was measured as of June 30, 2017. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating school districts, actuarially determined. The District's proportionate share for the measurement period June 30, 2017 and June 30, 2016, respectively, was percent 0.21777 and 0.21772 percent, resulting in a net increase in the proportionate share of 0.00005 percent.

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

For the year ended June 30, 2018, the District recognized pension expense of \$9,897,800. At June 30, 2018, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Pension contributions subsequent to measurement date	\$ 4,581,720	\$ -
Net change in proportionate share of net pension liability	705,560	-
Difference between projected and actual earnings on pension plan investments	1,798,430	-
Differences between expected and actual experience in the measurement of the total pension liability	1,862,518	-
Changes of assumptions	7,593,670	612,095
Total	<u>\$ 16,541,898</u>	<u>\$ 612,095</u>

The deferred outflow of resources related to pensions resulting from District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the subsequent fiscal year. The deferred outflows/(inflows) of resources related to the difference between projected and actual earnings on pension plan investments will be amortized over a closed five-year period and will be recognized in pension expense as follows:

Year Ended June 30,	Deferred Outflows of Resources
2019	\$ (48,731)
2020	2,074,998
2021	756,983
2022	(984,820)
Total	<u>\$ 1,798,430</u>

The deferred outflows/(inflows) of resources related to the net change in proportionate share of net pension liability, differences between expected and actual experience in the measurement of the total pension liability, and changes of assumptions will be amortized over the Expected Average Remaining Service Life (EARSL) of all members that are provided benefits (active, inactive, and retirees) as of the beginning of the measurement period. The EARSL for the measurement period is 3.9 years and will be recognized in pension expense as follows:

Year Ended June 30,	Deferred Outflows of Resources
2019	\$ 3,554,582
2020	3,366,721
2021	2,628,350
Total	<u>\$ 9,549,653</u>

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

Actuarial Methods and Assumptions

Total pension liability for the SEP was determined by applying update procedures to a financial reporting actuarial valuation as of June 30, 2016, and rolling forward the total pension liability to June 30, 2017. The financial reporting actuarial valuation as of June 30, 2016, used the following methods and assumptions, applied to all prior periods included in the measurement:

Valuation date	June 30, 2016
Measurement date	June 30, 2017
Experience study	July 1, 1997 through June 30, 2011
Actuarial cost method	Entry age normal
Discount rate	7.15%
Investment rate of return	7.15%
Consumer price inflation	2.75%
Wage growth	Varies by entry age and service

The mortality table used was developed based on CalPERS-specific data. The table includes 20 years of mortality improvements using Society of Actuaries Scale BB.

In determining the long-term expected rate of return, CalPERS took into account both short-term and long-term market return expectations as well as the expected pension fund cash flows. Using historical returns of all the funds' asset classes, expected compound returns were calculated over the short-term (first ten years) and the long-term (11+ years) using a building-block approach. Using the expected nominal returns for both short-term and long-term, the present value of benefits was calculated for each fund. The expected rate of return was set by calculating the rounded single equivalent expected return that arrived at the same present value of benefits for cash flows as the one calculated using both short-term and long-term returns. The expected rate of return was then set equal to the single equivalent rate calculated above and adjusted to account for assumed administrative expenses. The target asset allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Assumed Asset Allocation	Long-Term Expected Real Rate of Return
Global equity	47%	5.38%
Global debt securities	19%	2.27%
Inflation assets	6%	1.39%
Private equity	12%	6.63%
Real estate	11%	5.21%
Infrastructure and Forestland	3%	5.36%
Liquidity	2%	-0.90%
	100%	

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

Discount Rate

The discount rate used to measure the total pension liability was 7.15 percent. The projection of cash flows used to determine the discount rate assumed the contributions from plan members and employers will be made at statutory contribution rates. Based on these assumptions, the School Employer Pool fiduciary net position was projected to be available to make all projected future benefit payments to current plan members. Therefore, the long-term assumed investment rate of return was applied to all periods of projected benefit payments to determine total pension liability.

The following presents the District's proportionate share of the net pension liability calculated using the current discount rate as well as what the net pension liability would be if it were calculated using a discount rate that is one percent lower or higher than the current rate:

Discount Rate	Net Pension Liability
1% decrease (6.15%)	\$ 64,171,451
Current discount rate (7.15%)	\$ 51,988,034
1% increase (8.15%)	\$ 25,389,286

Social Security

As established by Federal law, all public sector employees who are not members of their employer's existing retirement system (CalSTRS or CalPERS) must be covered by Social Security or an alternative plan. The District has elected to use the APPLE Retirement Program as its alternative plan. Contributions made by the District and an employee vest immediately. The District contributes 1.3 percent of an employee's gross earnings. An employee is required to contribute 6.2 percent of his or her gross earnings to the pension plan.

On Behalf Payments

The State of California makes contributions to CalSTRS on behalf of the District. These payments consist of State General Fund contributions to CalSTRS in the amount of \$5,242,506, \$4,308,598, and \$3,702,305, for fiscal years ending June 30, 2018, 2017 and 2016 respectively (9.328 percent of 2017-2018, 8.828 percent of 2016-2017, and 7.126 percent of 2015-2016 annual payrolls). Contributions are no longer appropriated in the annual *Budget Act* for the legislatively mandated benefits to CalPERS. Therefore, there is no on behalf contribution rate for CalPERS. Under accounting principles generally accepted in the United States of America, these amounts are to be reported as revenues and expenditures. Accordingly, these amounts have been recorded in these financial statements.

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

NOTE 15 - OTHER POSTEMPLOYMENT BENEFITS (OPEB) OBLIGATION

For the fiscal year ended June 30, 2018, the district reported net OPEB liability, deferred outflows of resources, deferred inflows of resources, and OPEB expense as follows:

Plan Name	Net OPEB Liability	Deferred Outflows of Resources	Deferred Inflows of Resources	Pension Expense
The Plan	\$ 18,215,455	\$ 164,976	\$ -	\$ 3,259,216

The details of the District plan is as follows:

Plan Administration

The Employee Benefit Trust administers the Postemployment Benefits Plan (the "Plan") - a single-employer defined benefit plan that is used to provide postemployment benefits other than pensions for the Fremont Union High School District. Management of the Plan is vested in the District's Governing Board, which consists of five locally elected plan members.

Benefits provided. The Plan provides medical, dental and vision insurance benefits to certain retirees and their dependents or spouses. The groups of employees who are eligible for the Plan are as follows:

	Management ***	Certificated	Classified ***
Benefits provided	Medical, dental and vision	Medical, dental and vision	Medical, dental and vision
Duration of benefits	5 years *	5 years	5 years
Required service	10 years	10 years	10 years
Minimum age	55	55 **	55
Dependent coverage	Yes	Yes	Spouse
District coverage	100%	100%	100%
Annual District Cap	Same as active	Same as active	Same as active

*Certain management employees are entitled to 7 years of District-paid benefits.

**30 years of service before age 55.

***Management and classified employees who don't qualify for or exhaust these benefits are entitled to minimum benefits pursuant to Government Code Section 22892.

Benefits are provided through a third-party insurer, and the full cost of benefits is covered by the *plan*. The District's Governing Board has the authority to establish and amend the benefit terms as contained within the negotiated labor agreements.

Plan membership. At June 30, 2018, Plan membership consisted of the following:

Inactive plan members or beneficiaries currently receiving benefit payments	\$ 118
Active plan members	979
Total Plan Members	<u>\$ 1,097</u>

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

Contributions. The contribution requirements of plan members and the District are established and may be amended by the District and the Fremont Educators Association (FEA), the local California Service Employees Association (CSEA), and unrepresented groups. The required contribution is based on projected pay-as-you-go financing requirements, with an additional amount to prefund benefits as determined annually through the agreements between the District, FEA, CSEA, and the unrepresented groups. For fiscal year 2017-2018, the District contributed \$1,000,905 to the plan, of which all was used for current premiums. Plan members receiving benefits contributed the same amount as the total premiums. The District contributes \$1,084, \$811 and \$1,391 monthly for each FEA, CSEA, and FMA member, respectively. Any premiums over the District's contribution are paid by plan members.

Investments

Investment policy. The Plan's policy in regard to the allocation of invested assets is established and may be amended by the District's Governing Board by a majority vote of its members. It is the policy of the District's Board to pursue an investment strategy that reduces risk through the prudent diversification of the portfolio across a broad selection of distinct asset classes. The Plan's investment policy discourages the use of cash equivalents, except for liquidity purposes, and aims to refrain from dramatically shifting asset class allocations over short time spans.

Rate of return. For the year ended June 30, 2018, the annual money-weighted rate of return on investments, net of investment expense, was 5.5 percent. The money-weighted rate of return expresses investment performance, net of investment expense, adjusted for the changing amounts actually invested.

The long-term expected rate of return on OPEB plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighting the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. The target allocation and best estimates of arithmetic real rates of return for below asset class included in the target asset allocation as of June 30, 2018, are summarized in the following table:

Asset Class	Target Allocation	Long-Term Expected Real Rate of Return
Fixed income	100%	5.50%

Concentrations. The District invests 100% of its plan assets in the mutual fund.

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

Changes in the Net OPEB Liability

The District's net OPEB liability was measured as of June 30, 2018, and the total OPEB liability used to calculate the net OPEB liability was determined by an actuarial valuation as of June 30, 2018.

	Total OPEB Liability (a)	Fiduciary Net Position (b)	Net OPEB Liability (c) = (a) - (b)
Balance at June 30, 2017	\$ 23,006,778	\$ 7,199,584	\$ 15,807,194
Changes recognized for the year:			
Service cost	2,491,194	-	2,491,194
Interest on total OPEB liability	1,021,333	-	1,021,333
Employer contributions	-	1,000,905	(1,000,905)
Actual investment income	-	103,361	(103,361)
Benefit payments	(1,000,905)	(1,000,905)	-
Net change	2,511,622	103,361	2,408,261
Balance at June 30, 2018	<u>\$ 25,518,400</u>	<u>\$ 7,302,945</u>	<u>\$ 18,215,455</u>

The components of the net OPEB liability of the District as June 30, 2018, were as follows:

Total OPEB liability	\$ 25,518,400
Plan fiduciary net position	<u>7,302,945</u>
District's net OPEB liability	<u>\$ 18,215,455</u>
Plan fiduciary net position as a percentage of the total OPEB liability	<u>29%</u>

OPEB Expense and Deferred Outflows of Resources and Deferred Inflows of Resources related to OPEB

For the year ended June 30, 2018, the District recognized OPEB expense of \$3,259,216. At June 30, 2018, the District reported deferred outflows of resources due to net differences between projected and actual earnings on plan investments in the amount of \$164,976 which will be recognized in OPEB expenses as follows:

Year Ended June 30	Deferred Outflows/(Inflows) of Resources
2019	\$ 41,245
2020	41,245
2021	41,245
2022	41,241
	<u>\$ 164,976</u>

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

Actuarial Methods and Assumptions

Actuarial assumptions. The total OPEB liability was determined by an actuarial valuation as of June 30, 2018, using the following actuarial assumptions, applied to all periods included in the measurement, unless otherwise specified:

Inflation	2.75 percent
Salary increases	2.75 percent
Investment rate of return	4.30 percent
Healthcare cost trend rates	4.00 percent

Mortality rates were based on the 2009 CalSTRS Mortality Table and 2014 CalPERS Active Mortality Table for certificated and classified employees, respectively.

The actuarial assumptions used in the June 30, 2018 valuation were based on the results of applicable actuarial standards of practice, Fremont Union High School District's actual historical experience, and actuarial experience and training.

Discount rate. The discount rate used to measure the total OPEB liability was 4.3 percent. The projection of cash flows used to determine the discount rate assumed that District contributions will be made at rates equal to the actuarially determined contribution rates. Based on those assumptions, the OPEB plan's fiduciary net position was projected to be available to make all projected future benefit payments of current plan members. Therefore, the long-term expected rate of return on OPEB plan investments was applied to all periods of projected benefit payments to determine the total OPEB liability.

Sensitivity of the net OPEB liability to changes in the discount rate. The following presents the net OPEB liability of the District, as well as what the District's net OPEB liability would be if it were calculated using a discount rate that is 1-percentage-point lower (3.3 percent) or 1-percentage-point higher (5.3 percent) than the current discount rate:

	1% Decrease 3.3%	Discount Rate 4.3%	1% Increase 5.3%
Net OPEB liability	<u>\$ 21,139,034</u>	<u>\$ 18,215,455</u>	<u>\$ 15,702,972</u>

Sensitivity of the net OPEB liability to changes in the healthcare cost trend rates. The following presents the net OPEB liability of the District, as well as what the District's net OPEB liability would be if it were calculated using healthcare cost trend rates that are 1-percentage-point lower (3 percent) or 1-percentage-point higher (5 percent) than the current healthcare cost trend rates:

	1% Decrease 3.0%	Healthcare Cost Trend Rates 4.0%	1% Increase 5.0%
Net OPEB liability	<u>\$ 10,276,487</u>	<u>\$ 18,215,455</u>	<u>\$ 28,166,799</u>

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2018

NOTE 16 - COMMITMENTS AND CONTINGENCIES

Grants

The District received financial assistance from Federal and State agencies in the form of grants. The disbursement of funds received under these programs generally requires compliance with terms and conditions specified in the grant agreements and are subject to audit by the grantor agencies. Any disallowed claims resulting from such audits could become a liability of the General Fund or other applicable funds. However, in the opinion of management, any such disallowed claims will not have a material adverse effect on the overall financial position of the District at June 30, 2018.

Litigation

The District is involved in various litigations arising from the normal course of business. In the opinion of management and legal counsel, the disposition of all litigation pending is not expected to have a material adverse effect on the overall financial position of the District at June 30, 2018.

Construction Commitments

As of June 30, 2018, the District had the following commitments with respect to the unfinished capital projects:

Capital Project	Expected Date of Completion	Remaining Construction Commitment
CHS New Science and Standard Classroom Building	08/09/19	\$ 23,572
FHS GSS and Classroom Building	12/24/18	4,018,177
FHS Main Building Modernization	02/28/20	2,319,005
HHS Building S - DSA Closeout/Site and Infrastructure	12/31/18	180,650
HHS GSS Building/Remove Building D	09/03/20	8,590,623
HHS Innovation Hub/ New Classroom Building	02/15/19	29,992
HHS Remodel A Building Administration Space to Classroom	07/27/22	8,865,314
HHS Temporary Housing	04/30/19	2,968
HHS Utility Infrastructure Phase III	07/27/22	2,925,850
LHS Auditorium Lobby Remodel	10/31/21	3,788,577
LHS GSS Building, Parking and Relocate PV Total	10/25/21	13,250,467
LHS New Cafeteria, Main Quad, Gym Lobby Total	12/26/19	19,403,177
MVHS Building A and C HVAC Total	11/30/19	2,174,110
MVHS Guidance Center Remodel Total	10/31/18	40,687
MVHS Gym Mod, Amphitheater/ Dance/ Path of Travel Total	11/30/18	110,631
DS New Ed Options and ACE Campus (3)	10/25/19	14,257,487
Total		<u>\$ 79,981,287</u>

FREMONT UNION HIGH SCHOOL DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2018

NOTE 17 - PARTICIPATION IN PUBLIC ENTITY RISK POOLS AND JOINT POWER AUTHORITIES

The District is a member of the Silicon Valley Joint Powers Transportation Agency (SVJPA), the Santa Clara County Schools Insurance Group (SCCSIG), and the Northern California Regional Liability Excess Fund (North CalReLiEF). The relationship between the District, the pools and the JPA's are such that they are not component units of the District for financial reporting purposes.

These entities have budgeting and financial reporting requirements independent of member units and their financial statements are not presented in these financial statements; however, fund transactions between the entities and the District are included in these statements. Audited financial statements are generally available from the respective entities.

The District has appointed one board member to the Governing Board of SVJPA, SCCSIG, and North CalReLiEF. During the year ended June 30, 2018, the District made payments as follows:

Related Entities	Service Payments	Service Provided
SVJPA	\$ 2,304,116	Transportation for special education students
SCCSIG	1,205,862	Excess workers' compensation insurance
North CalReLiEF	651,523	Property and liability insurance

REQUIRED SUPPLEMENTARY INFORMATION

FREMONT UNION HIGH SCHOOL DISTRICT

GENERAL FUND BUDGETARY COMPARISON SCHEDULE FOR THE YEAR ENDED JUNE 30, 2018

	Budgeted Amounts			Variances - Favorable (Unfavorable)
	Original	Final	Actual	Final to Actual
REVENUES				
Local control funding formula	\$ 128,066,675	\$ 129,433,342	\$ 129,640,260	\$ 206,918
Federal sources	2,778,152	2,867,529	2,857,797	(9,732)
Other State sources	8,072,193	11,163,062	12,009,256	846,194
Other local sources	7,934,492	8,542,056	8,656,828	114,772
Total Revenues	<u>146,851,512</u>	<u>152,005,989</u>	<u>153,164,141</u>	<u>1,158,152</u>
EXPENDITURES				
Current				
Certificated salaries	64,799,070	67,715,352	68,049,619	(334,267)
Classified salaries	23,143,368	24,413,238	24,469,275	(56,037)
Employee benefits	34,083,891	37,306,754	37,604,752	(297,998)
Books and supplies	7,371,541	6,879,119	5,731,375	1,147,744
Services and operating expenditures	15,081,652	18,372,720	17,421,208	951,512
Other outgo	(225,033)	(218,088)	(249,036)	30,948
Capital outlay	175,765	1,215,294	746,005	469,289
Total Expenditures	<u>144,430,253</u>	<u>155,684,389</u>	<u>153,773,198</u>	<u>1,911,191</u>
Excess Expenditures				
Over Revenues	<u>2,421,259</u>	<u>(3,678,400)</u>	<u>(609,057)</u>	<u>3,069,343</u>
Other Financing Sources (Uses)				
Transfers in	1,302,638	1,896,017	-	(1,896,017)
Transfers out	(4,578,752)	(1,207,383)	(2,050,315)	(842,932)
Net Financing Sources (Uses)	<u>(3,276,114)</u>	<u>688,634</u>	<u>(2,050,315)</u>	<u>(2,738,949)</u>
NET CHANGE IN FUND BALANCES	(854,855)	(2,989,766)	(2,659,372)	330,394
Fund Balance - Beginning	31,677,213	31,677,213	31,677,213	-
Fund Balance - Ending	<u>\$ 30,822,358</u>	<u>\$ 28,687,447</u>	<u>\$ 29,017,841</u>	<u>\$ 330,394</u>

See accompanying note to required supplementary information.

FREMONT UNION HIGH SCHOOL DISTRICT

SCHEDULE OF CHANGES IN THE DISTRICT'S NET OPEB LIABILITY AND RELATED RATIOS FOR THE YEAR ENDED JUNE 30, 2018

	2018	2017
Total OPEB Liability		
Service cost	\$ 2,491,194	\$ 2,424,520
Interest on total OPEB liability	1,021,333	917,585
Benefit payments	(1,000,905)	(991,200)
Net changes in total OPEB liability	2,511,622	2,350,905
Total OPEB Liability - beginning	23,006,778	20,655,873
Total OPEB Liability - ending (a)	25,518,400	23,006,778
 Plan Fiduciary Net Position		
Contributions - employer	1,000,905	962,409
Net investment income	103,361	116,073
Benefit payments	(1,000,905)	(991,200)
Net change in plan fiduciary net position	103,361	87,282
Plan fiduciary net position - beginning	7,199,584	7,112,302
Plan fiduciary net position - ending (b)	7,302,945	7,199,584
District's net OPEB liability - ending (a) - (b)	\$ 18,215,455	\$ 15,807,194
 Plan fiduciary net position as a percentage of the total OPEB liability	28.62%	31.29%
Covered - payroll	\$ 92,035,344	\$ 91,832,884
District's net OPEB liability as a percentage of covered - payroll	19.79%	17.21%

Note: In the future, as data becomes available, ten years of information will be presented.

See accompanying note to required supplementary information.

FREMONT UNION HIGH SCHOOL DISTRICT

SCHEDULE OF OPEB INVESTMENT RETURNS FOR THE YEAR ENDED JUNE 30, 2018

	2018	2017
Annual money weighted rate of return, net of investment expense	4.30%	4.30%

Note : In the future, as data becomes available, ten years of information will be presented.

See accompanying note to required supplementary information.

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FREMONT UNION HIGH SCHOOL DISTRICT

SCHEDULE OF THE DISTRICT'S PROPORTIONATE SHARE OF THE NET PENSION LIABILITY FOR THE YEAR ENDED JUNE 30, 2018

MEASUREMENT DATE, JUNE 30,	2017	2016	2015
CalSTRS			
District's proportion of the net pension liability	0.11783%	0.11900%	0.11867%
District's proportionate share of the pension liability	\$ 108,971,315	\$ 96,257,466	\$ 79,891,779
State's proportionate share of the net pension liability associated with the District	64,466,509	54,797,658	42,253,944
Total	<u>\$ 173,437,824</u>	<u>\$ 151,055,124</u>	<u>\$ 122,145,723</u>
District's covered payroll	<u>\$ 63,679,597</u>	<u>\$ 60,292,804</u>	<u>\$ 50,227,021</u>
liability as a percentage of its covered payroll	<u>171%</u>	<u>160%</u>	<u>159%</u>
Plan fiduciary net position as a percentage of the total pension liability	<u>69%</u>	<u>70%</u>	<u>74%</u>
CalPERS			
District's proportion of the net pension liability	0.21777%	0.21772%	0.21077%
District's proportionate share of the pension liability	\$ 51,988,034	\$ 42,999,244	\$ 31,068,349
District's covered payroll	<u>\$ 27,758,189</u>	<u>\$ 26,128,463</u>	<u>\$ 23,139,080</u>
liability as a percentage of its covered payroll	<u>187%</u>	<u>165%</u>	<u>134%</u>
Plan fiduciary net position as a percentage of the total pension liability	<u>72%</u>	<u>74%</u>	<u>79%</u>

Note: In the future, as data becomes available, ten years of information will be presented.

See accompanying note to required supplementary information.

2014

0.11573%

\$ 67,631,744

40,838,967

\$ 108,470,711

\$ 51,955,637

130%

77%

0.20563%

\$ 23,344,213

\$ 21,689,629

108%

83%

FREMONT UNION HIGH SCHOOL DISTRICT

SCHEDULE OF DISTRICT PENSION CONTRIBUTIONS FOR THE YEAR ENDED JUNE 30, 2018

FISCAL YEAR END, JUNE 30,	2018	2017	2016
CalSTRS			
Contractually required contribution	\$ 9,573,016	\$ 7,918,756	\$ 6,430,351
Contributions in relation to the contractually required contribution	9,573,016	7,918,756	6,430,351
Contribution deficiency (excess)	\$ -	\$ -	\$ -
District's covered payroll	\$ 66,364,690	\$ 63,679,597	\$ 60,292,804
Contributions as a percentage of covered payroll	14.42%	12.44%	10.60%
CalPERS			
Contractually required contribution	\$ 4,581,720	\$ 3,855,057	\$ 3,095,439
Contributions in relation to the contractually required contribution	4,581,720	3,855,057	3,095,439
Contribution deficiency (excess)	\$ -	\$ -	\$ -
District's covered payroll	\$ 29,500,480	\$ 27,758,189	\$ 26,128,463
Contributions as a percentage of covered payroll	15.53%	13.89%	11.85%

Note: In the future, as data becomes available, ten years of information will be presented.

See accompanying note to required supplementary information.

<u>2015</u>	
\$ 4,907,917	
<u>4,907,917</u>	
<u>\$ -</u>	
<u>\$ 50,227,021</u>	
<u>9.77%</u>	
\$ 2,647,574	
<u>2,647,574</u>	
<u>\$ -</u>	
<u>\$ 23,139,080</u>	
<u>11.44%</u>	

FREMONT UNION HIGH SCHOOL DISTRICT

NOTE TO REQUIRED SUPPLEMENTARY INFORMATION JUNE 30, 2018

NOTE 1 - PURPOSE OF SCHEDULES

Budgetary Comparison Schedule

This schedule presents information for the original and final budgets and actual results of operations, as well as the variances from the final budget to actual results of operations.

Schedule of Changes in the District's Net OPEB Liability and Related Ratios

This schedule presents information on the District's changes in the net OPEB liability, including beginning and ending balances, the plan's fiduciary net position, and the net OPEB liability. In the future, as data becomes available, ten years of information will be presented.

Schedule of OPEB Investment Returns

This schedule presents information on the annual money weighted rate of return on OPEB plan investments. In future years, as data becomes available, ten years of information will be presented.

Schedule of the District's Proportionate Share of the Net Pension Liability

This schedule presents information on the District's proportionate share of the net pension liability (NPL), the plans' fiduciary net position and, when applicable, the State's proportionate share of the NPL associated with the District. In the future, as data becomes available, ten years of information will be presented.

Changes in Benefit Terms – There were no changes in benefit terms since the previous valuations for both CalSTRS and CalPERS.

Changes in Assumptions – The CalSTRS plan rate of investment return assumption was changed from 7.60 percent to 7.10 percent since the previous valuation. The CalPERS plan rate of investment return assumption was changed from 7.65 percent to 7.15 percent since the previous valuation.

Schedule of District Pension Contributions

This schedule presents information on the District's required contribution, the amounts actually contributed, and any excess or deficiency related to the required contribution. In the future, as data becomes available, ten years of information will be presented.

SUPPLEMENTARY INFORMATION

FREMONT UNION HIGH SCHOOL DISTRICT

SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS FOR THE YEAR ENDED JUNE 30, 2018

Federal Grantor/Pass-Through Grantor/Program or Cluster Title	Federal CFDA Number	Pass- Through Entity Identifying Number	Federal Expenditures
U.S. DEPARTMENT OF EDUCATION			
Passed through California Department of Education (CDE):			
Adult Education Act:			
Adult Basic Education and ESL	84.002A	14508	\$ 223,284
Adult Secondary Education	84.002	13978	46,186
English Literacy and Civics Education	84.002A	14109	57,048
Total Adult Education			326,518
Title II, Part A, Teacher Quality	84.367	14341	114,209
Title III-Limited English Proficiency (LEP)	84.365	14346	121,957
Advance Placement Test Fee Reimbursement Program	84.330B	14831	3,723
Individuals with Disabilities Act:			
Basic Local Assistance Entitlement: Part B, Sec 611	84.027	13379	1,508,188
Alternative Dispute Resolution: Part B, Sec 611	84.027A	13007	1,127
Mental Health ADA Allocation Plan, Part B, Sec 611	84.027A	14468	407,412
Total Special Education Cluster			1,916,727
Carl D Perkins Act:			
Technology Secondary, Section 131	84.048	14894	130,462
Total Carl Perkins Grant			130,462
Department of Rehabilitation: Workability II, Transitions Partnership	84.126	10006	446,228
Total U.S. Department of Education			3,059,824

See accompanying note to supplementary information.

FREMONT UNION HIGH SCHOOL DISTRICT

SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS (CONTINUED) FOR THE YEAR ENDED JUNE 30, 2018

Federal Grantor/Pass-Through Grantor/Program or Cluster Title	Federal CFDA Number	Pass- Through Entity Identifying Number	Federal Expenditures
U.S. DEPARTMENT OF AGRICULTURE			
Passed through CDE:			
Child Nutrition Cluster			
National School Lunch	10.555	13523	428,756
National School Breakfast	10.553	13525	44,971
Especially Needy Breakfast	10.553	13526	177,534
Summer Food Service Program Operations	10.559	13004	31,479
Commodity Supplemental Food Program ²	10.555	¹	123,310
Total Child Nutrition Cluster			806,050
National School Lunch Program Equipment Assistance Grants	10.579	14906	18,500
Total U.S. Department of Agriculture			824,550
U.S. DEPARTMENT OF HEALTH CARE SERVICES			
Passed through California Department of Health Care Services:			
Medi-Cal Administrative Activities (MAA)	93.778	10060	124,490
Total Expenditures of Federal Awards			\$ 4,008,864

¹ Pass-Through Entity Identifying Number not available

² Not recorded in the financial statements

See accompanying note to supplementary information.

FREMONT UNION HIGH SCHOOL DISTRICT

LOCAL EDUCATION AGENCY ORGANIZATION STRUCTURE JUNE 30, 2018

ORGANIZATION

The Fremont Union High School District was established in 1925 under the laws of the State of California and consists of an area comprising approximately 42 square miles. The District operates five high schools, one community day school, one adult school and one independent study school. There were no boundary changes during the year.

BOARD OF TRUSTEES

<u>MEMBER</u>	<u>OFFICE</u>	<u>TERM EXPIRES</u>
Bill Wilson	President	2018
Barbara Nunes	Vice President	2018
Hung Wei	Clerk	2018
Jeff Moe	Member	2020
Roy Rocklin	Member	2020
Samantha Millar	Student Member	2018

ADMINISTRATION

<u>NAME</u>	<u>TITLE</u>
Polly Bove	Superintendent
Christine Mallery	Chief Business Officer, Associate Superintendent
Graham Clark	Associate Superintendent of Administrative Services
Trudy Gross	Assistant Superintendent, Teaching and Learning
Tom Avvakumovits	Assistant Superintendent, Teaching and Learning

See accompanying note to supplementary information.

FREMONT UNION HIGH SCHOOL DISTRICT

SCHEDULE OF AVERAGE DAILY ATTENDANCE FOR THE YEAR ENDED JUNE 30, 2018

	Final Report	
	Second Period Report	Annual Report
Ninth Through Twelfth		
Regular classes ADA	10,679.21	10,649.07
Extended year special education	5.54	5.54
Special education, nonpublic, nonsectarian schools	33.27	32.72
Extended year special education, nonpublic, nonsectarian schools	4.90	4.90
Community day school	8.97	9.03
Total Average Daily Attendance (ADA)	<u>10,731.89</u>	<u>10,701.26</u>

See accompanying note to supplementary information.

FREMONT UNION HIGH SCHOOL DISTRICT

SCHEDULE OF INSTRUCTIONAL TIME FOR THE YEAR ENDED JUNE 30, 2018

Grade Level	1986-1987	2017-2018	Number of Days		Status
	Minutes Requirement	Actual Minutes	Traditional Calendar	Multitrack Calendar	
Grade 9	64,800	64,816	180	N/A	Complied
Grade 10	64,800	64,816	180	N/A	Complied
Grade 11	64,800	65,306	180	N/A	Complied
Grade 12	64,800	64,812	180	N/A	Complied

Fremont Union High School District is a basic aid school district and not subject to the instruction time requirements.

FREMONT UNION HIGH SCHOOL DISTRICT

RECONCILIATION OF UNAUDITED ANNUAL FINANCIAL AND BUDGET REPREPORT WITH AUDITED FINANCIAL STATEMENTS FOR THE YEAR ENDED JUNE 30, 2018

There were no adjustments to the Unaudited Actual Financial Report which require reconciliation to the audited financial statement at June 30, 2018.

FREMONT UNION HIGH SCHOOL DISTRICT

SCHEDULE OF FINANCIAL TRENDS AND ANALYSIS FOR THE YEAR ENDED JUNE 30, 2018

	(Budget) 2019 ¹	2018	2017	2016
GENERAL FUND				
Revenues	\$ 156,047,870	\$ 153,164,141	\$ 145,037,303	\$ 142,697,270
Other sources	3,058,064	-	-	-
Total Revenues and Other Sources	159,105,934	153,164,141	145,037,303	142,697,270
Expenditures	159,016,737	153,773,198	145,996,929	129,240,158
Other uses and transfers out	1,207,383	2,050,315	4,952,721	2,144,923
Total Expenditures and Other Uses	160,224,120	155,823,513	150,949,650	131,385,081
INCREASE (DECREASE)				
IN FUND BALANCE	\$ (1,118,186)	\$ (2,659,372)	\$ (5,912,347)	\$ 11,312,189
ENDING FUND BALANCE	\$ 27,899,655	\$ 29,017,841	\$ 31,677,213	\$ 37,589,560
AVAILABLE RESERVES ²	\$ 4,112,360	\$ 5,230,546	\$ 4,672,725	\$ 4,982,472
AVAILABLE RESERVES AS A PERCENTAGE OF TOTAL OUTGO	2.57%	3.36%	3.10%	3.79%
LONG-TERM DEBT	\$ 601,140,326	\$ 649,697,078	\$ 656,807,617	\$ 523,948,872
K-12 AVERAGE DAILY ATTENDANCE AT P-2	10,704	10,732	10,491	10,368

The General Fund balance has decreased by \$8,571,719 over the past two years. The fiscal year 2018-2019 budget projects a decrease of \$1,118,186 (4 percent). For a district this size, the State recommends available reserves of at least 3 percent of total General Fund expenditures, transfers out, and other uses (total outgo).

The District has incurred operating deficit in all of the past three years and continues to anticipate an operating deficit during the 2018-2019 fiscal year. Total long-term obligations have increased by \$125,748,206 over the past two years mainly due to issuance of \$145 million general obligation bonds.

Average daily attendance has increased by 364 over the past two years. A decrease of 28 ADA is anticipated during fiscal year 2018-2019.

¹ Budget 2019 is included for analytical purposes only and has not been subjected to audit.

² Available reserves consist of all unassigned fund of the General Fund, and does not include the \$11,038,183 and \$10,733,927 in committed fund balance for additional reserve for economic uncertainty for 2017-2018 and 2016-2017, respectively.

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FREMONT UNION HIGH SCHOOL DISTRICT

NON-MAJOR GOVERNMENTAL FUNDS COMBINING BALANCE SHEET JUNE 30, 2018

	Adult Education Fund	Cafeteria Fund	Deferred Maintenance Fund
ASSETS			
Deposits and investments	\$ 1,232,086	\$ 33,151	\$ 5,832,237
Receivables	349,355	111,070	24,609
Due from other funds	-	52,192	767,602
Prepaid expenses	4,129	-	-
Stores inventories	-	18,142	-
Total Assets	\$ 1,585,570	\$ 214,555	\$ 6,624,448
LIABILITIES AND FUND BALANCES			
Liabilities:			
Accounts payable	\$ 44,944	\$ 58,162	\$ -
Due to other funds	190,974	-	-
Unearned revenue	40	137,876	-
Total Liabilities	235,958	196,038	-
Fund Balances:			
Nonspendable	4,129	18,517	-
Restricted	55,519	-	-
Committed	1,289,964	-	6,624,448
Total Fund Balances	1,349,612	18,517	6,624,448
Total Liabilities and Fund Balances	\$ 1,585,570	\$ 214,555	\$ 6,624,448

See accompanying note to supplementary information.

Special Reserve Foundation Fund	Capital Facilities Fund	Total Non-Major Governmental Funds
\$ 106,500	\$ 9,266,350	\$ 16,470,324
483	35,510	521,027
-	-	819,794
-	-	4,129
-	-	18,142
<u>\$ 106,983</u>	<u>\$ 9,301,860</u>	<u>\$ 17,833,416</u>

\$ -	\$ 3,475	\$ 106,581
-	-	190,974
-	-	137,916
<u>-</u>	<u>3,475</u>	<u>435,471</u>
-	-	22,646
106,983	9,298,385	9,460,887
-	-	7,914,412
<u>106,983</u>	<u>9,298,385</u>	<u>17,397,945</u>
<u>\$ 106,983</u>	<u>\$ 9,301,860</u>	<u>\$ 17,833,416</u>

FREMONT UNION HIGH SCHOOL DISTRICT

NON-MAJOR GOVERNMENTAL FUNDS COMBINING STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES FOR THE YEAR ENDED JUNE 30, 2018

	Adult Education Fund	Cafeteria Fund	Deferred Maintenance Fund
REVENUES			
Local control funding formula	\$ -	\$ -	\$ 767,602
Federal sources	326,518	701,239	-
Other State sources	2,909,767	47,321	-
Other local sources	1,117,939	1,596,497	188,663
Total Revenues	4,354,224	2,345,057	956,265
EXPENDITURES			
Current			
Instruction	1,454,447	-	-
Instruction-related activities:			
Supervision of instruction	64,116	-	-
Instructional library, media, and technology	17,229	-	-
School site administration	2,530,521	-	-
Pupil services:			
Food services	-	3,399,344	-
Administration:			
All other administration	190,974	73,916	-
Plant services	295,494	-	57,634
Capital outlay	-	-	75,529
Total Expenditures	4,552,781	3,473,260	133,163
Excess (Deficiency) of Revenues Over Expenditures	(198,557)	(1,128,203)	823,102
Other Financing Sources (Uses)			
Transfers in	-	1,123,399	-
Net Financing Sources (Uses)	-	1,123,399	-
NET CHANGE IN FUND BALANCES	(198,557)	(4,804)	823,102
Fund Balance - Beginning	1,548,169	23,321	5,801,346
Fund Balance - Ending	\$ 1,349,612	\$ 18,517	\$ 6,624,448

See accompanying note to supplementary information.

Special Reserve Foundation Fund	Capital Facilities Fund	Total Non-Major Governmental Funds
\$ -	\$ -	\$ 767,602
-	-	1,027,757
-	-	2,957,088
1,659	2,619,449	5,524,207
1,659	2,619,449	10,276,654
10,000	-	1,464,447
-	-	64,116
-	-	17,229
-	-	2,530,521
-	-	3,399,344
-	26,025	290,915
-	-	353,128
-	-	75,529
10,000	26,025	8,195,229
(8,341)	2,593,424	2,081,425
-	-	1,123,399
-	-	1,123,399
(8,341)	2,593,424	3,204,824
115,324	6,704,961	14,193,121
\$ 106,983	\$ 9,298,385	\$ 17,397,945

FREMONT UNION HIGH SCHOOL DISTRICT

**NOTE TO SUPPLEMENTARY INFORMATION
JUNE 30, 2018**

NOTE 1 - PURPOSE OF SCHEDULES

Schedule of Expenditures of Federal Awards

The accompanying schedule of expenditures of Federal awards includes the Federal grant activity of the District and is presented on the modified accrual basis of accounting. The information in this schedule is presented in accordance with the requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Therefore, some amounts presented in this schedule may differ from amounts presented in, or used in the preparation of, the financial statements. The District has not elected to use the ten percent de minimis cost rate as covered in Section 200.414 Indirect (F&A) costs of the Uniform Guidance.

The following schedule provides reconciliation between revenues reported on the Statement of Revenues, Expenditures, and Changes in Fund Balance and the related expenditures reported on the Schedule of Expenditures of Federal Awards.

	CFDA Number	Amount
Federal Revenues report in the Statement of Revenues, Expenditures and Changes in Fund Balances	N/A	\$ 4,851,623
Federal interest subsidy from Build America Bonds Act	N/A	(966,069)
Commodities	10.555	123,310
Total Schedule of Expenditures of Federal Awards		<u>\$ 4,008,864</u>

Local Education Agency Organization Structure

This schedule provides information about the District's boundaries and schools operated, members of the governing board, and members of the administration.

Schedule of Average Daily Attendance (ADA)

Average daily attendance (ADA) is a measurement of the number of pupils attending classes of the District. The purpose of attendance accounting from a fiscal standpoint is to provide the basis on which apportionments of State funds are made to school districts. This schedule provides information regarding the attendance of students at various grade levels and in different programs.

Schedule of Instructional Time

The District has received incentive funding for increasing instructional time as provided by the Incentives for Longer Instructional Day. The District exceeded its target funding. This schedule presents information on the amount of instructional time offered by the District and whether the District complied with the provisions of *Education Code* Sections 46200 through 46206.

Districts must maintain their instructional minutes at the 1986-1987 requirements, as required by *Education Code* Section 46201.

FREMONT UNION HIGH SCHOOL DISTRICT

NOTE TO SUPPLEMENTARY INFORMATION JUNE 30, 2018

Reconciliation of Unaudited Annual Financial and Budget Report with Audited Financial Statements

This schedule provides the information necessary to reconcile the fund balance of all funds reported on the Unaudited Actual Financial Report to the audited financial statements.

Schedule of Financial Trends and Analysis

This schedule discloses the District's financial trends by displaying past years' data along with current year budget information. These financial trend disclosures are used to evaluate the District's ability to continue as a going concern for a reasonable period of time.

Non-Major Governmental Funds - Balance Sheet and Statement of Revenues, Expenditures and Changes in Fund Balances

The Non-Major Governmental Funds Combining Balance Sheet and Combining Statement of Revenues, Expenditures and Changes in Fund Balances is included to provide information regarding the individual funds that have been included in the Non-Major Governmental Funds column on the Governmental Funds Balance Sheet and Statement of Revenues, Expenditures, and Changes in Fund Balances.

INDEPENDENT AUDITOR'S REPORTS



VAVRINEK, TRINE, DAY & CO., LLP
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**INDEPENDENT AUDITOR'S REPORT ON INTERNAL CONTROL OVER
FINANCIAL REPORTING AND ON COMPLIANCE AND OTHER MATTERS
BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN
ACCORDANCE WITH GOVERNMENT AUDITING STANDARDS**

Governing Board
Fremont Union High School District
Sunnyvale, California

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of Fremont Union High School District (the District) as of and for the year ended June 30, 2018, and the related notes to the financial statements, which collectively comprise Fremont Union High School District's basic financial statements, and have issued our report thereon dated November 29, 2018.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered Fremont Union High School District's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Fremont Union High School District's internal control. Accordingly, we do not express an opinion on the effectiveness of Fremont Union High School District's internal control.

A deficiency in internal control exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the District's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

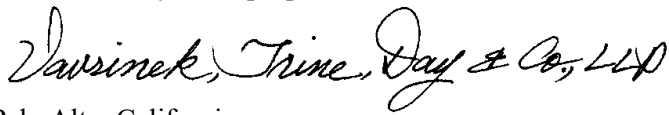
Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether Fremont Union High School District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of This Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.



Palo Alto, California
November 29, 2018



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**INDEPENDENT AUDITOR'S REPORT ON COMPLIANCE FOR
EACH MAJOR PROGRAM AND REPORT ON INTERNAL CONTROL
OVER COMPLIANCE REQUIRED BY THE UNIFORM GUIDANCE**

Governing Board
Fremont Union High School District
Sunnyvale, California

Report on Compliance for Each Major Federal Program

We have audited Fremont Union High School District's (the District) compliance with the types of compliance requirements described in the *OMB Compliance Supplement* that could have a direct and material effect on each of Fremont Union High School District's major Federal programs for the year ended June 30, 2018. Fremont Union High School District's major Federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

Management's Responsibility

Management is responsible for compliance with the Federal statutes, regulations, and the terms and conditions of its Federal awards applicable to its Federal programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance for each of Fremont Union High School District's major Federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Those standards and the Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major Federal program occurred. An audit includes examining, on a test basis, evidence about Fremont Union High School District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for each major Federal program. However, our audit does not provide a legal determination of Fremont Union High School District's compliance.

Opinion on Each Major Federal Program

In our opinion, Fremont Union High School District complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major Federal programs for the year ended June 30, 2018.

Report on Internal Control Over Compliance

Management of Fremont Union High School District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered Fremont Union High School District's internal control over compliance with the types of requirements that could have a direct and material effect on each major Federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major Federal program and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of Fremont Union High School District's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a Federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a Federal program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a Federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.



Palo Alto, California
November 29, 2018



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INDEPENDENT AUDITOR'S REPORT ON STATE COMPLIANCE

Governing Board
Fremont Union High School District
Sunnyvale, California

Report on State Compliance

We have audited Fremont Union High School District's (the District) compliance with the types of compliance requirements as identified in the *2017-2018 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting* that could have a direct and material effect on each of the Fremont Union High School District's State government programs as noted below for the year ended June 30, 2018.

Management's Responsibility

Management is responsible for compliance with the requirements of State laws, regulations, and the terms and conditions of its State awards applicable to its State programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance of each of the Fremont Union High School District's State programs based on our audit of the types of compliance requirements referred to above. We conducted our audit in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the *2017-2018 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*. These standards require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the compliance requirements referred to above that could have a material effect on the applicable government programs noted below. An audit includes examining, on a test basis, evidence about Fremont Union High School District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances. We believe that our audit provides a reasonable basis for our opinions. Our audit does not provide a legal determination of Fremont Union High School District's compliance with those requirements.

Unmodified Opinion

In our opinion, Fremont Union High School District complied, in all material respects, with the compliance requirements referred to above that are applicable to the government programs noted below that were audited for the year ended June 30, 2018.

In connection with the audit referred to above, we selected and tested transactions and records to determine the Fremont Union High School District's compliance with the State laws and regulations applicable to the following items:

	Procedures Performed
LOCAL EDUCATION AGENCIES OTHER THAN CHARTER SCHOOLS	
Attendance	Yes
Teacher Certification and Misassignments	Yes
Kindergarten Continuance	No, See Below
Independent Study	No, See Below
Continuation Education	No, See Below
Instructional Time	Yes
Instructional Materials	Yes
Ratios of Administrative Employees to Teachers	Yes
Classroom Teacher Salaries	Yes
Early Retirement Incentive	No, See Below
Gann Limit Calculation	Yes
School Accountability Report Card	Yes
Juvenile Court Schools	No, See Below
Middle or Early College High Schools	Yes
K-3 Grade Span Adjustment	No, See Below
Transportation Maintenance of Effort	Yes
Apprenticeship: Related and Supplemental Instruction	No, See Below
SCHOOL DISTRICTS, COUNTY OFFICES OF EDUCATION, AND CHARTER SCHOOLS	
Educator Effectiveness	Yes
California Clean Energy Jobs Act	Yes
After School Education and Safety Program:	
General Requirements	No, See Below
After School	No, See Below
Before School	No, See Below
Proper Expenditure of Education Protection Account Funds	Yes
Unduplicated Local Control Funding Formula Pupil Counts	Yes
Local Control Accountability Plan	Yes
Independent study – Course Based	No, See Below
CHARTER SCHOOLS	
Attendance	No, See Below
Mode of Instruction	No, See Below
Non Classroom-Based Instruction/Independent Study for Charter Schools	No, See Below
Determination of Funding for Non Classroom-Based Instruction	No, See Below
Annual Instruction Minutes Classroom-Based	No, See Below

The District does not offer a Kindergarten Continuance Program during the current year; therefore, we did not perform any related procedures.

The District does not offer an Independent Study Program during the current year; therefore, we did not perform any related procedures.

The District does not have any Continuation Education program; therefore, we did not perform any procedures related to Continuation Education.

The District did not offer an Early Retirement Incentive Program during the current year; therefore, we did not perform procedures related to the Early Retirement Incentive Program.

The District does not have any Juvenile Court Schools; therefore, we did not perform any procedures related to Juvenile Court Schools.

The District does not have a public school that has a K-3 Grade Span; therefore, we did not perform any related procedures.

The District does not offer an Apprenticeship Program; therefore, we did not perform any procedures for the Apprenticeship Program.

The District does not offer an After School Education and Safety Program; therefore, we did not perform any procedures related to the After School Education and Safety Program.

The District does not offer a Course Based Independent Study program; therefore, we did not perform any related procedures.

The District does not have any dependent Charter Schools; therefore, we did not perform any related procedures.

A handwritten signature in black ink that reads "Vavrinek, Trine, Day & Co., LLP". The signature is written in a cursive, flowing style.

Palo Alto, California
November 29, 2018

SCHEDULE OF FINDINGS AND QUESTIONED COSTS

FREMONT UNION HIGH SCHOOL DISTRICT

SUMMARY OF AUDITOR'S RESULTS FOR THE YEAR ENDED JUNE 30, 2018

FINANCIAL STATEMENTS

Type of auditor's report issued:	<u>Unmodified</u>
Internal control over financial reporting:	
Material weaknesses identified?	<u>No</u>
Significant deficiencies identified not considered to be material weaknesses?	<u>None reported</u>
Noncompliance material to financial statements noted?	<u>No</u>

FEDERAL AWARDS

Internal control over major federal programs:	
Material weaknesses identified?	<u>No</u>
Significant deficiencies identified not considered to be material weaknesses?	<u>None reported</u>
Type of auditor's report issued on compliance for major federal programs:	<u>Unmodified</u>
Any audit findings disclosed that are required to be reported in accordance with Section 200.516(a) of the Uniform Guidance?	
Identification of major federal programs:	<u>No</u>

<u>CFDA Numbers</u>	<u>Name of Federal Program or Cluster</u>
<u>84.027, 84.027A</u>	<u>Special Education Cluster</u>

Dollar threshold used to distinguish between Type A and Type B programs:	<u>\$ 750,000</u>
Auditee qualified as low-risk auditee?	<u>Yes</u>

STATE AWARDS

Type of auditor's report issued on compliance for all State programs.	<u>Unmodified</u>
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FREMONT UNION HIGH SCHOOL DISTRICT

**FINANCIAL STATEMENT FINDINGS
FOR THE YEAR ENDED JUNE 30, 2018**

None reported.

FREMONT UNION HIGH SCHOOL DISTRICT

**FEDERAL AWARDS FINDINGS AND QUESTIONED COSTS
FOR THE YEAR ENDED JUNE 30, 2018**

None reported.

FREMONT UNION HIGH SCHOOL DISTRICT

**STATE AWARDS FINDINGS AND QUESTIONED COSTS
FOR THE YEAR ENDED JUNE 30, 2018**

None reported.

FREMONT UNION HIGH SCHOOL DISTRICT

**SUMMARY SCHEDULE OF PRIOR AUDIT FINDINGS
FOR THE YEAR ENDED JUNE 30, 2018**

There were no audit findings reported in the prior year's schedule of financial statement findings.

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APPENDIX C

PROPOSED FORM OF OPINION OF BOND COUNSEL

[Closing Date]

Board of Trustees
Fremont Union High School District
Sunnyvale, California

Fremont Union High School
District
General Obligation Bonds,
Series 2019A

Fremont Union High School
District
General Obligation Bonds,
Series 2019B (Green Bonds)

Fremont Union High School
District
General Obligation Bonds,
Series 2019C (Federally Taxable)

(Final Opinion)

Ladies and Gentlemen:

We have acted as bond counsel to the Fremont Union High School District (the “District”), which is located in the County of Santa Clara, California (the “County”), in connection with the issuance by the District of \$100,280,000 aggregate principal amount of bonds designated as “Fremont Union High School District General Obligation Bonds, Series 2019A” (the “Series 2019A Bonds”), \$30,000,000 aggregate principal amount of bonds designated as “Fremont Union High School District General Obligation Bonds, Series 2019B (Green Bonds)” (the “Series 2019B Green Bonds” and, together with the Series 2019A Bonds, the “Tax-Exempt Bonds”), and \$19,720,000 aggregate principal amount of bonds designated as “Fremont Union High School District General Obligation Bonds, Series 2019C (Federally Taxable)” (the “Taxable Bonds” and, together with the Tax-Exempt Bonds, the “Bonds”). The Bonds are authorized by a resolution adopted by the Board of Trustees of the District on April 23, 2019 (the “District Resolution”), and a resolution adopted by the Board of Supervisors of the County on May 7, 2019 (the “County Resolution”), and issued pursuant to a paying agent agreement, dated as of June 1, 2019 (the “Paying Agent Agreement”), by and between the District and U.S. Bank National Association, as paying agent. Capitalized terms not otherwise defined herein shall have the meanings ascribed thereto in the Paying Agent Agreement.

In such connection, we have reviewed the District Resolution, the County Resolution, the Paying Agent Agreement, the tax certificate of the District dated the date hereof (the “Tax Certificate”), certificates of the District, the County, and others, and such other documents and matters to the extent we deemed necessary to render the opinions set forth herein.

The opinions expressed herein are based on an analysis of existing laws, regulations, rulings and court decisions and cover certain matters not directly addressed by such authorities. Such opinions may be affected by actions taken or omitted or events occurring after the date hereof. We have not undertaken to determine, or to inform any person, whether any such actions are taken or omitted or events do occur or any other matters come to our attention after the date hereof. Accordingly, this letter speaks only as of its date and is not intended to, and may not, be relied upon or otherwise used in connection with any such actions, events or matters. Our engagement with respect to the Bonds has concluded with their issuance, and we disclaim any obligation to update this letter. We have assumed the genuineness of all documents and signatures presented to us (whether as originals or as copies) and the due and legal execution and delivery thereof by, and validity against, any parties other than the District. We have assumed, without undertaking to verify, the accuracy of the factual matters represented, warranted or certified in the

documents and of the legal conclusions contained in the opinions referred to in the second paragraph hereof. Furthermore, we have assumed compliance with all covenants and agreements contained in the District Resolution, the Paying Agent Agreement and the Tax Certificate, including (without limitation) covenants and agreements compliance with which is necessary to assure that future actions, omissions or events will not cause interest on the Bonds to be included in gross income for federal income tax purposes. We call attention to the fact that the rights and obligations under the Bonds, the District Resolution, the Paying Agent Agreement and the Tax Certificate and their enforceability may be subject to bankruptcy, insolvency, receivership, reorganization, arrangement, fraudulent conveyance, moratorium and other laws relating to or affecting creditors' rights, to the application of equitable principles, to the exercise of judicial discretion in appropriate cases and to the limitations on legal remedies against school districts and counties in the State of California. We express no opinion with respect to any indemnification, contribution, liquidated damages, penalty (including any remedy deemed to constitute a penalty), right of set-off, arbitration, judicial reference, choice of law, choice of forum, choice of venue, non-exclusivity of remedies, waiver or severability provisions contained in the foregoing documents, nor do we express any opinion with respect to the state or quality of title to or interest in any of the assets described in or as subject to the lien of the District Resolution or the accuracy or sufficiency of the description contained therein of, or the remedies available to enforce liens on, any such assets. Our services did not include financial or other non-legal advice. Finally, we undertake no responsibility for the accuracy, completeness or fairness of the Official Statement or other offering material relating to the Bonds and express no opinion with respect thereto.

Based on and subject to the foregoing, and in reliance thereon, as of the date hereof, we are of the following opinions:

1. The Bonds constitute the valid and binding obligations of the District.
2. The Paying Agent Agreement has been duly executed and delivered by, and constitutes the valid and binding obligation of, the District.
3. The Board of Supervisors of the County has power and is obligated to levy *ad valorem* taxes without limitation as to rate or amount upon all property within the District's boundaries subject to taxation by the District (except certain personal property which is taxable at limited rates) for the payment of the Bonds and the interest thereon.
4. Interest on the Tax-Exempt Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Internal Revenue Code of 1986 (the "Code"). Interest on the Tax-Exempt Bonds is not a specific preference item for purposes of the federal alternative minimum tax. Interest on the Bonds is exempt from State of California personal income taxes. We express no opinion regarding other tax consequences related to the ownership or disposition of, or the amount, accrual or receipt of interest on, the Bonds.

Faithfully yours,

ORRICK, HERRINGTON & SUTCLIFFE LLP

APPENDIX D

FORM OF CONTINUING DISCLOSURE CERTIFICATE

FREMONT UNION HIGH SCHOOL DISTRICT (County of Santa Clara, State of California)

GENERAL OBLIGATION BONDS, SERIES 2019A

GENERAL OBLIGATION BONDS, SERIES 2019B (GREEN BONDS)

GENERAL OBLIGATION BONDS, SERIES 2019C (FEDERALLY TAXABLE)

This Continuing Disclosure Certificate (the “Disclosure Certificate”) is executed and delivered by the Fremont Union High School District (the “District”) in connection with the issuance of \$100,280,000 aggregate principal amount of Fremont Union High School District General Obligation Bonds, Series 2019A, \$30,000,000 aggregate principal amount of Fremont Union High School District General Obligation Bonds, Series 2019B (Green Bonds) and \$19,720,000 aggregate principal amount of Fremont Union High School District General Obligation Bonds, Series 2019C (Federally Taxable) (collectively, the “Bonds”). The Bonds are being issued as authorized by a resolution adopted by the Board of Trustees of the District on April 23, 2019, and in accordance with the terms of a Paying Agent Agreement, dated as of June 1, 2019 (the “Paying Agent Agreement”), by and between the District and U.S. Bank National Association, as paying agent (the “Paying Agent”). The District covenants and agrees as follows:

SECTION 1. Purpose of the Disclosure Certificate. This Disclosure Certificate is being executed and delivered by the District for the benefit of the Holders and Beneficial Owners of the Bonds and in order to assist the Participating Underwriters in complying with Securities and Exchange Commission Rule 15c2-12(b)(5).

SECTION 2. Definitions. In addition to the definitions set forth in the Paying Agent Agreement, which apply to any capitalized term used in this Disclosure Certificate unless otherwise defined in this Section, the following capitalized terms shall have the following meanings:

“Annual Report” shall mean any Annual Report provided by the District pursuant to, and as described in, Sections 3 and 4 of this Disclosure Certificate.

“Beneficial Owner” shall mean any person who has or shares the power, directly or indirectly, to make investment decisions concerning ownership of any Bonds (including persons holding Bonds through nominees, depositories or other intermediaries).

“Dissemination Agent” shall mean PFM Financial Advisors LLC or any successor Dissemination Agent designated in writing by the District and which has filed with the District a written acceptance of such designation.

“Financial Obligation” shall mean, for purposes of the Listed Events set out in Section 5(a)(10) and Section 5(b)(8), a (i) debt obligation; (ii) derivative instrument entered into in connection with, or pledged as security or a source of payment for, an existing or planned debt obligation; or (iii) guarantee of (i) or (ii). The term “Financial Obligation” shall not include municipal securities (as defined in the Securities Exchange Act of 1934, as amended) as to which a final official statement (as defined in the Rule) has been provided to the MSRB consistent with the Rule.

“Holder” shall mean the person in whose name any Bond shall be registered.

“Listed Events” shall mean any of the events listed in Section 5(a) or (b) of this Disclosure Certificate.

“MSRB” shall mean the Municipal Securities Rulemaking Board or any other entity designated or authorized by the Securities and Exchange Commission to receive reports pursuant to the Rule. Until otherwise designated by the MSRB or the Securities and Exchange Commission, filings with the MSRB are to be made through the Electronic Municipal Market Access (EMMA) website of the MSRB currently located at <http://emma.msrb.org>.

“Official Statement” shall mean the final official statement dated May 15, 2019 relating to the Bonds.

“Participating Underwriters” shall mean the original underwriters of the Bonds required to comply with the Rule in connection with offering of the Bonds.

“Rule” shall mean Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

SECTION 3. Provision of Annual Reports.

(a) The District shall, or shall cause the Dissemination Agent to, not later than nine months after the end of the District’s fiscal year (presently June 30), commencing with the Annual Report for the fiscal year of the District ending June 30, 2019 (which is due no later than April 1, 2020), provide to the Participating Underwriters and the MSRB an Annual Report which is consistent with the requirements of Section 4 of this Disclosure Certificate. Each Annual Report must be submitted in electronic format, accompanied by such identifying information as is prescribed by the MSRB, and may include by reference other information as provided in Section 4 of this Disclosure Certificate; provided that the audited financial statements of the District may be submitted separately from the balance of the Annual Report and later than the date required above for the filing of the Annual Report if they are not available by that date. The Dissemination Agent shall not have any duties or responsibilities with respect to the contents of the Annual Report. If the District’s fiscal year changes, it shall give notice of such change in the same manner as for a Listed Event under Section 5.

(b) Not later than fifteen (15) Business Days prior to the date specified in subsection (a) for providing the Annual Report to the MSRB, the District shall provide the Annual Report to the Dissemination Agent. If by such date, the Dissemination Agent has not received a copy of the Annual Report, the Dissemination Agent shall contact the District to determine if the District is in compliance with the first sentence of this subsection (b).

(c) If the District is unable to verify that an Annual Report has been provided to the MSRB by the date required in subsection (a), the District shall send a notice, in electronic format, to the MSRB, such notice to be in substantially the form attached as Exhibit A.

(d) If the Annual Report is delivered to the Dissemination Agent for filing, the Dissemination Agent shall file a report with the District and (if the Dissemination Agent is not the District) the District certifying that the Annual Report has been provided pursuant to this Disclosure Certificate and stating the date it was provided.

SECTION 4. Content of Annual Reports. The District’s Annual Report shall contain or include by reference the following:

- * Audited financial statements of the District for the preceding fiscal year, prepared in accordance with the laws of the State of California and including all statements and information prescribed for inclusion therein by the Controller of the State of California. If the District's audited financial statements are not available by the time the Annual Report is required to be provided to the MSRB pursuant to Section 3(a), the Annual Report shall contain unaudited financial statements in a format similar to the financial statements contained in the final Official Statement, and the audited financial statements shall be provided to the MSRB in the same manner as the Annual Report when they become available.

To the extent not included in the audited financial statement of the District, the Annual Report shall also include the following:

- * Adopted budget of the District for the current fiscal year, or a summary thereof, or any interim budget reports approved as of the date of filing of the Annual Report.
- * District outstanding debt.
- * Information regarding total assessed valuation of taxable properties within the District, if and to the extent provided to the District by the County.
- * Information regarding total secured tax charges and delinquencies on taxable properties within the District, if and to the extent provided to the District by the County.

Any or all of the items listed above may be set forth in one or a set of documents or may be included by specific reference to other documents, including official statements of debt issues of the District or related public entities, which are available to the public on the MSRB website. If the document included by reference is a final official statement, it must be available from the MSRB. The District shall clearly identify each such other document so included by reference.

SECTION 5. Reporting of Significant Events.

(a) The District shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds not later than ten business days after the occurrence of the event:

1. Principal and interest payment delinquencies;
2. Unscheduled draws on debt service reserves reflecting financial difficulties;
3. Unscheduled draws on credit enhancements reflecting financial difficulties;
4. Substitution of credit or liquidity providers, or their failure to perform;
5. Adverse tax opinions or issuance by the Internal Revenue Service of proposed or final determination of taxability or of a Notice of Proposed Issue (IRS Form 5701 TEB);
6. Tender offers;

7. Defeasances;
8. Rating changes;
9. Bankruptcy, insolvency, receivership or similar event of the obligated person; or
10. Default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a Financial Obligation of the District, any of which reflect financial difficulties.

Note: for the purposes of the event identified in subparagraph (9), the event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for an obligated person in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the obligated person, or if such jurisdiction has been assumed by leaving the existing governmental body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the obligated person.

(b) The District shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds, if material, not later than ten business days after the occurrence of the event:

1. Unless described in Section 5(a)(5), other material notices or determinations by the Internal Revenue Service with respect to the tax status of the Bonds or other material events affecting the tax status of the Bonds;
2. Modifications to rights of Bond holders;
3. Optional, unscheduled or contingent Bond calls;
4. Release, substitution, or sale of property securing repayment of the Bonds;
5. Non-payment related defaults;
6. The consummation of a merger, consolidation, or acquisition involving an obligated person or the sale of all or substantially all of the assets of the obligated person, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms;
7. Appointment of a successor or additional paying agent or the change of name of a paying agent; or
8. Incurrence of a Financial Obligation of the District, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a Financial Obligation of the District, any of which affect security holders.

(c) The District shall give, or cause to be given, in a timely manner, notice of a failure to provide the annual financial information on or before the date specified in Section 3, as provided in Section 3(b).

(d) Whenever the District obtains knowledge of the occurrence of a Listed Event described in Section 5(b), the District shall determine if such event would be material under applicable federal securities laws.

(e) If the District learns of the occurrence of a Listed Event described in Section 5(a), or determines that knowledge of a Listed Event described in Section 5(b) would be material under applicable federal securities laws, the District shall within ten business days of occurrence file a notice of such occurrence with the MSRB in electronic format, accompanied by such identifying information as is prescribed by the MSRB. Notwithstanding the foregoing, notice of the Listed Event described in Section 5(b)(3) need not be given under this subsection any earlier than the notice (if any) of the underlying event is given to Holders of affected Bonds pursuant to the Resolution.

(f) The District intends to comply with the Listed Events described in Section 5(a)(10) and Section 5(b)(8), and the definition of “Financial Obligation” in Section 1, with reference to the rule, any other applicable federal securities laws and the guidance provided by the Securities and Exchange Commission in Release No. 34-83885 dated August 20, 2018 (the “2018 Release”), and any further amendments or written guidance provided by the Securities and Exchange Commission or its staff with respect to the amendments to the Rule effected by the 2018 Release.

SECTION 6. Termination of Reporting Obligation. The District’s obligations under this Disclosure Certificate shall terminate upon the legal defeasance, prior redemption or payment in full of all of the Bonds. If such termination occurs prior to the final maturity of the Bonds, the District shall give notice of such termination in the same manner as for a Listed Event under Section 5(e).

SECTION 7. Dissemination Agent. The District may, from time to time, appoint or engage a Dissemination Agent to assist it in carrying out its obligations under this Disclosure Certificate, and may discharge any such Agent, with or without appointing a successor Dissemination Agent. The Dissemination Agent shall not be responsible in any manner for the content of any notice or report prepared by the District pursuant to this Disclosure Certificate. The initial Dissemination Agent shall be PFM Financial Advisors LLC.

SECTION 8. Amendment; Waiver. Notwithstanding any other provision of this Disclosure Certificate, the District may amend this Disclosure Certificate, and any provision of this Disclosure Certificate may be waived, provided that the following conditions are satisfied:

(a) If the amendment or waiver relates to the provisions of Sections 3(a), 4, or 5(a), it may only be made in connection with a change in circumstances that arises from a change in legal requirements, change in law, or change in the identity, nature or status of an obligated person with respect to the Bonds, or the type of business conducted;

(b) The undertaking, as amended or taking into account such waiver, would, in the opinion of nationally recognized bond counsel, have complied with the requirements of the Rule at the time of the original issuance of the Bonds, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances; and

(c) The amendment or waiver does not, in the opinion of nationally recognized bond counsel, materially impair the interests of the Holders or Beneficial Owners of the Bonds.

In the event of any amendment or waiver of a provision of this Disclosure Certificate, the District shall describe such amendment in the next Annual Report, and shall include, as applicable, a narrative explanation of the reason for the amendment or waiver and its impact on the type (or in the case of a change of accounting principles, on the presentation) of financial information or operating data being presented by the District. In addition, if the amendment relates to the accounting principles to be followed in preparing financial statements, (i) notice of such change shall be given in the same manner as for a Listed Event under Section 5(e), and (ii) the Annual Report for the year in which the change is made should present a comparison (in narrative form and also, if feasible, in quantitative form) between the financial statements as prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles.

SECTION 9. Additional Information. Nothing in this Disclosure Certificate shall be deemed to prevent the District from disseminating any other information, using the means of dissemination set forth in this Disclosure Certificate or any other means of communication, or including any other information in any Annual Report or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Certificate. If the District chooses to include any information in any Annual Report or notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Certificate, the District shall have no obligation under this Disclosure Certificate to update such information or include it in any future Annual Report or notice of occurrence of a Listed Event.

SECTION 10. Default. In the event of a failure of the District to comply with any provision of this Disclosure Certificate any Holder or Beneficial Owner of the Bonds may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the District to comply with its obligations under this Disclosure Certificate; provided that any such action may be instituted only in Superior Court of the State of California in and for the County of Santa Clara or in U.S. District Court in or nearest to the County. The sole remedy under this Disclosure Certificate in the event of any failure of the District to comply with this Disclosure Certificate shall be an action to compel performance.

SECTION 11. Beneficiaries. This Disclosure Certificate shall inure solely to the benefit of the District, the Dissemination Agent, the Participating Underwriters and Holders and Beneficial Owners from time to time of the Bonds, and shall create no rights in any other person or entity.

Date: June 6, 2019.

FREMONT UNION HIGH SCHOOL DISTRICT

By _____
Chief Business Officer/
Associate Superintendent

EXHIBIT A

FORM OF NOTICE TO THE MUNICIPAL SECURITIES RULEMAKING BOARD
OF FAILURE TO FILE ANNUAL REPORT

Name of District: FREMONT UNION HIGH SCHOOL DISTRICT

Name of Bond Issue: FREMONT UNION HIGH SCHOOL DISTRICT
GENERAL OBLIGATION BONDS, SERIES 2019A

 FREMONT UNION HIGH SCHOOL DISTRICT
GENERAL OBLIGATION BONDS, SERIES 2019B (GREEN BONDS)

 FREMONT UNION HIGH SCHOOL DISTRICT
GENERAL OBLIGATION BONDS, SERIES 2019C (FEDERALLY
TAXABLE)

Date of Issuance: June 6, 2019

NOTICE IS HEREBY GIVEN that the District has not provided an Annual Report with respect to the above-named Bonds as required by Section 4 of the Continuing Disclosure Certificate of the District, dated the Date of Issuance. [The District anticipates that the Annual Report will be filed by _____.]

Dated: _____

FREMONT UNION HIGH SCHOOL DISTRICT

By _____ [to be signed only if filed]

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APPENDIX E

COUNTY OF SANTA CLARA INVESTMENT POLICY AND QUARTERLY INVESTMENT REPORT

The following information has been furnished by the Office of the Director of Finance, County of Santa Clara. It describes (i) the policies applicable to investment of District funds, including bond proceeds and tax levies, and funds of other agencies held by the Director of Finance and (ii) the composition, carrying amount, market value and other information relating to the investment pool. Further information may be obtained directly from the Director of Finance, County of Santa Clara, 70 West Hedding Street, East Wing, 2nd Floor, San Jose, CA 95110.

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44.8 - TREASURY INVESTMENT POLICY

4.8.1 Statement of Intent

The purpose of this document is to set forth the County of Santa Clara's policy applicable to the investment of short term surplus funds. In general, it is the policy of the County to invest public funds in a manner that will provide a competitive rate of return with maximum security while meeting the cash flow requirements of the County, school districts and special districts whose funds are held in the County Treasury, in accordance with all state laws and County ordinances governing the investment of public funds.

4.8.2 Scope

This investment policy applies to all financial assets held by the County. Those assets specifically included in this investment policy are accounted for in the County's Comprehensive Annual Financial Report and are included here as part of the County's Commingled Investment Pool.

4.8.3 Objectives

The following investment objectives shall be applied in the management of the County's funds.

- (A) The foremost objective of the County's investment program shall be to safeguard principal. Investments shall be undertaken in a manner that seeks to ensure the preservation of capital in the overall portfolio.
- (B) The secondary objective shall be to meet the liquidity needs of its participants. The investment portfolio shall remain sufficiently liquid to meet all operating requirements that may be reasonably anticipated.
- (C) The third objective shall be to attain a market rate of return (yield) throughout budgetary and economic cycles, taking into account the County's investment constraints and cash flow characteristics. The core of investments will be limited to low risk securities in anticipation of earning a fair return relative to the risk being assumed.

Risk Mitigation

Those factors that can lead to an unexpected financial loss can be broadly grouped into the following categories; credit risk, liquidity risk, interest rate risk and operational risk. Credit risk is the possibility that a bond issuer will default or that the change in the credit quality of counter-party will affect the value of a security. Liquidity risk for a portfolio that does not market value its holdings on a daily basis is the risk that sufficient cash or cash equivalents are not available and a security may have to be sold at a loss (based on its original cost) in order to meet a payment liability. Interest rate risk is the risk that the value of a fixed income security or portfolio will fall as a result of an increase in interest rates. Operational risk refers to potential losses resulting from inadequate systems, management failure, faulty controls, fraud and human error.

It is part of this policy to pursue the listed actions below to reduce the risk of exposure to the County's investments.

Credit Risk

- Diversifying the investment portfolio so that potential losses on individual securities will be minimized.
- Only purchasing securities that meet ratings standards specified in this policy.

- Conducting ongoing reviews as needed of all credit exposures within investment portfolios.
- Rating restrictions for all investments are denoted as requirements at time of purchase. If a security should incur a downgrade by either rating agency, placing the security on special surveillance to identify and monitor any continuing deterioration trends and, if warranted, selling the security.
- Reviewing the possible sale of a security whose credit quality is declining to minimize loss of principal.

Liquidity Risk

- To the extent possible, matching investment maturities with anticipated cash demands, also known as creating static liquidity. Alternatively, apply application software to analyze and validate that cash from investment activity is sufficient to cover all liabilities.
- Since all possible cash demands cannot be anticipated, maintaining portfolios largely of securities with active secondary or resale markets (dynamic liquidity).
- Making investments that could be appropriately held to maturity without compromising liquidity requirements.
- Prior to approving or disapproving a withdrawal request (a reduction of liquidity), the County Treasurer shall determine that the proposed withdrawal will not adversely affect the interests of the other depositors in the County pool.

Interest Rate Risk

- Not investing in securities maturing more than five years from the settlement date and limiting the weighted average maturity of the County's Commingled portfolio to two years or less.
- Limiting segregated investments to maturities of five years or less unless a longer term is specifically approved by the appropriate legislative body.
- Not investing in any funds in financial futures, option contracts, inverse floaters, range note or interest-only strips that are derived from a pool of mortgages, or any security that could result in zero interest accrual if held to maturity.
- Ensuring that adequate resources are devoted to interest rate risk measurement.

Operational Risk

- Establishing a system of internal controls, which is designed to prevent losses of public funds arising from fraud, employee error, and misrepresentation by third parties, unanticipated changes in financial markets, or imprudent actions by employees and officers of the County.
- Having an audit review to examine the system of internal controls to assure that established policies including risk management procedures are being complied with.

4.8.4 Standards of Care

- (A) **Prudence.** The County Treasurer is a trustee and therefore a fiduciary subject to the prudent investor standard. When investing, reinvesting, purchasing, acquiring, exchanging, selling, and managing public funds, the County Treasurer shall act with care, skill, prudence, and diligence under the circumstances then prevailing, that prudent person acting in a like capacity and familiar with those matters would use in the conduct of funds of a like character and with like aims, to safeguard the principal and maintain the liquidity needs of the County and the other depositors. Within the limitations of this section and

considering individual investments as part of an overall investment strategy, the County Treasurer is authorized to acquire investments as authorized by law.

The overall investment program shall be designed and managed with a degree of professionalism that is worthy of the public trust. The County recognizes that no investment program is totally riskless and that the investment activities of the County are a matter of public record. Accordingly, the County recognizes that occasional measured losses are inevitable in a diversified portfolio and shall be considered within the context of the overall portfolio's return, provided that the portfolio is adequately diversified and that the sale of a security is in the best long-term interest of the County. Significant adverse credit changes or market price changes on County-owned securities shall be reported to the Board of Supervisors and the County Executive in a timely fashion.

- (B) **Competitive Transactions.** Where practicable, each investment transaction shall be competitively transacted with brokers/dealers/banks approved by the County Treasurer.
- (C) **Indemnification.** Investment officers acting in accordance with state laws, County ordinances, this policy and written procedures, and exercising due diligence shall be relieved of personal responsibility for an individual security's credit risk or market price changes, provided that deviations from expectations are reported in a timely fashion and appropriate action is taken to control adverse development
- (D) **Ethics and Conflicts of Interest.** County employees involved in the investment process shall refrain from personal business activity that could conflict with the proper execution and management of the investment program, or that could impair their ability to make impartial decisions. Investment officials shall disclose any material interests in financial institutions with which they conduct business. They shall further disclose any personal financial/investment positions that could be related to the performance of the investment portfolio. Employees and investment personnel shall subordinate their personal investment transactions to those of the County, particularly with regard to the timing of purchases and sales.

County officers and employees involved with the investment process shall refrain from accepting gifts that would be reportable under the Fair Political Practices Commission (FPPC) regulations.

Members of the Treasury Oversight Committee shall not accept any honoraria, gifts or gratuities from advisors, brokers, dealers, bankers or other persons with whom the County Treasury conducts business that would be reportable or prohibited under the FPPC regulations.

4.8.5 Authorized Financial Dealers and Institutions

The County Treasurer shall establish an approved list of brokers, dealers, banks and direct issuers of commercial paper to provide investment services to the County. It shall be the policy of the County to conduct security transactions only with approved institutions and firms. To be eligible for authorization, firms that are commercial banks must be members of the FDIC, and broker/dealers:

- Preferably should be recognized as a Primary Dealer by the Market Reports Division of the Federal Reserve Bank of New York, and
- Must maintain a secondary position in the type of investment instruments purchased by the County.

In addition, the firm must also qualify under SEC Rule 15C3-1 (Uniform Net Capital Rule). Approved broker/dealer representatives and the firms they represent shall be licensed to do business in the State of California.

The criteria for selecting security brokers and dealers from, to, or through whom the County Treasury may purchase or sell securities or other instruments, prohibits the selection of any broker, brokerage, dealer, or securities firm that has, within any consecutive 48-month period following January 1, 1996, made a political contribution in an amount exceeding the limitations contained in Rule G-37 of the Municipal Securities Rulemaking Board, to any member of the governing board of any local agency that is a participant in the County Treasury or any candidate for those offices.

No public deposit shall be made except in a qualified public depository as established by state law. An annual analysis of the financial condition and professional institution/bank rating will be conducted by the County Treasurer and reported to the County Treasury Oversight Committee. Information indicating a material reduction in ratings standards or a material loss or prospective loss of capital must be shared with the Board of Supervisors, the County Executive, and the Oversight Committee in writing immediately.

To be eligible to receive local agency money, a bank, savings association, federal association or federally insured industrial loan company shall have received an overall rating of not less than “satisfactory” in its most recent evaluation by the appropriate federal financial supervisory agency of its record of meeting the credit needs of California communities, including low-and moderate-income neighborhoods, pursuant to Section 2906 of Title 12 of the United States Code.

4.8.6 County Treasury Oversight Committee

A County Treasury Oversight Committee shall be established by the Board of Supervisors pursuant to Government Code Section 27130 et seq to advise the County Treasurer in the management and investment of the Santa Clara County Treasury. The Oversight Committee shall be comprised of six members representing the County, school districts and other local governments agencies whose funds are deposited in the County’s commingled pool and other segregated investments. Members of the Oversight Committee will be nominated by the Treasurer and confirmed by the Board of Supervisors. The Committee is comprised of the following members:

1. County Director of Finance
2. County Executive appointed by the Board of Supervisors
3. Representative appointed by a majority of the presiding officers of the legislative bodies of the special districts in the County that are required or authorized to deposit funds in the County Treasury.
4. County Superintendent of Schools or his or her designee.
5. Representative selected by a majority of the presiding officers of the governing bodies of the school districts and community college districts in the County.
6. One member of the public that has expertise in and or an academic background in public finance.

Each member may designate an alternate to serve in the absence of the member. The alternate shall take the oath office and file a conflict of interest report with the Clerk of the Board. The alternate shall exercise the vote of the member at meetings where the member is not present.

It is the responsibility of the County Treasury Oversight Committee to approve the investment policy prepared annually by the County Treasurer, to review and monitor the quarterly investment reports prepared by the County Treasurer, to review depositories for County funds and broker/dealers and banks as approved by the County Treasurer, and to cause an annual audit to be conducted to determine the County Treasury's compliance with all relevant investment statutes and ordinances, and this investment policy. Any receipt of honoraria, gifts, and gratuities from advisors, brokers, and dealers, bankers or other persons with whom the County Treasury conducts business by any member of the County Treasury Oversight Committee is limited to amounts that would not be prohibited by or reportable to the Fair Political Practices Commission. These limits may be in addition to the limits set by a committee member's own agency or by state law.

Nothing in this article shall be construed to allow the County Treasury Oversight Committee to direct individual investment decisions, select individual brokers, or dealers, or impinge on the day-to-day operations of the County Treasury.

4.8.7 Eligible, Authorized and Suitable Investments

All investments shall conform with state law including but not limited to Government Code 53600 et seq. and any further restrictions imposed by this policy (Authorized Investments). Where this section specifies a percentage limitation for a particular category of investment or specific issuer, that percentage is applicable only at the date of purchase. If subsequent to purchase, portfolio percentage constraints are above the maximum thresholds due to changes in value of the portfolio or changes due to revisions of the policy, then affected securities may be held to maturity in order to avoid principal losses. However, the County Treasurer may choose to rebalance the portfolio if percentage imbalances are deemed to impair portfolio diversification.

If after purchase securities are downgraded below the minimum required rating level the securities shall be reviewed for possible sale within a reasonable amount of time after the downgrade. Significant down grades and the action to be taken will be disclosed in the Quarterly Investment Report.

U. S Treasury and Government Agencies

There shall be no limit in the amount that may be invested in debt obligations that are backed by the full faith and credit of the United States government. This includes but is not limited to U. S. Treasury bills, notes or bonds. However, this does not include Medium-Term Corporate Notes or Deposit Notes, as described below.

There shall be no limit in the amount that may be invested in Federal Agencies of the United States or United States government sponsored-enterprise obligations, participations, and bond issuances including those issued by or fully guaranteed as to principal and interest by federal agencies or the United States government.

Repurchase Agreements. A repurchase agreement consists of two simultaneous transactions under the same agreement. One is the purchase of securities by an investor (County Treasury) from a bank or dealer. The other is the commitment by the bank or dealer to repurchase the securities at a specified price and on a date mutually agreed upon.

Repurchase agreements shall be entered into only with dealers and financial institutions which have executed a Master Repurchase Agreement with the County and are recognized as primary dealers with the Market Reports Division of the Federal Reserve Bank of New York.

- The term of the repurchase agreement is limited to 92 days or less. The securities underlying the agreement may be obligations of the United States Government, its agencies, or agency mortgage backed securities. For repurchase agreements that exceed 15 days, the maturities on purchased securities may not exceed 5 years.

- The purchased securities shall have a minimum market value, including accrued interest, of 102 percent of the dollar value of the agreement. Purchased securities shall be held in the County's custodian bank as safekeeping agent, and the market value of the securities shall be marked-to-market on a daily basis.

Reverse Repurchase Agreements. A reverse repurchase agreement consists of two simultaneous transactions under the same agreement. One is the sale of securities by the County Treasury to a bank or dealer. The other is the commitment by the County Treasury to repurchase the securities at a specified price and on a date mutually agreed upon.

Reverse repurchase agreements may only be transacted with dealers and financial institutions which have executed a Master Repurchase Agreement with the County as approved by the Board of Supervisors, and which are Primary Dealers of the Federal Reserve Bank of New York. Reverse repurchase transactions must meet the following requirements:

- Sold securities must be owned and fully paid a minimum of 30 days prior to transaction.
- The total of all reverse repurchase and securities lending agreements cannot exceed 20% of the portfolio's base value.¹
- The term of the reverse repurchase agreement is not to exceed 92 days unless the agreement includes a written codicil that guarantees a minimum earning or spread for the entire period between the sale of a security using a reverse repurchase agreement and the final maturity date of the same security.
- Funds obtained through a reverse repurchase agreement shall not be used to purchase another security with a maturity longer than 92 days from the initial settlement date of the reverse repurchase agreement unless the reverse repurchase agreement includes a written codicil guaranteeing a minimum earning or spread for the entire period between the sale of a security using a reverse repurchase agreement and the final maturity date of the same security.
- Reverse repurchase agreements may only be used to affect a “matched” transaction whereby the proceeds of the reverse are reinvested for approximately the same time period as the term of the reverse repurchase agreement.
- Reverse repurchase agreements may not exceed \$90 million.
- Investments in reverse repurchase agreements in which Treasury sells securities prior to purchase with a simultaneous agreement to repurchase the security may only be made upon prior approval of the Board of Supervisors.

Reverse Repurchase Agreements will be used solely for the intent of accessing liquid funds on a temporary basis and will not be used as a means to amplify portfolio returns.

All other cost-effective means of obtaining liquidity will be considered prior to exercising this option.

In exception to the above, a trial transaction will be permitted on a periodic basis as emergency preparation to ensure that internal systems and staff members remain up-to-date on processing procedures. The amount of the trial transaction will not exceed pre-established limits set by the Treasurer.

¹Base value of the County's Pool refers to the dollar amount obtained by totaling all cash balances placed in the pool by all pool participants, excluding any amounts obtained through selling securities by way of reverse repurchase agreements or securities lending agreements.

Securities Lending. The mechanics behind a securities lending transaction consist of the County lending a security. The borrower, a financial institution, pledges collateral consisting of cash to secure the loan. Borrowers sometimes offer letters of credit as collateral. The lending agreement requires that the collateral must always exceed the market value of the security by 2%. Changes in the security's price during the term of the loan may require adjustments in the amount of collateral. The cash collateral obtained from the borrower is then invested in short-term assets for additional income. Also, the County is entitled to all coupon interest earned by the loaned security. At the end of the loan term, the transaction is unwound, the securities and collateral, which are held by a custodian bank, are returned to the original owners. The borrower is obliged to return the securities to the lender, either on demand from the County or at the end of any agreed term. Lending transactions must meet the following requirements:

- Loaned securities must be owned and fully paid a minimum of 30 days prior to transaction.
- The total of all reverse repurchase and securities lending agreements cannot exceed 20% of the portfolio's base value.
- The term of the securities lending agreement is not to exceed 92 days.
- Funds obtained through a securities lending agreement shall not be used to purchase another security with a maturity longer than 92 days from the initial settlement date of the securities lending agreement.
- The objective of the transaction is to produce positive earnings.

To qualify as a counter-party to the County in a securities lending transaction, the broker/dealer must be recognized as a Primary Dealer by the Federal Reserve Bank and the County's custodial bank must indemnify the County against losses related to the broker-dealer.

Non-negotiable Time Deposits (CDs) that are FDIC Insured and Collateralized Time Deposits. Time deposits with banks or savings and loan associations shall be subject to the limitations imposed by the Government Code, as amended, and additional constraints prepared by the County Treasurer that would limit amounts to be placed with institutions based on creditworthiness, size, market conditions and other investment considerations.

Negotiable Certificates of Deposit. The bank issuing a negotiable certificate of deposit with a maturity of one year or less, must reflect the following or higher ratings from at least two of these *nationally recognized statistical rating organizations* (NRSRO's): Moody's (P1), Standard and Poor's (A1), and Fitch (F1). Certificates that exceed one year, must reflect the following ratings or higher by at least two of these NRSRO's: Moody's (Aa3), Standard and Poor's (AA-), and Fitch (AA-). Negotiable certificates of deposit shall not exceed 30% of the surplus funds of the portfolio. No more than 5% of the portfolio shall be in a single bank.

Bankers' Acceptances. Investments in eligible bankers' acceptances of United States or foreign banks shall not exceed 180 days maturity from the date of purchase. This debt must reflect the following or higher ratings by at least two of these NRSRO's: Moody's (P1), Standard and Poor's (A1), and Fitch (F1). Bankers' Acceptances shall not exceed 40% of surplus funds. No more than 5% of the portfolio shall be invested in a single commercial bank.

Commercial Paper. Investments in commercial paper shall not have a maturity that exceeds 270 days. Commercial paper must reflect the following or higher ratings by at least two of these NRSRO's: Moody's (P1), Standard and Poor's (A1), and Fitch (F1). The issuer must meet the qualifications as indicated below pursuant to California Government Code:

If the commercial paper is short-term unsecured promissory notes issued by financial institutions or corporations, the issuer must:

- Be organized and operating in the United States as a general corporation;
- Have total assets in excess of five hundred million dollars (\$500,000,000); and
- If the issuer has senior debt outstanding, the senior debt must reflect the following ratings or higher by at least two of these NRSRO's: Moody's (A3) Standard and Poor's (A-) and Fitch (A-)

If the commercial paper is asset backed, the issuer must:

- Be organized within the United States as a special purpose corporation, trust, or limited liability company; and
- Have program-wide credit enhancements including, but not limited to, over collateralization, letters of credit or surety bonds and include a liquidity vehicle.

Commercial paper shall not exceed 40% of the local agency's funds. No more than 5% of the portfolio shall be invested in any single issuer of commercial paper.

Medium Term Corporate Notes or Deposit Notes. The purchase of corporate notes shall be limited to securities that reflect the following ratings or higher by at least two of these NRSRO's: Moody's, (Aa3), Standard and Poor's (AA-), and Fitch (AA-). Medium term corporate notes or deposit notes (five years or less) shall be limited to 30% of surplus funds. No more than 5% of the portfolio shall be invested in any single corporation including those issuers whose debt is fully guaranteed as to principal and/or interest by federal agencies or the United States government.

Local Agency California Investment Fund (LAIF)

Funds may be invested in LAIF, a State of California managed investment pool up to the maximum dollar amounts in conformance with the account balance limits authorized by the State Treasurer.

Municipal Obligations. The purchase of municipal obligations shall include the following:

- (A) **Treasury notes or bonds of the state of California**, including other obligations such as registered state warrants, certificates of participation, lease revenue bonds and bonds payable solely out of the revenues from a revenue-producing property owned, controlled, or operated by the state or by a department, board, agency, or authority of the state.
- (B) **Bonds, notes, warrants, certificates of participation, lease revenue bonds or other evidences of indebtedness of any local agency within this state**, including bonds payable solely out of the revenues from a revenue-producing property owned, controlled, or operated by the local agency, or by a department, board, agency, or authority of the local agency.
- (C) **Registered treasury notes or bonds of any of the other 49 United States in addition to California**, including bonds payable solely out of the revenues from a revenue-producing property owned, controlled, or operated by a state or by a department, board, agency, or authority of any of the other 49 United States, in addition to California.

For those instruments that are rated, long term obligations must reflect the following ratings or higher by at least two of these NRSRO's: Moody's (A3), Standard and Poor's (A-), and Fitch (A-). Short term obligations must carry the following ratings or higher by at least one of these NRSRO's: Moody's (MIG-1), Standard and Poor's (SP-1), and Fitch (F-1). No more than 10% of surplus funds shall be in such obligations.

Money Market Funds. Companies issuing such money market funds must have assets under management in excess of \$500,000,000. The advisors must be registered with the Securities and Exchange Commission (SEC) and have at least five years' experience investing in such types of investments. The fund must reflect the highest rating by at least two of these NRSRO's: Moody's (Aaa), Standard and Poor's (AAA), and Fitch (AAA). No more than 20% of the Treasury's funds may be invested in money market funds and no more than 10% of the Treasury's funds may be invested in one money market fund. If the money market fund is tax-exempt then only one "AAA" rating by an NRSRO is required. The money market fund must also be "no-load", which is a fund that does not compensate sales intermediaries with a sales charge or commission that is deducted from the return of the fund.

Asset Backed Securities. Asset backed securities (ABS) are notes or bonds secured or collateralized by pools of loans such as installment loans or receivables.

- Securities shall be issued by an issuer whose debt must reflect the following ratings or higher by at least two of these NRSRO's: Moody's (A3), Standard and Poor's (A-), and Fitch (A-).
- The asset backed security itself must reflect the following ratings or higher from at least two of these NRSRO's: Moody's (AA-), Standard and Poor's (Aa3) and Fitch (AA-).
- Asset backed securities together with mortgage backed securities may not exceed 20% of the Treasury's surplus money.

Agency Mortgage Backed Securities. Mortgage backed securities (MBS) are-collateralized by pools of conforming mortgage loans or multi-family mortgage loans insured by FHLMC or FNMA and or guaranteed by FHA (GNMA).

- Agency mortgage backed securities together with asset backed securities may not exceed 20% of the Treasury's surplus money.

Supranational Debt Obligations

United States dollar-denominated senior unsecured unsubordinated obligations issued or unconditionally guaranteed by the International Bank for Reconstruction and Development of the World Bank (IBRD) or the Inter-American Development Bank (IADB), with a maximum remaining maturity of five years or less, and eligible for purchase and sale within the United States. Investments must be rated "AAA" or better by at least two of the following, NRSRO's, Moody's, Standard and Poor's or Fitch and shall not exceed ten percent, in aggregate, of the Treasury's surplus funds.

General Parameters

Socially Responsible Investments

Whenever possible, in addition to and subordinate to the objectives set forth in section 4.8.3 herein, it is the County's policy to create a positive impact by investing in socially responsible corporations and agencies as defined by priorities set by the Board of Supervisors.

Ineligible Investments

Ineligible investments include common stock, inverse floaters, range notes, mortgage-derived interest only strips and any security that could result in zero interest accrual if held to maturity or any security that does not pay (cash or earn accrued) interest in one year or at least semi-annually in subsequent years and any investment not authorized by this policy unless otherwise allowed by law and approved by the Board of Supervisors.

Combined Issuer/Institutional limits.

No more than 5% of the portfolio shall be invested in aggregate of any single institution of the following types: Bankers Acceptances, Commercial paper, Negotiable Certificates of Deposit, and Corporate Notes.

Swaps

Investments will be reviewed for the possibility of a swap to enhance yield when both securities have a similar duration so as not to affect the cash flow needs of the program. Swaps should have a minimum of five basis points before being transacted.

4.8.8 Maximum Maturity

The County Investment portfolio shall be structured to provide that sufficient funds from investments are available to meet the anticipated cash needs of the depositors in the County' commingled investment pool. The choice of investment instruments and maturities shall be based on an analysis of depositors cash needs, existing and anticipated revenues, interest rate trends and specific market opportunities. The average weighted maturity of the portfolio will not exceed two years and investments will have a maturity of no more than five years from the settlement date unless specifically approved by the Board of Supervisors to the provisions set forth elsewhere in this policy.

4.8.9 Segregated Investments (excludes Commingled Funds)

Segregated investments of instruments permitted in Government Code Section 53601 can be made upon proper authorization where cash flow or other factors warrant segregation from the commingled pool. Examples that may justify such segregation are bond or note proceeds, Retiree Health funds or Workers Compensation funds where longer term or matching term investments are warranted.

For segregated investment funds, no investment shall be made that could not appropriately be held to maturity without compromising liquidity requirements.

Segregated investments shall be limited to five years maturity unless a longer term is specifically approved by the appropriate legislative body.

Government Code Sections 53620 and 53622 grant the County authority to invest the assets of the Santa Clara County Retiree Health Trust in any form or type of investment deemed prudent by the governing body. Accordingly, the County Board of Supervisors has determined that up to 67 percent of the Trust's assets, excluding near-term liability payouts, may be invested in equities through mutual funds or through the direct purchase of common stocks by a money management firm(s) approved by the Board of Supervisors.

In accordance with the prudent person standard in Government Code Sections 53620 through 53622, the assets of the Santa Clara County Retiree Health Trust may be invested in bonds that have a final maturity of 30 years or less from purchase date, and in bonds that reflect the following ratings or higher from at least two of these NRSRO's: Moody's (A3), Standard and Poor's (A-), and Fitch (A-).

4.8.10 Safekeeping and Custody

All security transactions, including collateral for repurchase agreements, shall be conducted on a delivery-versus-payment (DVP) basis. Securities will be held in the name of the County by a custodian designated by the County Treasurer and evidenced by trade confirmations and safekeeping holdings reports.

The County Treasurer will approve certain financial institutions on an annual basis to provide safekeeping and custodial services for the County. Custodian banks shall be selected on the basis of their ability to provide service to the County's account and the competitive pricing of their safekeeping related services. All securities purchased by the County under this section shall be properly designated as an asset of the County and held in safekeeping by a custodial bank chartered by the United States Government or the State of California.

The County will execute custodial agreement(s) with its bank(s). Such agreements will outline the responsibilities of each party for the notification of security purchases and sales, address wire transfers as well as safekeeping and transaction costs, and provide details on procedures in case of wire failures or other unforeseen mishaps along with the liability of each party.

To be eligible for designation as the County's safekeeping and custodian agent, a financial institution shall meet the following criteria:

- Have a Moody's rating of P-1 or Standard and Poor's rating of - A1 for the most recent reporting quarter before the time of selection.
- Qualify as a depository of public funds in the State of California as defined in Government Code Section 53638.

The County Treasurer shall require each approved custodial bank to submit a copy of its Consolidated Report of Condition and Income (Call Report) to the County within forty-five days after the end of each calendar quarter.

It is the intent of the County to mitigate custodial credit risk by insuring that all securities are appropriately held.

Securities typically clear and settle as electronic book entries through the following clearinghouses: (1) the Depository Trust Corp. (DTC), a member of the Federal Reserve Bank; or (2) the Fed Book-Entry System, owned by the Federal Reserve. Governments generally do not have their own account in the Fed Book-Entry System or at DTC, but have access to those systems through large financial institutions who are members and participants. The County's securities within the clearing system are held under the Custodial Bank's name. The Custodial Bank's internal records identify the County as the underlying beneficial owner of securities.

Infrequently, physical certificates are used to reflect ownership of a security. When physical securities are received by the Custodial Bank, they are sent to a transfer agent to be registered into the Custodial Bank's nominee name. It is kept in the bank's vault until redeemed or sold. The Custodial Bank records identify the County as the underlying beneficial owner and include the securities on the County's Safekeeping report.

4.8.11 Internal Controls and Accounting

The County shall establish a system of internal controls, which is designed to prevent losses of public funds arising from fraud, employee error, and misrepresentation by third parties, unanticipated changes in financial markets, or imprudent actions by employees and officers of the County.

The County maintains its records on the basis of funds and account groups, each of which is considered a separate accounting entity. All investment transactions shall be recorded in the various funds of the County in accordance with Generally Accepted Accounting Principles as promulgated by the Government Accounting Standards Board.

The County shall establish a process for an annual review by either the County's internal or external auditor. This review will examine the system of internal controls to assure that the established policies and procedures are being complied with and many result in recommendations to change operating procedures to improve internal control.

4.8.12 Reporting

(A) Methods.

(i) The County Treasurer shall prepare an investment report quarterly, including a management summary that provides a clear status of the current investment portfolio, quarterly transactions, investment philosophy and market actions and trends. The management summary will be prepared in a manner which will allow the County to ascertain whether investment activities during the reporting period have conformed to the investment policy. The report should be provided to the Board of Supervisors, the County Executive, the County Treasury Oversight Committee, Internal Auditor, and local agencies with funds on deposit in the County pool. The report will include the following:

- A listing of individual securities by type of investment and maturity held at the end of the reporting period.
- A composite of transactions purchased during the reporting period by type of security.
- Unrealized gains or losses resulting from appreciation or depreciation of securities held in the portfolio, by listing the cost of market value of securities.
- Average weighted yield to maturity of the portfolio and benchmark comparisons.
- Weighted average maturity of the portfolio.
- A summary of purchases during the reporting period by broker/dealers or banks showing the purchase date, issuing agency, amount purchased, cost and purchase date.
- A statement denoting the ability of the County to meet its pool's expenditure requirements for the next six months, or provide an explanation as to why sufficient money shall, or may not, be available.

(ii) The County Treasurer shall prepare a monthly report with a brief summary of the investment report and a listing of the transactions conducted during the month. The report will be provided to the Board of Supervisors, Treasury Oversight Committee and the local agencies with funds on deposit in the County Pool.

Material deviations from projected budgetary investment results shall be reported no less frequently than quarterly to the Board of Supervisors and the County Executive.

(B) Performance Standards.

The investment portfolio will be managed in accordance with the parameters specified within this policy. The portfolio should obtain a market average rate of return during a market/economic environment of stable interest rates, taking into account the County's investment risk constraints and cash flow needs.

The basis for measurement used to determine whether market yields/rate of return are being achieved shall be the State Treasurer's Local Agency Investment Fund (LAIF). It should be recognized, however, that since the investment parameters of LAIF are broader than the County's investment

policies, the returns realized by the County cannot necessarily be expected to exceed the returns realized by LAIF on a regular basis.

- (C) The County utilizes the following methods to pay for banking services and County administration of the investment function:

General Banking Services. General banking services such as safekeeping, items deposited, statements, account maintenance, etc., may be paid to the bank through direct payment or a combination of direct payment and compensating balance.

Investment and Banking Administration Costs. The County recovers staffing and other costs relating to the County's administration services for banking and investment functions provided to the County Treasury. The administrative costs are allocated against the earnings of the County pool prior to apportionment of earnings.

Earnings Apportionment. Earnings of the County pool are apportioned quarterly to all participants of the pool based on the average daily balance of each fund during the quarter.

Realized capital gains (the gain from securities sold at a higher price compared to cost) are added to quarterly earnings. Realized capital losses (the loss from securities sold at a lower price compared to cost) reduce quarterly earnings. To the extent that a realized capital loss exceeds the quarterly aggregate earnings of the Pool, the loss will be shared across all funds. The size of the write-down for any individual fund balance will be based on the average daily balance of each fund during the quarter in which the loss occurred.

Any apportioned earnings may not be available for withdrawal until all monies that have been earned (i.e., accrued) have actually been received by the County Treasurer.

4.8.13 Investment Policy Adoption

Pursuant to Government Code section 27133 the County Treasurer annually prepares an investment policy that is reviewed, monitored and approved by the County Treasury Oversight Committee. Any changes must be approved by the Board of Supervisors. Copies of the approved investment policy shall be circulated annually to local agencies with funds on deposit in the County pool.

4.8.14 Voluntary Participants

The County provides the opportunity for local agencies to deposit excess funds within the County's Commingled Pool-pursuant to Government Code section 53684. In order to participate, voluntary participants must sign the County's Disclosure and Agreement for Voluntary Deposits which outlines the terms and conditions of participation, including constraints on deposits and withdrawals from the pool. Voluntary participants must also submit a resolution duly adopted by its governing board authorizing the deposit of funds into the Investment Pool.

It is the County's policy to not allow access to the pool unless the voluntary participant agrees to a long-term relationship utilizing the pool and County Treasury for its primary banking needs. The County does not wish to enter into relationships where an entity is placing funds because yields for a time may be higher than what is available at other organizations, because such activity can have an adverse and unfair impact on the other participants. Upon approval of the Treasurer, accommodations may be made to utilize the County resources to

make specific investments or manage segregated funds for a voluntary participant at an agreed cost.

4.8.14.1 Temporary Loans to Pool Participants

Various public entities maintain funds on deposit with the County Treasury. From time to time, these public entities experience cash flow problems. Allowing these entities to temporarily borrow from the commingled investment pool is an alternative way to address their short-term cash flow problems. In order to ensure that these temporary loans comply with all legal requirements and investment pool objectives, no such transfers shall be made unless all of the following requirements are met:

- Because the commingled investment pool consists of deposits from both restricted and unrestricted sources, all transfers shall comply with all requirements of Government Code Sections 53601, 53840, 53841 and 53842, including the requirements that they be legally characterized as loans and formalized with “evidences of indebtedness,” and meet maturity and security criteria.
- All transfers shall comply with Article XVI, Section 6 of the California Constitution, including the limitations on borrowing amounts and loan periods
- No transfers shall be made during any fiscal year unless the Board of Supervisors has adopted a resolution authorizing transfers for that fiscal year. (Cal. Constitution Article XVI, Section 6; Government Code Section 25252.)
- Any inter-fund transfers between school district and community college accounts shall be formally approved by the district’s governing board and shall comply with all other requirements of Education Code Sections 42603, 42620 and 85220, including requirements regarding repayment, sufficient income, and maximum transfer amounts.
- No transfer may occur until the fund needing the transfer meets the revenue sufficiency test, consistent with state law and County investment pool investment-risk constraints, established by the Director of Finance to ensure repayment.
- Direct borrowing from the pool should be a last resort funding alternative. Pool participants will be encouraged to use all available internal sources for cash flow needs through inter-fund borrowing between the participant’s various funds.

The Director of Finance shall do all of the following:

- Proactively monitor fund balances.
- Establish early warning triggers to identify those funds most likely to incur an overdraft and require a transfer.
- Establish a revenue sufficiency test for the purpose of assessing repayment ability.
- Place tax apportionments assigned to an overdrawn fund in a lock box sequestered for credit to the investment pool.
- Establish and monitor investment pool exposure limits.
- Monitor funds to ensure that loans meet dry period (last Monday in April through June 30 of the fiscal year) financing restrictions.
- Restrict certain individual funds (e.g., bond reserve funds) from use as a borrowing source in inter-fund borrowing across funds held by pool participant.
- Establish a hierarchy of associated funds owned by each pool participant to be used as alternative funding sources in the event any of the participant’s funds needs a loan.

- Implement accounting procedures that either manually or automatically transfer funds from one fund to another based on preset rules.
- Report within the Quarterly Investment listing all loans extended by the investment pool to participants.

The County's external financial auditor shall regularly review all of the practices and procedures in this Section to ensure compliance with all legal requirements.

4.8.15 Withdrawal of Funds by Voluntary Participants

Public entities that are voluntary participants in the County pool who wish to make withdrawals for the purpose of investing outside of the County pool may request such withdrawals in accordance with the County Investment Management Agreement.

The County Treasurer will assess the proposed withdrawal on the stability and predictability of the investments in the County pool. Prior to approving or disapproving a withdrawal request, the County Treasurer shall determine that the proposed withdrawal will not adversely affect the interests of the other depositors in the County pool. Funds are withdrawn based on the market value.

4.8.16 Warranties

All depositors acknowledge that funds deposited in the Investment Pool are subject to market/investment risk, and that the County Treasurer makes no warranties regarding Investment Pool performance, including but not limited to preservation of capital or rate of return earned on funds deposited in the Investment Pool. Depositors knowingly accept these risks and waive any claims or causes of action against the County Treasurer, the County, and any employee, official or agent of the County for loss, damage or any other injury related to the Depositors' funds in the Investment Pool, with the exception of loss, damage or injury caused solely by the County Treasurer's material failure to comply with the County Investment Policy and all applicable laws and regulations.

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Quarterly Investment Report

December 31, 2018



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Board of Supervisors: Mike Wasserman, Cindy Chavez, Dave Cortese, Ken Yeager, S. Joseph Simitian

County Executive: Jeffrey V. Smith



Santa Clara County Commingled Pool and Segregated Investments

December 31, 2018

Fund	Cost Value**	Market Value	Variance	% Variance
Commingled Investment Pool	\$8,198,763,772	\$8,162,704,925	-\$36,058,846	-0.44%
Worker's Compensation	\$28,535,469	\$28,532,495	-\$2,974	-0.01%
Park Charter Fund	\$4,203,582	\$4,190,481	-\$13,101	-0.31%
San Jose-Evergreen	\$17,024,332	\$16,978,735	-\$45,597	-0.27%
Medical Malpractice Insurance Fund (1)	\$9,294,751	\$9,199,477	-\$95,274	-1.03%
Total	\$8,257,821,905	\$8,221,606,114	-\$36,215,791	-0.44%

(1) Managed by Chandler Asset Management, Inc.

Summary of Yields* for Select Santa Clara County Investment Funds

Fund	2018			2017
	<u>Oct 31</u>	<u>Nov 30</u>	<u>Dec 31</u>	<u>Dec 31</u>
Commingled Investment Pool	1.93%	2.03%	2.13%	1.43%
Worker's Compensation	2.07%	2.10%	2.34%	1.49%
Weighted Yield	1.93%	2.03%	2.13%	1.43%

*Yield to maturity (YTM) is the rate of return paid on a bond, note, or other fixed income security if the investor buys and holds it to its maturity date and if the coupon interest paid over the life of the bond is reinvested at the same rate as the coupon rate. The calculation for YTM is based on the coupon rate, length of time to maturity, and market price at time of purchase.

Yield is a snapshot measure of the yield of the portfolio on the day it was measured based on the current portfolio holdings on that day. This is not a measure of total return, and is not intended to be, since it does not factor in unrealized capital gains and losses and reinvestment rates are dependent upon interest rate changes

**Cost Value is the amortized book value of the securities as of the date of this report.



Santa Clara County Commingled Pool and Segregated Investments

Portfolio Strategy

December 31, 2018

The U.S. economy as measured by gross domestic product (GDP) grew by 3.2 percent in 2018 bolstered by low unemployment rate, the lowest in 48 years, and ongoing strength in household spending which accounts for about 70 percent of the domestic economy. Most recently, GDP expanded by 2.9 percent in the quarter ended December 31, 2018. The current economic expansion is relatively long and in its tenth year. Job gains remain robust. The unemployment rate in December 2018 was 3.8 percent and, even with the impact of the government shutdown, the jobless rate further declined to 3.7 percent during January 2019. Matching the past year's strength in employment growth may be difficult. Businesses continue to cite a shortage of qualified workers as a restraint on hiring. Even if job growth should decelerate, consumer spending continues to be as a growth driver benefiting from increases in wage income, support from corporate profitability and access to credit. Furthermore, economists expect mounting labor cost pressures will motivate businesses to increase capital spending to adopt and acquire productivity-enhancing practices.

Unlike the domestic U.S. economy, there are concerning signs of a synchronized global economic slow-down emanating from China and Europe. China has encountered significant headwinds. Equity markets returned a negative 20 percent in 2018. The U.S. imposed tariffs worth \$250 billion on Chinese exports sold in the United States. Most critically, China has been absorbing the negative consequences of deleveraging its economy to contain an overuse of credit and borrowing. Similarly, Europe experienced faltering growth in 2018. The German economy nearly entered a recession while Italy's political crisis and the protracted difficulties related to Britain removing itself from European Union took their toll.

The Federal Reserve Bank ("Fed") policy makers in December 2018 increased their benchmark interest rate by a quarter of a percentage point with the intent that the rate will fluctuate between 2.25 and 2.5 percent. This decision had been widely anticipated. So far, policy makers have lifted borrowing costs four times in 2018 and nine times since the Fed's initial rate hike in December 2015. The Fed, in crafting monetary policy, attempts to strike a delicate balance between containment of inflation, which is accomplished by restraining the economy from over-heating, and stimulating economic growth. With U.S. unemployment at its lowest level since 1969, the latest data show the effects of a tight labor market have begun to translate into higher wages. Nevertheless, the expected pass-through from low unemployment to rising wages has not materialized, all of which should have been inflationary even with policy makers hiking interest rates. Numerous factors including structural pressures, which continue to suppress wages, are unexpectedly assisting policy makers. Most frequently cited factors include globalization, foreign competition, automation and technology, outsourcing, on-line retailing, erosion of low-skill workers' bargaining power, industry concentration, and hidden slack in the labor markets.



Santa Clara County Commingled Pool and Segregated Investments

Portfolio Strategy

December 31, 2018

Core inflation, which excludes food and energy, rose 0.2 percent in January 2019 from the prior month, an increase that has been the same each month for the fifth straight time, indicating inflation is steady. The 2.1 percent gain in January measured over the prior twelve trailing months following the 2.2 percent gain in December, suggests that the Fed's preferred measure of gauging inflation based on consumption continues to remain below the 2 percent inflation goal set by policy makers.

The portfolio strategy continues to focus on the:

- (1) acquisition of high-quality issuers;
- (2) identifying and selecting bonds with attractive valuations;
- (3) appropriately sizing the liquidity portion of the portfolio to ensure adequate cash for near term obligations; and
- (4) ensuring that monies targeted for longer term investments are deployed in vehicles with favorable risk-adjusted yields.

Broker-dealers have generally down-sized the amount of securities carried in inventories in response to risk-curbing rules crafted after the 2008 financial crisis. These risk curbing rules include the international regulatory framework for banks called Basel III and the U.S. 2010 Dodd-Frank Law. The Treasury Division has increased its capability to review a larger volume of inventory listings to find attractive bonds. Portfolio structuring does not solely rely on interest rate anticipation strategies, which primarily speculate on the direction of interest rates to earn favorable returns.



Santa Clara County Commingled Pool and Segregated Investments

Portfolio Compliance, Review, and Monitoring

December 31, 2018

Yield and Weighted Average Maturity

The yield of the Commingled Pool is 2.13 and the weighted average life is 406 days.

Compliance

The County Treasurer believes the Commingled Pool contains sufficient cash flow from liquid and maturing securities, bank deposits and incoming cash to meet the next six months of expected expenditures.

Review and Monitoring

FTN Financial Main Street Advisors, the County's investment advisor, currently monitors the Treasury Department's investment activities.

Additional Information

Securities are purchased with the expectation that they will be held to maturity, so unrealized gains or losses are not reflected in the yield calculations.

The market values of securities were taken from pricing services provided by the Bank of New York Mellon, Bloomberg Analytics, dealer quotes, and an independent pricing service.



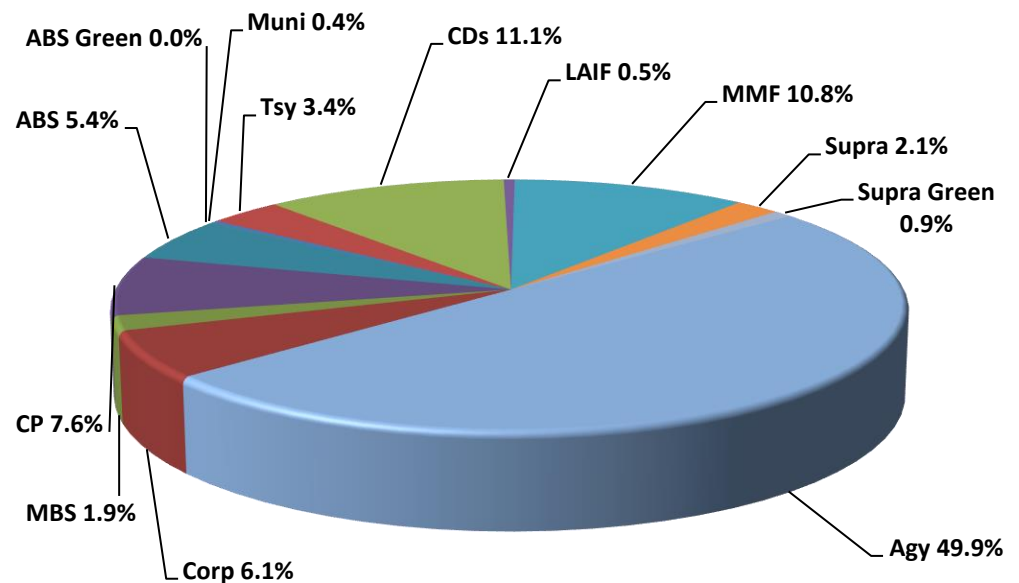
Santa Clara County Commingled Pool

Allocation by Security Types

December 31, 2018

Sector	12/31/2018	9/30/2018	% Chng
Federal Agencies	49.86%	57.04%	-7.2%
Corporate Bonds	6.09%	7.98%	-1.9%
Mortgage Backed Securities	1.89%	1.83%	0.1%
Commercial Paper	7.60%	3.81%	3.8%
ABS	5.44%	6.63%	-1.2%
ABS Green Bonds	0.01%	0.03%	0.0%
Municipal Securities	0.39%	0.52%	-0.1%
U.S. Treasuries	3.40%	1.87%	1.5%
Negotiable CDs	11.10%	4.57%	6.5%
LAIF	0.50%	0.67%	-0.2%
Money Market Funds	10.79%	10.48%	0.3%
Supranationals	2.08%	3.43%	-1.4%
Supranationals Green Bonds	0.85%	1.14%	-0.3%
Total	100.00%	100.00%	

Sector	12/31/2018	9/30/2018
Federal Agencies	4,087,750,692	3,494,862,445
Corporate Bonds	498,895,940	488,697,843
Mortgage Backed Securities	155,243,940	112,012,904
Commercial Paper	623,225,009	233,227,345
ABS	445,793,370	406,502,129
ABS Green Bonds	1,035,737	1,627,580
Municipal Securities	32,001,276	32,005,371
U.S. Treasuries	279,065,937	114,375,248
Negotiable CDs	910,000,000	280,000,000
LAIF	41,270,791	41,047,764
Money Market Funds	884,353,094	642,369,779
Supranational	170,127,986	210,134,135
Supranationals Green Bonds	70,000,000	70,000,000
Total	8,198,763,772	6,126,862,543



Amounts are based on book value

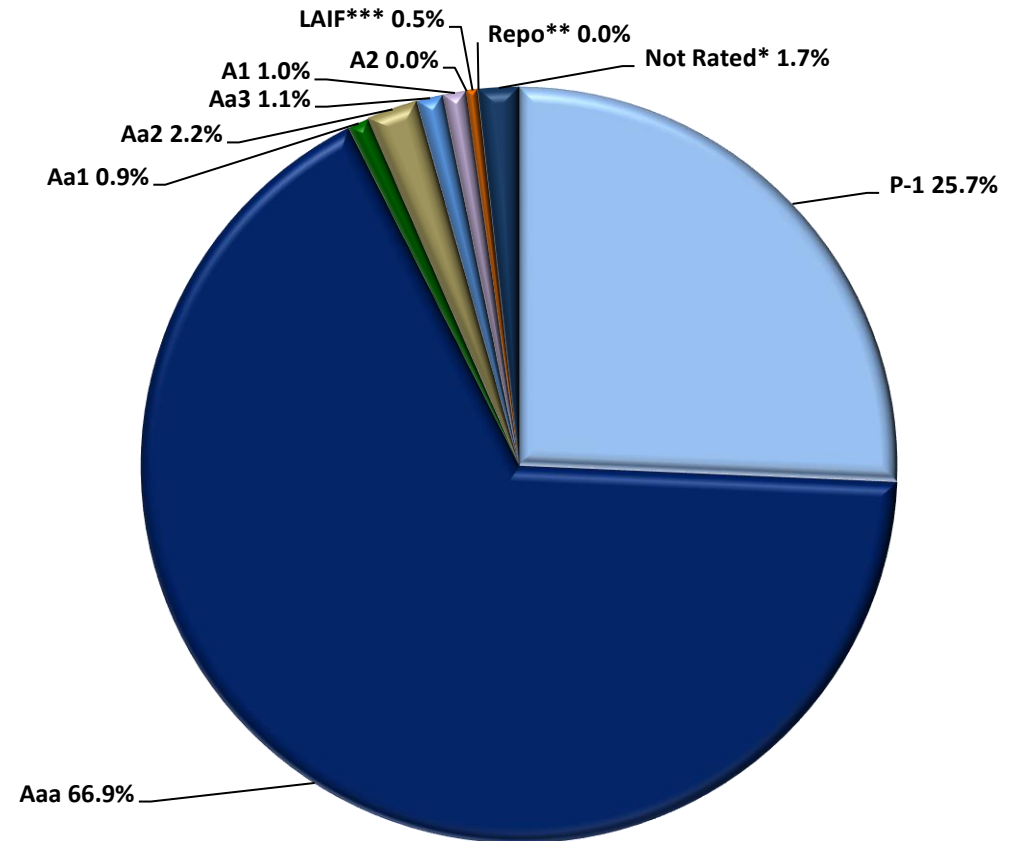


Santa Clara County Commingled Pool

Allocation by Ratings

December 31, 2018

Moody's Rating	Portfolio \$	Portfolio %
P-1	2,105,786,721	25.7%
Aaa	5,481,665,920	66.9%
Aa1	74,970,608	0.9%
Aa2	178,605,700	2.2%
Aa3	92,543,423	1.1%
A1	82,058,225	1.0%
A2	-	0.0%
A3	-	0.0%
LAIF***	41,270,791	0.5%
Repo**	-	0.0%
Not Rated*	141,862,383	1.7%
Total	8,198,763,772	100.0%



*Not Rated by Moody's but A-1+ by S&P

**Repurchase Agreements are not rated, but are collateralized by U.S. Treasury securities or securities issued by the Federal Agencies of the U.S.

***LAIF is not rated, but is comprised of State Code allowable securities

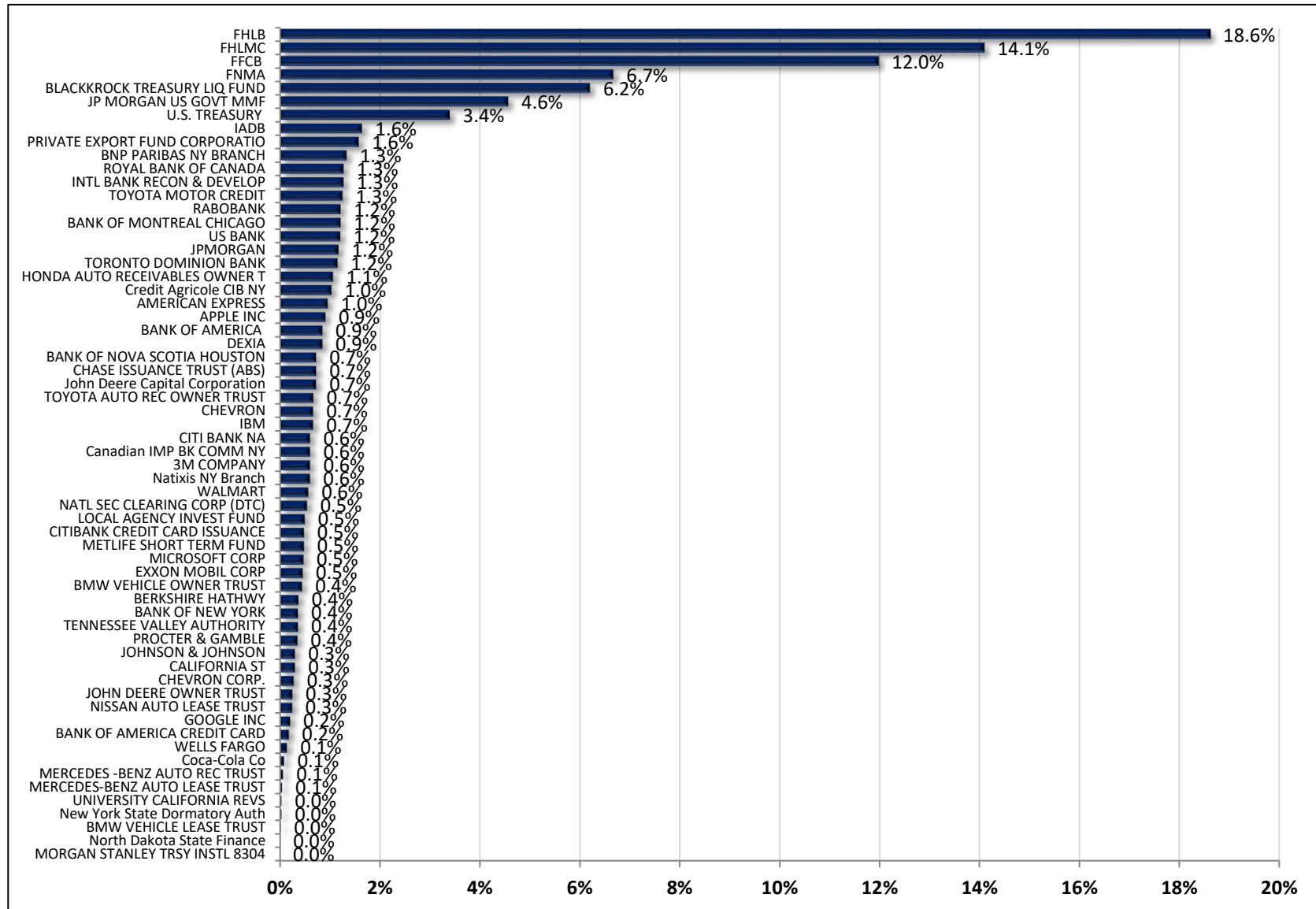
Amounts are based on book values



Santa Clara County Commingled Pool

Holdings by Issuer - Percent of Commingled Pool

December 31, 2018



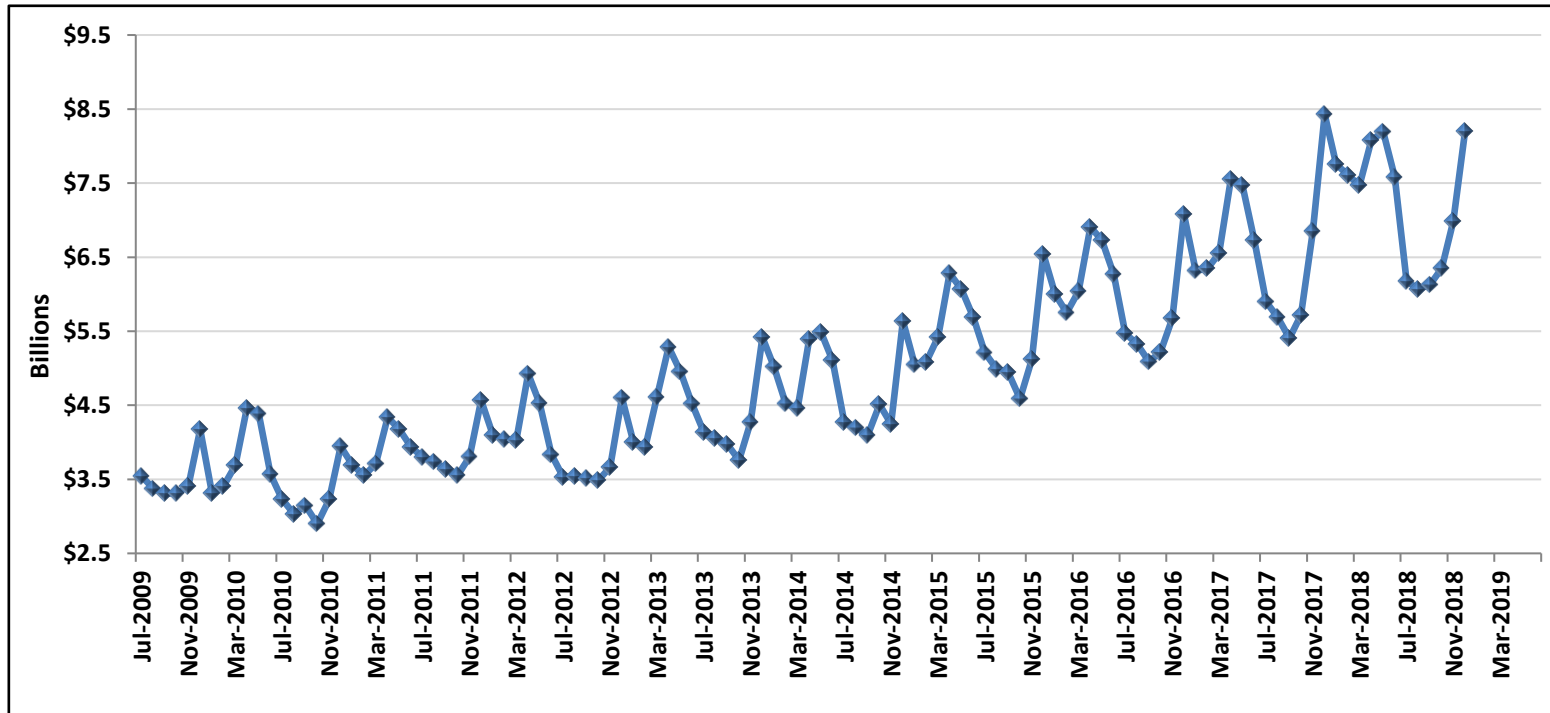
Amounts are based on book values



Santa Clara County Commingled Pool

Historical Month End Book Values

December 31, 2018



Fiscal Year	Jul	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun
FY 2010	\$3.541	\$3.373	\$3.307	\$3.307	\$3.408	\$4.175	\$3.307	\$3.408	\$3.687	\$4.463	\$4.384	\$3.536
FY 2011	\$3.230	\$3.032	\$3.143	\$2.898	\$3.227	\$3.943	\$3.695	\$3.551	\$3.712	\$4.339	\$4.179	\$3.935
FY 2012	\$3.801	\$3.736	\$3.637	\$3.555	\$3.805	\$4.567	\$4.097	\$4.040	\$4.032	\$4.926	\$4.525	\$3.833
FY 2013	\$3.508	\$3.517	\$3.515	\$3.469	\$3.645	\$4.600	\$3.918	\$3.982	\$4.606	\$5.286	\$4.952	\$4.521
FY 2014	\$4.133	\$4.052	\$3.975	\$3.758	\$4.271	\$5.419	\$5.019	\$4.520	\$4.461	\$5.386	\$5.487	\$5.108
FY 2015	\$4.267	\$4.194	\$4.096	\$4.051	\$4.247	\$5.639	\$5.045	\$5.085	\$5.420	\$6.284	\$6.065	\$5.690
FY 2016	\$5.212	\$4.990	\$4.941	\$4.587	\$5.120	\$6.543	\$5.997	\$5.752	\$6.040	\$6.911	\$6.728	\$6.263
FY 2017	\$5.469	\$5.328	\$5.088	\$5.220	\$5.671	\$7.082	\$6.319	\$6.348	\$6.550	\$7.556	\$7.469	\$6.730
FY 2018	\$5.898	\$5.689	\$5.408	\$5.720	\$6.850	\$8.427	\$7.754	\$7.608	\$7.472	\$8.079	\$8.192	\$7.584
FY 2019	\$6.180	\$6.068	\$6.127	\$6.350	\$6.987	\$8.199						

Amounts in billions

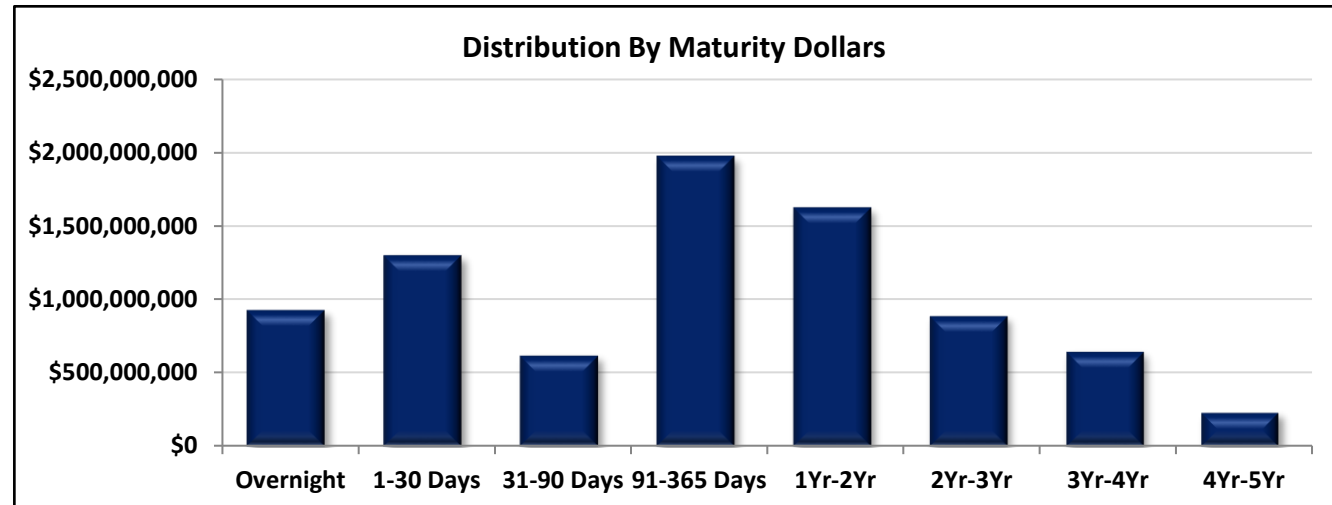


Santa Clara County Commingled Pool

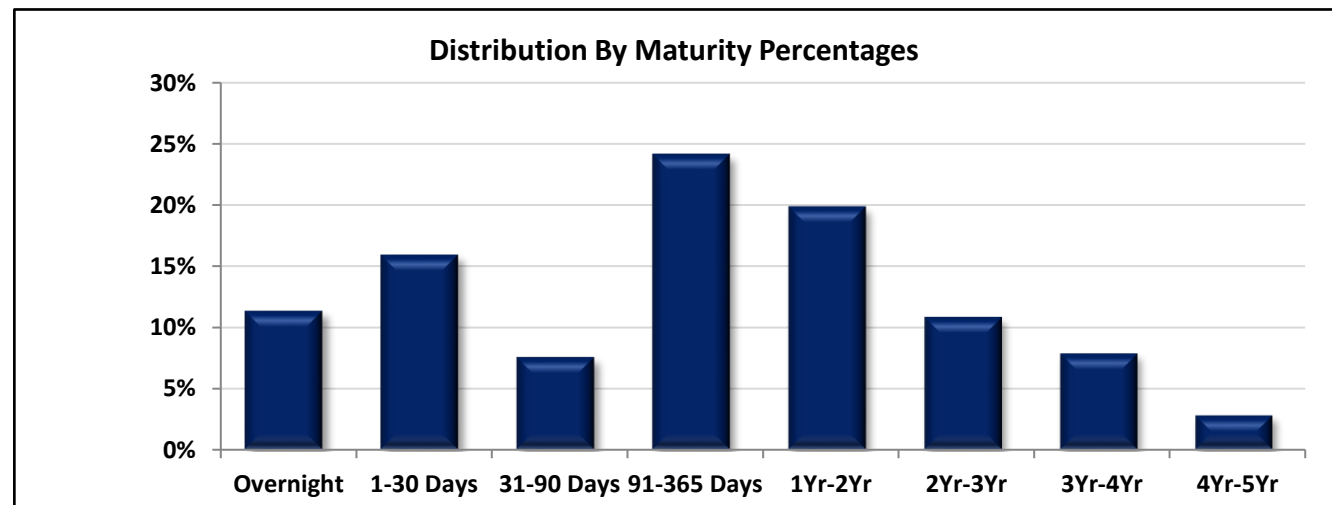
Distribution by Maturity

December 31, 2018

Maturity	Amount*
Overnight	925,623,885
1-30 Days	1,300,478,392
31-90 Days	616,676,842
91-365 Days	1,977,231,553
1Yr-2Yr	1,624,689,530
2Yr-3Yr	885,528,989
3Yr-4Yr	641,901,671
4Yr-5Yr	226,632,910
	8,198,763,772



Maturity	Amount*
Overnight	11.29%
1-30 Days	15.86%
31-90 Days	7.52%
91-365 Days	24.12%
1Yr-2Yr	19.82%
2Yr-3Yr	10.80%
3Yr-4Yr	7.83%
4Yr-5Yr	2.76%
	100.00%



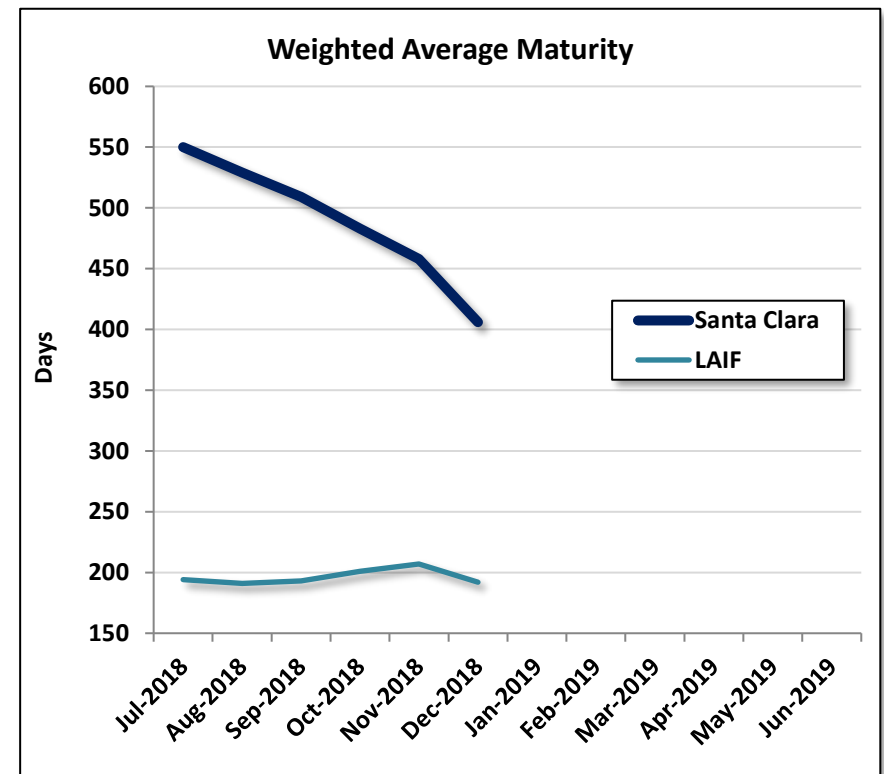
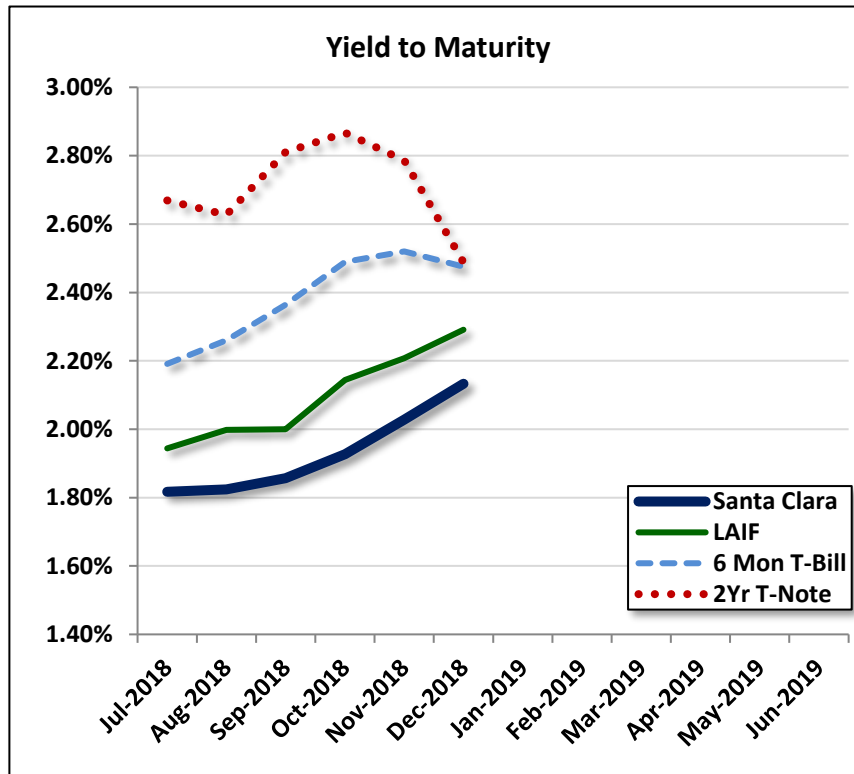
*Amounts are based on book value



Santa Clara County Commingled Pool

Yield to Maturity and Weighted Average Maturity

December 31, 2018



Item	Jul-18	Aug-18	Sep-18	Oct-18	Nov-18	Dec-18	Jan-19	Feb-19	Mar-19	Apr-19	May-19	Jun-19
SCC YTM	1.82%	1.82%	1.86%	1.93%	2.03%	2.13%						
LAIF YTM	1.94%	2.00%	2.00%	2.14%	2.21%	2.29%						
6 Mon T-Bill	2.19%	2.26%	2.36%	2.49%	2.52%	2.48%						
2Yr T-Note	2.67%	2.63%	2.81%	2.87%	2.79%	2.49%						
SCC WAM	550	529	509	483	458	406						
LAIF WAM	194	191	193	201	207	192						



Santa Clara County

Approved Issuers and Broker/Dealers

December 31, 2018

Direct Commercial Paper Issuers

Toyota Motor Credit
US Bank, NA
Dexia Credit Local, NY

Broker/Dealers

Academy Securities, Inc
Bank of America Merrill Lynch
Barclays Capital, Inc
BMO Capital Markets
BNP Paribas Securities Corp
BNY Mellon Capital Markets, LLC
BOK Financial Securities (Bank of Oklahoma)
Brean Capital LLC
Cantor Fitzgerald & Co
Citigroup Global Markets Inc
Daiwa Capital Markets America Inc
Deutsche Bank Securities Inc
FTN Financial Capital Markets
Incapital LLC
Jefferies & Co
JP Morgan Securities, Inc
Keybanc Capital Markets, Inc
Loop Capital Markets LLC
Mizuho Securities USA, Inc
MUFG Securities USA LLC
Raymond James, Inc.
RBC Capital Markets, Inc
UBS Financial Services Inc
Vining Sparks LP
Williams Capital

Santa Clara County Commingled Pool
Compliance with Investment Policy
December 31, 2018



Item/Sector	Parameters	In Compliance
Maturity	Weighted Average Maturity (WAM) must be less than 24 months	Yes
Interest Periods	Securities must pay interest within one year of the initial investment and at least semiannually in subsequent years	Yes
Investment Swaps	Similar maturity swaps, so as not to affect cash flow needs, should have minimum 5 basis point gain	Yes
Issuer Limits	No more than 5% of the portfolio shall be invested in aggregate of any single institution of the following types: Bankers Acceptances, CP, Negotiable CDs, and Corporate Notes	Yes
U.S. Treasuries	No sector limit, no issuer limit, max maturity 5 years	Yes
U.S. Federal Agencies	No sector limit, no issuer limit, max maturity 5 years	Yes
LAIF	No sector limit, no issuer limit, CA State's deposit limit \$65 million	Yes
Repurchase Agreements	No sector limit, no Issuer limit, max maturity 92 days, treasury and agency collateral at 102% of investment, if maturity exceeds 15 days, must be collateralized by securities with 5 years or less maturities	Yes
Commercial Paper	Sector limit 40%, issuer limit 5%, max maturity 270 days, rated by at least two: A-1 (S&P), P-1 (Moody's), F-1 (Fitch), issued by domestic corporation w/ at least \$500 mil of assets, and long term debt rated by at least two: AA- (S&P/Fitch)/Aa3 (Moody's)	Yes
Corporate Bonds	Sector limit 30%, issuer limit 5%, max maturity 5 years, rated by at least two: AA- (S&P/Fitch)/Aa3 (Moody's), issued by domestic corps/depositories	Yes
Money Market Funds	Sector limit 20%, issuer limit 10%, rated by at least two: AAA-m (S&P/Fitch)/Aaa-mf (Moody's), MMF has at least \$500 mil managed	Yes
Negotiable Certificates of Deposit	Sector limit 30%, issuer limit 5%, max maturity 5 years, if under 1 year rated by at least two: A-1 (S&P), P-1 (Moody's), F-1 (Fitch), if greater than 1 year rated by at least two: AA- (S&P/Fitch)/Aa3 (Moody's)	Yes
Municipal Securities	Sector limit 10%, no issuer limit, State of CA, local CA agencies, and other municipal securities of the other 49 states, if long-term rated, then by at least two: A- (S&P/Fitch)/A3 (Moody's), if short-term rated, then by at least two: SP-1 (S&P), MIG-1 (Moody's), F-1 (Fitch), revenue based bonds payable solely out of the States' or local agencies' revenues	Yes
Mortgage-Backed Securities	Sector limit 20% in aggregate with ABS, no issuer limit, max maturity 5 years, collateralized by pools of conforming residential mortgage loans insured by FHLMC/FNMA and residential mortgages guaranteed by FHA (GNMA)	Yes
Asset-Backed Securities	Sector limit 20% in aggregate with ABS, no issuer limit, max maturity 5 years, collateralized by pools of loans such as installment/receivables, security must be rated by at least two: AA- (S&P/Fitch), Aa3 (Moody's), issuer rated by at least two: A- (S&P/Fitch), A3 (Moody's)	Yes
Supranational Debt Obligations	Sector limit 10%, max maturity 5 years, issued or unconditionally guaranteed by the IBRD, rated by at least two: AAA (S&P/Fitch), Aaa (Moody's)	Yes
Bankers' Acceptances	Sector limit 40%, issuer limit 5%, max maturity 180 days, rated by at least two: A-1 (S&P), P-1 (Moody's), F-1 (Fitch), issued by commercial banks, collateral must exceed market value of security by 2%	Yes, None in Portfolio
Securities Lending	Sector limit 20%, max maturity 92 days for loans and reinvestment, loan counterparty must be a primary dealer, loaned securities must be owned for at least 30 days	Yes, None in Portfolio



Santa Clara County Commingled Pool

Allocation by Security Types

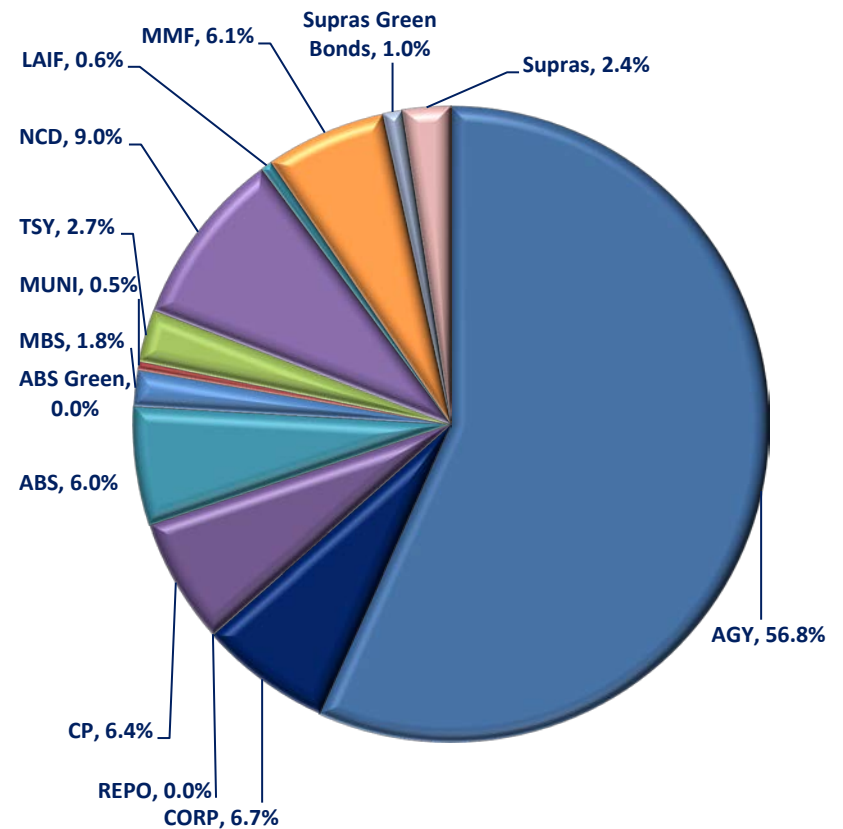
For the Month Ended November 30, 2018

Average Daily Balance \$ 6,549,656,803.35
 Book Yield 2.028%
 Weighted Average Maturity 458 Days

Investment Type	Par Value (Millions)	Book Value* (Millions)	Value (Millions)
Federal Agencies	\$ 3,983.54	\$ 3,980.05	\$ 3,934.84
Corporate Bonds	469.83	468.83	464.65
Repurchase Agreements	-	-	-
Commercial Paper	445.00	442.67	442.58
Asset-Backed Securities	420.21	420.13	417.20
Asset-Backed Sec Green Bds	1.22	1.22	1.22
Mortgage Backed Securities	127.54	127.90	126.24
Municipal Securities	31.97	32.00	31.23
U.S. Treasuries	185.00	184.29	183.88
Negotiable CDs	625.00	625.00	624.91
LAIF	41.27	41.27	41.27
Money Market Funds	423.53	423.53	423.53
Supranationals Green Bonds	70.00	70.00	69.93
Supranationals	170.00	170.13	168.71
Total	\$ 6,994.11	\$ 6,987.03	\$ 6,930.17

*Represents Amortized Book Value

Asset Allocation By Market Value





Santa Clara County Commingled Pool

Allocation by Security Types

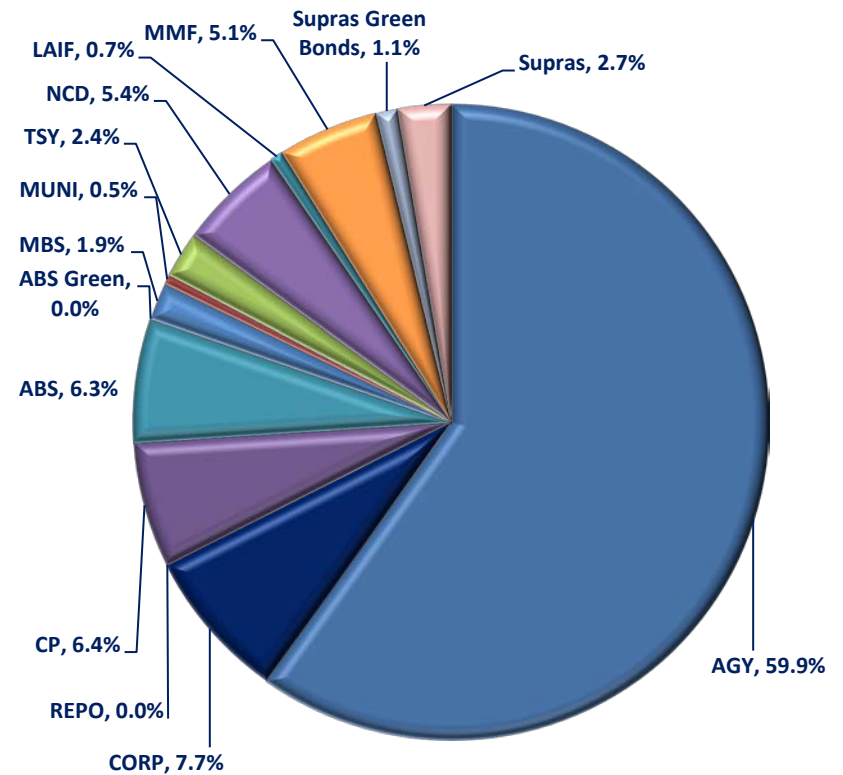
For the Month Ended October 31, 2018

Average Daily Balance \$ 6,163,420,898.62
 Book Yield 1.927%
 Weighted Average Maturity 483 Days

Investment Type	Par Value (Millions)	Book Value* (Millions)	Value (Millions)
Federal Agencies	\$ 3,817.51	\$ 3,814.25	\$ 3,762.87
Corporate Bonds	489.83	488.76	484.20
Repurchase Agreements	-	-	-
Commercial Paper	405.00	402.59	402.47
Asset-Backed Securities	398.17	398.10	394.83
Asset-Backed Sec Green Bds	1.43	1.43	1.43
Mortgage Backed Securities	119.87	120.24	118.25
Municipal Securities	31.97	32.00	31.24
U.S. Treasuries	150.00	149.26	148.77
Negotiable CDs	340.00	340.00	339.92
LAIF	41.27	41.27	41.27
Money Market Funds	321.57	321.57	321.57
Supranationals Green Bonds	70.00	70.00	69.83
Supranationals	170.00	170.13	168.43
Total	\$ 6,356.63	\$ 6,349.60	\$ 6,285.08

*Represents Amortized Book Value

Asset Allocation By Market Value



SANTA CLARA COUNTY INVESTMENTS
Fund COMM - COMMINGLED POOL
Investments by Fund
December 31, 2018

CUSIP	Investment #	Issuer	Purchase Date	Remaining Cost	Par Value	Market Value	Current Rate	YTM 360	YTM 365	Maturity Days To Date Maturity	
Negotiable CDs											
06052ZT0	38564	BANK OF AMERICA	04/05/2018	50,000,000.00	50,000,000.00	49,999,650.00	2.490	2.490	2.524	01/04/2019 3	
06370RNQ8	38957	BANK OF MONTREAL CHICAGO	11/07/2018	50,000,000.00	50,000,000.00	49,999,850.00	2.880	2.880	2.920	07/31/2019 211	
06370RRU5	39081	BANK OF MONTREAL CHICAGO	12/18/2018	50,000,000.00	50,000,000.00	50,004,800.00	2.880	2.880	2.920	07/15/2019 195	
34959TMZ6	38456	BNP PARIBAS NY BRANCH	02/15/2018	60,000,000.00	60,000,000.00	59,985,240.00	2.290	2.290	2.321	02/01/2019 31	
05586FGN1	38949	BNP PARIBAS NY BRANCH	11/05/2018	50,000,000.00	50,000,000.00	50,000,200.00	2.930	2.930	2.970	08/05/2019 216	
06417G3L0	39046	BANK OF NOVA SCOTIA HOUSTON	12/10/2018	60,000,000.00	60,000,000.00	59,988,840.00	2.880	2.880	2.920	07/08/2019 188	
22534H3T6	38562	Credit Agricole CIB NY	04/05/2018	45,000,000.00	45,000,000.00	44,997,660.00	2.510	2.475	2.510	01/31/2019 30	
22535CAQ4	39008	Credit Agricole CIB NY	11/27/2018	40,000,000.00	40,000,000.00	40,005,080.00	2.980	2.980	3.021	08/26/2019 237	
13606BK54	39015	Canadian IMP BK COMM NY	11/28/2018	50,000,000.00	50,000,000.00	50,022,700.00	2.970	2.970	3.011	08/26/2019 237	
17305TC83	39054	CITI BANK NA	12/11/2018	50,000,000.00	50,000,000.00	50,006,450.00	2.920	2.920	2.960	06/10/2019 160	
25215FDD3	38688	DEXIA	05/04/2018	40,000,000.00	40,000,000.00	39,998,360.00	2.490	2.455	2.490	01/28/2019 27	
25215FEK6	39061	DEXIA	12/12/2018	30,000,000.00	30,000,000.00	30,000,390.00	2.750	2.750	2.788	06/07/2019 157	
21685V7C7	39087	RABOBANK	12/18/2018	50,000,000.00	50,000,000.00	49,996,450.00	2.850	2.850	2.889	07/19/2019 199	
21685V6U8	38984	RABOBANK	11/20/2018	50,000,000.00	50,000,000.00	49,994,700.00	2.850	2.850	2.889	07/19/2019 199	
78012UDV4	38751	ROYAL BANK OF CANADA	05/23/2018	15,000,000.00	15,000,000.00	14,988,365.10	2.660	2.660	2.696	05/24/2019 143	
78012UGJ8	38848	ROYAL BANK OF CANADA	08/29/2018	20,000,000.00	20,000,000.00	19,970,863.20	2.630	2.630	2.666	07/05/2019 185	
78012UJP1	38908	ROYAL BANK OF CANADA	10/24/2018	25,000,000.00	25,000,000.00	24,995,198.25	2.890	2.890	2.930	08/02/2019 213	
78012UKV6	39045	ROYAL BANK OF CANADA	12/07/2018	45,000,000.00	45,000,000.00	45,001,048.50	2.900	2.900	2.940	07/12/2019 192	
89113XE26	38563	TORONTO DOMINION BANK	04/05/2018	50,000,000.00	50,000,000.00	50,001,407.50	2.550	2.515	2.550	01/31/2019 30	
89114MMK0	38991	TORONTO DOMINION BANK	11/21/2018	45,000,000.00	45,000,000.00	45,023,314.05	3.000	3.000	3.041	08/16/2019 227	
90333VZU7	38907	US BANK	10/24/2018	35,000,000.00	35,000,000.00	35,000,799.05	2.910	2.873	2.913	07/22/2019 202	
Subtotal and Average				910,000,000.00	910,000,000.00	909,981,365.65		2.766	2.804	153	
Mortgage Backed Securities (MBS)											
3137AYCE9	38387	FHLMC Multi-Family	01/12/2018	20,157,000.00	20,000,000.00	19,851,968.00	2.682	2.199	2.230	10/25/2022 1,393	
3137AYCE9	38391	FHLMC Multi-Family	01/16/2018	7,555,078.13	7,500,000.00	7,444,488.00	2.682	2.209	2.239	10/25/2022 1,393	
3137AWQH1	38465	FHLMC Multi-Family	02/22/2018	5,460,553.13	5,580,000.00	5,471,437.75	2.307	3.155	3.198	08/25/2022 1,332	
3137B36J2	38643	FHLMC Multi-Family	03/20/2018	20,345,312.50	20,000,000.00	20,289,304.00	3.320	2.865	2.905	02/25/2023 1,516	
3137AYCE9	38666	FHLMC Multi-Family	04/17/2018	11,616,539.06	11,745,000.00	11,658,068.21	2.682	3.032	3.074	10/25/2022 1,393	
3137AYCE9	38744	FHLMC Multi-Family	06/05/2018	19,788,281.25	20,000,000.00	19,851,968.00	2.682	3.070	3.112	10/25/2022 1,393	
3137B4WB8	38854	FHLMC Multi-Family	09/12/2018	4,768,285.16	4,775,000.00	4,795,686.26	3.060	2.968	3.009	07/25/2023 1,666	

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Mortgage Backed Securities (MBS)											
3137B5JM6	38864	FHLMC Multi-Family	09/25/2018	10,135,937.50	10,000,000.00	10,233,811.00	3.531	2.710	2.748	07/25/2023	1,666
3137B3NA2	38945	FHLMC Multi-Family	11/02/2018	10,605,782.00	10,605,782.00	10,729,184.52	3.250	3.120	3.163	04/25/2023	1,575
3137B5KW2	39026	FHLMC Multi-Family	12/03/2018	10,092,187.50	10,000,000.00	10,200,869.00	3.458	2.907	2.947	08/25/2023	1,697
3137FBUV6	39093	FHLMC Multi-Family	12/20/2018	19,987,500.00	20,000,000.00	19,987,966.00	2.527	2.422	2.456	07/25/2020	571
3138LAYM5	38477	FNMA Multi-Family	02/27/2018	3,503,076.49	3,542,934.51	3,494,123.25	2.550	2.888	2.928	09/01/2022	1,339
3136B1XP4	38664	FNMA Multi-Family	04/30/2018	3,875,286.57	3,799,706.61	3,842,384.53	3.560	2.746	2.784	09/25/2021	998
3136B1XP4	38665	FNMA Multi-Family	04/30/2018	3,875,286.57	3,799,706.61	3,842,384.53	3.560	2.746	2.784	09/25/2021	998
31381N7G2	38884	FNMA Multi-Family	10/11/2018	3,477,834.28	3,468,620.76	3,483,623.76	3.270	3.045	3.088	10/01/2020	639
Subtotal and Average				155,243,940.15	154,816,750.49	155,177,266.81		2.751	2.789		1,321
Federal Agency Bonds											
3133EEWG1	35799	FFCB NOTES	04/01/2015	9,922,209.65	9,950,000.00	9,922,169.85	1.300	1.353	1.371	04/01/2019	90
3133EFZN0	36584	FFCB NOTES	02/24/2016	14,981,550.00	15,000,000.00	14,979,180.00	1.030	1.057	1.072	02/12/2019	42
3133EF4Y0	36726	FFCB NOTES	04/27/2016	26,753,864.07	26,855,000.00	26,731,225.31	1.000	1.112	1.128	04/26/2019	115
3133EGWH4	37018	FFCB NOTES	09/30/2016	10,009,400.00	10,000,000.00	9,657,540.00	1.280	1.243	1.260	09/29/2021	1,002
3133EGT47	37194	FFCB NOTES	12/08/2016	10,000,000.00	10,000,000.00	9,837,190.00	2.010	1.982	2.010	12/08/2021	1,072
3133EG2D6	37305	FFCB NOTES	12/30/2016	25,026,250.00	25,000,000.00	24,801,550.00	1.550	1.490	1.511	09/27/2019	269
3133EG5D3	37378	FFCB NOTES	01/27/2017	5,000,000.00	5,000,000.00	4,911,855.00	2.030	2.002	2.030	01/27/2022	1,122
3133EG5Q4	37399	FFCB NOTES	02/01/2017	20,000,000.00	20,000,000.00	19,984,380.00	1.300	1.282	1.300	02/01/2019	31
3133EG6C4	37404	FFCB NOTES	02/03/2017	14,997,900.00	15,000,000.00	14,844,675.00	1.550	1.533	1.554	02/03/2020	398
3133EG3X1	37466	FFCB NOTES	02/16/2017	14,981,340.00	15,000,000.00	14,993,040.00	1.250	1.297	1.315	01/17/2019	16
3133EHBA0	37502	FFCB NOTES	03/02/2017	19,977,600.00	20,000,000.00	19,769,840.00	1.520	1.537	1.558	03/02/2020	426
3133EHCX9	37566	FFCB NOTES	03/20/2017	13,460,042.75	13,475,000.00	13,445,920.95	1.450	1.485	1.506	03/20/2019	78
3133EHCX9	37574	FFCB NOTES	03/20/2017	25,004,000.00	25,000,000.00	24,946,050.00	1.450	1.422	1.441	03/20/2019	78
3133EG3X1	37628	FFCB NOTES	03/30/2017	24,962,500.00	25,000,000.00	24,988,400.00	1.250	1.316	1.334	01/17/2019	16
3133EHEZ2	37639	FFCB NOTES	04/06/2017	15,000,000.00	15,000,000.00	14,821,230.00	1.600	1.578	1.600	04/06/2020	461
3133EHFL2	37665	FFCB NOTES	04/13/2017	14,994,255.00	15,000,000.00	14,802,285.00	1.550	1.541	1.563	04/13/2020	468
3133EHFL2	37666	FFCB NOTES	04/13/2017	9,996,900.00	10,000,000.00	9,868,190.00	1.550	1.539	1.560	04/13/2020	468
3133EHFL2	37667	FFCB NOTES	04/13/2017	9,996,900.00	10,000,000.00	9,868,190.00	1.550	1.539	1.560	04/13/2020	468
3133EHGA5	37725	FFCB NOTES	04/21/2017	25,008,250.00	25,000,000.00	24,756,525.00	1.440	1.406	1.426	10/21/2019	293
3133EHHG1	37761	FFCB NOTES	05/03/2017	5,000,000.00	5,000,000.00	4,907,875.00	1.750	1.726	1.750	05/03/2021	853
3133EHHG1	37762	FFCB NOTES	05/03/2017	10,000,000.00	10,000,000.00	9,815,750.00	1.750	1.726	1.750	05/03/2021	853

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Federal Agency Bonds											
3133EHJA2	37793	FFCB NOTES	05/08/2017	34,988,800.00	35,000,000.00	34,519,835.00	1.550	1.539	1.561	05/08/2020	493
3133EHKH5	37841	FFCB NOTES	05/23/2017	12,009,960.00	12,000,000.00	11,815,488.00	1.570	1.522	1.543	07/23/2020	569
3133EHMR1	37901	FFCB NOTES	06/12/2017	5,000,000.00	5,000,000.00	4,973,615.00	1.375	1.356	1.375	06/12/2019	162
3133EHMR1	37905	FFCB NOTES	06/12/2017	5,000,000.00	5,000,000.00	4,973,615.00	1.375	1.356	1.375	06/12/2019	162
3133EHWM1	38024	FFCB NOTES	09/01/2017	3,006,120.00	3,000,000.00	2,932,668.00	1.700	1.624	1.647	09/01/2021	974
3133EHWM1	38025	FFCB NOTES	09/01/2017	5,000,000.00	5,000,000.00	4,887,780.00	1.700	1.676	1.700	09/01/2021	974
3133EHWM1	38026	FFCB NOTES	09/01/2017	7,015,610.00	7,000,000.00	6,842,892.00	1.700	1.619	1.642	09/01/2021	974
3133EHZA4	38046	FFCB NOTES	09/20/2017	9,969,300.00	10,000,000.00	9,760,000.00	1.660	1.715	1.739	09/20/2021	993
3133EHJ95	38081	FFCB NOTES	10/26/2017	9,996,500.00	10,000,000.00	9,851,200.00	1.750	1.737	1.762	10/26/2020	664
3133EHJ95	38082	FFCB NOTES	10/26/2017	4,995,500.00	5,000,000.00	4,925,600.00	1.750	1.756	1.780	10/26/2020	664
3133EHP31	38126	FFCB NOTES	11/10/2017	9,973,005.00	9,975,000.00	9,802,841.48	1.950	1.928	1.955	11/02/2021	1,036
3133EHW58	38169	FFCB NOTES	11/27/2017	14,995,500.00	15,000,000.00	14,808,690.00	1.900	1.943	1.970	11/27/2020	696
3133EHW58	38204	FFCB NOTES	12/01/2017	21,498,926.50	21,550,000.00	21,275,151.30	1.900	1.954	1.982	11/27/2020	696
3133EGYC3	38310	FFCB NOTES	12/20/2017	8,302,050.00	8,550,000.00	8,258,727.15	1.730	2.338	2.371	10/12/2022	1,380
3133EJGH6	38506	FFCB NOTES	03/15/2018	23,006,440.00	23,000,000.00	22,939,073.00	2.440	2.395	2.429	10/15/2020	653
3133EJHS1	38544	FFCB NOTES	03/27/2018	24,499,265.00	24,500,000.00	24,467,635.50	2.250	2.222	2.253	06/27/2019	177
3133EJHL6	38545	FFCB NOTES	03/27/2018	9,991,200.00	10,000,000.00	9,981,500.00	2.375	2.387	2.420	03/27/2020	451
3133EJLU1	38629	FFCB NOTES	04/24/2018	14,992,500.00	15,000,000.00	14,969,925.00	2.420	2.829	2.869	01/24/2020	388
3133EJLU1	38630	FFCB NOTES	04/24/2018	29,991,600.00	30,000,000.00	29,939,850.00	2.420	2.814	2.854	01/24/2020	388
3133EJPX1	38718	FFCB NOTES	05/21/2018	4,977,950.00	5,000,000.00	5,033,210.00	2.875	3.253	3.299	12/21/2022	1,450
3133EJSU4	38831	FFCB NOTES	06/29/2018	10,002,700.00	10,000,000.00	9,985,980.00	2.530	2.476	2.511	12/26/2019	359
3133EJTT6	38837	FFCB NOTES	07/05/2018	4,995,800.00	5,000,000.00	5,007,725.00	2.625	2.623	2.659	01/05/2021	735
3133EJTT6	38838	FFCB NOTES	07/05/2018	4,995,800.00	5,000,000.00	5,007,725.00	2.625	2.623	2.659	01/05/2021	735
3133EJZH5	38878	FFCB NOTES	10/05/2018	13,876,660.00	14,000,000.00	14,086,702.00	2.800	2.997	3.038	09/13/2022	1,351
3133EJK24	38943	FFCB NOTES	11/01/2018	14,997,900.00	15,000,000.00	15,177,480.00	3.000	2.963	3.004	10/19/2021	1,022
3133EJW70	38999	FFCB NOTES	11/26/2018	34,970,950.00	35,000,000.00	35,224,490.00	2.875	2.869	2.909	05/26/2021	876
3133EJW70	39023	FFCB NOTES	11/30/2018	26,799,248.00	26,825,000.00	26,997,055.55	2.875	2.875	2.915	05/26/2021	876
3133EJ3B3	39075	FFCB NOTES	12/17/2018	9,987,400.00	10,000,000.00	10,060,630.00	2.800	2.805	2.844	12/17/2021	1,081
3133EJY60	39105	FFCB NOTES	12/24/2018	12,606,375.00	12,500,000.00	12,678,912.50	3.020	2.765	2.803	03/03/2023	1,522
3133EJ3B3	39108	FFCB NOTES	12/24/2018	4,308,213.00	4,300,000.00	4,326,070.90	2.800	2.695	2.732	12/17/2021	1,081
313383VN8	35826	FHLB NOTES	04/09/2015	9,727,434.20	9,460,000.00	9,417,146.20	2.000	1.321	1.340	09/13/2019	255
313383VN8	35827	FHLB NOTES	04/09/2015	25,854,057.45	25,155,000.00	25,041,047.85	2.000	1.332	1.351	09/13/2019	255

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Federal Agency Bonds											
313378QK0	35867	FHLB NOTES	04/15/2015	10,251,100.00	10,000,000.00	9,989,550.00	1.875	1.196	1.213	03/08/2019	66
3130A5Z77	36288	FHLB NOTES	10/21/2015	5,077,950.00	5,000,000.00	4,943,110.00	1.830	1.469	1.490	07/29/2020	575
3130A5Z77	36289	FHLB NOTES	10/19/2015	5,088,700.00	5,000,000.00	4,943,110.00	1.830	1.424	1.444	07/29/2020	575
3130A5Z77	36298	FHLB NOTES	10/23/2015	5,086,650.00	5,000,000.00	4,943,110.00	1.830	1.432	1.452	07/29/2020	575
3130A5Z77	36308	FHLB NOTES	10/26/2015	10,142,000.00	10,000,000.00	9,886,220.00	1.830	1.498	1.519	07/29/2020	575
3130A5Z77	36310	FHLB NOTES	10/26/2015	5,072,900.00	5,000,000.00	4,943,110.00	1.830	1.490	1.511	07/29/2020	575
313379EE5	36402	FHLB NOTES	12/02/2015	17,305,608.00	17,200,000.00	17,125,438.00	1.625	1.243	1.261	06/14/2019	164
313379EE5	36550	FHLB NOTES	02/05/2016	15,250,200.00	15,000,000.00	14,934,975.00	1.625	1.102	1.117	06/14/2019	164
3130A7PU3	36679	FHLB NOTES	04/11/2016	10,020,500.00	10,000,000.00	9,830,900.00	1.200	1.131	1.147	04/06/2020	461
3133782M2	36707	FHLB NOTES	04/19/2016	20,321,829.95	20,015,000.00	19,979,833.64	1.500	0.946	0.960	03/08/2019	66
313378J77	36756	FHLB NOTES	05/12/2016	15,423,750.00	15,000,000.00	14,871,690.00	1.875	1.105	1.120	03/13/2020	437
313378J77	36760	FHLB NOTES	05/13/2016	6,162,780.00	6,000,000.00	5,948,676.00	1.875	1.133	1.149	03/13/2020	437
3133834H1	36877	FHLB NOTES	07/12/2016	15,183,600.00	15,000,000.00	14,742,060.00	1.375	1.040	1.055	06/12/2020	528
313378J77	36886	FHLB NOTES	07/15/2016	15,427,350.00	15,000,000.00	14,871,690.00	1.875	1.055	1.069	03/13/2020	437
3130A7L37	36896	FHLB NOTES	07/21/2016	5,039,100.00	5,000,000.00	4,987,665.00	1.250	0.939	0.952	03/15/2019	73
313380WG8	36993	FHLB NOTES	09/30/2016	19,694,805.00	19,500,000.00	19,113,295.50	1.375	1.100	1.115	09/11/2020	619
313380WG8	37022	FHLB NOTES	10/06/2016	12,067,800.00	12,000,000.00	11,762,028.00	1.375	1.210	1.227	09/11/2020	619
3133834H1	37037	FHLB NOTES	10/13/2016	10,047,400.00	10,000,000.00	9,828,040.00	1.375	1.225	1.242	06/12/2020	528
313380WG8	37054	FHLB NOTES	10/24/2016	10,060,000.00	10,000,000.00	9,801,690.00	1.375	1.199	1.216	09/11/2020	619
313383HU8	37058	FHLB NOTES	10/19/2016	15,313,350.00	15,000,000.00	14,826,960.00	1.750	1.147	1.163	06/12/2020	528
313380WG8	37072	FHLB NOTES	10/28/2016	13,916,687.40	13,860,000.00	13,585,142.34	1.375	1.248	1.266	09/11/2020	619
3130AA3R7	37108	FHLB NOTES	11/17/2016	34,991,950.00	35,000,000.00	34,621,090.00	1.375	1.363	1.382	11/15/2019	318
3130AABG2	37149	FHLB NOTES	11/30/2016	14,940,300.00	15,000,000.00	14,729,190.00	1.875	1.931	1.957	11/29/2021	1,063
3130AAE46	37190	FHLB NOTES	12/08/2016	49,998,000.00	50,000,000.00	49,974,900.00	1.250	1.234	1.252	01/16/2019	15
3130AADN5	37289	FHLB NOTES	12/28/2016	40,003,120.00	40,000,000.00	39,761,480.00	1.375	1.353	1.371	06/28/2019	178
3130A8Y72	37372	FHLB NOTES	01/26/2017	34,502,650.00	35,000,000.00	34,641,950.00	0.875	1.430	1.450	08/05/2019	216
3130AAXX1	37548	FHLB NOTES	03/10/2017	19,953,600.00	20,000,000.00	19,954,660.00	1.375	1.471	1.491	03/18/2019	76
3130AAXX1	37549	FHLB NOTES	03/10/2017	19,953,600.00	20,000,000.00	19,954,660.00	1.375	1.471	1.491	03/18/2019	76
3130AAXX1	37614	FHLB NOTES	03/28/2017	25,000,625.00	25,000,000.00	24,943,325.00	1.375	1.354	1.373	03/18/2019	76
313382K69	37711	FHLB NOTES	04/13/2017	25,894,911.00	25,860,000.00	25,400,079.90	1.750	1.690	1.714	03/12/2021	801
313378CR0	37726	FHLB NOTES	04/19/2017	25,502,000.00	25,000,000.00	24,701,500.00	2.250	1.794	1.819	03/11/2022	1,165
313378J77	37778	FHLB NOTES	04/28/2017	14,133,280.00	14,000,000.00	13,880,244.00	1.875	1.513	1.535	03/13/2020	437

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Federal Agency Bonds											
3130ABDX1	37816	FHLB NOTES	05/24/2017	30,000,000.00	30,000,000.00	29,862,090.00	1.400	1.380	1.400	05/24/2019	143
313379RB7	37961	FHLB NOTES	06/30/2017	5,024,350.00	5,000,000.00	4,906,995.00	1.875	1.722	1.746	06/11/2021	892
3130ACE26	38033	FHLB NOTES	09/08/2017	21,929,380.00	22,000,000.00	21,555,160.00	1.375	1.462	1.482	09/28/2020	636
3130A3UQ5	38102	FHLB NOTES	11/03/2017	10,020,600.00	10,000,000.00	9,868,430.00	1.875	1.781	1.806	12/11/2020	710
3130ACUK8	38178	FHLB NOTES	11/28/2017	25,000,000.00	25,000,000.00	24,639,875.00	2.000	1.972	2.000	05/28/2021	878
3130AAE46	38202	FHLB NOTES	11/30/2017	24,870,250.00	25,000,000.00	24,987,450.00	1.250	1.692	1.716	01/16/2019	15
313383HU8	38247	FHLB NOTES	12/08/2017	24,888,750.00	25,000,000.00	24,711,600.00	1.750	1.905	1.932	06/12/2020	528
3130A66T9	38269	FHLB NOTES	12/13/2017	24,757,750.00	25,000,000.00	24,613,475.00	1.625	1.961	1.989	09/11/2020	619
3130ADJH6	38418	FHLB NOTES	01/29/2018	7,610,811.75	7,615,000.00	7,576,163.50	2.100	2.099	2.128	01/29/2020	393
313370US5	38436	FHLB NOTES	02/05/2018	5,069,050.00	5,000,000.00	5,026,450.00	2.875	2.292	2.324	09/11/2020	619
313379EE5	38469	FHLB NOTES	02/21/2018	24,821,250.00	25,000,000.00	24,891,625.00	1.625	2.149	2.179	06/14/2019	164
3130ADUY6	38570	FHLB NOTES	04/06/2018	31,568,053.50	31,575,000.00	31,529,405.70	2.450	2.425	2.459	09/21/2020	629
3130ADXU1	38578	FHLB NOTES	04/09/2018	19,982,400.00	20,000,000.00	19,945,780.00	2.320	2.340	2.372	01/09/2020	373
3130A02T6	38596	FHLB NOTES	04/13/2018	25,018,250.00	25,000,000.00	24,949,775.00	2.375	2.289	2.321	09/13/2019	255
3130A8Y72	38615	FHLB NOTES	04/19/2018	24,528,250.00	25,000,000.00	24,744,250.00	0.875	2.330	2.363	08/05/2019	216
3130AECJ7	38733	FHLB NOTES	05/21/2018	9,996,400.00	10,000,000.00	10,014,430.00	2.625	2.607	2.643	05/28/2020	513
3130AFB63	38896	FHLB NOTES	10/22/2018	14,984,250.00	15,000,000.00	15,123,525.00	2.950	2.958	2.999	01/22/2021	752
3130AFB63	38901	FHLB NOTES	10/23/2018	4,994,750.00	5,000,000.00	5,041,175.00	2.950	2.958	2.999	01/22/2021	752
3130AFB63	38920	FHLB NOTES	10/26/2018	25,006,500.00	25,000,000.00	25,205,875.00	2.950	2.898	2.939	01/22/2021	752
3130AFB63	38922	FHLB NOTES	10/26/2018	5,000,850.00	5,000,000.00	5,041,175.00	2.950	2.902	2.943	01/22/2021	752
313370E38	38978	FHLB NOTES	11/19/2018	20,166,400.00	20,000,000.00	20,238,200.00	3.375	2.787	2.826	06/12/2020	528
3130AFE78	39016	FHLB NOTES	11/29/2018	14,342,968.50	14,350,000.00	14,548,001.30	3.000	2.970	3.012	12/09/2022	1,438
3130A0F70	39069	FHLB NOTES	12/14/2018	10,208,100.00	10,000,000.00	10,305,490.00	3.375	2.883	2.923	12/08/2023	1,802
3130A0F70	39106	FHLB NOTES	12/24/2018	3,589,705.00	3,500,000.00	3,606,921.50	3.375	2.778	2.817	12/08/2023	1,802
3137EADM8	35873	FHLMC NOTES	04/16/2015	29,916,300.00	30,000,000.00	29,690,010.00	1.250	1.296	1.314	10/02/2019	274
3137EADM8	36322	FHLMC NOTES	10/29/2015	9,957,300.00	10,000,000.00	9,896,670.00	1.250	1.343	1.362	10/02/2019	274
3137EADM8	36332	FHLMC NOTES	11/04/2015	18,192,740.50	18,350,000.00	18,160,389.45	1.250	1.456	1.476	10/02/2019	274
3137EADM8	36337	FHLMC NOTES	11/06/2015	7,912,320.00	8,000,000.00	7,917,336.00	1.250	1.519	1.540	10/02/2019	274
3137EADM8	36340	FHLMC NOTES	11/09/2015	9,868,900.00	10,000,000.00	9,896,670.00	1.250	1.576	1.598	10/02/2019	274
3137EAEC9	36989	FHLMC NOTES	09/27/2016	19,855,200.00	20,000,000.00	19,316,140.00	1.125	1.261	1.278	08/12/2021	954
3137EAEC9	36992	FHLMC NOTES	09/29/2016	9,933,800.00	10,000,000.00	9,658,070.00	1.125	1.248	1.265	08/12/2021	954
3137EAEE5	37443	FHLMC NOTES	02/09/2017	20,013,000.00	20,000,000.00	19,775,660.00	1.500	1.456	1.477	01/17/2020	381

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Federal Agency Bonds											
3134G3A91	37454	FHLMC NOTES	01/19/2017	19,997,400.00	20,000,000.00	19,838,780.00	1.400	1.385	1.404	08/22/2019	233
3134GA6W9	37580	FHLMC NOTES	02/28/2017	11,150,000.00	11,150,000.00	11,061,625.10	1.500	1.479	1.500	08/28/2019	239
3137EAEF2	37835	FHLMC NOTES	04/20/2017	44,846,100.00	45,000,000.00	44,318,790.00	1.375	1.471	1.491	04/20/2020	475
3137EAEJ4	38057	FHLMC NOTES	09/29/2017	14,972,850.00	15,000,000.00	14,765,175.00	1.625	1.663	1.687	09/29/2020	637
3137EAEK1	38135	FHLMC NOTES	11/15/2017	24,976,000.00	25,000,000.00	24,688,700.00	1.875	1.881	1.908	11/17/2020	686
3137EAEB1	38403	FHLMC NOTES	01/19/2018	24,581,500.00	25,000,000.00	24,761,525.00	0.875	1.985	2.013	07/19/2019	199
3137EAEI9	38462	FHLMC NOTES	02/16/2018	44,881,200.00	45,000,000.00	44,843,760.00	2.375	2.433	2.466	02/16/2021	777
3135G0UU5	35847	FNMA NOTES	04/13/2015	7,084,070.00	7,000,000.00	6,932,793.00	1.750	1.474	1.494	03/06/2020	430
3135G0UU5	35856	FNMA NOTES	04/14/2015	14,762,362.32	14,584,000.00	14,443,979.02	1.750	1.469	1.489	03/06/2020	430
3136FTZZ5	36088	FNMA NOTES	06/26/2015	7,455,639.40	7,370,000.00	7,365,990.72	1.750	1.397	1.417	01/30/2019	29
3135G0A78	36347	FNMA NOTES	11/13/2015	9,980,600.00	10,000,000.00	9,900,470.00	1.625	1.650	1.672	01/21/2020	385
3135G0A78	36361	FNMA NOTES	11/18/2015	20,006,200.00	20,000,000.00	19,800,940.00	1.625	1.585	1.607	01/21/2020	385
3135G0A78	36383	FNMA NOTES	11/24/2015	9,986,700.00	10,000,000.00	9,900,470.00	1.625	1.635	1.658	01/21/2020	385
3135G0A78	36384	FNMA NOTES	11/24/2015	9,987,500.00	10,000,000.00	9,900,470.00	1.625	1.633	1.656	01/21/2020	385
3135G0H63	36505	FNMA NOTES	01/08/2016	24,984,500.00	25,000,000.00	24,980,350.00	1.375	1.376	1.395	01/28/2019	27
3135G0N33	37253	FNMA NOTES	12/19/2016	19,661,600.00	20,000,000.00	19,798,020.00	0.875	1.515	1.536	08/02/2019	213
3135G0S38	37582	FNMA NOTES	02/09/2017	10,050,300.00	10,000,000.00	9,852,030.00	2.000	1.866	1.892	01/05/2022	1,100
3136FTZZ5	37620	FNMA NOTES	03/29/2017	10,944,857.75	10,865,000.00	10,859,089.44	1.750	1.324	1.343	01/30/2019	29
3135G0T45	37783	FNMA NOTES	04/10/2017	39,820,400.00	40,000,000.00	39,195,000.00	1.875	1.943	1.970	04/05/2022	1,190
3135G0S38	38079	FNMA NOTES	10/25/2017	9,997,000.00	10,000,000.00	9,852,030.00	2.000	1.979	2.007	01/05/2022	1,100
3135G0S38	38142	FNMA NOTES	11/16/2017	11,390,328.05	11,395,000.00	11,226,388.19	2.000	1.982	2.010	01/05/2022	1,100
3135G0T78	38163	FNMA NOTES	11/22/2017	4,958,800.00	5,000,000.00	4,905,480.00	2.000	2.149	2.179	10/05/2022	1,373
3135G0T60	38209	FNMA NOTES	12/04/2017	9,898,800.00	10,000,000.00	9,834,650.00	1.500	1.866	1.892	07/30/2020	576
3135G0N33	38367	FNMA NOTES	01/05/2018	39,321,600.00	40,000,000.00	39,596,040.00	0.875	1.946	1.973	08/02/2019	213
880591EV0	38503	TENNESSEE VALLEY AUTHORITY	03/08/2018	19,956,800.00	20,000,000.00	19,932,000.00	2.250	2.327	2.360	03/15/2020	439
880591EV0	38815	TENNESSEE VALLEY AUTHORITY	06/21/2018	9,940,800.00	10,000,000.00	9,966,000.00	2.250	2.535	2.570	03/15/2020	439
Subtotal and Average				2,318,856,358.74	2,318,284,000.00	2,300,809,502.84		1.776	1.800		489
Federal Agency Bonds - CALLABLE											
3133EF2L0	36688	FFCB NOTES	04/13/2016	20,000,000.00	20,000,000.00	19,687,160.00	1.400	1.380	1.400	04/13/2020	468
3133EF2L0	36689	FFCB NOTES	04/13/2016	15,000,000.00	15,000,000.00	14,765,370.00	1.400	1.380	1.400	04/13/2020	468
3133EF2L0	36690	FFCB NOTES	04/13/2016	15,000,000.00	15,000,000.00	14,765,370.00	1.400	1.380	1.400	04/13/2020	468

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Federal Agency Bonds - CALLABLE											
3133EGKA2	36866	FFCB NOTES	07/06/2016	20,000,000.00	20,000,000.00	19,482,600.00	1.500	1.479	1.500	07/06/2021	917
3133EG2P9	37300	FFCB NOTES	12/29/2016	10,000,000.00	10,000,000.00	9,887,820.00	2.320	2.288	2.320	12/29/2021	1,093
3133EG2P9	37301	FFCB NOTES	12/29/2016	15,000,000.00	15,000,000.00	14,831,730.00	2.320	2.288	2.320	12/29/2021	1,093
3133EHKT9	38272	FFCB NOTES	12/13/2017	10,823,314.00	10,915,000.00	10,662,306.84	2.220	2.368	2.400	11/25/2022	1,424
3133EGG82	38326	FFCB NOTES	12/26/2017	1,942,780.00	2,000,000.00	1,941,318.00	1.520	2.262	2.293	11/15/2021	1,049
3133EGNK7	38341	FFCB NOTES	12/29/2017	4,365,761.50	4,450,000.00	4,363,999.30	1.320	2.049	2.077	07/27/2020	573
3133EGAH8	38342	FFCB NOTES	12/29/2017	10,654,672.50	10,875,000.00	10,621,590.75	1.550	2.144	2.174	05/17/2021	867
3133EGKD6	38346	FFCB NOTES	12/29/2017	6,850,480.00	7,000,000.00	6,822,816.00	1.625	2.188	2.218	10/05/2021	1,008
3133EFF28	38368	FFCB NOTES	01/05/2018	5,157,146.25	5,245,000.00	5,144,505.80	1.650	2.171	2.202	03/01/2021	790
3133EHFD0	39022	FFCB NOTES	11/30/2018	4,708,089.00	4,850,000.00	4,769,140.80	2.400	3.079	3.121	04/11/2023	1,561
3133EFX44	39107	FFCB NOTES	12/24/2018	5,332,931.10	5,490,000.00	5,358,240.00	2.050	2.814	2.853	10/05/2022	1,373
3130A3XL3	36117	FHLB NOTES	07/09/2015	7,203,165.00	7,250,000.00	7,161,535.50	1.500	1.624	1.646	02/10/2020	405
3130A7HM0	36641	FHLB NOTES	03/29/2016	19,990,000.00	20,000,000.00	19,941,020.00	1.250	1.249	1.267	03/29/2019	87
3130A9W49	37131	FHLB NOTES	11/25/2016	15,000,000.00	15,000,000.00	14,775,735.00	1.250	1.232	1.250	02/24/2020	419
3130AANA2	37382	FHLB NOTES	01/30/2017	25,000,000.00	25,000,000.00	24,695,550.00	1.750	1.726	1.750	07/30/2020	576
3130AANA2	37383	FHLB NOTES	01/30/2017	5,000,000.00	5,000,000.00	4,939,110.00	1.750	1.726	1.750	07/30/2020	576
3130AB3T1	37641	FHLB NOTES	04/24/2017	20,000,000.00	20,000,000.00	19,758,280.00	1.750	1.726	1.750	07/24/2020	570
3130ABZE9	38016	FHLB NOTES	08/28/2017	8,400,000.00	8,400,000.00	8,279,342.40	1.650	1.627	1.650	08/28/2020	605
3130ACK52	38389	FHLB NOTES	01/12/2018	24,693,500.00	25,000,000.00	24,633,200.00	1.700	2.134	2.164	10/05/2020	643
3130AEXG0	38855	FHLB NOTES	09/25/2018	15,000,000.00	15,000,000.00	15,056,610.00	3.000	2.958	3.000	03/25/2022	1,179
3130A9MR9	38858	FHLB NOTES	09/17/2018	9,179,249.30	9,685,000.00	9,341,037.23	1.650	2.981	3.023	10/12/2022	1,380
3130AC2P8	38859	FHLB NOTES	09/17/2018	9,798,600.00	10,000,000.00	9,876,100.00	1.800	2.831	2.870	08/28/2020	605
3130AFA72	38921	FHLB NOTES	10/26/2018	12,000,000.00	12,000,000.00	12,112,152.00	3.250	3.205	3.250	04/26/2023	1,576
3130AFC54	38942	FHLB NOTES	11/01/2018	14,997,000.00	15,000,000.00	15,012,210.00	3.250	3.212	3.256	11/08/2021	1,042
3130A8R54	39014	FHLB NOTES	11/28/2018	4,710,050.00	5,000,000.00	4,782,025.00	1.800	3.102	3.145	07/28/2023	1,669
3134G8JT7	36583	FHLMC NOTES	02/24/2016	12,500,000.00	12,500,000.00	12,344,700.00	1.500	1.479	1.500	02/24/2020	419
3134G8TV1	36644	FHLMC NOTES	03/29/2016	7,000,000.00	7,000,000.00	6,980,848.00	1.220	1.203	1.220	03/29/2019	87
3134G8S83	36648	FHLMC NOTES	03/30/2016	20,000,000.00	20,000,000.00	19,777,180.00	1.500	1.479	1.500	12/30/2019	363
3134G8PD5	36649	FHLMC NOTES	03/30/2016	19,996,000.00	20,000,000.00	19,802,960.00	1.350	1.337	1.355	09/30/2019	272
3134G8PD5	36650	FHLMC NOTES	03/30/2016	3,714,257.00	3,715,000.00	3,678,399.82	1.350	1.337	1.355	09/30/2019	272
3134G8PD5	36651	FHLMC NOTES	03/30/2016	6,375,000.00	6,375,000.00	6,312,193.50	1.350	1.331	1.350	09/30/2019	272
3134G8PD5	36654	FHLMC NOTES	03/30/2016	12,498,125.00	12,500,000.00	12,376,850.00	1.350	1.335	1.354	09/30/2019	272

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Federal Agency Bonds - CALLABLE											
3134G9DD6	36721	FHLMC NOTES	04/26/2016	11,988,000.00	12,000,000.00	11,950,440.00	1.150	1.167	1.184	04/26/2019	115
3134G9AV9	36729	FHLMC NOTES	04/28/2016	14,985,000.00	15,000,000.00	14,827,410.00	1.250	1.261	1.279	10/28/2019	300
3134G9AV9	36730	FHLMC NOTES	04/28/2016	4,245,750.00	4,250,000.00	4,201,099.50	1.250	1.261	1.279	10/28/2019	300
3134G9HM2	36785	FHLMC NOTES	05/26/2016	9,000,000.00	9,000,000.00	8,892,036.00	1.300	1.282	1.300	11/26/2019	329
3134G9HW0	36787	FHLMC NOTES	05/26/2016	5,250,000.00	5,250,000.00	5,184,700.50	1.250	1.232	1.250	11/26/2019	329
3134G9QW0	36823	FHLMC NOTES	06/14/2016	20,000,000.00	20,000,000.00	19,884,360.00	1.280	1.262	1.280	06/14/2019	164
3134G3K90	37344	FHLMC NOTES	01/19/2017	10,003,400.00	10,000,000.00	9,850,030.00	1.700	1.667	1.690	09/25/2020	633
3134GBBM3	37518	FHLMC NOTES	03/29/2017	25,000,000.00	25,000,000.00	24,701,075.00	2.000	1.972	2.000	03/29/2021	818
3134GA5T7	37578	FHLMC NOTES	02/28/2017	3,500,000.00	3,500,000.00	3,458,378.00	2.125	2.095	2.125	01/26/2022	1,121
3134GA5T7	37579	FHLMC NOTES	02/28/2017	20,000,000.00	20,000,000.00	19,762,160.00	2.125	2.096	2.125	01/26/2022	1,121
3134GBEW8	37621	FHLMC NOTES	04/26/2017	25,000,000.00	25,000,000.00	24,831,075.00	1.500	1.479	1.500	07/26/2019	206
3134GBEW8	37668	FHLMC NOTES	04/26/2017	8,000,000.00	8,000,000.00	7,945,944.00	1.500	1.479	1.500	07/26/2019	206
3134GBGZ9	37669	FHLMC NOTES	04/27/2017	15,000,000.00	15,000,000.00	14,774,730.00	2.000	1.972	2.000	01/27/2022	1,122
3134GBEF5	37696	FHLMC NOTES	04/27/2017	3,640,000.00	3,640,000.00	3,599,111.88	1.700	1.676	1.700	04/27/2020	482
3134GBJJ2	37741	FHLMC NOTES	04/26/2017	10,000,000.00	10,000,000.00	9,829,500.00	1.750	1.726	1.750	01/26/2021	756
3134GBJJ2	37742	FHLMC NOTES	04/26/2017	25,000,000.00	25,000,000.00	24,573,750.00	1.750	1.726	1.750	01/26/2021	756
3134GBLR1	37801	FHLMC NOTES	05/25/2017	20,000,000.00	20,000,000.00	19,691,120.00	1.750	1.726	1.750	11/25/2020	694
3134GBLQ3	37804	FHLMC NOTES	05/22/2017	20,000,000.00	20,000,000.00	19,756,040.00	1.650	1.627	1.650	05/22/2020	507
3134GBPM8	37817	FHLMC NOTES	05/24/2017	15,000,000.00	15,000,000.00	14,766,420.00	2.000	1.972	2.000	02/24/2022	1,150
3134GBRR5	37849	FHLMC NOTES	06/15/2017	20,000,000.00	20,000,000.00	19,650,260.00	1.800	1.775	1.800	06/15/2021	896
3134GBRU8	37861	FHLMC NOTES	06/22/2017	30,000,000.00	30,000,000.00	29,596,140.00	1.625	1.602	1.625	06/22/2020	538
3134GBSM5	37880	FHLMC NOTES	06/22/2017	5,450,000.00	5,450,000.00	5,368,854.95	1.700	1.676	1.700	09/22/2020	630
3134GBRZ7	37893	FHLMC NOTES	06/20/2017	15,000,000.00	15,000,000.00	14,836,860.00	1.500	1.479	1.500	12/20/2019	353
3134GBSW3	37894	FHLMC NOTES	06/22/2017	5,000,000.00	5,000,000.00	4,919,135.00	1.750	1.726	1.750	12/22/2020	721
3134GBYF3	37988	FHLMC NOTES	07/27/2017	5,750,000.00	5,750,000.00	5,657,459.50	1.800	1.775	1.800	01/27/2021	757
3134GBF64	38055	FHLMC NOTES	09/28/2017	6,000,000.00	6,000,000.00	5,899,416.00	1.600	1.578	1.600	09/28/2020	636
3134GBU83	38090	FHLMC NOTES	10/30/2017	15,000,000.00	15,000,000.00	14,788,980.00	2.000	1.972	2.000	10/29/2021	1,032
3134GBZ70	38170	FHLMC NOTES	11/27/2017	25,000,000.00	25,000,000.00	24,637,200.00	1.875	1.849	1.875	11/27/2020	696
3134GBZ70	38171	FHLMC NOTES	11/27/2017	10,000,000.00	10,000,000.00	9,854,880.00	1.875	1.849	1.875	11/27/2020	696
3134GSAC9	38334	FHLMC NOTES	12/28/2017	10,000,000.00	10,000,000.00	9,885,630.00	2.050	2.021	2.050	12/28/2020	727
3134GSAX3	38352	FHLMC NOTES	01/08/2018	25,000,000.00	25,000,000.00	24,719,550.00	2.220	2.189	2.220	07/01/2022	1,277
3134G9Q75	38408	FHLMC NOTES	01/23/2018	19,760,000.00	20,000,000.00	19,837,860.00	1.250	2.033	2.062	07/26/2019	206

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Federal Agency Bonds - CALLABLE											
3134GSFE0	38466	FHLMC NOTES	02/26/2018	20,000,000.00	20,000,000.00	19,999,580.00	2.500	2.465	2.500	02/26/2021	787
3134GSGS8	38496	FHLMC NOTES	03/29/2018	20,000,000.00	20,000,000.00	20,005,800.00	2.700	2.663	2.700	03/29/2022	1,183
3134GSMY8	38796	FHLMC NOTES	06/15/2018	15,000,000.00	15,000,000.00	15,051,750.00	2.750	3.426	3.474	06/15/2023	1,626
3134GSPR0	38827	FHLMC NOTES	06/28/2018	22,000,000.00	22,000,000.00	22,027,104.00	3.000	2.958	3.000	06/28/2022	1,274
3134GSZX6	38961	FHLMC NOTES	11/08/2018	19,967,000.00	20,000,000.00	20,003,220.00	3.020	3.056	3.098	01/25/2021	755
3134GSB95	39006	FHLMC NOTES	11/27/2018	10,000,000.00	10,000,000.00	10,021,620.00	3.000	2.958	3.000	11/27/2020	696
3134G94B0	39118	FHLMC NOTES	12/26/2018	1,969,000.00	2,000,000.00	1,975,814.00	2.250	2.824	2.863	08/16/2021	958
3134GSL60	39122	FHLMC NOTES	12/27/2018	25,000,000.00	25,000,000.00	25,043,750.00	3.000	2.959	3.000	09/27/2022	1,365
3134GSJ48	39123	FHLMC NOTES	12/27/2018	30,000,000.00	30,000,000.00	30,079,470.00	3.100	3.057	3.100	06/27/2022	1,273
3136G2WX1	36576	FNMA NOTES	02/22/2016	15,500,000.00	15,500,000.00	15,473,371.00	1.250	1.232	1.250	02/22/2019	52
3136G3NC5	36782	FNMA NOTES	05/24/2016	4,997,500.00	5,000,000.00	4,970,225.00	1.000	1.003	1.016	05/24/2019	143
3136G3QY4	36793	FNMA NOTES	05/27/2016	5,000,000.00	5,000,000.00	4,973,985.00	1.250	1.212	1.229	05/30/2019	149
3136G3QY4	36794	FNMA NOTES	05/27/2016	15,000,000.00	15,000,000.00	14,921,955.00	1.250	1.212	1.229	05/30/2019	149
3136G3QY4	36795	FNMA NOTES	05/27/2016	5,000,000.00	5,000,000.00	4,973,985.00	1.250	1.212	1.229	05/30/2019	149
3136G3PR0	36797	FNMA NOTES	05/27/2016	24,942,500.00	25,000,000.00	24,418,275.00	1.500	1.526	1.548	05/26/2021	876
3136G3TD7	36845	FNMA NOTES	06/28/2016	12,992,980.00	12,980,000.00	12,895,214.64	1.200	1.150	1.165	06/28/2019	178
3136G3TB1	36846	FNMA NOTES	06/28/2016	12,065,062.50	12,050,000.00	11,965,360.80	1.100	1.043	1.057	06/28/2019	178
3136G3SQ9	36849	FNMA NOTES	06/28/2016	25,000,000.00	25,000,000.00	24,830,425.00	1.150	1.134	1.150	06/28/2019	178
3135G0L50	36875	FNMA NOTES	07/12/2016	30,000,000.00	30,000,000.00	29,768,280.00	1.050	1.035	1.050	07/12/2019	192
3136G3SY2	36880	FNMA NOTES	07/13/2016	7,500,000.00	7,500,000.00	7,422,982.50	1.250	1.232	1.250	09/30/2019	272
3136G3A62	36902	FNMA NOTES	07/26/2016	15,000,000.00	15,000,000.00	14,868,540.00	1.050	1.035	1.050	07/26/2019	206
3136G4BV4	37017	FNMA NOTES	09/30/2016	20,015,000.00	20,000,000.00	19,576,760.00	1.450	1.411	1.430	09/30/2020	638
3135G0Q30	37103	FNMA NOTES	10/21/2016	29,997,000.00	30,000,000.00	29,674,080.00	1.180	1.167	1.183	09/27/2019	269
3136G4MD2	37509	FNMA NOTES	03/16/2017	3,000,000.00	3,000,000.00	2,961,492.00	1.850	1.824	1.850	09/16/2020	624
3136G4NP4	38233	FNMA NOTES	12/06/2017	39,788,000.00	40,000,000.00	39,487,360.00	1.800	1.979	2.007	07/24/2020	570
3136G4NP4	38235	FNMA NOTES	12/07/2017	5,967,600.00	6,000,000.00	5,923,104.00	1.800	1.983	2.011	07/24/2020	570
Subtotal and Average				1,311,163,913.15	1,314,120,000.00	1,300,186,114.21		1.854	1.880		663
US Treasury Notes											
912828S43	38300	U.S. TREASURY NOTES	12/15/2017	19,675,000.00	20,000,000.00	19,808,600.00	0.750	1.770	1.794	07/15/2019	195
912828TN0	38302	U.S. TREASURY NOTES	12/19/2017	24,660,156.25	25,000,000.00	24,734,500.00	1.000	1.792	1.817	08/31/2019	242
912828B33	38309	U.S. TREASURY NOTES	12/20/2017	24,919,921.88	25,000,000.00	24,983,500.00	1.500	1.766	1.791	01/31/2019	30

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US Treasury Notes											
912828SX9	38386	U.S. TREASURY NOTES	01/12/2018	19,788,281.25	20,000,000.00	19,887,600.00	1.125	1.878	1.904	05/31/2019	150
9128282K5	38457	U.S. TREASURY NOTES	02/15/2018	24,729,492.19	25,000,000.00	24,829,000.00	1.375	2.102	2.132	07/31/2019	211
912828Y46	39102	U.S. TREASURY NOTES	12/21/2018	14,984,179.69	15,000,000.00	15,018,150.00	2.625	2.654	2.691	07/31/2020	577
912828S43	39103	U.S. TREASURY NOTES	12/21/2018	34,644,531.25	35,000,000.00	34,665,050.00	0.750	2.527	2.562	07/15/2019	195
Subtotal and Average				163,401,562.51	165,000,000.00	163,926,400.00		2.077	2.106		208
Corporate Bonds											
037833CB4	36918	APPLE INC	08/04/2016	29,970,000.00	30,000,000.00	29,701,740.00	1.100	1.118	1.134	08/02/2019	213
037833DJ6	38124	APPLE INC	11/13/2017	44,962,200.00	45,000,000.00	44,407,215.00	2.000	2.001	2.029	11/13/2020	682
06405LAA9	39031	BANK OF NEW YORK	12/04/2018	25,000,000.00	25,000,000.00	24,958,000.00	3.036	2.994	3.036	12/04/2020	703
06405LAA9	39032	BANK OF NEW YORK	12/04/2018	5,000,000.00	5,000,000.00	4,991,600.00	3.036	2.994	3.036	12/04/2020	703
084664CG4	36620	BERKSHIRE HATHWY	03/15/2016	4,996,200.00	5,000,000.00	4,988,960.00	1.700	1.702	1.726	03/15/2019	73
084664CK5	36933	BERKSHIRE HATHWY	08/15/2016	9,990,300.00	10,000,000.00	9,895,030.00	1.300	1.314	1.333	08/15/2019	226
084670BQ0	38830	BERKSHIRE HATHWY	06/29/2018	9,851,900.00	10,000,000.00	9,868,840.00	2.200	2.732	2.770	03/15/2021	804
084670BL1	38832	BERKSHIRE HATHWY	07/02/2018	5,920,556.15	5,953,000.00	5,924,258.92	2.100	2.561	2.597	08/14/2019	225
166764BH2	36765	CHEVRON CORP.	05/16/2016	15,000,000.00	15,000,000.00	14,919,000.00	1.561	1.539	1.561	05/16/2019	135
166764BP4	37503	CHEVRON CORP.	03/03/2017	8,000,000.00	8,000,000.00	7,928,832.00	1.991	1.963	1.991	03/03/2020	427
02079KAA5	38601	GOOGLE INC	04/16/2018	17,169,064.90	16,705,000.00	17,040,803.91	3.625	2.645	2.682	05/19/2021	869
459200JN2	37380	IBM	01/27/2017	9,990,400.00	10,000,000.00	9,886,200.00	1.900	1.906	1.933	01/27/2020	391
478160BR4	38504	JOHNSON & JOHNSON	03/08/2018	25,022,101.04	25,282,000.00	25,215,508.34	1.125	2.160	2.190	03/01/2019	59
48125LRG9	36966	JPMORGAN	09/23/2016	12,487,250.00	12,500,000.00	12,385,000.00	1.650	1.661	1.685	09/23/2019	265
191216BT6	38529	Coca-Cola Co	03/19/2018	7,348,425.00	7,500,000.00	7,371,495.00	1.875	2.646	2.682	10/27/2020	665
594918BN3	36923	MICROSOFT CORP	08/08/2016	9,989,700.00	10,000,000.00	9,900,500.00	1.100	1.119	1.135	08/08/2019	219
594918BV5	37419	MICROSOFT CORP	02/06/2017	14,989,950.00	15,000,000.00	14,891,100.00	1.850	1.847	1.873	02/06/2020	401
594918AY0	38123	MICROSOFT CORP	11/13/2017	14,088,811.04	14,096,000.00	13,976,043.04	1.850	1.847	1.872	02/12/2020	407
742718EQ8	38524	PROCTER & GAMBLE	03/15/2018	19,267,200.00	20,000,000.00	19,487,800.00	1.700	2.728	2.766	11/03/2021	1,037
742718EQ8	38526	PROCTER & GAMBLE	03/16/2018	9,640,400.00	10,000,000.00	9,743,900.00	1.700	2.709	2.747	11/03/2021	1,037
89236TDE2	36776	TOYOTA MOTOR CREDIT	05/20/2016	19,972,000.00	20,000,000.00	19,887,000.00	1.400	1.428	1.447	05/20/2019	139
89236TDH5	37057	TOYOTA MOTOR CREDIT	10/18/2016	4,997,500.00	5,000,000.00	4,941,550.00	1.550	1.545	1.567	10/18/2019	290
89236TDU6	37702	TOYOTA MOTOR CREDIT	04/17/2017	4,997,700.00	5,000,000.00	4,937,900.00	1.950	1.938	1.965	04/17/2020	472
89236TDM4	38700	TOYOTA MOTOR CREDIT	05/10/2018	8,159,902.00	8,200,000.00	8,198,278.00	1.700	2.411	2.445	01/09/2019	8
90331HML4	36773	U S BANK	05/19/2016	19,961,974.56	19,589,000.00	19,450,701.66	2.125	1.533	1.554	10/28/2019	300

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Corporate Bonds											
90331HNJ8	38409	U S BANK	01/23/2018	44,979,750.00	45,000,000.00	44,714,250.00	2.350	2.340	2.373	01/23/2020	387
931142EA7	38076	WALMART	10/20/2017	6,989,850.00	7,000,000.00	6,890,170.00	1.900	1.920	1.947	12/15/2020	714
931142EG4	38826	WALMART	06/27/2018	39,987,600.00	40,000,000.00	40,064,800.00	2.850	2.843	2.882	06/23/2020	539
94988J5D5	36805	WELLS FARGO	06/02/2016	11,994,840.00	12,000,000.00	11,939,040.00	1.750	1.740	1.764	05/24/2019	143
30231GAP7	38495	EXXON MOBIL CORP	03/06/2018	6,707,177.76	6,744,000.00	6,731,988.94	1.708	2.239	2.270	03/01/2019	59
30231GAP7	38505	EXXON MOBIL CORP	03/09/2018	8,219,873.10	8,265,000.00	8,250,280.04	1.708	2.244	2.275	03/01/2019	59
30231GAD4	38515	EXXON MOBIL CORP	03/12/2018	12,942,150.00	13,000,000.00	12,976,054.00	1.819	2.236	2.267	03/15/2019	73
30231GAV4	38852	EXXON MOBIL CORP	09/10/2018	9,844,600.00	10,000,000.00	9,856,020.00	2.222	2.837	2.876	03/01/2021	790
Subtotal and Average				498,439,375.55	499,834,000.00	496,319,858.85		2.123	2.153		432
Asset Backed Securities (ABS)											
02582JHG8	37862	AMERICAN EXPRESS	05/30/2017	33,994,553.20	34,000,000.00	33,841,209.80	1.640	1.602	1.624	12/15/2021	1,079
02582JHQ6	38646	AMERICAN EXPRESS	03/21/2018	44,994,775.50	45,000,000.00	44,824,837.50	2.670	2.653	2.690	10/17/2022	1,385
05522RCZ9	39062	BANK OF AMERICA CORP	12/12/2018	20,147,080.47	20,140,000.00	20,196,909.60	3.000	2.862	2.902	09/15/2023	1,718
05522RDA3	39082	BANK OF AMERICA CREDIT CARD	12/18/2018	15,000,585.94	15,000,000.00	15,093,901.50	3.100	3.064	3.107	12/15/2023	1,809
05582XAD4	37036	BMW VEHICLE LEASE TRUST	10/13/2016	2,016,486.00	2,016,752.62	2,013,757.34	1.430	1.423	1.443	09/20/2019	262
05582QAD9	36893	BMW VEHICLE OWNER TRUST	07/20/2016	4,532,828.81	4,532,849.21	4,503,394.30	1.160	1.147	1.163	11/25/2020	694
09659QAD9	38412	BMW VEHICLE OWNER TRUST	01/24/2018	31,999,680.00	32,000,000.00	31,772,345.60	2.350	2.329	2.362	04/25/2022	1,210
161571HF4	36929	CHASE ISSUANCE TRUST (ABS)	08/11/2016	22,993,668.10	23,000,000.00	22,798,393.50	1.270	1.267	1.285	07/15/2021	926
161571HN7	38708	CHASE ISSUANCE TRUST (ABS)	05/10/2018	37,000,000.00	37,000,000.00	36,886,084.40	2.655	2.537	2.572	04/17/2023	1,567
43814NAC9	36587	HONDA AUTO RECEIVABLES OWNER T	02/25/2016	1,715,227.95	1,715,471.72	1,711,541.06	1.220	1.213	1.230	12/18/2019	351
43814QAC2	36800	HONDA AUTO RECEIVABLES OWNER T	05/31/2016	2,992,143.46	2,992,201.51	2,980,361.67	1.390	1.375	1.395	04/15/2020	470
43814RAC0	37059	HONDA AUTO RECEIVABLES OWNER T	10/25/2016	7,572,806.86	7,573,298.37	7,505,097.03	1.210	1.199	1.216	12/18/2020	717
43814TAC6	37615	HONDA AUTO RECEIVABLES OWNER T	03/28/2017	13,555,083.28	13,555,889.86	13,439,341.74	1.720	1.706	1.729	06/22/2020	538
43811BAC8	37976	HONDA AUTO RECEIVABLES OWNER T	06/27/2017	27,997,578.00	28,000,000.00	27,710,482.80	1.680	1.666	1.690	08/16/2021	958
43814UAG4	38738	HONDA AUTO RECEIVABLES OWNER T	05/30/2018	11,999,738.40	12,000,000.00	12,011,922.00	3.010	2.988	3.030	05/18/2022	1,233
43815AAC6	39013	HONDA AUTO RECEIVABLES OWNER T	11/28/2018	21,746,748.38	21,750,000.00	21,853,332.08	3.160	3.144	3.188	01/17/2023	1,477
47788MAC4	36600	JOHN DEERE OWNER TRUST	03/02/2016	1,914,012.89	1,914,314.21	1,909,829.74	1.360	1.353	1.371	04/15/2020	470
47788NAC2	36905	JOHN DEERE OWNER TRUST	07/27/2016	3,336,210.53	3,336,476.12	3,321,325.18	1.250	1.240	1.257	06/15/2020	531
47787XAC1	37507	JOHN DEERE OWNER TRUST	03/02/2017	7,484,890.47	7,485,956.48	7,432,468.57	1.780	1.769	1.793	04/15/2021	835
47788CAC6	38476	JOHN DEERE OWNER TRUST	02/28/2018	8,249,406.83	8,250,000.00	8,223,281.55	2.660	2.641	2.678	04/18/2022	1,203
58768MAC5	37065	MERCEDES-BENZ AUTO LEASE TRUST	10/26/2016	234,978.26	234,979.02	234,862.56	1.350	1.335	1.354	08/15/2019	226

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Asset Backed Securities (ABS)											
58769DAE0	38785	MERCEDES-BENZ AUTO LEASE TRUST	06/11/2018	3,965,156.25	4,000,000.00	3,968,163.20	2.010	2.701	2.739	01/17/2023	1,477
58769BAD6	36956	MERCEDES -BENZ AUTO REC TRUST	09/14/2016	5,604,160.73	5,604,843.97	5,561,017.45	1.260	1.251	1.269	02/16/2021	777
65478UAD1	36557	NISSAN AUTO LEASE TRUST	02/10/2016	2,101,159.28	2,101,636.78	2,090,577.55	1.340	1.335	1.353	10/15/2020	653
65478DAD9	38475	NISSAN AUTO LEASE TRUST	02/28/2018	18,497,885.45	18,500,000.00	18,411,930.75	2.650	2.585	2.621	05/16/2022	1,231
89237KAD5	36601	TOYOTA AUTO REC OWNER TRUST	03/02/2016	2,769,044.87	2,769,201.89	2,760,523.77	1.250	1.238	1.256	03/16/2020	440
89231LAD9	37035	TOYOTA AUTO REC OWNER TRUST	10/12/2016	8,393,966.80	8,395,017.86	8,336,934.41	1.230	1.222	1.239	10/15/2020	653
89238MAD0	37568	TOYOTA AUTO REC OWNER TRUST	03/15/2017	8,989,138.48	8,990,196.63	8,926,136.98	1.730	1.684	1.708	02/16/2021	777
89238KAD4	38137	TOYOTA AUTO REC OWNER TRUST	11/15/2017	23,997,787.20	24,000,000.00	23,624,714.40	1.930	1.914	1.940	01/18/2022	1,113
89231PAD0	38958	TOYOTA AUTO REC OWNER TRUST	11/07/2018	9,997,837.00	10,000,000.00	10,079,834.00	3.180	3.167	3.211	03/15/2023	1,534
Subtotal and Average				405,794,619.47	405,859,086.25	404,024,512.03		2.192	2.222		1,182
Asset Backed Securities-Green Bond											
89231UAD9	36753	TOYOTA AUTO REC OWNER TRUST	05/11/2016	1,035,701.80	1,035,754.73	1,030,166.00	1.300	1.283	1.301	04/15/2020	470
Subtotal and Average				1,035,701.80	1,035,754.73	1,030,166.00		1.284	1.301		470
Municipal Bonds											
13063CSQ4	36313	CALIFORNIA ST	10/27/2015	10,282,955.20	10,220,000.00	10,084,074.00	1.800	1.632	1.655	04/01/2020	456
13063CP87	36731	CALIFORNIA ST	04/28/2016	14,925,600.00	15,000,000.00	14,565,900.00	1.500	1.608	1.630	04/01/2021	821
65887PHS7	37523	North Dakota State Finance	03/06/2017	578,915.00	500,000.00	541,665.00	5.000	1.400	1.420	10/01/2021	1,004
64990CEM9	36822	New York State Dormatory Auth	06/14/2016	3,000,000.00	3,000,000.00	2,978,640.00	1.456	1.435	1.455	07/01/2019	181
91412GWW3	35763	UNIVERSITY CALIFORNIA REVS	03/25/2015	250,000.00	250,000.00	249,422.50	2.003	1.975	2.002	05/15/2019	134
91412GD36	36710	UNIVERSITY CALIFORNIA REVS	04/20/2016	3,000,000.00	3,000,000.00	2,984,040.00	1.169	1.152	1.168	05/15/2019	134
Subtotal and Average				32,037,470.20	31,970,000.00	31,403,741.50		1.557	1.578		577
Commercial Paper, Discount											
16677KNJ8	38987	CHEVRON	11/21/2018	14,942,966.70	15,000,000.00	14,982,300.00	2.360	2.369	2.401	01/18/2019	17
16677KNJ8	38988	CHEVRON	11/21/2018	39,847,911.11	40,000,000.00	39,952,800.00	2.360	2.369	2.401	01/18/2019	17
45113VPS3	39065	IBM	12/13/2018	44,754,375.00	45,000,000.00	44,802,352.35	2.620	2.634	2.670	02/26/2019	56
24422MNW7	39060	John Deere Capital Corporation	12/12/2018	59,796,650.00	60,000,000.00	59,868,499.80	2.490	2.498	2.533	01/30/2019	29
46640QNU1	38685	JP Morgan Securities	05/03/2018	39,235,000.00	40,000,000.00	39,918,177.60	2.550	2.635	2.671	01/28/2019	27
46640QUS8	38931	JP Morgan Securities	10/29/2018	44,011,125.00	45,000,000.00	44,229,960.00	2.930	3.023	3.065	07/26/2019	206
59157UNU0	39000	METLIFE SHORT TERM FUND	11/26/2018	23,151,536.25	23,250,000.00	23,207,323.23	2.420	2.430	2.464	01/28/2019	27

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CUSIP	Investment #	Issuer	Purchase Date	Remaining Cost	Par Value	Market Value	Current Rate	YTM 360	YTM 365	Maturity Date	Days To Maturity
Commercial Paper, Discount											
59157UNW6	39007	METLIFE SHORT TERM FUND	11/27/2018	16,677,937.78	16,750,000.00	16,717,058.28	2.420	2.430	2.464	01/30/2019	29
88580DN26	39092	3M COMPANY	12/19/2018	49,953,527.78	50,000,000.00	49,993,444.50	2.390	2.392	2.425	01/02/2019	1
63873KNX1	39099	Natixis NY Branch	12/21/2018	49,851,944.44	50,000,000.00	49,886,534.50	2.600	2.607	2.643	01/31/2019	30
63763QP84	38974	NATL SEC CLEARING CORP (DTC)	11/16/2018	44,741,700.00	45,000,000.00	44,884,511.10	2.460	2.474	2.508	02/08/2019	38
7426M3NJ4	38687	PRIVATE EXPORT FUND CORPORATIO	05/03/2018	49,194,722.22	50,000,000.00	49,934,250.00	2.230	2.300	2.332	01/18/2019	17
7426M3PF0	38766	PRIVATE EXPORT FUND CORPORATIO	06/01/2018	49,179,833.33	50,000,000.00	49,826,520.50	2.280	2.347	2.379	02/15/2019	45
7426M3PB9	38788	PRIVATE EXPORT FUND CORPORATIO	06/13/2018	29,538,300.00	30,000,000.00	29,905,710.00	2.280	2.336	2.369	02/11/2019	41
89233HN42	38577	TOYOTA MOTOR CREDIT	04/09/2018	63,820,250.00	65,000,000.00	64,982,955.70	2.420	2.493	2.528	01/04/2019	3
Subtotal and Average				618,697,779.61	625,000,000.00	623,092,397.56		2.501	2.535		38
Federal Agency Discount Notes											
313312BT6	38610	FFCB DISCOUNT NOTE	04/18/2018	35,372,100.00	36,000,000.00	35,903,988.00	2.100	2.157	2.187	02/11/2019	41
313312BM1	38980	FFCB DISCOUNT NOTE	11/20/2018	24,875,409.72	25,000,000.00	24,943,325.00	2.330	2.374	2.407	02/05/2019	35
313312BG4	39019	FFCB DISCOUNT NOTE	11/29/2018	29,878,725.00	30,000,000.00	29,942,490.00	2.310	2.351	2.384	01/31/2019	30
313312BE9	38883	FFCB DISC NOTE	10/11/2018	24,827,361.11	25,000,000.00	24,955,375.00		2.275	2.307	01/29/2019	28
313384AD1	38365	FHLB DISCOUNT	01/04/2018	34,361,250.00	35,000,000.00	34,995,380.00	1.800	1.850	1.876	01/04/2019	3
313384CH0	38543	FHLB DISCOUNT	03/27/2018	16,960,319.31	17,300,000.00	17,237,720.00	2.110	2.171	2.201	02/25/2019	55
313384BF5	38936	FHLB DISCOUNT	10/31/2018	49,708,041.67	50,000,000.00	49,907,450.00	2.310	2.355	2.388	01/30/2019	29
313384BF5	39035	FHLB DISCOUNT	12/06/2018	39,854,922.22	40,000,000.00	39,925,960.00	2.374	2.415	2.449	01/30/2019	29
313384CL1	39128	FHLB DISCOUNT	12/28/2018	24,897,097.22	25,000,000.00	24,905,000.00		2.399	2.433	02/28/2019	58
313384AB5	39129	FHLB DISCOUNT	12/31/2018	174,979,097.23	175,000,000.00	175,000,000.00	2.150	2.180	2.210	01/02/2019	1
Subtotal and Average				455,714,323.48	458,300,000.00	457,716,688.00		2.232	2.263		20
Treasury Bills											
912796QU6	38915	U S TREASURY BILL	10/25/2018	34,797,840.97	35,000,000.00	34,951,350.00		2.330	2.362	01/24/2019	23
912796UJ6	38998	U S TREASURY BILL	11/26/2018	34,889,118.06	35,000,000.00	34,971,300.00		2.320	2.352	01/15/2019	14
912796UL1	39040	U S TREASURY BILL	12/07/2018	44,843,318.75	45,000,000.00	44,918,179.07		2.406	2.439	01/29/2019	28
Subtotal and Average				114,530,277.78	115,000,000.00	114,840,829.07		2.357	2.390		22
Local Agency Investment Fund											
SYS8506	8506	LOCAL AGENCY INVEST FUND	07/01/2015	41,270,790.90	41,270,790.90	41,270,790.90	2.210	2.179	2.210		1
Subtotal and Average				41,270,790.90	41,270,790.90	41,270,790.90		2.180	2.210		1

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CUSIP	Investment #	Issuer	Purchase Date	Remaining Cost	Par Value	Market Value	Current Rate	YTM 360	YTM 365	Maturity Date	Days To Maturity
Money Market											
SYS37590	37590	JP MORGAN US GOVT MMF	02/27/2017	375,000,038.34	375,000,038.34	375,000,038.34	2.280	2.248	2.280		1
SYS34292	34292	MORGAN STANLEY TRSY INSTL 8304	05/21/2013	193,644.09	193,644.09	193,644.09	2.330	2.298	2.330		1
SYS23519	23519	BLACKROCK TREASURY LIQ FUND	02/01/2008	509,159,411.27	509,159,411.27	509,159,411.27	2.320	2.288	2.320		1
Subtotal and Average				884,353,093.70	884,353,093.70	884,353,093.70		2.271	2.303		1
Supranationals - Green Bond											
45818WBU9	38324	IADB	12/21/2017	25,000,000.00	25,000,000.00	25,022,000.00	2.486	2.417	2.451	01/15/2022	1,110
45905UVR2	36643	INTL BANK RECON & DEVELOP	03/29/2016	45,000,000.00	45,000,000.00	44,959,050.00	1.170	1.154	1.170	01/29/2019	28
Subtotal and Average				70,000,000.00	70,000,000.00	69,981,050.00		1.605	1.628		414
Supranationals											
4581X0CX4	37663	IADB	04/12/2017	34,917,050.00	35,000,000.00	34,551,300.00	1.625	1.680	1.704	05/12/2020	497
45818WBP0	38317	IADB	12/21/2017	45,036,450.00	45,000,000.00	45,070,200.00	2.506	2.384	2.417	07/15/2022	1,291
45818WBM7	38385	IADB	01/12/2018	20,130,800.00	20,000,000.00	20,089,000.00	2.636	2.325	2.357	07/15/2021	926
45818WBM7A	38739	IADB	05/30/2018	10,077,200.00	10,000,000.00	10,044,500.00	2.636	2.292	2.324	07/15/2021	926
459058FA6	36653	INTL BANK RECON & DEVELOP	03/30/2016	19,938,800.00	20,000,000.00	19,704,600.00	1.376	1.435	1.455	03/30/2020	454
459058FK4	36881	INTL BANK RECON & DEVELOP	07/13/2016	39,991,600.00	40,000,000.00	39,556,000.00	0.876	0.869	0.881	08/15/2019	226
Subtotal and Average				170,091,900.00	170,000,000.00	169,015,600.00		1.760	1.784		714
ABS - Cont.											
17305EFW0	37208	CITIBANK CREDIT CARD ISSUANCE	12/08/2016	39,997,856.00	40,000,000.00	39,575,548.00	1.750	1.725	1.749	11/19/2021	1,053
Subtotal and Average				39,997,856.00	40,000,000.00	39,575,548.00		1.726	1.750		1,053
Total Investments and Average				8,190,628,963.04	8,204,843,476.07	8,162,704,925.12		2.106	2.135		406

Fund WK - WORKERS COMP
Investments by Fund
December 31, 2018

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CUSIP	Investment #	Issuer	Purchase Date	Remaining Cost	Par Value	Market Value	Current Rate	YTM 360	YTM 365	Maturity Date	Days To Maturity
Federal Agency Bonds											
3133EJZU6	38872	FFCB NOTES	09/27/2018	2,990,940.00	3,000,000.00	3,022,479.00	2.850	2.915	2.956	09/20/2021	993
3133EJZH5	38879	FFCB NOTES	10/05/2018	991,190.00	1,000,000.00	1,006,193.00	2.800	2.997	3.038	09/13/2022	1,351
3133EJ3B3	39112	FFCB NOTES	12/24/2018	2,003,820.00	2,000,000.00	2,012,126.00	2.800	2.695	2.732	12/17/2021	1,081
3130A0F70	39114	FHLB NOTES	12/24/2018	1,538,445.00	1,500,000.00	1,545,823.50	3.375	2.778	2.817	12/08/2023	1,802
3137EAEC9	37310	FHLMC NOTES	12/30/2016	2,405,175.00	2,500,000.00	2,414,517.50	1.125	1.961	1.988	08/12/2021	954
3135G0R39	37309	FNMA NOTES	12/30/2016	3,451,070.00	3,500,000.00	3,453,607.50	1.000	1.489	1.510	10/24/2019	296
Subtotal and Average				13,380,640.00	13,500,000.00	13,454,746.50		2.330	2.363		937
Money Market											
SYS34789	34789	BLACKKROCK TREASURY LIQ FUND	12/26/2013	15,077,748.67	15,077,748.67	15,077,748.67	2.320	2.288	2.320		1
Subtotal and Average				15,077,748.67	15,077,748.67	15,077,748.67		2.288	2.320		1
Total Investments and Average				28,458,388.67	28,577,748.67	28,532,495.17		2.308	2.340		442

Fund PCF - PARK CHARTER FUND
Investments by Fund
December 31, 2018

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CUSIP	Investment #	Issuer	Purchase Date	Remaining Cost	Par Value	Market Value	Current Rate	YTM 360	YTM 365	Maturity Date	Days To Maturity
Federal Agency Bonds											
3133EJ3B3	39113	FFCB NOTES	12/24/2018	1,703,247.00	1,700,000.00	1,710,307.10	2.800	2.695	2.732	12/17/2021	1,081
3137EAEC9	37307	FHLMC NOTES	12/30/2016	481,035.00	500,000.00	482,903.50	1.125	1.961	1.988	08/12/2021	954
3135G0R39	37308	FNMA NOTES	12/30/2016	1,479,030.00	1,500,000.00	1,480,117.50	1.000	1.488	1.508	10/24/2019	296
Subtotal and Average				3,663,312.00	3,700,000.00	3,673,328.10		2.109	2.138		746
Money Market											
SYS33657	33657	BLACKROCK TREASURY LIQ FUND	09/30/2012	517,153.29	517,153.29	517,153.29	2.320	2.288	2.320		1
Subtotal and Average				517,153.29	517,153.29	517,153.29		2.288	2.320		1
Total Investments and Average				4,180,465.29	4,217,153.29	4,190,481.39		2.131	2.160		654

Fund SJE - SAN JOSE- EVERGREEN
Investments by Fund
December 31, 2018

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CUSIP	Investment #	Issuer	Purchase Date	Remaining Cost	Par Value	Market Value	Current Rate	YTM 360	YTM 365	Maturity Date	Days To Maturity
Municipal Bonds											
011770Z56	35082	ALASKA ST	05/08/2014	237,632.00	200,000.00	203,682.00	5.000	1.252	1.270	08/01/2019	212
011770Z56	35083	ALASKA ST	05/08/2014	297,040.00	250,000.00	254,602.50	5.000	1.252	1.270	08/01/2019	212
13063C5Q9	37543	CALIFORNIA ST	03/14/2017	579,740.00	500,000.00	555,195.00	5.000	1.844	1.870	08/01/2022	1,308
13063BFJ6	37573	CALIFORNIA ST	03/20/2017	447,000.00	400,000.00	416,200.00	5.250	2.661	2.698	03/01/2022	1,155
13063BAM4	37714	CALIFORNIA ST	03/08/2017	249,300.00	225,000.00	230,980.50	5.250	0.957	0.971	10/01/2021	1,004
20772JQ96	37546	Connecticut-F	03/09/2017	569,125.00	500,000.00	536,945.00	5.000	1.873	1.900	11/15/2021	1,049
34153P3H9	34972	FLORIDA STATE BOARD EDUCATION	04/01/2014	413,157.50	350,000.00	354,690.00	5.000	1.351	1.370	06/01/2019	151
341150M31	35185	FLORIDA STATE BOARD EDUCATION	06/27/2014	1,271,056.20	1,065,000.00	1,115,512.95	5.000	1.588	1.610	07/01/2020	547
373384YJ9	34915	GEORGIA ST	03/10/2014	421,190.00	350,000.00	355,645.50	5.000	1.035	1.050	07/01/2019	181
57582PK74	35081	MASSACHUSETTS ST	05/08/2014	623,841.80	530,000.00	534,255.90	5.000	1.242	1.260	04/01/2019	90
57582RKW5	37561	MASSACHUSETTS ST	03/16/2017	232,492.00	200,000.00	219,744.00	5.000	1.607	1.630	04/01/2022	1,186
5741925H9	34869	MARYLAND ST	02/05/2014	243,999.20	205,000.00	206,094.70	5.000	1.114	1.130	03/01/2019	59
5741927Y0	34870	MARYLAND ST	02/05/2014	119,165.00	100,000.00	100,663.00	5.000	1.114	1.130	03/15/2019	73
574193JK5	35122	MARYLAND ST	06/02/2014	518,927.20	440,000.00	442,349.60	5.000	1.095	1.110	03/01/2019	59
6041294D5	35288	MINNESOTA ST	08/21/2014	240,548.00	200,000.00	210,004.00	5.000	1.410	1.430	08/01/2020	578
658256B43	34900	NORTH CAROLINA ST	03/03/2014	137,045.50	115,000.00	115,615.25	5.000	1.035	1.050	03/01/2019	59
658256T93	35131	NORTH CAROLINA ST	06/05/2014	438,762.85	365,000.00	380,592.80	5.000	1.400	1.420	05/01/2020	486
677521Q82	37526	OHIO ST	03/08/2017	351,478.95	305,000.00	329,732.45	5.000	1.509	1.530	10/01/2021	1,004
924258ZN9	34946	VERMONT ST	03/21/2014	119,348.00	100,000.00	101,989.00	5.000	1.262	1.280	08/15/2019	226
93974CC65	37524	WASHINGTON ST	03/08/2017	575,750.00	500,000.00	538,730.00	5.000	1.352	1.371	07/01/2021	912
97705L4E4	34880	WISCONSIN STATE	02/13/2014	296,920.00	250,000.00	252,660.00	5.000	1.198	1.214	05/01/2019	120
97705L4E4	34881	WISCONSIN STATE	02/13/2014	118,935.00	100,000.00	101,064.00	5.000	1.169	1.185	05/01/2019	120
97705MFT7	37717	WISCONSIN STATE	03/29/2017	580,895.00	500,000.00	550,420.00	5.000	1.647	1.670	05/01/2022	1,216
Subtotal and Average				9,083,349.20	7,750,000.00	8,107,368.15		1.485	1.506		624
Money Market - Tax Exempt											
SYS33615	33615	Dreyfus Tax Exempt Inst	09/25/2012	8,871,366.95	8,871,366.95	8,871,366.95	1.530	1.509	1.530		1
Subtotal and Average				8,871,366.95	8,871,366.95	8,871,366.95		1.509	1.530		1
Total Investments and Average				17,954,716.15	16,621,366.95	16,978,735.10		1.497	1.518		299

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SANTA CLARA COUNTY INVESTMENTS
Transaction Activity Report
October 1, 2018 - December 31, 2018
Sorted by Transaction Date - Transaction Date
COMMINGLED POOL Fund

Investment #	Fund	CUSIP	Inv Descrip	TransactionDate	Dealer	Issuer	New Principal	Principal Paydowns	Interest	Total Cash
38873	COMM	36960MK28	GE DISC NOTE MAT	10/01/2018	GENERAL ELECTRIC	GENERAL ELECTRIC	149,990,916.66			-149,990,916.66
38379	COMM	912828RH5	UNITED STATES	10/01/2018	Daiwa Capital Market	U.S. TREASURY		25,000,000.00		25,000,000.00
35799	COMM	3133EEWG1	FEDERAL FARM CR	10/01/2018	INCAPITAL LLC	FFCB NOTES			64,675.00	64,675.00
36313	COMM	13063CSQ4	CALIFORNIA ST FOR	10/01/2018	WELLS FARGO	CALIFORNIA ST			91,980.00	91,980.00
36641	COMM	3130A7HM0	FEDERAL HOME	10/01/2018	INCAPITAL LLC	FHLB NOTES			125,000.00	125,000.00
36644	COMM	3134G8TV1	FHLMC 1.22% MAT	10/01/2018	INCAPITAL LLC	FHLMC NOTES			42,700.00	42,700.00
36648	COMM	3134G8S83	FEDERAL HOME LN	10/01/2018	INCAPITAL LLC	FHLMC NOTES			150,000.00	150,000.00
36649	COMM	3134G8PD5	FEDERAL HOME LN	10/01/2018	INCAPITAL LLC	FHLMC NOTES			135,000.00	135,000.00
36650	COMM	3134G8PD5	FEDERAL HOME LN	10/01/2018	INCAPITAL LLC	FHLMC NOTES			25,076.25	25,076.25
36651	COMM	3134G8PD5	FEDERAL HOME LN	10/01/2018	INCAPITAL LLC	FHLMC NOTES			43,031.25	43,031.25
36653	COMM	459058FA6	IBRD 1.375% MAT	10/01/2018	MERRILL LYNCH	INTL BANK RECON &			137,600.00	137,600.00
36654	COMM	3134G8PD5	FEDERAL HOME LN	10/01/2018	SUNTRUST	FHLMC NOTES			84,375.00	84,375.00
36731	COMM	13063CP87	CALIFORNIA ST FOR	10/01/2018	WELLS FARGO	CALIFORNIA ST			112,500.00	112,500.00
36880	COMM	3136G3SY2	FEDERAL NATL MTG	10/01/2018	INCAPITAL LLC	FNMA NOTES			46,875.00	46,875.00
37017	COMM	3136G4BV4	FEDERAL NATL MTG	10/01/2018	BREAN CAPITAL LLC	FNMA NOTES			145,000.00	145,000.00
37018	COMM	3133EGWH4	FEDERAL FARM CR	10/01/2018	INCAPITAL LLC	FFCB NOTES			64,000.00	64,000.00
37518	COMM	3134GBBM3	FEDERAL HOME LN	10/01/2018	INCAPITAL LLC	FHLMC NOTES			250,000.00	250,000.00
37523	COMM	65887PHS7	NORTH DAKOTA	10/01/2018	LOOP CAPITAL	North Dakota State F			12,500.00	12,500.00
38057	COMM	3137EAEJ4	FEDERAL HOME LN	10/01/2018	KEYBANC CAPITAL	FHLMC NOTES			121,875.00	121,875.00
38379	COMM	912828RH5	UNITED STATES	10/01/2018	Daiwa Capital Market	U.S. TREASURY			171,875.00	171,875.00
38496	COMM	3134GSGS8	FHLMC 2.7% MAT	10/01/2018	INCAPITAL LLC	FHLMC NOTES			270,000.00	270,000.00
Totals for 10/01/2018							149,990,916.66	25,000,000.00	2,094,062.50	-122,896,854.16
38874	COMM	36960MK36	GE DISC NOTE MAT	10/02/2018	GENERAL ELECTRIC	GENERAL ELECTRIC	149,990,874.99			-149,990,874.99
38873	COMM	36960MK28	GE DISC NOTE MAT	10/02/2018	GENERAL ELECTRIC	GENERAL ELECTRIC		150,000,000.00		150,000,000.00
35873	COMM	3137EADM8	FEDERAL HOME LN	10/02/2018	Daiwa Capital Market	FHLMC NOTES			187,500.00	187,500.00
36322	COMM	3137EADM8	FEDERAL HOME LN	10/02/2018	KEYBANC CAPITAL	FHLMC NOTES			62,500.00	62,500.00
36332	COMM	3137EADM8	FEDERAL HOME LN	10/02/2018	KEYBANC CAPITAL	FHLMC NOTES			114,687.50	114,687.50
36337	COMM	3137EADM8	FEDERAL HOME LN	10/02/2018	KEYBANC CAPITAL	FHLMC NOTES			50,000.00	50,000.00
36340	COMM	3137EADM8	FEDERAL HOME LN	10/02/2018	KEYBANC CAPITAL	FHLMC NOTES			62,500.00	62,500.00
34292	COMM	SYS34292	MSTI 0%	10/02/2018		MORGAN STANLEY			299.68	299.68
34292	COMM	SYS34292	MSTI 0%	10/02/2018		MORGAN STANLEY	299.68			-299.68
37590	COMM	SYS37590	JPM TE 0.44%	10/02/2018	JPMorganChase	JP MORGAN US			0.05	0.05
37590	COMM	SYS37590	JPM TE 0.44%	10/02/2018	JPMorganChase	JP MORGAN US	0.05			-0.05

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Totals for 10/02/2018							149,991,174.72	150,000,000.00	477,487.23	486,312.51
38875	COMM	36960MK44	GE DISC NOTE MAT	10/03/2018	GENERAL ELECTRIC	GENERAL ELECTRIC	149,990,416.68			-149,990,416.68
38874	COMM	36960MK36	GE DISC NOTE MAT	10/03/2018	GENERAL ELECTRIC	GENERAL ELECTRIC		150,000,000.00		150,000,000.00
Totals for 10/03/2018							149,990,416.68	150,000,000.00		9,583.32
38876	COMM	313385J49	FHDN DISC NOTE	10/04/2018	UBS FINANCE	FHLB DISCOUNT	199,988,055.56			-199,988,055.56
38875	COMM	36960MK44	GE DISC NOTE MAT	10/04/2018	GENERAL ELECTRIC	GENERAL ELECTRIC		150,000,000.00		150,000,000.00
Totals for 10/04/2018							199,988,055.56	150,000,000.00		-49,988,055.56
38878	COMM	3133EJZH5	FEDERAL FARM CR	10/05/2018	INCAPITAL LLC	FFCB NOTES	13,900,615.56			-13,900,615.56
38877	COMM	313385J80	FHDN DISC NOTE	10/05/2018	UBS FINANCE	FHLB DISCOUNT	199,952,666.68			-199,952,666.68
36258	COMM	459058ER0	IBRD 1.% MAT	10/05/2018	Daiwa Capital Market	INTL BANK RECON &		15,000,000.00		15,000,000.00
36259	COMM	459058ER0	IBRD 1.% MAT	10/05/2018	MERRILL LYNCH	INTL BANK RECON &		25,000,000.00		25,000,000.00
38876	COMM	313385J49	FHDN DISC NOTE	10/05/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
36258	COMM	459058ER0	IBRD 1.% MAT	10/05/2018	Daiwa Capital Market	INTL BANK RECON &			75,000.00	75,000.00
36259	COMM	459058ER0	IBRD 1.% MAT	10/05/2018	MERRILL LYNCH	INTL BANK RECON &			125,000.00	125,000.00
37783	COMM	3135G0T45	FEDERAL NATL MTG	10/05/2018	JPMorganChase	FNMA NOTES			375,000.00	375,000.00
38163	COMM	3135G0T78	FEDERAL NATL MTG	10/05/2018	KEYBANC CAPITAL	FNMA NOTES			50,000.00	50,000.00
38346	COMM	3133EGKD6	FEDERAL FARM CR	10/05/2018	BREAN CAPITAL LLC	FFCB NOTES			56,875.00	56,875.00
38389	COMM	3130ACK52	FEDERAL HOME	10/05/2018	DEUTSCHE BANK	FHLB NOTES			212,500.00	212,500.00
Totals for 10/05/2018							213,853,282.24	240,000,000.00	894,375.00	27,041,092.76
38880	COMM	313385J98	FHDN DISC NOTE	10/09/2018	UBS FINANCE	FHLB DISCOUNT	199,988,166.68			-199,988,166.68
38877	COMM	313385J80	FHDN DISC NOTE	10/09/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
36679	COMM	3130A7PU3	FEDERAL HOME	10/09/2018	KEYBANC CAPITAL	FHLB NOTES			60,000.00	60,000.00
37639	COMM	3133EHEZ2	FEDERAL FARM CR	10/09/2018	INCAPITAL LLC	FFCB NOTES			120,000.00	120,000.00
Totals for 10/09/2018							199,988,166.68	200,000,000.00	180,000.00	191,833.32
38881	COMM	313385K21	FHDN DISC NOTE	10/10/2018	UBS FINANCE	FHLB DISCOUNT	199,988,166.68			-199,988,166.68
38880	COMM	313385J98	FHDN DISC NOTE	10/10/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
Totals for 10/10/2018							199,988,166.68	200,000,000.00		11,833.32
38883	COMM	313312BE9	FFCBND DISC NOTE	10/11/2018	MIZUHO	FFCB DISC NOTE	24,827,361.11			-24,827,361.11
38882	COMM	313385K39	FHLB DISC NOTE	10/11/2018	UBS FINANCE	FHLB DISCOUNT	199,988,166.68			-199,988,166.68
38884	COMM	31381N7G2	FNMA 3.27% MAT	10/11/2018	BOK FINANCIAL	FNMA Multi-Family	8,642,168.42			-8,642,168.42
38881	COMM	313385K21	FHDN DISC NOTE	10/11/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
Totals for 10/11/2018							233,457,696.21	200,000,000.00		-33,457,696.21
38885	COMM	313385K62	FHDN DISC NOTE	10/12/2018	UBS FINANCE	FHLB DISCOUNT	199,964,500.00			-199,964,500.00
38882	COMM	313385K39	FHLB DISC NOTE	10/12/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
38310	COMM	3133EGYC3	FEDERAL FARM CR	10/12/2018	INCAPITAL LLC	FFCB NOTES			73,957.50	73,957.50
38858	COMM	3130A9MR9	FEDERAL HOME	10/12/2018	BREAN CAPITAL LLC	FHLB NOTES			79,901.25	79,901.25
38858	COMM	3130A9MR9	FEDERAL HOME	10/12/2018	BREAN CAPITAL LLC	FHLB NOTES		68,803.85	-68,803.85	0.00

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Totals for 10/12/2018							199,964,500.00	200,068,803.85	85,054.90	189,358.75
38886	COMM	313385K70	FHDN DISC NOTE	10/15/2018	UBS FINANCE	FHLB DISCOUNT	199,988,222.24			-199,988,222.24
8506	COMM	SYS8506	LAIF 1.65%	10/15/2018		LOCAL AGENCY	223,027.07			-223,027.07
36216	COMM	47787WAC3	JDOT 1.44% MAT	10/15/2018	ROYAL BANK OF	JOHN DEERE		191,815.29		191,815.29
36753	COMM	89231UAD9	TOYO 1.3% MAT	10/15/2018	CITIGROUP GLOBAL	TOYOTA AUTO REC		194,031.07		194,031.07
36753	COMM	89231UAD9	TOYO 1.3% MAT	10/15/2018	CITIGROUP GLOBAL	TOYOTA AUTO REC		9.92		9.92
38885	COMM	313385K62	FHDN DISC NOTE	10/15/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
36688	COMM	3133EF2L0	FEDERAL FARM CR	10/15/2018	INCAPITAL LLC	FFCB NOTES			140,000.00	140,000.00
36689	COMM	3133EF2L0	FEDERAL FARM CR	10/15/2018	Daiwa Capital Market	FFCB NOTES			105,000.00	105,000.00
36690	COMM	3133EF2L0	FEDERAL FARM CR	10/15/2018	CANTOR	FFCB NOTES			105,000.00	105,000.00
36753	COMM	89231UAD9	TOYO 1.3% MAT	10/15/2018	CITIGROUP GLOBAL	TOYOTA AUTO REC			1,763.25	1,763.25
37665	COMM	3133EHFL2	FEDERAL FARM CR	10/15/2018	Daiwa Capital Market	FFCB NOTES			116,250.00	116,250.00
37666	COMM	3133EHFL2	FEDERAL FARM CR	10/15/2018	DEUTSCHE BANK	FFCB NOTES			77,500.00	77,500.00
37667	COMM	3133EHFL2	FEDERAL FARM CR	10/15/2018	INCAPITAL LLC	FFCB NOTES			77,500.00	77,500.00
38317	COMM	45818WBP0	IADB 1.42917% MAT	10/15/2018	BMO CAPITAL	IADB			274,050.00	274,050.00
38324	COMM	45818WBU9	IADB 1.64203% MAT	10/15/2018	BMO CAPITAL	IADB			147,750.00	147,750.00
38385	COMM	45818WBM7	IADB 1.92152% MAT	10/15/2018	MERRILL LYNCH	IADB			128,400.00	128,400.00
38506	COMM	3133EJGH6	FEDERAL FARM CR	10/15/2018	INCAPITAL LLC	FFCB NOTES			280,600.00	280,600.00
38739	COMM	45818WBM7A	IADB 1.92152% MAT	10/15/2018	BMO CAPITAL	IADB			64,200.00	64,200.00
36216	COMM	47787WAC3	JDOT 1.44% MAT	10/15/2018	ROYAL BANK OF	JOHN DEERE			230.24	230.24
36216	COMM	47787WAC3	JDOT 1.44% MAT	10/15/2018	ROYAL BANK OF	JOHN DEERE		15,596.84		15,596.84
36216	COMM	47787WAC3	JDOT 1.44% MAT	10/15/2018	ROYAL BANK OF	JOHN DEERE				0.00
36216	COMM	47787WAC3	JDOT 1.44% MAT	10/15/2018	ROYAL BANK OF	JOHN DEERE				0.00
36557	COMM	65478UAD1	NALT 1.34% MAT	10/15/2018	MERRILL LYNCH	NISSAN AUTO			3,356.01	3,356.01
36557	COMM	65478UAD1	NALT 1.34% MAT	10/15/2018	MERRILL LYNCH	NISSAN AUTO		297,271.13		297,271.13
36600	COMM	47788MAC4	JDOT 1.36% MAT	10/15/2018	MERRILL LYNCH	JOHN DEERE			3,977.01	3,977.01
36600	COMM	47788MAC4	JDOT 1.36% MAT	10/15/2018	MERRILL LYNCH	JOHN DEERE		484,125.68		484,125.68
36601	COMM	89237KAD5	TAOT 1.25% MAT	10/15/2018	MERRILL LYNCH	TOYOTA AUTO REC			4,965.60	4,965.60
36601	COMM	89237KAD5	TAOT 1.25% MAT	10/15/2018	MERRILL LYNCH	TOYOTA AUTO REC		664,411.23		664,411.23
36800	COMM	43814QAC2	HAROT 1.39% MAT	10/15/2018	MERRILL LYNCH	HONDA AUTO			5,487.52	5,487.52
36800	COMM	43814QAC2	HAROT 1.39% MAT	10/15/2018	MERRILL LYNCH	HONDA AUTO		598,365.25		598,365.25
36905	COMM	47788NAC2	JDOT 1.25% MAT	10/15/2018	ROYAL BANK OF	JOHN DEERE			5,175.08	5,175.08
36905	COMM	47788NAC2	JDOT 1.25% MAT	10/15/2018	ROYAL BANK OF	JOHN DEERE		485,565.85		485,565.85
36929	COMM	161571HF4	CHAIT 1.27% MAT	10/15/2018	JPMorganChase	CHASE ISSUANCE			24,341.66	24,341.66
36929	COMM	161571HF4	CHAIT 1.27% MAT	10/15/2018	JPMorganChase	CHASE ISSUANCE		763,692.88		763,692.88
36956	COMM	58769BAD6	MBART 1.26% MAT	10/15/2018	CITIGROUP GLOBAL	MERCEDES -BENZ			7,793.12	7,793.12
36956	COMM	58769BAD6	MBART 1.26% MAT	10/15/2018	CITIGROUP GLOBAL	MERCEDES -BENZ		591,420.36		591,420.36
37035	COMM	89231LAD9	TAOT 1.23% MAT	10/15/2018	JPMorganChase	TOYOTA AUTO REC			11,544.92	11,544.92
37035	COMM	89231LAD9	TAOT 1.23% MAT	10/15/2018	JPMorganChase	TOYOTA AUTO REC		941,554.03		941,554.03
37065	COMM	58768MAC5	MBALT 1.35% MAT	10/15/2018	BANK OF AMERICA	MERCEDES-BENZ			2,411.63	2,411.63

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37065	COMM	58768MAC5	MBALT 1.35% MAT	10/15/2018	BANK OF AMERICA	MERCEDES-BENZ		538,675.99		538,675.99
37507	COMM	47787XAC1	JDOT 1.78% MAT	10/15/2018	BANK OF AMERICA	JOHN DEERE			12,608.33	12,608.33
37507	COMM	47787XAC1	JDOT 1.78% MAT	10/15/2018	BANK OF AMERICA	JOHN DEERE		294,631.91		294,631.91
37568	COMM	89238MAD0	TAOT 1.73% MAT	10/15/2018	BANK OF AMERICA	TOYOTA AUTO REC			14,416.67	14,416.67
37568	COMM	89238MAD0	TAOT 1.73% MAT	10/15/2018	BANK OF AMERICA	TOYOTA AUTO REC		357,554.91		357,554.91
37862	COMM	02582JHG8	AME 1.64% MAT	10/15/2018	ROYAL BANK OF	AMERICAN			46,466.68	46,466.68
37862	COMM	02582JHG8	AME 1.64% MAT	10/15/2018	ROYAL BANK OF	AMERICAN		944,635.12		944,635.12
37976	COMM	43811BAC8	HAROT 1.68% MAT	10/15/2018	CITIGROUP GLOBAL	HONDA AUTO			39,200.00	39,200.00
37976	COMM	43811BAC8	HAROT 1.68% MAT	10/15/2018	CITIGROUP GLOBAL	HONDA AUTO		832,545.30		832,545.30
38137	COMM	89238KAD4	TAOT 1.93% MAT	10/15/2018	JPMorganChase	TOYOTA AUTO REC			38,599.99	38,599.99
38137	COMM	89238KAD4	TAOT 1.93% MAT	10/15/2018	JPMorganChase	TOYOTA AUTO REC		610,092.47		610,092.47
38475	COMM	65478DAD9	NALT 2.65% MAT	10/15/2018	MERRILL LYNCH	NISSAN AUTO			40,854.16	40,854.16
38475	COMM	65478DAD9	NALT 2.65% MAT	10/15/2018	MERRILL LYNCH	NISSAN AUTO		415,751.75		415,751.75
38476	COMM	47788CAC6	JDOT 2.66% MAT	10/15/2018	ROYAL BANK OF	JOHN DEERE			18,287.50	18,287.50
38476	COMM	47788CAC6	JDOT 2.66% MAT	10/15/2018	ROYAL BANK OF	JOHN DEERE		188,176.38		188,176.38
38646	COMM	02582JHQ6	AME 2.67% MAT	10/15/2018	BARCLAYS CAPITAL	AMERICAN			100,125.00	100,125.00
38646	COMM	02582JHQ6	AME 2.67% MAT	10/15/2018	BARCLAYS CAPITAL	AMERICAN		903,600.12		903,600.12
38708	COMM	161571HN7	CHAIT 2.1227% MAT	10/15/2018	BARCLAYS CAPITAL	CHASE ISSUANCE			67,870.65	67,870.65
38708	COMM	161571HN7	CHAIT 2.1227% MAT	10/15/2018	BARCLAYS CAPITAL	CHASE ISSUANCE		656,121.99		656,121.99
38785	COMM	58769DAE0	MBALT 2.01% MAT	10/15/2018	BOK FINANCIAL	MERCEDES-BENZ			6,700.00	6,700.00
38785	COMM	58769DAE0	MBALT 2.01% MAT	10/15/2018	BOK FINANCIAL	MERCEDES-BENZ		82,812.65		82,812.65
8506	COMM	SYS8506	LAIF 1.65%	10/15/2018		LOCAL AGENCY			223,027.07	223,027.07
Totals for 10/15/2018							200,211,249.31	211,052,458.12	2,195,452.09	13,036,660.90
38887	COMM	313385K88	FHDN DISC NOTE	10/16/2018	UBS FINANCE	FHLB DISCOUNT	199,988,222.24			-199,988,222.24
38886	COMM	313385K70	FHDN DISC NOTE	10/16/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
Totals for 10/16/2018							199,988,222.24	200,000,000.00		11,777.76
38888	COMM	313385K96	FHDN DISC NOTE	10/17/2018	UBS FINANCE	FHLB DISCOUNT	199,988,166.68			-199,988,166.68
38889	COMM	313385K96	FHDN DISC NOTE	10/17/2018	MIZUHO	FHLB DISCOUNT	49,997,041.67			-49,997,041.67
37049	COMM	3133EGYN9	FEDERAL FARM CR	10/17/2018	INCAPITAL LLC	FFCB NOTES		5,000,000.00		5,000,000.00
38887	COMM	313385K88	FHDN DISC NOTE	10/17/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
37049	COMM	3133EGYN9	FEDERAL FARM CR	10/17/2018	INCAPITAL LLC	FFCB NOTES			23,500.00	23,500.00
37702	COMM	89236TDU6	TOYOTA MOTOR	10/17/2018	BANK OF AMERICA	TOYOTA MOTOR			48,750.00	48,750.00
Totals for 10/17/2018							249,985,208.35	205,000,000.00	72,250.00	-44,912,958.35
38890	COMM	313385L20	FHDN DISC NOTE	10/18/2018	UBS FINANCE	FHLB DISCOUNT	199,988,166.68			-199,988,166.68
38891	COMM	313385L20	FHDN DISC NOTE	10/18/2018	MIZUHO	FHLB DISCOUNT	49,997,041.67			-49,997,041.67
38888	COMM	313385K96	FHDN DISC NOTE	10/18/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
38889	COMM	313385K96	FHDN DISC NOTE	10/18/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
37057	COMM	89236TDH5	TOYOTA MOTOR	10/18/2018	MERRILL LYNCH	TOYOTA MOTOR			38,750.00	38,750.00
36587	COMM	43814NAC9	HAROT 1.22% MAT	10/18/2018	JPMorganChase	HONDA AUTO			3,651.91	3,651.91

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36587	COMM	43814NAC9	HAROT 1.22% MAT	10/18/2018	JPMorganChase	HONDA AUTO		640,006.74		640,006.74
37059	COMM	43814RAC0	HAROT 1.21% MAT	10/18/2018	BARCLAYS CAPITAL	HONDA AUTO			9,799.86	9,799.86
37059	COMM	43814RAC0	HAROT 1.21% MAT	10/18/2018	BARCLAYS CAPITAL	HONDA AUTO		715,317.86		715,317.86
38738	COMM	43814UAG4	HAROT 3.01% MAT	10/18/2018	BARCLAYS CAPITAL	HONDA AUTO			30,100.00	30,100.00
38738	COMM	43814UAG4	HAROT 3.01% MAT	10/18/2018	BARCLAYS CAPITAL	HONDA AUTO		268,119.65		268,119.65
Totals for 10/18/2018							249,985,208.35	251,623,444.25	82,301.77	1,720,537.67
38893	COMM	09659CKN7	BNP P DISC NOTE	10/19/2018	MERRILL LYNCH	BNP PARIBAS NY	49,991,000.00			-49,991,000.00
38894	COMM	313385L53	FHDN DISC NOTE	10/19/2018	MIZUHO	FHLB DISCOUNT	49,991,125.00			-49,991,125.00
38895	COMM	313385L53	FHDN DISC NOTE	10/19/2018	UBS FINANCE	FHLB DISCOUNT	199,964,500.00			-199,964,500.00
38892	COMM	63873KKN6	NATXNY DISC NOTE	10/19/2018	MERRILL LYNCH	Natixis NY Branch	99,982,000.00			-99,982,000.00
38890	COMM	313385L20	FHDN DISC NOTE	10/19/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
38891	COMM	313385L20	FHDN DISC NOTE	10/19/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
Totals for 10/19/2018							399,928,625.00	250,000,000.00		-149,928,625.00
38897	COMM	313385L61	FHDN DISC NOTE	10/22/2018	MIZUHO	FHLB DISCOUNT	49,997,041.67			-49,997,041.67
38900	COMM	313385L61	FHDN DISC NOTE	10/22/2018	UBS FINANCE	FHLB DISCOUNT	199,988,166.68			-199,988,166.68
38896	COMM	3130AFB63	FEDERAL HOME	10/22/2018	INCAPITAL LLC	FHLB NOTES	14,984,250.00			-14,984,250.00
38898	COMM	63873KKP1	NATXNY DISC NOTE	10/22/2018	MERRILL LYNCH	Natixis NY Branch	49,997,000.00			-49,997,000.00
38899	COMM	21687BKP5	RABO DISC NOTE	10/22/2018	MERRILL LYNCH	RABOBANK	99,994,027.78			-99,994,027.78
38892	COMM	63873KKN6	NATXNY DISC NOTE	10/22/2018	MERRILL LYNCH	Natixis NY Branch		100,000,000.00		100,000,000.00
38893	COMM	09659CKN7	BNP P DISC NOTE	10/22/2018	MERRILL LYNCH	BNP PARIBAS NY		50,000,000.00		50,000,000.00
38894	COMM	313385L53	FHDN DISC NOTE	10/22/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
38895	COMM	313385L53	FHDN DISC NOTE	10/22/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
37725	COMM	3133EHGA5	FEDERAL FARM CR	10/22/2018	INCAPITAL LLC	FFCB NOTES			180,000.00	180,000.00
37835	COMM	3137EAEF2	FHLMT 1.375% MAT	10/22/2018	CITIGROUP GLOBAL	FHLMT NOTES			309,375.00	309,375.00
37036	COMM	05582XAD4	BMWLT 1.43% MAT	10/22/2018	MIZUHO	BMW VEHICLE			5,012.63	5,012.63
37036	COMM	05582XAD4	BMWLT 1.43% MAT	10/22/2018	MIZUHO	BMW VEHICLE		679,790.71		679,790.71
37615	COMM	43814TAC6	HAROT 1.72% MAT	10/22/2018	BANK OF AMERICA	HONDA AUTO			23,617.52	23,617.52
37615	COMM	43814TAC6	HAROT 1.72% MAT	10/22/2018	BANK OF AMERICA	HONDA AUTO		973,364.88		973,364.88
Totals for 10/22/2018							414,960,486.13	401,653,155.59	518,005.15	-12,789,325.39
38904	COMM	09659CKQ0	BNP P DISC NOTE	10/23/2018	MERRILL LYNCH	BNP PARIBAS NY	49,997,000.00			-49,997,000.00
38905	COMM	313385L79	FHDN DISC NOTE	10/23/2018	UBS FINANCE	FHLB DISCOUNT	199,988,222.24			-199,988,222.24
38906	COMM	313385L79	FHDN DISC NOTE	10/23/2018	MIZUHO	FHLB DISCOUNT	49,997,055.56			-49,997,055.56
38901	COMM	3130AFB63	FEDERAL HOME	10/23/2018	INCAPITAL LLC	FHLB NOTES	4,995,159.72			-4,995,159.72
38903	COMM	63873KKQ9	NATXNY DISC NOTE	10/23/2018	MERRILL LYNCH	Natixis NY Branch	49,997,000.00			-49,997,000.00
38902	COMM	21687BKQ3	RABO DISC NOTE	10/23/2018	MERRILL LYNCH	RABOBANK	99,994,000.00			-99,994,000.00
38897	COMM	313385L61	FHDN DISC NOTE	10/23/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
38898	COMM	63873KKP1	NATXNY DISC NOTE	10/23/2018	MERRILL LYNCH	Natixis NY Branch		50,000,000.00		50,000,000.00
38899	COMM	21687BKP5	RABO DISC NOTE	10/23/2018	MERRILL LYNCH	RABOBANK		100,000,000.00		100,000,000.00
38900	COMM	313385L61	FHDN DISC NOTE	10/23/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00

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Totals for 10/23/2018							454,968,437.52	400,000,000.00		-54,968,437.52
38910	COMM	313385L87	FHDN DISC NOTE	10/24/2018	UBS FINANCE	FHLB DISCOUNT	199,988,166.68			-199,988,166.68
38911	COMM	313385L87	FHDN DISC NOTE	10/24/2018	MIZUHO	FHLB DISCOUNT	49,997,041.67			-49,997,041.67
38914	COMM	313385L87	FHDN DISC NOTE	10/24/2018	MERRILL LYNCH	FHLB DISCOUNT	49,997,041.67			-49,997,041.67
38912	COMM	63873KKR7	NATXNY DISC NOTE	10/24/2018	MERRILL LYNCH	Natixis NY Branch	49,997,000.00			-49,997,000.00
38913	COMM	21687BKR1	RABO DISC NOTE	10/24/2018	MERRILL LYNCH	RABOBANK	99,994,027.78			-99,994,027.78
38908	COMM	78012UJP1	RBC 2.89% MAT	10/24/2018	ROYAL BANK OF	ROYAL BANK OF	25,000,000.00			-25,000,000.00
38907	COMM	90333VZU7	USBKMN 2.91% MAT	10/24/2018	U S BANK	US BANK	35,000,000.00			-35,000,000.00
37746	COMM	3133EHGE7	FEDERAL FARM CR	10/24/2018	MIZUHO	FFCB NOTES		26,502,000.00		26,502,000.00
38902	COMM	21687BKQ3	RABO DISC NOTE	10/24/2018	MERRILL LYNCH	RABOBANK		100,000,000.00		100,000,000.00
38903	COMM	63873KKQ9	NATXNY DISC NOTE	10/24/2018	MERRILL LYNCH	Natixis NY Branch		50,000,000.00		50,000,000.00
38904	COMM	09659CKQ0	BNP P DISC NOTE	10/24/2018	MERRILL LYNCH	BNP PARIBAS NY		50,000,000.00		50,000,000.00
38905	COMM	313385L79	FHDN DISC NOTE	10/24/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
38906	COMM	313385L79	FHDN DISC NOTE	10/24/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
37641	COMM	3130AB3T1	FEDERAL HOME	10/24/2018	INCAPITAL LLC	FHLB NOTES			175,000.00	175,000.00
37746	COMM	3133EHGE7	FEDERAL FARM CR	10/24/2018	MIZUHO	FFCB NOTES			159,012.00	159,012.00
Totals for 10/24/2018							509,973,277.80	476,502,000.00	334,012.00	-33,137,265.80
38918	COMM	313385L95	FHDN DISC NOTE	10/25/2018	MIZUHO	FHLB DISCOUNT	49,997,055.56			-49,997,055.56
38919	COMM	313385L95	FHDN DISC NOTE	10/25/2018	UBS FINANCE	FHLB DISCOUNT	199,988,222.24			-199,988,222.24
38916	COMM	63873KKS5	NATXNY DISC NOTE	10/25/2018	MERRILL LYNCH	Natixis NY Branch	99,994,000.00			-99,994,000.00
38917	COMM	21687BKS9	RABO DISC NOTE	10/25/2018	MERRILL LYNCH	RABOBANK	99,994,027.78			-99,994,027.78
38915	COMM	912796QU6	UNITED STATES	10/25/2018	MIZUHO	U S TREASURY BILL	34,797,840.97			-34,797,840.97
38910	COMM	313385L87	FHDN DISC NOTE	10/25/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
38911	COMM	313385L87	FHDN DISC NOTE	10/25/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
38912	COMM	63873KKR7	NATXNY DISC NOTE	10/25/2018	MERRILL LYNCH	Natixis NY Branch		50,000,000.00		50,000,000.00
38913	COMM	21687BKR1	RABO DISC NOTE	10/25/2018	MERRILL LYNCH	RABOBANK		100,000,000.00		100,000,000.00
38914	COMM	313385L87	FHDN DISC NOTE	10/25/2018	MERRILL LYNCH	FHLB DISCOUNT		50,000,000.00		50,000,000.00
36893	COMM	05582QAD9	BMWOT 1.16% MAT	10/25/2018	JPMorganChase	BMW VEHICLE			6,109.48	6,109.48
36893	COMM	05582QAD9	BMWOT 1.16% MAT	10/25/2018	JPMorganChase	BMW VEHICLE		603,779.17		603,779.17
38387	COMM	3137AYCE9	FHLMCM 2.682%	10/25/2018	BREAN CAPITAL LLC	FHLMCM Multi-Family			44,700.00	44,700.00
38387	COMM	3137AYCE9	FHLMCM 2.682%	10/25/2018	BREAN CAPITAL LLC	FHLMCM Multi-Family		483,189.60		483,189.60
38391	COMM	3137AYCE9	FHLMCM 2.682%	10/25/2018	BREAN CAPITAL LLC	FHLMCM Multi-Family			16,762.50	16,762.50
38391	COMM	3137AYCE9	FHLMCM 2.682%	10/25/2018	BREAN CAPITAL LLC	FHLMCM Multi-Family		181,105.08		181,105.08
38412	COMM	09659QAD9	BMWOT 2.35% MAT	10/25/2018	JPMorganChase	BMW VEHICLE			62,666.66	62,666.66
38412	COMM	09659QAD9	BMWOT 2.35% MAT	10/25/2018	JPMorganChase	BMW VEHICLE		761,333.47		761,333.47
38465	COMM	3137AWQH1	FHLMCM 2.307%	10/25/2018	BREAN CAPITAL LLC	FHLMCM Multi-Family			10,727.55	10,727.55
38465	COMM	3137AWQH1	FHLMCM 2.307%	10/25/2018	BREAN CAPITAL LLC	FHLMCM Multi-Family		136,227.16		136,227.16
38477	COMM	3138LAYM5	FHLMCM 2.55% MAT	10/25/2018	BOK FINANCIAL	FNMA Multi-Family			7,565.10	7,565.10
38477	COMM	3138LAYM5	FHLMCM 2.55% MAT	10/25/2018	BOK FINANCIAL	FNMA Multi-Family		5,823.86		5,823.86

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38643	COMM	3137B36J2	FHLMCM 3.32% MAT	10/25/2018	BARCLAYS CAPITAL	FHLMC Multi-Family			55,333.34	55,333.34
38643	COMM	3137B36J2	FHLMCM 3.32% MAT	10/25/2018	BARCLAYS CAPITAL	FHLMC Multi-Family		452,678.18		452,678.18
38664	COMM	3136B1XP4	FNMAM 3.56% MAT	10/25/2018	VINING SPARKS IBG	FNMA Multi-Family			12,603.75	12,603.75
38664	COMM	3136B1XP4	FNMAM 3.56% MAT	10/25/2018	VINING SPARKS IBG	FNMA Multi-Family		193,527.68		193,527.68
38665	COMM	3136B1XP4	FNMAM 3.56% MAT	10/25/2018	JPMorganChase	FNMA Multi-Family			12,603.75	12,603.75
38665	COMM	3136B1XP4	FNMAM 3.56% MAT	10/25/2018	JPMorganChase	FNMA Multi-Family		193,527.68		193,527.68
38666	COMM	3137AYCE9	FHLMCM 2.682%	10/25/2018	BREAN CAPITAL LLC	FHLMC Multi-Family			26,250.08	26,250.08
38666	COMM	3137AYCE9	FHLMCM 2.682%	10/25/2018	BREAN CAPITAL LLC	FHLMC Multi-Family		278,463.61		278,463.61
38744	COMM	3137AYCE9	FHLMCM 2.682%	10/25/2018	BREAN CAPITAL LLC	FHLMC Multi-Family			44,700.00	44,700.00
38744	COMM	3137AYCE9	FHLMCM 2.682%	10/25/2018	BREAN CAPITAL LLC	FHLMC Multi-Family		474,350.94		474,350.94
38854	COMM	3137B4WB8	FHLMCM 3.06% MAT	10/25/2018	BREAN CAPITAL LLC	FHLMC Multi-Family			12,176.25	12,176.25
38854	COMM	3137B4WB8	FHLMCM 3.06% MAT	10/25/2018	BREAN CAPITAL LLC	FHLMC Multi-Family		99,131.68		99,131.68
38864	COMM	3137B5JM6	FHLMCM 3.531%	10/25/2018	INCAPITAL LLC	FHLMC Multi-Family			29,425.00	29,425.00
38864	COMM	3137B5JM6	FHLMCM 3.531%	10/25/2018	INCAPITAL LLC	FHLMC Multi-Family		208,885.21		208,885.21
38864	COMM	3137B5JM6	FHLMCM 3.531%	10/25/2018	INCAPITAL LLC	FHLMC Multi-Family			-23,540.00	-23,540.00
38864	COMM	3137B5JM6	FHLMCM 3.531%	10/25/2018	INCAPITAL LLC	FHLMC Multi-Family				0.00
38884	COMM	31381N7G2	FNMAM 3.27% MAT	10/25/2018	BOK FINANCIAL	FNMA Multi-Family			-7,815.01	-7,815.01
38884	COMM	31381N7G2	FNMAM 3.27% MAT	10/25/2018	BOK FINANCIAL	FNMA Multi-Family				0.00
Totals for 10/25/2018							484,771,146.55	454,072,023.32	310,268.45	-30,388,854.78
38925	COMM	313385M45	FHDN DISC NOTE	10/26/2018	MIZUHO	FHLB DISCOUNT	49,991,166.67			-49,991,166.67
38926	COMM	313385M45	FHDN DISC NOTE	10/26/2018	UBS FINANCE	FHLB DISCOUNT	199,964,666.68			-199,964,666.68
38920	COMM	3130AFB63	FEDERAL HOME	10/26/2018	KEYBANC CAPITAL	FHLB NOTES	25,014,694.44			-25,014,694.44
38921	COMM	3130AFA72	FEDERAL HOME	10/26/2018	BREAN CAPITAL LLC	FHLB NOTES	12,000,000.00			-12,000,000.00
38922	COMM	3130AFB63	FEDERAL HOME	10/26/2018	KEYBANC CAPITAL	FHLB NOTES	5,002,488.89			-5,002,488.89
38923	COMM	63873KKV8	NATXNY DISC NOTE	10/26/2018	MERRILL LYNCH	Natixis NY Branch	99,982,000.00			-99,982,000.00
38924	COMM	21687BKV2	RABO DISC NOTE	10/26/2018	MERRILL LYNCH	RABOBANK	99,982,083.34			-99,982,083.34
36722	COMM	3134G8YU7	FEDERAL HOME LN	10/26/2018	JPMorganChase	FHLMC NOTES		25,000,000.00		25,000,000.00
38916	COMM	63873KKS5	NATXNY DISC NOTE	10/26/2018	MERRILL LYNCH	Natixis NY Branch		100,000,000.00		100,000,000.00
38917	COMM	21687BKS9	RABO DISC NOTE	10/26/2018	MERRILL LYNCH	RABOBANK		100,000,000.00		100,000,000.00
38918	COMM	313385L95	FHDN DISC NOTE	10/26/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
38919	COMM	313385L95	FHDN DISC NOTE	10/26/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
36721	COMM	3134G9DD6	FEDERAL HOME LN	10/26/2018	INCAPITAL LLC	FHLMC NOTES			69,000.00	69,000.00
36722	COMM	3134G8YU7	FEDERAL HOME LN	10/26/2018	JPMorganChase	FHLMC NOTES			131,250.00	131,250.00
36726	COMM	3133EF4Y0	FEDERAL FARM CR	10/26/2018	DEUTSCHE BANK	FFCB NOTES			134,275.00	134,275.00
37621	COMM	3134GBEW8	FEDERAL HOME LN	10/26/2018	INCAPITAL LLC	FHLMC NOTES			187,500.00	187,500.00
37668	COMM	3134GBEW8	FEDERAL HOME LN	10/26/2018	INCAPITAL LLC	FHLMC NOTES			60,000.00	60,000.00
38081	COMM	3133EHJ95	FEDERAL FARM CR	10/26/2018	MIZUHO	FFCB NOTES			87,500.00	87,500.00
38082	COMM	3133EHJ95	FEDERAL FARM CR	10/26/2018	MIZUHO	FFCB NOTES			43,750.00	43,750.00
Totals for 10/26/2018							491,937,100.02	475,000,000.00	713,275.00	-16,223,825.02

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38927	COMM	313385M52	FHDN DISC NOTE	10/29/2018	UBS FINANCE	FHLB DISCOUNT	199,988,222.24			-199,988,222.24
38928	COMM	313385M52	FHDN DISC NOTE	10/29/2018	MIZUHO	FHLB DISCOUNT	49,997,055.56			-49,997,055.56
38931	COMM	46640QUS8	JPMSCC ZERO CPN	10/29/2018	JPMorganChase	JP Morgan Securities	44,011,125.00			-44,011,125.00
38930	COMM	63873KKW6	NATXNY DISC NOTE	10/29/2018	MERRILL LYNCH	Natixis NY Branch	99,994,000.00			-99,994,000.00
38929	COMM	21687BKW0	RABO DISC NOTE	10/29/2018	MERRILL LYNCH	RABOBANK	99,994,027.78			-99,994,027.78
38923	COMM	63873KKV8	NATXNY DISC NOTE	10/29/2018	MERRILL LYNCH	Natixis NY Branch		100,000,000.00		100,000,000.00
38924	COMM	21687BKV2	RABO DISC NOTE	10/29/2018	MERRILL LYNCH	RABOBANK		100,000,000.00		100,000,000.00
38925	COMM	313385M45	FHDN DISC NOTE	10/29/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
38926	COMM	313385M45	FHDN DISC NOTE	10/29/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
36729	COMM	3134G9AV9	FEDERAL HOME LN	10/29/2018	INCAPITAL LLC	FHLMC NOTES			93,750.00	93,750.00
36730	COMM	3134G9AV9	FEDERAL HOME LN	10/29/2018	WELLS FARGO	FHLMC NOTES			26,562.50	26,562.50
36773	COMM	90331HML4	USB 2.125% MAT	10/29/2018	BARCLAYS CAPITAL	U S BANK			208,133.13	208,133.13
37696	COMM	3134GBEF5	FEDERAL HOME LN	10/29/2018	INCAPITAL LLC	FHLMC NOTES			30,940.00	30,940.00
38090	COMM	3134GBU83	FEDERAL HOME LN	10/29/2018	INCAPITAL LLC	FHLMC NOTES			150,000.00	150,000.00
38529	COMM	191216BT6	KOPP 1.875% MAT	10/29/2018	INCAPITAL LLC	Coca-Cola Co			70,312.50	70,312.50
Totals for 10/29/2018							493,984,430.58	450,000,000.00	579,698.13	-43,404,732.45
38934	COMM	313385M60	FHDN DISC NOTE	10/30/2018	MIZUHO	FHLB DISCOUNT	49,997,055.56			-49,997,055.56
38935	COMM	313385M60	FHDN DISC NOTE	10/30/2018	UBS FINANCE	FHLB DISCOUNT	199,988,222.24			-199,988,222.24
38933	COMM	63873KL13	NATXNY DISC NOTE	10/30/2018	MERRILL LYNCH	Natixis NY Branch	99,988,000.00			-99,988,000.00
38932	COMM	21687BKX8	RABO DISC NOTE	10/30/2018	MERRILL LYNCH	RABOBANK	99,994,027.78			-99,994,027.78
38927	COMM	313385M52	FHDN DISC NOTE	10/30/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
38928	COMM	313385M52	FHDN DISC NOTE	10/30/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
38929	COMM	21687BKW0	RABO DISC NOTE	10/30/2018	MERRILL LYNCH	RABOBANK		100,000,000.00		100,000,000.00
38930	COMM	63873KKW6	NATXNY DISC NOTE	10/30/2018	MERRILL LYNCH	Natixis NY Branch		100,000,000.00		100,000,000.00
Totals for 10/30/2018							449,967,305.58	450,000,000.00		32,694.42
38936	COMM	313384BF5	FHDN DISC NOTE	10/31/2018	MIZUHO	FHLB DISCOUNT	49,708,041.67			-49,708,041.67
38937	COMM	313385M78	FHLB DISC NOTE	10/31/2018	UBS FINANCE	FHLB DISCOUNT	199,988,611.12			-199,988,611.12
38938	COMM	313385M78	FHLB DISC NOTE	10/31/2018	MIZUHO	FHLB DISCOUNT	49,997,152.78			-49,997,152.78
38932	COMM	21687BKX8	RABO DISC NOTE	10/31/2018	MERRILL LYNCH	RABOBANK		100,000,000.00		100,000,000.00
38934	COMM	313385M60	FHDN DISC NOTE	10/31/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
38935	COMM	313385M60	FHDN DISC NOTE	10/31/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
Totals for 10/31/2018							299,693,805.57	350,000,000.00		50,306,194.43
38943	COMM	3133EJK24	FEDERAL FARM CR	11/01/2018	INCAPITAL LLC	FFCB NOTES	15,012,900.00			-15,012,900.00
38939	COMM	313385M86	FHDN DISC NOTE	11/01/2018	MIZUHO	FHLB DISCOUNT	49,997,041.67			-49,997,041.67
38940	COMM	313385M86	FHDN DISC NOTE	11/01/2018	MERRILL LYNCH	FHLB DISCOUNT	199,988,166.68			-199,988,166.68
38942	COMM	3130AFC54	FEDERAL HOME	11/01/2018	KEYBANC CAPITAL	FHLB NOTES	14,998,354.17			-14,998,354.17
38941	COMM	63873KL21	NATXNY DISC NOTE	11/01/2018	MERRILL LYNCH	Natixis NY Branch	99,994,000.00			-99,994,000.00
38933	COMM	63873KL13	NATXNY DISC NOTE	11/01/2018	MERRILL LYNCH	Natixis NY Branch		100,000,000.00		100,000,000.00
38937	COMM	313385M78	FHLB DISC NOTE	11/01/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00

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38938	COMM	313385M78	FHLB DISC NOTE	11/01/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
Totals for 11/01/2018							379,990,462.52	350,000,000.00		-29,990,462.52
38946	COMM	313885N36	FHDN DISC NOTE	11/02/2018	MIZUHO	FHLB DISCOUNT	49,991,041.67			-49,991,041.67
38947	COMM	313385N36	FHDN DISC NOTE	11/02/2018	UBS FINANCE	FHLB DISCOUNT	199,964,166.68			-199,964,166.68
38945	COMM	3137B3NA2	FHLMC REMIC	11/02/2018	INCAPITAL LLC	FHLMC Multi-Family	10,607,696.94			-10,607,696.94
38948	COMM	63873KL54	NATXNY DISC NOTE	11/02/2018	MERRILL LYNCH	Natixis NY Branch	99,982,000.00			-99,982,000.00
38939	COMM	313385M86	FHDN DISC NOTE	11/02/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
38940	COMM	313385M86	FHDN DISC NOTE	11/02/2018	MERRILL LYNCH	FHLB DISCOUNT		200,000,000.00		200,000,000.00
38941	COMM	63873KL21	NATXNY DISC NOTE	11/02/2018	MERRILL LYNCH	Natixis NY Branch		100,000,000.00		100,000,000.00
38126	COMM	3133EHP31	FFCB 1.95% MAT	11/02/2018	KEYBANC CAPITAL	FFCB NOTES			97,256.25	97,256.25
34292	COMM	SYS34292	MSTI 0.0%	11/02/2018		MORGAN STANLEY			335.90	335.90
34292	COMM	SYS34292	MSTI 0.0%	11/02/2018		MORGAN STANLEY	335.90			-335.90
37590	COMM	SYS37590	JPM TE 0.44%	11/02/2018	JPMorganChase	JP MORGAN US			0.04	0.04
37590	COMM	SYS37590	JPM TE 0.44%	11/02/2018	JPMorganChase	JP MORGAN US	0.04			-0.04
Totals for 11/02/2018							360,545,241.23	350,000,000.00	97,592.19	-10,447,649.04
38949	COMM	05586FGN1	BNP P 2.93% MAT	11/05/2018	JPMorganChase	BNP PARIBAS NY	50,000,000.00			-50,000,000.00
38950	COMM	313385N44	FHDN DISC NOTE	11/05/2018	UBS FINANCE	FHLB DISCOUNT	199,988,333.32			-199,988,333.32
38952	COMM	313385N44	FHDN DISC NOTE	11/05/2018	MIZUHO	FHLB DISCOUNT	49,997,041.67			-49,997,041.67
38951	COMM	21687BL66	RB DISC NOTE MAT	11/05/2018	MERRILL LYNCH	RABOBANK	99,994,027.78			-99,994,027.78
36329	COMM	594918BF0	MSFT 1.3% MAT	11/05/2018	JPMorganChase	MICROSOFT CORP		20,000,000.00		20,000,000.00
38946	COMM	313885N36	FHDN DISC NOTE	11/05/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
38947	COMM	313385N36	FHDN DISC NOTE	11/05/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
38948	COMM	63873KL54	NATXNY DISC NOTE	11/05/2018	MERRILL LYNCH	Natixis NY Branch		100,000,000.00		100,000,000.00
36329	COMM	594918BF0	MSFT 1.3% MAT	11/05/2018	JPMorganChase	MICROSOFT CORP			130,000.00	130,000.00
37761	COMM	3133EHHG1	FFCB 1.75% MAT	11/05/2018	INCAPITAL LLC	FFCB NOTES			43,750.00	43,750.00
37762	COMM	3133EHHG1	FFCB 1.75% MAT	11/05/2018	Daiwa Capital Market	FFCB NOTES			87,500.00	87,500.00
38524	COMM	742718EQ8	PG 1.7% MAT	11/05/2018	MIZUHO	PROCTER &			170,000.00	170,000.00
38526	COMM	742718EQ8	PG 1.7% MAT	11/05/2018	MIZUHO	PROCTER &			85,000.00	85,000.00
Totals for 11/05/2018							399,979,402.77	370,000,000.00	516,250.00	-29,463,152.77
38955	COMM	313385N51	FHLB DISC NOTE	11/06/2018	UBS FINANCE	FHLB NOTES	199,988,166.68			-199,988,166.68
38956	COMM	313385N51	FHLB DISC NOTE	11/06/2018	MIZUHO	FHLB NOTES	49,997,041.67			-49,997,041.67
38950	COMM	313385N44	FHDN DISC NOTE	11/06/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
38951	COMM	21687BL66	RB DISC NOTE MAT	11/06/2018	MERRILL LYNCH	RABOBANK		100,000,000.00		100,000,000.00
38952	COMM	313385N44	FHDN DISC NOTE	11/06/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
Totals for 11/06/2018							249,985,208.35	350,000,000.00		100,014,791.65
38957	COMM	06370RNQ8	BMOCHI 2.88% MAT	11/07/2018	BMO CAPITAL	BANK OF	50,000,000.00			-50,000,000.00
38959	COMM	313385N69	FHDN DISC NOTE	11/07/2018	MIZUHO	FHLB DISCOUNT	49,997,083.33			-49,997,083.33
38960	COMM	313385N69	FHDN DISC NOTE	11/07/2018	UBS FINANCE	FHLB DISCOUNT	199,988,333.32			-199,988,333.32

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38958	COMM	89231PAD0	TAOT 3.18% MAT	11/07/2018	JPMorganChase	TOYOTA AUTO REC	9,997,837.00			-9,997,837.00
38955	COMM	313385N51	FHLB DISC NOTE	11/07/2018	UBS FINANCE	FHLB NOTES		200,000,000.00		200,000,000.00
38956	COMM	313385N51	FHLB DISC NOTE	11/07/2018	MIZUHO	FHLB NOTES		50,000,000.00		50,000,000.00
Totals for 11/07/2018							309,983,253.65	250,000,000.00		-59,983,253.65
38962	COMM	313385N77	FHDN DISC NOTE	11/08/2018	MIZUHO	FHLB DISCOUNT	49,997,069.44			-49,997,069.44
38963	COMM	313385N77	FHDN DISC NOTE	11/08/2018	UBS FINANCE	FHLB DISCOUNT	199,988,277.76			-199,988,277.76
38961	COMM	3134GSZX6	FEDERAL HOME LN	11/08/2018	BARCLAYS CAPITAL	FHLMC NOTES	19,988,811.11			-19,988,811.11
38959	COMM	313385N69	FHDN DISC NOTE	11/08/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
38960	COMM	313385N69	FHDN DISC NOTE	11/08/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
37793	COMM	3133EHJA2	FEDERAL FARM CR	11/08/2018	JPMorganChase	FFCB NOTES			271,250.00	271,250.00
Totals for 11/08/2018							269,974,158.31	250,000,000.00	271,250.00	-19,702,908.31
38964	COMM	313385P34	FHDN DISC NOTE	11/09/2018	UBS FINANCE	FHLB DISCOUNT	199,952,666.68			-199,952,666.68
38965	COMM	313385P34	FHDN DISC NOTE	11/09/2018	MIZUHO	FHLB DISCOUNT	49,988,166.67			-49,988,166.67
38962	COMM	313385N77	FHDN DISC NOTE	11/09/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
38963	COMM	313385N77	FHDN DISC NOTE	11/09/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
Totals for 11/09/2018							249,940,833.35	250,000,000.00		59,166.65
38966	COMM	313385P42	FHDN DISC NOTE	11/13/2018	UBS FINANCE	FHLB DISCOUNT	199,988,055.56			-199,988,055.56
38967	COMM	313385P42	FHDN DISC NOTE	11/13/2018	MIZUHO	FHLB DISCOUNT	49,997,013.89			-49,997,013.89
38964	COMM	313385P34	FHDN DISC NOTE	11/13/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
38965	COMM	313385P34	FHDN DISC NOTE	11/13/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
37663	COMM	4581X0CX4	IADB 1.625% MAT	11/13/2018	ROYAL BANK OF	IADB			284,375.00	284,375.00
38124	COMM	037833DJ6	APPLE INC, SR NT	11/13/2018	JPMorganChase	APPLE INC			450,000.00	450,000.00
Totals for 11/13/2018							249,985,069.45	250,000,000.00	734,375.00	749,305.55
38968	COMM	313385P59	FHDN DISC NOTE	11/14/2018	UBS FINANCE	FHLB DISCOUNT	199,988,055.56			-199,988,055.56
38969	COMM	313385P59	FHDN DISC NOTE	11/14/2018	MIZUHO	FHLB DISCOUNT	49,997,013.89			-49,997,013.89
38966	COMM	313385P42	FHDN DISC NOTE	11/14/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
38967	COMM	313385P42	FHDN DISC NOTE	11/14/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
Totals for 11/14/2018							249,985,069.45	250,000,000.00		14,930.55
38970	COMM	313385P67	FHDN DISC NOTE	11/15/2018	UBS FINANCE	FHLB DISCOUNT	199,987,944.44			-199,987,944.44
38971	COMM	313385P67	FHDN DISC NOTE	11/15/2018	MIZUHO	FHLB DISCOUNT	49,996,986.11			-49,996,986.11
36753	COMM	89231UAD9	TOYO 1.3% MAT	11/15/2018	CITIGROUP GLOBAL	TOYOTA AUTO REC		209,087.96		209,087.96
36753	COMM	89231UAD9	TOYO 1.3% MAT	11/15/2018	CITIGROUP GLOBAL	TOYOTA AUTO REC		10.68		10.68
38968	COMM	313385P59	FHDN DISC NOTE	11/15/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
38969	COMM	313385P59	FHDN DISC NOTE	11/15/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
35763	COMM	91412GWV3		11/15/2018	MORGAN STANLEY	UNIVERSITY			2,503.75	2,503.75
36710	COMM	91412GD36	UNIVCA 1.169% MAT	11/15/2018	WELLS FARGO	UNIVERSITY			17,535.00	17,535.00
36753	COMM	89231UAD9	TOYO 1.3% MAT	11/15/2018	CITIGROUP GLOBAL	TOYOTA AUTO REC			1,553.04	1,553.04
37108	COMM	3130AA3R7	FHLB 1.375% MAT	11/15/2018	BANK OF AMERICA	FHLB NOTES			240,625.00	240,625.00

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38326	COMM	3133EGG82	FEDERAL FARM CR	11/15/2018	BREAN CAPITAL LLC	FFCB NOTES			15,200.00	15,200.00
36557	COMM	65478UAD1	NALT 1.34% MAT	11/15/2018	MERRILL LYNCH	NISSAN AUTO			3,024.06	3,024.06
36557	COMM	65478UAD1	NALT 1.34% MAT	11/15/2018	MERRILL LYNCH	NISSAN AUTO		324,633.60		324,633.60
36600	COMM	47788MAC4	JDOT 1.36% MAT	11/15/2018	MERRILL LYNCH	JOHN DEERE			3,428.33	3,428.33
36600	COMM	47788MAC4	JDOT 1.36% MAT	11/15/2018	MERRILL LYNCH	JOHN DEERE		655,167.51		655,167.51
36601	COMM	89237KAD5	TAOT 1.25% MAT	11/15/2018	MERRILL LYNCH	TOYOTA AUTO REC			4,273.50	4,273.50
36601	COMM	89237KAD5	TAOT 1.25% MAT	11/15/2018	MERRILL LYNCH	TOYOTA AUTO REC		702,085.76		702,085.76
36800	COMM	43814QAC2	HAROT 1.39% MAT	11/15/2018	MERRILL LYNCH	HONDA AUTO			4,794.41	4,794.41
36800	COMM	43814QAC2	HAROT 1.39% MAT	11/15/2018	MERRILL LYNCH	HONDA AUTO		592,324.25		592,324.25
36905	COMM	47788NAC2	JDOT 1.25% MAT	11/15/2018	ROYAL BANK OF	JOHN DEERE			4,669.29	4,669.29
36905	COMM	47788NAC2	JDOT 1.25% MAT	11/15/2018	ROYAL BANK OF	JOHN DEERE		652,937.70		652,937.70
36929	COMM	161571HF4	CHAIT 1.27% MAT	11/15/2018	JPMorganChase	CHASE ISSUANCE			24,341.66	24,341.66
36929	COMM	161571HF4	CHAIT 1.27% MAT	11/15/2018	JPMorganChase	CHASE ISSUANCE		788,012.42		788,012.42
36956	COMM	58769BAD6	MBART 1.26% MAT	11/15/2018	CITIGROUP GLOBAL	MERCEDES -BENZ			7,172.14	7,172.14
36956	COMM	58769BAD6	MBART 1.26% MAT	11/15/2018	CITIGROUP GLOBAL	MERCEDES -BENZ		628,929.74		628,929.74
37035	COMM	89231LAD9	TAOT 1.23% MAT	11/15/2018	JPMorganChase	TOYOTA AUTO REC			10,579.83	10,579.83
37035	COMM	89231LAD9	TAOT 1.23% MAT	11/15/2018	JPMorganChase	TOYOTA AUTO REC		1,009,878.93		1,009,878.93
37065	COMM	58768MAC5	MBALT 1.35% MAT	11/15/2018	BANK OF AMERICA	MERCEDES-BENZ			1,805.62	1,805.62
37065	COMM	58768MAC5	MBALT 1.35% MAT	11/15/2018	BANK OF AMERICA	MERCEDES-BENZ		668,149.09		668,149.09
37507	COMM	47787XAC1	JDOT 1.78% MAT	11/15/2018	BANK OF AMERICA	JOHN DEERE			12,608.33	12,608.33
37507	COMM	47787XAC1	JDOT 1.78% MAT	11/15/2018	BANK OF AMERICA	JOHN DEERE		398,691.31		398,691.31
37568	COMM	89238MAD0	TAOT 1.73% MAT	11/15/2018	BANK OF AMERICA	TOYOTA AUTO REC			14,416.67	14,416.67
37568	COMM	89238MAD0	TAOT 1.73% MAT	11/15/2018	BANK OF AMERICA	TOYOTA AUTO REC		295,675.83		295,675.83
37862	COMM	02582JHG8	AME 1.64% MAT	11/15/2018	ROYAL BANK OF	AMERICAN			46,466.68	46,466.68
37862	COMM	02582JHG8	AME 1.64% MAT	11/15/2018	ROYAL BANK OF	AMERICAN		973,221.39		973,221.39
37976	COMM	43811BAC8	HAROT 1.68% MAT	11/15/2018	CITIGROUP GLOBAL	HONDA AUTO			39,200.00	39,200.00
37976	COMM	43811BAC8	HAROT 1.68% MAT	11/15/2018	CITIGROUP GLOBAL	HONDA AUTO		859,394.20		859,394.20
38137	COMM	89238KAD4	TAOT 1.93% MAT	11/15/2018	JPMorganChase	TOYOTA AUTO REC			38,599.99	38,599.99
38137	COMM	89238KAD4	TAOT 1.93% MAT	11/15/2018	JPMorganChase	TOYOTA AUTO REC		628,691.63		628,691.63
38475	COMM	65478DAD9	NALT 2.65% MAT	11/15/2018	MERRILL LYNCH	NISSAN AUTO			40,854.16	40,854.16
38475	COMM	65478DAD9	NALT 2.65% MAT	11/15/2018	MERRILL LYNCH	NISSAN AUTO		428,148.35		428,148.35
38476	COMM	47788CAC6	JDOT 2.66% MAT	11/15/2018	ROYAL BANK OF	JOHN DEERE			18,287.50	18,287.50
38476	COMM	47788CAC6	JDOT 2.66% MAT	11/15/2018	ROYAL BANK OF	JOHN DEERE		193,896.01		193,896.01
38646	COMM	02582JHQ6	AME 2.67% MAT	11/15/2018	BARCLAYS CAPITAL	AMERICAN			100,125.00	100,125.00
38646	COMM	02582JHQ6	AME 2.67% MAT	11/15/2018	BARCLAYS CAPITAL	AMERICAN		929,402.36		929,402.36
38708	COMM	161571HN7	CHAIT 2.1227% MAT	11/15/2018	BARCLAYS CAPITAL	CHASE ISSUANCE			78,999.63	78,999.63
38708	COMM	161571HN7	CHAIT 2.1227% MAT	11/15/2018	BARCLAYS CAPITAL	CHASE ISSUANCE		672,485.16		672,485.16
38785	COMM	58769DAE0	MBALT 2.01% MAT	11/15/2018	BOK FINANCIAL	MERCEDES-BENZ			6,700.00	6,700.00
38785	COMM	58769DAE0	MBALT 2.01% MAT	11/15/2018	BOK FINANCIAL	MERCEDES-BENZ		84,917.74		84,917.74
Totals for 11/15/2018							249,984,930.55	261,695,741.62	737,763.59	12,448,574.66

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38972	COMM	313385P91	FHDN DISC NOTE	11/16/2018	MIZUHO	FHLB DISCOUNT	49,990,958.33			-49,990,958.33
38973	COMM	313385P91	FHDN DISC NOTE	11/16/2018	UBS FINANCE	FHLB DISCOUNT	199,963,833.32			-199,963,833.32
38974	COMM	63763QP84	NSCCPP DISC NOTE	11/16/2018	ROYAL BANK OF	NATL SEC	44,741,700.00			-44,741,700.00
37112	COMM	3133EGJ48	FFCB 0.89% MAT	11/16/2018	KEYBANC CAPITAL	FFCB NOTES		25,000,000.00		25,000,000.00
38970	COMM	313385P67	FHDN DISC NOTE	11/16/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
38971	COMM	313385P67	FHDN DISC NOTE	11/16/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
36765	COMM	166764BH2	CHEVRON CORP	11/16/2018	WELLS FARGO	CHEVRON CORP.			117,075.00	117,075.00
37112	COMM	3133EGJ48	FFCB 0.89% MAT	11/16/2018	KEYBANC CAPITAL	FFCB NOTES			111,250.00	111,250.00
Totals for 11/16/2018							294,696,491.65	275,000,000.00	228,325.00	-19,468,166.65
38976	COMM	313385Q25	FHDN DISC NOTE	11/19/2018	MIZUHO	FHLB DISCOUNT	49,997,013.89			-49,997,013.89
38977	COMM	313385Q25	FHDN DISC NOTE	11/19/2018	UBS FINANCE	FHLB DISCOUNT	199,988,055.56			-199,988,055.56
38978	COMM	313370E38	FEDERAL HOME	11/19/2018	KEYBANC CAPITAL	FHLB NOTES	20,460,775.00			-20,460,775.00
36370	COMM	3133EFPJ0	FEDERAL FARM CR	11/19/2018	WELLS FARGO	FFCB NOTES		15,000,000.00		15,000,000.00
38972	COMM	313385P91	FHDN DISC NOTE	11/19/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
38973	COMM	313385P91	FHDN DISC NOTE	11/19/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
36370	COMM	3133EFPJ0	FEDERAL FARM CR	11/19/2018	WELLS FARGO	FFCB NOTES			96,750.00	96,750.00
37208	COMM	17305EFW0	CCCIT 1.75% MAT	11/19/2018	CITIGROUP GLOBAL	CITIBANK CREDIT			350,000.00	350,000.00
38135	COMM	3137EAEK1	FHLMC 1.875% MAT	11/19/2018	JPMorganChase	FHLMC NOTES			234,375.00	234,375.00
38342	COMM	3133EGAH8	FEDERAL FARM CR	11/19/2018	BREAN CAPITAL LLC	FFCB NOTES			84,281.25	84,281.25
38601	COMM	02079KAA5	GOOG 3.625% MAT	11/19/2018	INCAPITAL LLC	GOOGLE INC			302,778.13	302,778.13
36587	COMM	43814NAC9	HAROT 1.22% MAT	11/19/2018	JPMorganChase	HONDA AUTO			3,001.24	3,001.24
36587	COMM	43814NAC9	HAROT 1.22% MAT	11/19/2018	JPMorganChase	HONDA AUTO		640,993.25		640,993.25
37059	COMM	43814RAC0	HAROT 1.21% MAT	11/19/2018	BARCLAYS CAPITAL	HONDA AUTO			9,078.58	9,078.58
37059	COMM	43814RAC0	HAROT 1.21% MAT	11/19/2018	BARCLAYS CAPITAL	HONDA AUTO		752,807.34		752,807.34
38738	COMM	43814UAG4	HAROT 3.01% MAT	11/19/2018	BARCLAYS CAPITAL	HONDA AUTO			30,100.00	30,100.00
38738	COMM	43814UAG4	HAROT 3.01% MAT	11/19/2018	BARCLAYS CAPITAL	HONDA AUTO		276,434.15		276,434.15
Totals for 11/19/2018							270,445,844.45	266,670,234.74	1,110,364.20	-2,665,245.51
38980	COMM	313312BM1	FCDN DISC NOTE	11/20/2018	MIZUHO	FFCB DISCOUNT	24,875,409.72			-24,875,409.72
38981	COMM	313385Q33	FHDN DISC NOTE	11/20/2018	MIZUHO	FHLB DISCOUNT	49,997,013.89			-49,997,013.89
38982	COMM	313385Q33	FHDN DISC NOTE	11/20/2018	UBS FINANCE	FHLB DISCOUNT	199,988,055.56			-199,988,055.56
38983	COMM	63873KLM7	NATXNY DISC NOTE	11/20/2018	MERRILL LYNCH	Natixis NY Branch	49,997,000.00			-49,997,000.00
38979	COMM	21687BLM1	RABO DISC NOTE	11/20/2018	MERRILL LYNCH	RABOBANK	49,997,013.89			-49,997,013.89
38984	COMM	21685V6U8	RB 2.85% MAT	11/20/2018	MERRILL LYNCH	RABOBANK	50,000,000.00			-50,000,000.00
38976	COMM	313385Q25	FHDN DISC NOTE	11/20/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
38977	COMM	313385Q25	FHDN DISC NOTE	11/20/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
36776	COMM	89236TDE2	TOYO 1.4% MAT	11/20/2018	BARCLAYS CAPITAL	TOYOTA MOTOR			140,000.00	140,000.00
37036	COMM	05582XAD4	BMWLT 1.43% MAT	11/20/2018	MIZUHO	BMW VEHICLE			4,202.55	4,202.55
37036	COMM	05582XAD4	BMWLT 1.43% MAT	11/20/2018	MIZUHO	BMW VEHICLE		745,856.09		745,856.09
Totals for 11/20/2018							424,854,493.06	250,745,856.09	144,202.55	-173,964,434.42

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38987	COMM	16677KNJ8	CHEVRO DISC NOTE	11/21/2018	CITIGROUP GLOBAL	CHEVRON	14,942,966.70			-14,942,966.70
38988	COMM	16677KNJ8	CHEVRO DISC NOTE	11/21/2018	CITIGROUP GLOBAL	CHEVRON	39,847,911.11			-39,847,911.11
38985	COMM	313385Q58	FHDN DISC NOTE	11/21/2018	MIZUHO	FHLB DISCOUNT	49,994,027.78			-49,994,027.78
38986	COMM	313385Q58	FHDN DISC NOTE	11/21/2018	UBS FINANCE	FHLB DISCOUNT	199,976,111.12			-199,976,111.12
38989	COMM	63873KLP0	NATXNY DISC NOTE	11/21/2018	MERRILL LYNCH	Natixis NY Branch	49,994,000.00			-49,994,000.00
38990	COMM	21687BLP4	RABO DISC NOTE	11/21/2018	MERRILL LYNCH	RABOBANK	49,994,027.78			-49,994,027.78
38991	COMM	89114MMK0	TDNY 3.% MAT	11/21/2018	JPMorganChase	TORONTO	45,000,000.00			-45,000,000.00
38979	COMM	21687BLM1	RABO DISC NOTE	11/21/2018	MERRILL LYNCH	RABOBANK		50,000,000.00		50,000,000.00
38981	COMM	313385Q33	FHDN DISC NOTE	11/21/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
38982	COMM	313385Q33	FHDN DISC NOTE	11/21/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
38983	COMM	63873KLM7	NATXNY DISC NOTE	11/21/2018	MERRILL LYNCH	Natixis NY Branch		50,000,000.00		50,000,000.00
37615	COMM	43814TAC6	HAROT 1.72% MAT	11/21/2018	BANK OF AMERICA	HONDA AUTO			22,222.38	22,222.38
37615	COMM	43814TAC6	HAROT 1.72% MAT	11/21/2018	BANK OF AMERICA	HONDA AUTO		1,000,625.32		1,000,625.32
Totals for 11/21/2018							449,749,044.49	351,000,625.32	22,222.38	-98,726,196.79
38992	COMM	313385Q82	FHDN DISC NOTE	11/23/2018	UBS FINANCE	FHLB DISCOUNT	199,963,833.32			-199,963,833.32
38993	COMM	313385Q82	FHDN DISC NOTE	11/23/2018	MIZUHO	FHLB DISCOUNT	49,990,958.33			-49,990,958.33
38994	COMM	313385Q82	FHDN DISC NOTE	11/23/2018	MERRILL LYNCH	FHLB DISCOUNT	49,990,958.33			-49,990,958.33
38995	COMM	63873KLS4	NATXNY DISC NOTE	11/23/2018	MERRILL LYNCH	Natixis NY Branch	49,991,000.00			-49,991,000.00
38985	COMM	313385Q58	FHDN DISC NOTE	11/23/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
38986	COMM	313385Q58	FHDN DISC NOTE	11/23/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
38989	COMM	63873KLP0	NATXNY DISC NOTE	11/23/2018	MERRILL LYNCH	Natixis NY Branch		50,000,000.00		50,000,000.00
38990	COMM	21687BLP4	RABO DISC NOTE	11/23/2018	MERRILL LYNCH	RABOBANK		50,000,000.00		50,000,000.00
37804	COMM	3134GBLQ3	FEDERAL HOME LN	11/23/2018	INCAPITAL LLC	FHLMC NOTES			165,000.00	165,000.00
Totals for 11/23/2018							349,936,749.98	350,000,000.00	165,000.00	228,250.02
38999	COMM	3133EJW70	FEDERAL FARM CR	11/26/2018	DEUTSCHE BANK	FFCB NOTES	34,970,950.00			-34,970,950.00
38996	COMM	313385Q90	FHDN DISC NOTE	11/26/2018	UBS FINANCE	FHLB DISCOUNT	199,988,055.56			-199,988,055.56
38997	COMM	313385Q90	FHDN DISC NOTE	11/26/2018	MIZUHO	FHLB DISCOUNT	49,997,013.89			-49,997,013.89
39000	COMM	59157UNU0	METSHR DISC NOTE	11/26/2018	CITIGROUP GLOBAL	METLIFE SHORT	23,151,536.25			-23,151,536.25
39001	COMM	63873KLT2	NATXNY DISC NOTE	11/26/2018	MERRILL LYNCH	Natixis NY Branch	99,994,000.00			-99,994,000.00
38998	COMM	912796UJ6	UNITED STATES	11/26/2018	BMO CAPITAL	U S TREASURY BILL	34,889,118.06			-34,889,118.06
38992	COMM	313385Q82	FHDN DISC NOTE	11/26/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
38993	COMM	313385Q82	FHDN DISC NOTE	11/26/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
38994	COMM	313385Q82	FHDN DISC NOTE	11/26/2018	MERRILL LYNCH	FHLB DISCOUNT		50,000,000.00		50,000,000.00
38995	COMM	63873KLS4	NATXNY DISC NOTE	11/26/2018	MERRILL LYNCH	Natixis NY Branch		50,000,000.00		50,000,000.00
36782	COMM	3136G3NC5	FEDERAL NATL MTG	11/26/2018	INCAPITAL LLC	FNMA NOTES			25,000.00	25,000.00
36785	COMM	3134G9HM2	FEDERAL HOME LN	11/26/2018	INCAPITAL LLC	FHLMC NOTES			58,500.00	58,500.00
36787	COMM	3134G9HW0	FEDERAL HOME LN	11/26/2018	INCAPITAL LLC	FHLMC NOTES			32,812.50	32,812.50
36797	COMM	3136G3PR0	FEDERAL NATL MTG	11/26/2018	BREAN CAPITAL LLC	FNMA NOTES			187,500.00	187,500.00
36805	COMM	94988J5D5	WELLS 1.75% MAT	11/26/2018	WELLS FARGO	WELLS FARGO			105,000.00	105,000.00

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37131	COMM	3130A9W49	FEDERAL HOME	11/26/2018	INCAPITAL LLC	FHLB NOTES			93,750.00	93,750.00
37801	COMM	3134GBLR1	FEDERAL HOME LN	11/26/2018	INCAPITAL LLC	FHLMC NOTES			175,000.00	175,000.00
37816	COMM	3130ABDX1	FEDERAL HOME	11/26/2018	INCAPITAL LLC	FHLB NOTES			210,000.00	210,000.00
38272	COMM	3133EHKT9	FEDERAL FARM CR	11/26/2018	INCAPITAL LLC	FFCB NOTES			121,156.50	121,156.50
36893	COMM	05582QAD9	BMWOT 1.16% MAT	11/26/2018	JPMorganChase	BMW VEHICLE			5,525.83	5,525.83
36893	COMM	05582QAD9	BMWOT 1.16% MAT	11/26/2018	JPMorganChase	BMW VEHICLE		642,342.71		642,342.71
38387	COMM	3137AYCE9	FHLMCM 2.682%	11/26/2018	BREAN CAPITAL LLC	FHLMC Multi-Family			44,700.00	44,700.00
38387	COMM	3137AYCE9	FHLMCM 2.682%	11/26/2018	BREAN CAPITAL LLC	FHLMC Multi-Family		491,375.45		491,375.45
38391	COMM	3137AYCE9	FHLMCM 2.682%	11/26/2018	BREAN CAPITAL LLC	FHLMC Multi-Family			16,762.50	16,762.50
38391	COMM	3137AYCE9	FHLMCM 2.682%	11/26/2018	BREAN CAPITAL LLC	FHLMC Multi-Family		184,173.23		184,173.23
38412	COMM	09659QAD9	BMWOT 2.35% MAT	11/26/2018	JPMorganChase	BMW VEHICLE			62,666.66	62,666.66
38412	COMM	09659QAD9	BMWOT 2.35% MAT	11/26/2018	JPMorganChase	BMW VEHICLE		784,336.10		784,336.10
38465	COMM	3137AWQH1	FHLMCM 2.307%	11/26/2018	BREAN CAPITAL LLC	FHLMC Multi-Family			10,727.55	10,727.55
38465	COMM	3137AWQH1	FHLMCM 2.307%	11/26/2018	BREAN CAPITAL LLC	FHLMC Multi-Family		138,635.81		138,635.81
38477	COMM	3138LAYM5	FHLMCM 2.55% MAT	11/26/2018	BOK FINANCIAL	FNMA Multi-Family			7,804.48	7,804.48
38477	COMM	3138LAYM5	FHLMCM 2.55% MAT	11/26/2018	BOK FINANCIAL	FNMA Multi-Family		5,422.99		5,422.99
38643	COMM	3137B36J2	FHLMCM 3.32% MAT	11/26/2018	BARCLAYS CAPITAL	FHLMC Multi-Family			55,333.34	55,333.34
38643	COMM	3137B36J2	FHLMCM 3.32% MAT	11/26/2018	BARCLAYS CAPITAL	FHLMC Multi-Family		459,747.30		459,747.30
38664	COMM	3136B1XP4	FNMAM 3.56% MAT	11/26/2018	VINING SPARKS IBG	FNMA Multi-Family			12,029.62	12,029.62
38664	COMM	3136B1XP4	FNMAM 3.56% MAT	11/26/2018	VINING SPARKS IBG	FNMA Multi-Family		172,644.62		172,644.62
38665	COMM	3136B1XP4	FNMAM 3.56% MAT	11/26/2018	JPMorganChase	FNMA Multi-Family			12,029.62	12,029.62
38665	COMM	3136B1XP4	FNMAM 3.56% MAT	11/26/2018	JPMorganChase	FNMA Multi-Family		172,644.62		172,644.62
38666	COMM	3137AYCE9	FHLMCM 2.682%	11/26/2018	BREAN CAPITAL LLC	FHLMC Multi-Family			26,250.08	26,250.08
38666	COMM	3137AYCE9	FHLMCM 2.682%	11/26/2018	BREAN CAPITAL LLC	FHLMC Multi-Family		283,181.14		283,181.14
38744	COMM	3137AYCE9	FHLMCM 2.682%	11/26/2018	BREAN CAPITAL LLC	FHLMC Multi-Family			44,700.00	44,700.00
38744	COMM	3137AYCE9	FHLMCM 2.682%	11/26/2018	BREAN CAPITAL LLC	FHLMC Multi-Family		482,387.05		482,387.05
38854	COMM	3137B4WB8	FHLMCM 3.06% MAT	11/26/2018	BREAN CAPITAL LLC	FHLMC Multi-Family			12,176.25	12,176.25
38854	COMM	3137B4WB8	FHLMCM 3.06% MAT	11/26/2018	BREAN CAPITAL LLC	FHLMC Multi-Family		100,517.14		100,517.14
38864	COMM	3137B5JM6	FHLMCM 3.531%	11/26/2018	INCAPITAL LLC	FHLMC Multi-Family			29,425.00	29,425.00
38864	COMM	3137B5JM6	FHLMCM 3.531%	11/26/2018	INCAPITAL LLC	FHLMC Multi-Family		211,829.05		211,829.05
38884	COMM	31381N7G2	FNMAM 3.27% MAT	11/26/2018	BOK FINANCIAL	FNMA Multi-Family			24,226.54	24,226.54
38884	COMM	31381N7G2	FNMAM 3.27% MAT	11/26/2018	BOK FINANCIAL	FNMA Multi-Family		2,581,578.57		2,581,578.57
Totals for 11/26/2018							442,990,673.76	356,710,815.78	1,373,076.47	-84,906,781.51
39008	COMM	22535CAQ4	CANYCD 2.98% MAT	11/27/2018	JPMorganChase	Credit Agricole CIB	40,000,000.00			-40,000,000.00
39004	COMM	313385R24	FHDN DISC NOTE	11/27/2018	MIZUHO	FHLB DISCOUNT	49,997,013.89			-49,997,013.89
39005	COMM	313385R24	FHDN DISC NOTE	11/27/2018	UBS FINANCE	FHLB DISCOUNT	199,988,055.56			-199,988,055.56
39006	COMM	3134GSB95	FEDERAL HOME LN	11/27/2018	INCAPITAL LLC	FHLMC NOTES	10,000,000.00			-10,000,000.00
39007	COMM	59157UNW6	METSHR DISC NOTE	11/27/2018	CITIGROUP GLOBAL	METLIFE SHORT	16,677,937.78			-16,677,937.78
39002	COMM	63873KLU9	NATXNY DISC NOTE	11/27/2018	MERRILL LYNCH	Natixis NY Branch	49,997,000.00			-49,997,000.00
39003	COMM	21687BLU3	RABO DISC NOTE	11/27/2018	MERRILL LYNCH	RABOBANK	49,997,013.89			-49,997,013.89

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38996	COMM	313385Q90	FHDN DISC NOTE	11/27/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
38997	COMM	313385Q90	FHDN DISC NOTE	11/27/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
39001	COMM	63873KLT2	NATXNY DISC NOTE	11/27/2018	MERRILL LYNCH	Natixis NY Branch		100,000,000.00		100,000,000.00
38169	COMM	3133EHWS8	FFCB 1.9% MAT	11/27/2018	INCAPITAL LLC	FFCB NOTES			142,500.00	142,500.00
38170	COMM	3134GBZ70	FEDERAL HOME LN	11/27/2018	INCAPITAL LLC	FHLMC NOTES			234,375.00	234,375.00
38171	COMM	3134GBZ70	FEDERAL HOME LN	11/27/2018	INCAPITAL LLC	FHLMC NOTES			93,750.00	93,750.00
38204	COMM	3133EHWS8	FFCB 1.9% MAT	11/27/2018	INCAPITAL LLC	FFCB NOTES			204,725.00	204,725.00
Totals for 11/27/2018							416,657,021.12	350,000,000.00	675,350.00	-65,981,671.12
39015	COMM	13606BK54	CIBCNV 2.97% MAT	11/28/2018	JPMorganChase	Canadian IMP BK	50,000,000.00			-50,000,000.00
39009	COMM	313385R32	FHDN DISC NOTE	11/28/2018	MIZUHO	FHLB DISCOUNT	49,997,013.89			-49,997,013.89
39010	COMM	313385R32	FHDN DISC NOTE	11/28/2018	UBS FINANCE	FHLB DISCOUNT	199,988,055.56			-199,988,055.56
39014	COMM	3130A8R54	FEDERAL HOME	11/28/2018	BREAN CAPITAL LLC	FHLB NOTES	4,740,050.00			-4,740,050.00
39013	COMM	43815AAC6	HAROT 3.16% MAT	11/28/2018	JPMorganChase	HONDA AUTO	21,746,748.38			-21,746,748.38
39012	COMM	63873KLV7	NATXNY DISC NOTE	11/28/2018	MERRILL LYNCH	Natixis NY Branch	49,997,000.00			-49,997,000.00
39011	COMM	21687BLV1	RABO DISC NOTE	11/28/2018	MERRILL LYNCH	RABOBANK	49,997,013.89			-49,997,013.89
39002	COMM	63873KLU9	NATXNY DISC NOTE	11/28/2018	MERRILL LYNCH	Natixis NY Branch		50,000,000.00		50,000,000.00
39003	COMM	21687BLU3	RABO DISC NOTE	11/28/2018	MERRILL LYNCH	RABOBANK		50,000,000.00		50,000,000.00
39004	COMM	313385R24	FHDN DISC NOTE	11/28/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
39005	COMM	313385R24	FHDN DISC NOTE	11/28/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
38178	COMM	3130ACUK8	FEDERAL HOME	11/28/2018	INCAPITAL LLC	FHLB NOTES			250,000.00	250,000.00
38733	COMM	3130AECJ7	FEDERAL HOME	11/28/2018	INCAPITAL LLC	FHLB NOTES			136,354.20	136,354.20
Totals for 11/28/2018							426,465,881.72	350,000,000.00	386,354.20	-76,079,527.52
39019	COMM	313312BG4	FCDN DISC NOTE	11/29/2018	MIZUHO	FFCB DISCOUNT	29,878,725.00			-29,878,725.00
39017	COMM	313385R40	FHDN DISC NOTE	11/29/2018	MIZUHO	FHLB DISCOUNT	49,997,097.22			-49,997,097.22
39018	COMM	313385R40	FHDN DISC NOTE	11/29/2018	UBS FINANCE	FHLB DISCOUNT	199,988,388.88			-199,988,388.88
39016	COMM	3130AFE78	FEDERAL HOME	11/29/2018	INCAPITAL LLC	FHLB NOTES	14,370,472.67			-14,370,472.67
39021	COMM	63873KLW5	NATXNY DISC NOTE	11/29/2018	MERRILL LYNCH	Natixis NY Branch	49,997,000.00			-49,997,000.00
39020	COMM	21687BLW9	RABO DISC NOTE	11/29/2018	MERRILL LYNCH	RABOBANK	49,997,013.89			-49,997,013.89
39009	COMM	313385R32	FHDN DISC NOTE	11/29/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
39010	COMM	313385R32	FHDN DISC NOTE	11/29/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
39011	COMM	21687BLV1	RABO DISC NOTE	11/29/2018	MERRILL LYNCH	RABOBANK		50,000,000.00		50,000,000.00
39012	COMM	63873KLV7	NATXNY DISC NOTE	11/29/2018	MERRILL LYNCH	Natixis NY Branch		50,000,000.00		50,000,000.00
37149	COMM	3130AABG2	FEDERAL HOME	11/29/2018	BANK OF AMERICA	FHLB NOTES			140,625.00	140,625.00
Totals for 11/29/2018							394,228,697.66	350,000,000.00	140,625.00	-44,088,072.66
39022	COMM	3133EHFD0	FEDERAL FARM CR	11/30/2018	BREAN CAPITAL LLC	FFCB NOTES	4,723,932.33			-4,723,932.33
39023	COMM	3133EJW70	FEDERAL FARM CR	11/30/2018	KEYBANC CAPITAL	FFCB NOTES	26,807,817.10			-26,807,817.10
39024	COMM	313385R73	FHDN DISC NOTE	11/30/2018	MIZUHO	FHLB DISCOUNT	49,991,541.67			-49,991,541.67
39025	COMM	313385R73	FHDN DISC NOTE	11/30/2018	UBS FINANCE	FHLB DISCOUNT	199,966,166.68			-199,966,166.68
37148	COMM	3134GAXX7	FEDERAL HOME LN	11/30/2018	INCAPITAL LLC	FHLMC NOTES		15,000,000.00		15,000,000.00

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39017	COMM	313385R40	FHDN DISC NOTE	11/30/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
39018	COMM	313385R40	FHDN DISC NOTE	11/30/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
39020	COMM	21687BLW9	RABO DISC NOTE	11/30/2018	MERRILL LYNCH	RABOBANK		50,000,000.00		50,000,000.00
39021	COMM	63873KLW5	NATXNY DISC NOTE	11/30/2018	MERRILL LYNCH	Natixis NY Branch		50,000,000.00		50,000,000.00
36793	COMM	3136G3QY4	FEDERAL NATL MTG	11/30/2018	INCAPITAL LLC	FNMA NOTES			31,250.00	31,250.00
36794	COMM	3136G3QY4	FEDERAL NATL MTG	11/30/2018	INCAPITAL LLC	FNMA NOTES			93,750.00	93,750.00
36795	COMM	3136G3QY4	FEDERAL NATL MTG	11/30/2018	INCAPITAL LLC	FNMA NOTES			31,250.00	31,250.00
37148	COMM	3134GAXX7	FEDERAL HOME LN	11/30/2018	INCAPITAL LLC	FHLMC NOTES			75,000.00	75,000.00
38386	COMM	912828SX9	UNITED STATES	11/30/2018	DEUTSCHE BANK	U.S. TREASURY			112,500.00	112,500.00
Totals for 11/30/2018							281,489,457.78	365,000,000.00	343,750.00	83,854,292.22
39027	COMM	313385R81	FHDN DISC NOTE	12/03/2018	UBS FINANCE	FHLB DISCOUNT	199,988,166.68			-199,988,166.68
39028	COMM	313385R81	FHDN DISC NOTE	12/03/2018	MIZUHO	FHLB DISCOUNT	49,997,041.67			-49,997,041.67
39026	COMM	3137B5KW2	FHLMC SERIES	12/03/2018	INCAPITAL LLC	FHLMC Multi-Family	10,096,029.72			-10,096,029.72
39024	COMM	313385R73	FHDN DISC NOTE	12/03/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
39025	COMM	313385R73	FHDN DISC NOTE	12/03/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
Totals for 12/03/2018							260,081,238.07	250,000,000.00		-10,081,238.07
39031	COMM	06405LAA9	BANK NEW YORK	12/04/2018	CITIGROUP GLOBAL	BANK OF NEW	25,000,000.00			-25,000,000.00
39032	COMM	06405LAA9	BANK NEW YORK	12/04/2018	Academy Securities	BANK OF NEW	5,000,000.00			-5,000,000.00
39029	COMM	313385S23	FHDN DISC NOTE	12/04/2018	MIZUHO	FHLB DISCOUNT	49,994,166.67			-49,994,166.67
39030	COMM	313385S23	FHDN DISC NOTE	12/04/2018	UBS FINANCE	FHLB DISCOUNT	199,976,666.68			-199,976,666.68
39033	COMM	63873KM61	NATXNY DISC NOTE	12/04/2018	MERRILL LYNCH	Natixis NY Branch	99,988,000.00			-99,988,000.00
39034	COMM	21687BM65	RABO DISC NOTE	12/04/2018	MERRILL LYNCH	RABOBANK	49,994,027.78			-49,994,027.78
39027	COMM	313385R81	FHDN DISC NOTE	12/04/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
39028	COMM	313385R81	FHDN DISC NOTE	12/04/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
34292	COMM	SYS34292	MSTI 0.0%	12/04/2018		MORGAN STANLEY			332.84	332.84
34292	COMM	SYS34292	MSTI 0.0%	12/04/2018		MORGAN STANLEY	332.84			-332.84
37590	COMM	SYS37590	JPM TE 0.44%	12/04/2018	JPMorganChase	JP MORGAN US			0.04	0.04
37590	COMM	SYS37590	JPM TE 0.44%	12/04/2018	JPMorganChase	JP MORGAN US	0.04			-0.04
Totals for 12/04/2018							429,953,194.01	250,000,000.00	332.88	-179,952,861.13
39035	COMM	313384BF5	FHDN DISC NOTE	12/06/2018	MIZUHO	FHLB DISCOUNT	39,854,922.22			-39,854,922.22
39036	COMM	313385S31	FHDN DISC NOTE	12/06/2018	MIZUHO	FHLB DISCOUNT	49,997,013.89			-49,997,013.89
39037	COMM	313385S31	FHDN DISC NOTE	12/06/2018	UBS FINANCE	FHLB DISCOUNT	199,988,055.56			-199,988,055.56
39039	COMM	63873KM79	NATXNY DISC NOTE	12/06/2018	MERRILL LYNCH	Natixis NY Branch	99,994,000.00			-99,994,000.00
39038	COMM	21687BM73	RABO DISC NOTE	12/06/2018	MERRILL LYNCH	RABOBANK	49,997,013.89			-49,997,013.89
37590	COMM	SYS37590	JPM TE 0.44%	12/06/2018	JPMorganChase	JP MORGAN US	200,000,000.00			-200,000,000.00
39029	COMM	313385S23	FHDN DISC NOTE	12/06/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
39030	COMM	313385S23	FHDN DISC NOTE	12/06/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
39033	COMM	63873KM61	NATXNY DISC NOTE	12/06/2018	MERRILL LYNCH	Natixis NY Branch		100,000,000.00		100,000,000.00
39034	COMM	21687BM65	RABO DISC NOTE	12/06/2018	MERRILL LYNCH	RABOBANK		50,000,000.00		50,000,000.00

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Investment #	Fund	CUSIP	Inv Descrip	TransactionDate	Dealer	Issuer	New Principal	Principal Paydowns	Interest	Total Cash
Totals for 12/06/2018							639,831,005.56	400,000,000.00		-239,831,005.56
39041	COMM	313385S64	FHDN DISC NOTE	12/07/2018	MIZUHO	FHLB DISCOUNT	49,991,041.67			-49,991,041.67
39042	COMM	313385S64	FHDN DISC NOTE	12/07/2018	UBS FINANCE	FHLB DISCOUNT	199,964,166.68			-199,964,166.68
39043	COMM	21687BMA6	FHDN DISC NOTE	12/07/2018	MERRILL LYNCH	FHLB DISCOUNT	49,991,041.67			-49,991,041.67
39044	COMM	63873KMA2	NATXNY DISC NOTE	12/07/2018	MERRILL LYNCH	Natixis NY Branch	99,982,000.00			-99,982,000.00
39045	COMM	78012UKV6	RBC 2.9% MAT	12/07/2018	ROYAL BANK OF	ROYAL BANK OF	45,000,000.00			-45,000,000.00
39040	COMM	912796UL1	UNITED STATES	12/07/2018	MIZUHO	U S TREASURY BILL	44,843,318.75			-44,843,318.75
39036	COMM	313385S31	FHDN DISC NOTE	12/07/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
39037	COMM	313385S31	FHDN DISC NOTE	12/07/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
39038	COMM	21687BM73	RABO DISC NOTE	12/07/2018	MERRILL LYNCH	RABOBANK		50,000,000.00		50,000,000.00
39039	COMM	63873KM79	NATXNY DISC NOTE	12/07/2018	MERRILL LYNCH	Natixis NY Branch		100,000,000.00		100,000,000.00
Totals for 12/07/2018							489,771,568.77	400,000,000.00		-89,771,568.77
39046	COMM	06417G3L0	BNSHOU 2.88% MAT	12/10/2018	JPMorganChase	BANK OF NOVA	60,000,000.00			-60,000,000.00
39049	COMM	313385S72	FHDN DISC NOTE	12/10/2018	MIZUHO	FHLB DISCOUNT	49,997,041.67			-49,997,041.67
39050	COMM	313385S72	FHDN DISC NOTE	12/10/2018	UBS FINANCE	FHLB DISCOUNT	199,988,166.68			-199,988,166.68
39048	COMM	63873KMB0	NATXNY DISC NOTE	12/10/2018		Natixis NY Branch	99,994,000.00			-99,994,000.00
39047	COMM	21687BMB4	RABO DISC NOTE	12/10/2018	MERRILL LYNCH	RABOBANK	49,997,013.89			-49,997,013.89
37590	COMM	SYS37590	JPM TE 0.44%	12/10/2018	JPMorganChase	JP MORGAN US	130,000,000.00			-130,000,000.00
39041	COMM	313385S64	FHDN DISC NOTE	12/10/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
39042	COMM	313385S64	FHDN DISC NOTE	12/10/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
39043	COMM	21687BMA6	FHDN DISC NOTE	12/10/2018	MERRILL LYNCH	FHLB DISCOUNT		50,000,000.00		50,000,000.00
39044	COMM	63873KMA2	NATXNY DISC NOTE	12/10/2018	MERRILL LYNCH	Natixis NY Branch		100,000,000.00		100,000,000.00
37194	COMM	3133EGT47	FEDERAL FARM CR	12/10/2018	INCAPITAL LLC	FFCB NOTES			100,500.00	100,500.00
Totals for 12/10/2018							589,976,222.24	400,000,000.00	100,500.00	-189,875,722.24
39053	COMM	0530A3MC9	ADPPP DISC NOTE	12/11/2018	CITIGROUP GLOBAL	AUTO DATA PROC	99,993,888.88			-99,993,888.88
39054	COMM	17305TC83	CITINA 2.92% MAT	12/11/2018	CITIGROUP GLOBAL	CITI BANK NA	50,000,000.00			-50,000,000.00
39051	COMM	313385S80	FHDN DISC NOTE	12/11/2018	UBS FINANCE	FHLB DISCOUNT	199,988,333.32			-199,988,333.32
39052	COMM	313385S80	FHDN DISC NOTE	12/11/2018	MIZUHO	FHLB DISCOUNT	49,997,083.33			-49,997,083.33
39056	COMM	63873KMC8	NATXNY DISC NOTE	12/11/2018	MERRILL LYNCH	Natixis NY Branch	99,994,000.00			-99,994,000.00
39055	COMM	21687BMC2	RABO DISC NOTE	12/11/2018	MERRILL LYNCH	RABOBANK	49,997,013.89			-49,997,013.89
37590	COMM	SYS37590	JPM TE 0.44%	12/11/2018	JPMorganChase	JP MORGAN US	45,000,000.00			-45,000,000.00
39047	COMM	21687BMB4	RABO DISC NOTE	12/11/2018	MERRILL LYNCH	RABOBANK		50,000,000.00		50,000,000.00
39048	COMM	63873KMB0	NATXNY DISC NOTE	12/11/2018		Natixis NY Branch		100,000,000.00		100,000,000.00
39049	COMM	313385S72	FHDN DISC NOTE	12/11/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
39050	COMM	313385S72	FHDN DISC NOTE	12/11/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
37961	COMM	313379RB7	FEDERAL HOME	12/11/2018	INCAPITAL LLC	FHLB NOTES			46,875.00	46,875.00
38102	COMM	3130A3UQ5	FEDERAL HOME	12/11/2018	INCAPITAL LLC	FHLB NOTES			93,750.00	93,750.00
Totals for 12/11/2018							594,970,319.42	400,000,000.00	140,625.00	-194,829,694.42

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39062	COMM	05522RCZ9	BAC 3.0% MAT	12/12/2018	ROYAL BANK OF	BANK OF AMERICA	20,237,710.47			-20,237,710.47
39061	COMM	25215FEK6	DX 2.75% MAT	12/12/2018	DEXIA	DEXIA	30,000,000.00			-30,000,000.00
39058	COMM	313385T22	FHDN DISC NOTE	12/12/2018	MIZUHO	FHLB DISCOUNT	49,994,138.89			-49,994,138.89
39059	COMM	313385T22	FHDN DISC NOTE	12/12/2018	UBS FINANCE	FHLB DISCOUNT	199,976,555.56			-199,976,555.56
39060	COMM	24422MNVW7	JDCCP DISC NOTE	12/12/2018	CITIGROUP GLOBAL	John Deere Capital C	59,796,650.00			-59,796,650.00
39057	COMM	63873KMD6	NATXNY DISC NOTE	12/12/2018	MERRILL LYNCH	Natixis NY Branch	124,992,500.00			-124,992,500.00
39063	COMM	SYS39063	USTN 2.17% MAT	12/12/2018	BARCLAYS CAPITAL	U.S. TREASURY	200,000,000.00			-200,000,000.00
39051	COMM	313385S80	FHDN DISC NOTE	12/12/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
39052	COMM	313385S80	FHDN DISC NOTE	12/12/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
39053	COMM	0530A3MC9	ADPPP DISC NOTE	12/12/2018	CITIGROUP GLOBAL	AUTO DATA PROC		100,000,000.00		100,000,000.00
39055	COMM	21687BMC2	RABO DISC NOTE	12/12/2018	MERRILL LYNCH	RABOBANK		50,000,000.00		50,000,000.00
39056	COMM	63873KMC8	NATXNY DISC NOTE	12/12/2018	MERRILL LYNCH	Natixis NY Branch		100,000,000.00		100,000,000.00
36877	COMM	3133834H1	FEDERAL HOME	12/12/2018	KEYBANC CAPITAL	FHLB NOTES			103,125.00	103,125.00
37037	COMM	3133834H1	FEDERAL HOME	12/12/2018	KEYBANC CAPITAL	FHLB NOTES			68,750.00	68,750.00
37058	COMM	313383HU8	FHLB 1.75% MAT	12/12/2018	KEYBANC CAPITAL	FHLB NOTES			131,250.00	131,250.00
37901	COMM	3133EHMR1	FFCB 1.375% MAT	12/12/2018	Daiwa Capital Market	FFCB NOTES			34,375.00	34,375.00
37905	COMM	3133EHMR1	FFCB 1.375% MAT	12/12/2018	INCAPITAL LLC	FFCB NOTES			34,375.00	34,375.00
38247	COMM	313383HU8	FHLB 1.75% MAT	12/12/2018	KEYBANC CAPITAL	FHLB NOTES			218,750.00	218,750.00
38978	COMM	313370E38	FEDERAL HOME	12/12/2018	KEYBANC CAPITAL	FHLB NOTES			337,500.00	337,500.00
38978	COMM	313370E38	FEDERAL HOME	12/12/2018	KEYBANC CAPITAL	FHLB NOTES		294,375.00	-294,375.00	0.00
Totals for 12/12/2018							684,997,554.92	500,294,375.00	633,750.00	-184,069,429.92
39068	COMM	313385T22	FHDN DISC NOTE	12/13/2018	MERRILL LYNCH	FHLB DISCOUNT	99,994,416.66			-99,994,416.66
39065	COMM	45113VPS3	IBM DISC NOTE	12/13/2018	CITIGROUP GLOBAL	IBM	44,754,375.00			-44,754,375.00
39066	COMM	63873KME4	NATXNY DISC NOTE	12/13/2018	MERRILL LYNCH	Natixis NY Branch	99,994,000.00			-99,994,000.00
39067	COMM	21687BME8	RABO DISC NOTE	12/13/2018	MERRILL LYNCH	RABOBANK	49,997,013.89			-49,997,013.89
39064	COMM	SYS39064	USTN 2.17% MAT	12/13/2018	BARCLAYS CAPITAL	U.S. TREASURY	200,000,000.00			-200,000,000.00
39057	COMM	63873KMD6	NATXNY DISC NOTE	12/13/2018	MERRILL LYNCH	Natixis NY Branch		125,000,000.00		125,000,000.00
39063	COMM	SYS39063	USTN 2.17% MAT	12/13/2018	BARCLAYS CAPITAL	U.S. TREASURY		200,000,000.00		200,000,000.00
39063	COMM	SYS39063	USTN 2.17% MAT	12/13/2018	BARCLAYS CAPITAL	U.S. TREASURY			12,055.54	12,055.54
Totals for 12/13/2018							494,739,805.55	325,000,000.00	12,055.54	-169,727,750.01
39072	COMM	313385T55	FHDN DISC NOTE	12/14/2018	MIZUHO	FHLB DISCOUNT	99,982,833.00			-99,982,833.00
39073	COMM	313385T55	FHDN DISC NOTE	12/14/2018	UBS FINANCE	FHLB DISCOUNT	199,965,666.68			-199,965,666.68
39069	COMM	3130A0F70	FEDERAL HOME	12/14/2018	KEYBANC CAPITAL	FHLB NOTES	10,213,725.00			-10,213,725.00
39070	COMM	63873KMH7	NATXNY DISC NOTE	12/14/2018	MERRILL LYNCH	Natixis NY Branch	99,982,000.00			-99,982,000.00
39071	COMM	21687BMH1	RABO DISC NOTE	12/14/2018	MERRILL LYNCH	RABOBANK	49,991,041.67			-49,991,041.67
39074	COMM	SYS39074	USTN 2.18% MAT	12/14/2018	BARCLAYS CAPITAL	U.S. TREASURY	200,000,000.00			-200,000,000.00
39058	COMM	313385T22	FHDN DISC NOTE	12/14/2018	MIZUHO	FHLB DISCOUNT		50,000,000.00		50,000,000.00
39059	COMM	313385T22	FHDN DISC NOTE	12/14/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
39064	COMM	SYS39064	USTN 2.17% MAT	12/14/2018	BARCLAYS CAPITAL	U.S. TREASURY		200,000,000.00		200,000,000.00

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39066	COMM	63873KME4	NATXNY DISC NOTE	12/14/2018	MERRILL LYNCH	Natixis NY Branch		100,000,000.00		100,000,000.00
39067	COMM	21687BME8	RABO DISC NOTE	12/14/2018	MERRILL LYNCH	RABOBANK		50,000,000.00		50,000,000.00
39068	COMM	313385T22	FHDN DISC NOTE	12/14/2018	MERRILL LYNCH	FHLB DISCOUNT		100,000,000.00		100,000,000.00
36402	COMM	313379EE5	FEDERAL HOME	12/14/2018	INCAPITAL LLC	FHLB NOTES			139,750.00	139,750.00
36550	COMM	313379EE5	FEDERAL HOME	12/14/2018	DEUTSCHE BANK	FHLB NOTES			121,875.00	121,875.00
36823	COMM	3134G9QW0	FEDERAL HOME LN	12/14/2018	JEFFERIES & CO,	FHLMC NOTES			128,000.00	128,000.00
38469	COMM	313379EE5	FEDERAL HOME	12/14/2018	KEYBANC CAPITAL	FHLB NOTES			203,125.00	203,125.00
39064	COMM	SYS39064	USTN 2.17% MAT	12/14/2018	BARCLAYS CAPITAL	U.S. TREASURY			12,055.54	12,055.54
Totals for 12/14/2018							660,135,266.35	700,000,000.00	604,805.54	40,469,539.19
39075	COMM	3133EJ3B3	FEDERAL FARM CR	12/17/2018	INCAPITAL LLC	FFCB NOTES	9,987,400.00			-9,987,400.00
39077	COMM	313385T63	FHDN DISC NOTE	12/17/2018	UBS FINANCE	FHLB DISCOUNT	199,988,055.56			-199,988,055.56
39078	COMM	313385T63	FHDN DISC NOTE	12/17/2018	MIZUHO	FHLB DISCOUNT	99,994,028.00			-99,994,028.00
39080	COMM	63873KMJ3	NATXNY DISC NOTE	12/17/2018	MERRILL LYNCH	Natixis NY Branch	99,994,000.00			-99,994,000.00
39079	COMM	21687BMJ7	RABO DISC NOTE	12/17/2018	MERRILL LYNCH	RABOBANK	49,997,013.89			-49,997,013.89
39076	COMM	SYS39076	USTN 2.27% MAT	12/17/2018	BARCLAYS CAPITAL	U.S. TREASURY	200,000,000.00			-200,000,000.00
36753	COMM	89231UAD9	TOYO 1.3% MAT	12/17/2018	CITIGROUP GLOBAL	TOYOTA AUTO REC		188,709.07		188,709.07
36753	COMM	89231UAD9	TOYO 1.3% MAT	12/17/2018	CITIGROUP GLOBAL	TOYOTA AUTO REC		9.64		9.64
39070	COMM	63873KMH7	NATXNY DISC NOTE	12/17/2018	MERRILL LYNCH	Natixis NY Branch	100,000,000.00			100,000,000.00
39071	COMM	21687BMH1	RABO DISC NOTE	12/17/2018	MERRILL LYNCH	RABOBANK	50,000,000.00			50,000,000.00
39072	COMM	313385T55	FHDN DISC NOTE	12/17/2018	MIZUHO	FHLB DISCOUNT	100,000,000.00			100,000,000.00
39073	COMM	313385T55	FHDN DISC NOTE	12/17/2018	UBS FINANCE	FHLB DISCOUNT	200,000,000.00			200,000,000.00
39074	COMM	SYS39074	USTN 2.18% MAT	12/17/2018	BARCLAYS CAPITAL	U.S. TREASURY	200,000,000.00			200,000,000.00
36753	COMM	89231UAD9	TOYO 1.3% MAT	12/17/2018	CITIGROUP GLOBAL	TOYOTA AUTO REC			1,326.51	1,326.51
37849	COMM	3134GBRR5	FHLMC 1.8% MAT	12/17/2018	INCAPITAL LLC	FHLMC NOTES			180,000.00	180,000.00
38076	COMM	931142EA7	WAL-MART STORES	12/17/2018	BARCLAYS CAPITAL	WALMART			66,500.00	66,500.00
38796	COMM	3134GSMY8	FEDERAL HOME LN	12/17/2018	INCAPITAL LLC	FHLMC NOTES			206,250.00	206,250.00
39074	COMM	SYS39074	USTN 2.18% MAT	12/17/2018	BARCLAYS CAPITAL	U.S. TREASURY			36,333.32	36,333.32
36557	COMM	65478UAD1	NALT 1.34% MAT	12/17/2018	MERRILL LYNCH	NISSAN AUTO			2,661.55	2,661.55
36557	COMM	65478UAD1	NALT 1.34% MAT	12/17/2018	MERRILL LYNCH	NISSAN AUTO		281,843.18		281,843.18
36600	COMM	47788MAC4	JDOT 1.36% MAT	12/17/2018	MERRILL LYNCH	JOHN DEERE			2,685.82	2,685.82
36600	COMM	47788MAC4	JDOT 1.36% MAT	12/17/2018	MERRILL LYNCH	JOHN DEERE		455,519.49		455,519.49
36601	COMM	89237KAD5	TAOT 1.25% MAT	12/17/2018	MERRILL LYNCH	TOYOTA AUTO REC			3,542.16	3,542.16
36601	COMM	89237KAD5	TAOT 1.25% MAT	12/17/2018	MERRILL LYNCH	TOYOTA AUTO REC		631,277.27		631,277.27
36800	COMM	43814QAC2	HAROT 1.39% MAT	12/17/2018	MERRILL LYNCH	HONDA AUTO			4,108.30	4,108.30
36800	COMM	43814QAC2	HAROT 1.39% MAT	12/17/2018	MERRILL LYNCH	HONDA AUTO		554,528.69		554,528.69
36905	COMM	47788NAC2	JDOT 1.25% MAT	12/17/2018	ROYAL BANK OF	JOHN DEERE			3,989.14	3,989.14
36905	COMM	47788NAC2	JDOT 1.25% MAT	12/17/2018	ROYAL BANK OF	JOHN DEERE		493,100.36		493,100.36
36929	COMM	161571HF4	CHAIT 1.27% MAT	12/17/2018	JPMorganChase	CHASE ISSUANCE			24,341.66	24,341.66
36929	COMM	161571HF4	CHAIT 1.27% MAT	12/17/2018	JPMorganChase	CHASE ISSUANCE		813,607.73		813,607.73
36956	COMM	58769BAD6	MBART 1.26% MAT	12/17/2018	CITIGROUP GLOBAL	MERCEDES -BENZ			6,511.76	6,511.76

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36956	COMM	58769BAD6	MBART 1.26% MAT	12/17/2018	CITIGROUP GLOBAL	MERCEDES -BENZ		596,832.08		596,832.08
37035	COMM	89231LAD9	TAOT 1.23% MAT	12/17/2018	JPMorganChase	TOYOTA AUTO REC			9,544.70	9,544.70
37035	COMM	89231LAD9	TAOT 1.23% MAT	12/17/2018	JPMorganChase	TOYOTA AUTO REC		916,882.34		916,882.34
37065	COMM	58768MAC5	MBALT 1.35% MAT	12/17/2018	BANK OF AMERICA	MERCEDES-BENZ			1,053.96	1,053.96
37065	COMM	58768MAC5	MBALT 1.35% MAT	12/17/2018	BANK OF AMERICA	MERCEDES-BENZ		701,869.14		701,869.14
37507	COMM	47787XAC1	JDOT 1.78% MAT	12/17/2018	BANK OF AMERICA	JOHN DEERE			12,016.94	12,016.94
37507	COMM	47787XAC1	JDOT 1.78% MAT	12/17/2018	BANK OF AMERICA	JOHN DEERE		615,352.21		615,352.21
37568	COMM	89238MAD0	TAOT 1.73% MAT	12/17/2018	BANK OF AMERICA	TOYOTA AUTO REC			13,990.40	13,990.40
37568	COMM	89238MAD0	TAOT 1.73% MAT	12/17/2018	BANK OF AMERICA	TOYOTA AUTO REC		714,127.54		714,127.54
37862	COMM	02582JHG8	AME 1.64% MAT	12/17/2018	ROYAL BANK OF	AMERICAN			46,466.68	46,466.68
37862	COMM	02582JHG8	AME 1.64% MAT	12/17/2018	ROYAL BANK OF	AMERICAN		1,003,047.39		1,003,047.39
37976	COMM	43811BAC8	HAROT 1.68% MAT	12/17/2018	CITIGROUP GLOBAL	HONDA AUTO			39,200.00	39,200.00
37976	COMM	43811BAC8	HAROT 1.68% MAT	12/17/2018	CITIGROUP GLOBAL	HONDA AUTO		887,548.33		887,548.33
38137	COMM	89238KAD4	TAOT 1.93% MAT	12/17/2018	JPMorganChase	TOYOTA AUTO REC			38,599.99	38,599.99
38137	COMM	89238KAD4	TAOT 1.93% MAT	12/17/2018	JPMorganChase	TOYOTA AUTO REC		648,042.65		648,042.65
38475	COMM	65478DAD9	NALT 2.65% MAT	12/17/2018	MERRILL LYNCH	NISSAN AUTO			40,854.16	40,854.16
38475	COMM	65478DAD9	NALT 2.65% MAT	12/17/2018	MERRILL LYNCH	NISSAN AUTO		440,981.76		440,981.76
38476	COMM	47788CAC6	JDOT 2.66% MAT	12/17/2018	ROYAL BANK OF	JOHN DEERE			18,287.50	18,287.50
38476	COMM	47788CAC6	JDOT 2.66% MAT	12/17/2018	ROYAL BANK OF	JOHN DEERE		199,824.25		199,824.25
38646	COMM	02582JHQ6	AME 2.67% MAT	12/17/2018	BARCLAYS CAPITAL	AMERICAN			100,125.00	100,125.00
38646	COMM	02582JHQ6	AME 2.67% MAT	12/17/2018	BARCLAYS CAPITAL	AMERICAN		955,977.21		955,977.21
38708	COMM	161571HN7	CHAIT 2.1227% MAT	12/17/2018	BARCLAYS CAPITAL	CHASE ISSUANCE			82,436.00	82,436.00
38708	COMM	161571HN7	CHAIT 2.1227% MAT	12/17/2018	BARCLAYS CAPITAL	CHASE ISSUANCE		690,669.44		690,669.44
38785	COMM	58769DAE0	MBALT 2.01% MAT	12/17/2018	BOK FINANCIAL	MERCEDES-BENZ			6,700.00	6,700.00
38785	COMM	58769DAE0	MBALT 2.01% MAT	12/17/2018	BOK FINANCIAL	MERCEDES-BENZ		87,079.90		87,079.90
38958	COMM	89231PAD0	TAOT 3.18% MAT	12/17/2018	JPMorganChase	TOYOTA AUTO REC			33,566.67	33,566.67
38958	COMM	89231PAD0	TAOT 3.18% MAT	12/17/2018	JPMorganChase	TOYOTA AUTO REC		181,215.22		181,215.22
39013	COMM	43815AAC6	HAROT 3.16% MAT	12/17/2018	JPMorganChase	HONDA AUTO			32,455.83	32,455.83
39013	COMM	43815AAC6	HAROT 3.16% MAT	12/17/2018	JPMorganChase	HONDA AUTO		402,535.90		402,535.90
39062	COMM	05522RCZ9	BAC 3.0% MAT	12/17/2018	ROYAL BANK OF	BANK OF AMERICA			-45,315.00	-45,315.00
39062	COMM	05522RCZ9	BAC 3.0% MAT	12/17/2018	ROYAL BANK OF	BANK OF AMERICA				0.00
39062	COMM	05522RCZ9	BAC 3.0% MAT	12/17/2018	ROYAL BANK OF	BANK OF AMERICA			50,350.00	50,350.00
39062	COMM	05522RCZ9	BAC 3.0% MAT	12/17/2018	ROYAL BANK OF	BANK OF AMERICA		343,155.00		343,155.00
Totals for 12/17/2018							659,960,497.45	662,803,735.79	1,018,583.05	3,861,821.39
39082	COMM	05522RDA3	BACCT 3.1% MAT	12/18/2018	ROYAL BANK OF	BANK OF AMERICA	15,008,335.94			-15,008,335.94
39081	COMM	06370RRU5	BMOCHI 2.88% MAT	12/18/2018	BMO CAPITAL	BANK OF	50,000,000.00			-50,000,000.00
39083	COMM	313385T71	FHDN DISC NOTE	12/18/2018	UBS FINANCE	FHLB DISCOUNT	199,988,055.56			-199,988,055.56
39084	COMM	313385T71	FHDN DISC NOTE	12/18/2018	MIZUHO	FHLB DISCOUNT	99,994,028.00			-99,994,028.00
39085	COMM	63873KMK0	NATXNY DISC NOTE	12/18/2018	MERRILL LYNCH	Natixis NY Branch	99,994,000.00			-99,994,000.00
39087	COMM	21685V7C7	RABO 2.85% MAT	12/18/2018	MERRILL LYNCH	RABOBANK	50,000,000.00			-50,000,000.00

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39086	COMM	SYS39086	USTN 2.3% MAT	12/18/2018	BARCLAYS CAPITAL	U.S. TREASURY	200,000,000.00			-200,000,000.00
39076	COMM	SYS39076	USTN 2.27% MAT	12/18/2018	BARCLAYS CAPITAL	U.S. TREASURY		200,000,000.00		200,000,000.00
39077	COMM	313385T63	FHDN DISC NOTE	12/18/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
39078	COMM	313385T63	FHDN DISC NOTE	12/18/2018	MIZUHO	FHLB DISCOUNT		100,000,000.00		100,000,000.00
39079	COMM	21687BMJ7	RABO DISC NOTE	12/18/2018	MERRILL LYNCH	RABOBANK		50,000,000.00		50,000,000.00
39080	COMM	63873KMJ3	NATXNY DISC NOTE	12/18/2018	MERRILL LYNCH	Natixis NY Branch		100,000,000.00		100,000,000.00
39076	COMM	SYS39076	USTN 2.27% MAT	12/18/2018	BARCLAYS CAPITAL	U.S. TREASURY			12,611.12	12,611.12
36587	COMM	43814NAC9	HAROT 1.22% MAT	12/18/2018	JPMorganChase	HONDA AUTO			2,349.56	2,349.56
36587	COMM	43814NAC9	HAROT 1.22% MAT	12/18/2018	JPMorganChase	HONDA AUTO		595,575.75		595,575.75
37059	COMM	43814RAC0	HAROT 1.21% MAT	12/18/2018	BARCLAYS CAPITAL	HONDA AUTO			8,319.50	8,319.50
37059	COMM	43814RAC0	HAROT 1.21% MAT	12/18/2018	BARCLAYS CAPITAL	HONDA AUTO		677,451.57		677,451.57
38738	COMM	43814UAG4	HAROT 3.01% MAT	12/18/2018	BARCLAYS CAPITAL	HONDA AUTO			30,100.00	30,100.00
38738	COMM	43814UAG4	HAROT 3.01% MAT	12/18/2018	BARCLAYS CAPITAL	HONDA AUTO		285,052.23		285,052.23
Totals for 12/18/2018							714,984,419.50	651,558,079.55	53,380.18	-63,372,959.77
39089	COMM	313385T89	FHDN DISC NOTE	12/19/2018	UBS FINANCE	FHLB DISCOUNT	199,987,944.44			-199,987,944.44
39090	COMM	313385T89	FHDN DISC NOTE	12/19/2018	MIZUHO	FHLB DISCOUNT	99,993,972.00			-99,993,972.00
39092	COMM	88580DN26	MMMP DISC NOTE	12/19/2018	CITIGROUP GLOBAL	3M COMPANY	49,953,527.78			-49,953,527.78
39091	COMM	63873KML8	NATXNY DISC NOTE	12/19/2018	MERRILL LYNCH	Natixis NY Branch	99,994,000.00			-99,994,000.00
39088	COMM	SYS39088	USTN 2.3% MAT	12/19/2018	BARCLAYS CAPITAL	U.S. TREASURY	200,000,000.00			-200,000,000.00
39083	COMM	313385T71	FHDN DISC NOTE	12/19/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
39084	COMM	313385T71	FHDN DISC NOTE	12/19/2018	MIZUHO	FHLB DISCOUNT		100,000,000.00		100,000,000.00
39085	COMM	63873KMK0	NATXNY DISC NOTE	12/19/2018	MERRILL LYNCH	Natixis NY Branch		100,000,000.00		100,000,000.00
39086	COMM	SYS39086	USTN 2.3% MAT	12/19/2018	BARCLAYS CAPITAL	U.S. TREASURY		200,000,000.00		200,000,000.00
39086	COMM	SYS39086	USTN 2.3% MAT	12/19/2018	BARCLAYS CAPITAL	U.S. TREASURY			12,777.78	12,777.78
Totals for 12/19/2018							649,929,444.22	600,000,000.00	12,777.78	-49,916,666.44
39094	COMM	313385T97	FHDN DISC NOTE	12/20/2018	UBS FINANCE	FHLB DISCOUNT	199,986,944.44			-199,986,944.44
39095	COMM	313385T97	FHDN DISC NOTE	12/20/2018	MIZUHO	FHLB DISCOUNT	99,993,472.00			-99,993,472.00
39096	COMM	313385T97	FHDN DISC NOTE	12/20/2018	MERRILL LYNCH	FHLB DISCOUNT	49,996,736.11			-49,996,736.11
39093	COMM	3137FBUV6	FHLMCM 2.52688%	12/20/2018	BOK FINANCIAL	FHLMC Multi-Family	20,057,691.12			-20,057,691.12
39097	COMM	63873KMM6	NATXNY DISC NOTE	12/20/2018	MERRILL LYNCH	Natixis NY Branch	49,996,722.22			-49,996,722.22
39098	COMM	SYS39098	USTN 2.38% MAT	12/20/2018	BARCLAYS CAPITAL	U.S. TREASURY	200,000,000.00			-200,000,000.00
39088	COMM	SYS39088	USTN 2.3% MAT	12/20/2018	BARCLAYS CAPITAL	U.S. TREASURY		200,000,000.00		200,000,000.00
39089	COMM	313385T89	FHDN DISC NOTE	12/20/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
39090	COMM	313385T89	FHDN DISC NOTE	12/20/2018	MIZUHO	FHLB DISCOUNT		100,000,000.00		100,000,000.00
39091	COMM	63873KML8	NATXNY DISC NOTE	12/20/2018	MERRILL LYNCH	Natixis NY Branch		100,000,000.00		100,000,000.00
37893	COMM	3134GBRZ7	FEDERAL HOME LN	12/20/2018	INCAPITAL LLC	FHLMC NOTES			112,500.00	112,500.00
39088	COMM	SYS39088	USTN 2.3% MAT	12/20/2018	BARCLAYS CAPITAL	U.S. TREASURY			12,777.78	12,777.78
37036	COMM	05582XAD4	BMWLT 1.43% MAT	12/20/2018	MIZUHO	BMW VEHICLE			3,313.74	3,313.74
37036	COMM	05582XAD4	BMWLT 1.43% MAT	12/20/2018	MIZUHO	BMW VEHICLE		764,006.03		764,006.03

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Totals for 12/20/2018							620,031,565.89	600,764,006.03	128,591.52	-19,138,968.34
39100	COMM	313385U46	FHDN DISC NOTE	12/21/2018	MIZUHO	FHLB DISCOUNT	99,980,417.00			-99,980,417.00
39101	COMM	313385U46	FHDN DISC NOTE	12/21/2018	UBS FINANCE	FHLB DISCOUNT	199,960,833.32			-199,960,833.32
39099	COMM	63873KNX1	NATXNY DISC NOTE	12/21/2018	MERRILL LYNCH	Natixis NY Branch	49,851,944.44			-49,851,944.44
39102	COMM	912828Y46	UNITED STATES	12/21/2018	MERRILL LYNCH	U.S. TREASURY	15,137,185.80			-15,137,185.80
39103	COMM	912828S43	UNITED STATES	12/21/2018	DEUTSCHE BANK	U.S. TREASURY	34,757,948.37			-34,757,948.37
39104	COMM	SYS39104	USTN 2.39% MAT	12/21/2018	BARCLAYS CAPITAL	U.S. TREASURY	200,000,000.00			-200,000,000.00
39094	COMM	313385T97	FHDN DISC NOTE	12/21/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
39095	COMM	313385T97	FHDN DISC NOTE	12/21/2018	MIZUHO	FHLB DISCOUNT		100,000,000.00		100,000,000.00
39096	COMM	313385T97	FHDN DISC NOTE	12/21/2018	MERRILL LYNCH	FHLB DISCOUNT		50,000,000.00		50,000,000.00
39097	COMM	63873KMM6	NATXNY DISC NOTE	12/21/2018	MERRILL LYNCH	Natixis NY Branch		50,000,000.00		50,000,000.00
39098	COMM	SYS39098	USTN 2.38% MAT	12/21/2018	BARCLAYS CAPITAL	U.S. TREASURY		200,000,000.00		200,000,000.00
38718	COMM	3133EJXP1	FEDERAL FARM CR	12/21/2018	INCAPITAL LLC	FFCB NOTES			71,875.00	71,875.00
39098	COMM	SYS39098	USTN 2.38% MAT	12/21/2018	BARCLAYS CAPITAL	U.S. TREASURY			13,222.23	13,222.23
37615	COMM	43814TAC6	HAROT 1.72% MAT	12/21/2018	BANK OF AMERICA	HONDA AUTO			20,788.15	20,788.15
37615	COMM	43814TAC6	HAROT 1.72% MAT	12/21/2018	BANK OF AMERICA	HONDA AUTO		947,466.73		947,466.73
Totals for 12/21/2018							599,688,328.93	600,947,466.73	105,885.38	1,365,023.18
39105	COMM	3133EJY60	FEDERAL FARM CR	12/24/2018	INCAPITAL LLC	FFCB NOTES	12,628,395.83			-12,628,395.83
39107	COMM	3133EFX44	FEDERAL FARM CR	12/24/2018	BREAN CAPITAL LLC	FFCB NOTES	5,357,628.48			-5,357,628.48
39108	COMM	3133EJ3B3	FEDERAL FARM CR	12/24/2018	INCAPITAL LLC	FFCB NOTES	4,310,554.11			-4,310,554.11
39109	COMM	313385U61	FHDN DISC NOTE	12/24/2018	MIZUHO	FHLB DISCOUNT	99,986,889.00			-99,986,889.00
39110	COMM	313385U61	FHDN DISC NOTE	12/24/2018	UBS FINANCE	FHLB DISCOUNT	199,973,777.76			-199,973,777.76
39106	COMM	3130A0F70	FEDERAL HOME	12/24/2018	KEYBANC CAPITAL	FHLB NOTES	3,594,955.00			-3,594,955.00
39111	COMM	SYS39111	USTN 2.4% MAT	12/24/2018	BARCLAYS CAPITAL	U.S. TREASURY	200,000,000.00			-200,000,000.00
39100	COMM	313385U46	FHDN DISC NOTE	12/24/2018	MIZUHO	FHLB DISCOUNT		100,000,000.00		100,000,000.00
39101	COMM	313385U46	FHDN DISC NOTE	12/24/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
39104	COMM	SYS39104	USTN 2.39% MAT	12/24/2018	BARCLAYS CAPITAL	U.S. TREASURY		200,000,000.00		200,000,000.00
37861	COMM	3134GBRU8	FEDERAL HOME LN	12/24/2018	INCAPITAL LLC	FHLMC NOTES			243,750.00	243,750.00
37880	COMM	3134GBSM5	FEDERAL HOME LN	12/24/2018	INCAPITAL LLC	FHLMC NOTES			46,325.00	46,325.00
37894	COMM	3134GBSW3	FEDERAL HOME LN	12/24/2018	INCAPITAL LLC	FHLMC NOTES			43,750.00	43,750.00
38826	COMM	931142EG4	WALMART INC, SR	12/24/2018	CITIGROUP GLOBAL	WALMART			557,333.32	557,333.32
39104	COMM	SYS39104	USTN 2.39% MAT	12/24/2018	BARCLAYS CAPITAL	U.S. TREASURY			39,833.34	39,833.34
Totals for 12/24/2018							525,852,200.18	500,000,000.00	930,991.66	-24,921,208.52
39026	COMM	3137B5KW2	FHLMC SERIES	12/25/2018	INCAPITAL LLC	FHLMC Multi-Family			-1,921.11	-1,921.11
39026	COMM	3137B5KW2	FHLMC SERIES	12/25/2018	INCAPITAL LLC	FHLMC Multi-Family				0.00
Totals for 12/25/2018									-1,921.11	-1,921.11
39116	COMM	313385U79	FHDN DISC NOTE	12/26/2018	UBS FINANCE	FHLB DISCOUNT	199,986,888.88			-199,986,888.88
39117	COMM	313385U79	FHDN DISC NOTE	12/26/2018	MIZUHO	FHLB DISCOUNT	99,993,527.78			-99,993,527.78

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39118	COMM	3134G94B0	FEDERAL HOME LN	12/26/2018	BREAN CAPITAL LLC	FHLMC NOTES	1,985,250.00			-1,985,250.00
39115	COMM	SYS39115	USTN 2.43% MAT	12/26/2018	BARCLAYS CAPITAL	U.S. TREASURY	200,000,000.00			-200,000,000.00
39109	COMM	313385U61	FHDN DISC NOTE	12/26/2018	MIZUHO	FHLB DISCOUNT		100,000,000.00		100,000,000.00
39110	COMM	313385U61	FHDN DISC NOTE	12/26/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
39111	COMM	SYS39111	USTN 2.4% MAT	12/26/2018	BARCLAYS CAPITAL	U.S. TREASURY		200,000,000.00		200,000,000.00
38831	COMM	3133EJSU4	FEDERAL FARM CR	12/26/2018	KEYBANC CAPITAL	FFCB NOTES			126,500.00	126,500.00
38831	COMM	3133EJSU4	FEDERAL FARM CR	12/26/2018	KEYBANC CAPITAL	FFCB NOTES		2,108.33	-2,108.33	0.00
39111	COMM	SYS39111	USTN 2.4% MAT	12/26/2018	BARCLAYS CAPITAL	U.S. TREASURY			26,666.67	26,666.67
36893	COMM	05582QAD9	BMWOT 1.16% MAT	12/26/2018	JPMorganChase	BMW VEHICLE			4,904.90	4,904.90
36893	COMM	05582QAD9	BMWOT 1.16% MAT	12/26/2018	JPMorganChase	BMW VEHICLE		541,185.22		541,185.22
38387	COMM	3137AYCE9	FHLMCM 2.682%	12/26/2018	BREAN CAPITAL LLC	FHLMC Multi-Family			44,700.00	44,700.00
38387	COMM	3137AYCE9	FHLMCM 2.682%	12/26/2018	BREAN CAPITAL LLC	FHLMC Multi-Family		499,902.72		499,902.72
38391	COMM	3137AYCE9	FHLMCM 2.682%	12/26/2018	BREAN CAPITAL LLC	FHLMC Multi-Family			16,762.50	16,762.50
38391	COMM	3137AYCE9	FHLMCM 2.682%	12/26/2018	BREAN CAPITAL LLC	FHLMC Multi-Family		187,369.35		187,369.35
38412	COMM	09659QAD9	BMWOT 2.35% MAT	12/26/2018	JPMorganChase	BMW VEHICLE			62,666.66	62,666.66
38412	COMM	09659QAD9	BMWOT 2.35% MAT	12/26/2018	JPMorganChase	BMW VEHICLE		808,206.20		808,206.20
38465	COMM	3137AWQH1	FHLMCM 2.307%	12/26/2018	BREAN CAPITAL LLC	FHLMC Multi-Family			10,727.55	10,727.55
38465	COMM	3137AWQH1	FHLMCM 2.307%	12/26/2018	BREAN CAPITAL LLC	FHLMC Multi-Family		141,149.26		141,149.26
38477	COMM	3138LAYM5	FHLMCM 2.55% MAT	12/26/2018	BOK FINANCIAL	FNMA Multi-Family			7,541.20	7,541.20
38477	COMM	3138LAYM5	FHLMCM 2.55% MAT	12/26/2018	BOK FINANCIAL	FNMA Multi-Family		5,863.88		5,863.88
38643	COMM	3137B36J2	FHLMCM 3.32% MAT	12/26/2018	BARCLAYS CAPITAL	FHLMC Multi-Family			55,333.34	55,333.34
38643	COMM	3137B36J2	FHLMCM 3.32% MAT	12/26/2018	BARCLAYS CAPITAL	FHLMC Multi-Family		467,088.79		467,088.79
38664	COMM	3136B1XP4	FNMAM 3.56% MAT	12/26/2018	VINING SPARKS IBG	FNMA Multi-Family			11,517.44	11,517.44
38664	COMM	3136B1XP4	FNMAM 3.56% MAT	12/26/2018	VINING SPARKS IBG	FNMA Multi-Family		82,576.22		82,576.22
38665	COMM	3136B1XP4	FNMAM 3.56% MAT	12/26/2018	JPMorganChase	FNMA Multi-Family			11,517.44	11,517.44
38665	COMM	3136B1XP4	FNMAM 3.56% MAT	12/26/2018	JPMorganChase	FNMA Multi-Family		82,576.22		82,576.22
38666	COMM	3137AYCE9	FHLMCM 2.682%	12/26/2018	BREAN CAPITAL LLC	FHLMC Multi-Family			26,250.08	26,250.08
38666	COMM	3137AYCE9	FHLMCM 2.682%	12/26/2018	BREAN CAPITAL LLC	FHLMC Multi-Family		288,095.42		288,095.42
38744	COMM	3137AYCE9	FHLMCM 2.682%	12/26/2018	BREAN CAPITAL LLC	FHLMC Multi-Family			44,700.00	44,700.00
38744	COMM	3137AYCE9	FHLMCM 2.682%	12/26/2018	BREAN CAPITAL LLC	FHLMC Multi-Family		490,758.33		490,758.33
38854	COMM	3137B4WB8	FHLMCM 3.06% MAT	12/26/2018	BREAN CAPITAL LLC	FHLMC Multi-Family			12,176.25	12,176.25
38854	COMM	3137B4WB8	FHLMCM 3.06% MAT	12/26/2018	BREAN CAPITAL LLC	FHLMC Multi-Family		101,951.30		101,951.30
38864	COMM	3137B5JM6	FHLMCM 3.531%	12/26/2018	INCAPITAL LLC	FHLMC Multi-Family			29,425.00	29,425.00
38864	COMM	3137B5JM6	FHLMCM 3.531%	12/26/2018	INCAPITAL LLC	FHLMC Multi-Family		214,876.43		214,876.43
38884	COMM	31381N7G2	FNMAM 3.27% MAT	12/26/2018	BOK FINANCIAL	FNMA Multi-Family			16,410.24	16,410.24
38884	COMM	31381N7G2	FNMAM 3.27% MAT	12/26/2018	BOK FINANCIAL	FNMA Multi-Family		2,553,485.53		2,553,485.53
38945	COMM	3137B3NA2	FHLMC REMIC	12/26/2018	INCAPITAL LLC	FHLMC Multi-Family			28,723.99	28,723.99
38945	COMM	3137B3NA2	FHLMC REMIC	12/26/2018	INCAPITAL LLC	FHLMC Multi-Family		236,262.96		236,262.96
38945	COMM	3137B3NA2	FHLMC REMIC	12/26/2018	INCAPITAL LLC	FHLMC Multi-Family			-957.47	-957.47
38945	COMM	3137B3NA2	FHLMC REMIC	12/26/2018	INCAPITAL LLC	FHLMC Multi-Family				0.00

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39093	COMM	3137FBUV6	FHLMCM 2.52688%	12/26/2018	BOK FINANCIAL	FHLMC Multi-Family			42,114.66	42,114.66
39093	COMM	3137FBUV6	FHLMCM 2.52688%	12/26/2018	BOK FINANCIAL	FHLMC Multi-Family		1,021,213.24		1,021,213.24
39093	COMM	3137FBUV6	FHLMCM 2.52688%	12/26/2018	BOK FINANCIAL	FHLMC Multi-Family			-35,095.56	-35,095.56
39093	COMM	3137FBUV6	FHLMCM 2.52688%	12/26/2018	BOK FINANCIAL	FHLMC Multi-Family				0.00
Totals for 12/26/2018							501,965,666.66	507,724,669.40	540,476.56	6,299,479.30
39120	COMM	313385U87	FHDN DISC NOTE	12/27/2018	UBS FINANCE	FHLB DISCOUNT	199,986,944.44			-199,986,944.44
39121	COMM	313385U87	FHDN DISC NOTE	12/27/2018	MIZUHO	FHLB DISCOUNT	99,993,472.22			-99,993,472.22
39122	COMM	3134GSL60	FHLMC 3.0% MAT	12/27/2018	INCAPITAL LLC	FHLMC NOTES	25,000,000.00			-25,000,000.00
39123	COMM	3134GSJ48	FEDERAL HOME LN	12/27/2018	INCAPITAL LLC	FHLMC NOTES	30,000,000.00			-30,000,000.00
39119	COMM	SYS39119	USTN 2.43% MAT	12/27/2018	BARCLAYS CAPITAL	U.S. TREASURY	200,000,000.00			-200,000,000.00
39115	COMM	SYS39115	USTN 2.43% MAT	12/27/2018	BARCLAYS CAPITAL	U.S. TREASURY		200,000,000.00		200,000,000.00
39116	COMM	313385U79	FHDN DISC NOTE	12/27/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
39117	COMM	313385U79	FHDN DISC NOTE	12/27/2018	MIZUHO	FHLB DISCOUNT		100,000,000.00		100,000,000.00
38544	COMM	3133EJHS1	FEDERAL FARM CR	12/27/2018	INCAPITAL LLC	FFCB NOTES			275,625.00	275,625.00
39115	COMM	SYS39115	USTN 2.43% MAT	12/27/2018	BARCLAYS CAPITAL	U.S. TREASURY			13,499.98	13,499.98
Totals for 12/27/2018							554,980,416.66	500,000,000.00	289,124.98	-54,691,291.68
39126	COMM	313385V37	FHDN DISC NOTE	12/28/2018	UBS FINANCE	FHLB DISCOUNT	174,967,333.34			-174,967,333.34
39128	COMM	313384CL1	FHDN DISC NOTE	12/28/2018	UBS FINANCE	FHLB DISCOUNT	24,897,097.22			-24,897,097.22
39127	COMM	63873KMX2	NATXNY DISC NOTE	12/28/2018	MERRILL LYNCH	Natixis NY Branch	49,990,166.67			-49,990,166.67
39125	COMM	21687BMX6	RABO DISC NOTE	12/28/2018	MERRILL LYNCH	RABOBANK	24,995,104.17			-24,995,104.17
39124	COMM	SYS39124	USTN 2.4% MAT	12/28/2018	BARCLAYS CAPITAL	U.S. TREASURY	200,000,000.00			-200,000,000.00
36848	COMM	3134G9ZR1	FEDERAL HOME LN	12/28/2018	INCAPITAL LLC	FHLMC NOTES		10,625,000.00		10,625,000.00
39119	COMM	SYS39119	USTN 2.43% MAT	12/28/2018	BARCLAYS CAPITAL	U.S. TREASURY		200,000,000.00		200,000,000.00
39120	COMM	313385U87	FHDN DISC NOTE	12/28/2018	UBS FINANCE	FHLB DISCOUNT		200,000,000.00		200,000,000.00
39121	COMM	313385U87	FHDN DISC NOTE	12/28/2018	MIZUHO	FHLB DISCOUNT		100,000,000.00		100,000,000.00
36845	COMM	3136G3TD7	FEDERAL NATL MTG	12/28/2018	BREAN CAPITAL LLC	FNMA NOTES			77,880.00	77,880.00
36846	COMM	3136G3TB1	FEDERAL NATL MTG	12/28/2018	INCAPITAL LLC	FNMA NOTES			66,275.00	66,275.00
36848	COMM	3134G9ZR1	FEDERAL HOME LN	12/28/2018	INCAPITAL LLC	FHLMC NOTES			53,125.00	53,125.00
36849	COMM	3136G3SQ9	FEDERAL NATL MTG	12/28/2018	INCAPITAL LLC	FNMA NOTES			143,750.00	143,750.00
37289	COMM	3130AADN5	FEDERAL HOME	12/28/2018	INCAPITAL LLC	FHLB NOTES			275,000.00	275,000.00
38334	COMM	3134GSAC9	FEDERAL HOME LN	12/28/2018	INCAPITAL LLC	FHLMC NOTES			102,500.00	102,500.00
38827	COMM	3134GSPR0	FHLMC 3.0% MAT	12/28/2018	INCAPITAL LLC	FHLMC NOTES			330,000.00	330,000.00
39119	COMM	SYS39119	USTN 2.43% MAT	12/28/2018	BARCLAYS CAPITAL	U.S. TREASURY			13,499.99	13,499.99
Totals for 12/28/2018							474,849,701.40	510,625,000.00	1,062,029.99	36,837,328.59
39129	COMM	313384AB5	FHDN DISC NOTE	12/31/2018	UBS FINANCE	FHLB DISCOUNT	174,979,097.23			-174,979,097.23
39124	COMM	SYS39124	USTN 2.4% MAT	12/31/2018	BARCLAYS CAPITAL	U.S. TREASURY		200,000,000.00		200,000,000.00
39125	COMM	21687BMX6	RABO DISC NOTE	12/31/2018	MERRILL LYNCH	RABOBANK		25,000,000.00		25,000,000.00
39126	COMM	313385V37	FHDN DISC NOTE	12/31/2018	UBS FINANCE	FHLB DISCOUNT		175,000,000.00		175,000,000.00
39127	COMM	63873KMX2	NATXNY DISC NOTE	12/31/2018	MERRILL LYNCH	Natixis NY Branch		50,000,000.00		50,000,000.00

Portfolio SCL2

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Transaction Activity Report
Sorted by Transaction Date - Transaction Date

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Investment #	Fund	CUSIP	Inv Descrip	TransactionDate	Dealer	Issuer	New Principal	Principal Paydowns	Interest	Total Cash
37300	COMM	3133EG2P9	FEDERAL FARM CR	12/31/2018	INCAPITAL LLC	FFCB NOTES			116,000.00	116,000.00
37301	COMM	3133EG2P9	FEDERAL FARM CR	12/31/2018	Daiwa Capital Market	FFCB NOTES			174,000.00	174,000.00
39124	COMM	SYS39124	USTN 2.4% MAT	12/31/2018	BARCLAYS CAPITAL	U.S. TREASURY			39,999.99	39,999.99
Totals for 12/31/2018							174,979,097.23	450,000,000.00	329,999.99	275,350,902.76
Grand Total							23,641,112,376.	21,496,512,491.	21,444,731.74	-2,123,155,153.

APPENDIX F

BOOK-ENTRY SYSTEM

The information in this appendix has been provided by DTC for use in securities offering documents, and the District takes no responsibility for the accuracy or completeness thereof. The District cannot and does not give any assurances that DTC, DTC Participants or Indirect Participants will distribute the Beneficial Owners either (a) payments of interest, principal or premium, if any, with respect to the Bonds or (b) certificates representing ownership interest in or other confirmation of ownership interest in the Bonds, or that they will so do on a timely basis or that DTC, DTC Direct Participants or DTC Indirect Participants will act in the manner described in this Official Statement. The current “Rules” applicable to DTC are on file with the Securities and Exchange Commission and the current “Procedures” of DTC to be followed in dealing with DTC Participants are on file with DTC. As used in this appendix, “Securities” means the Bonds, “Issuer” means the District, and “Agent” means the Paying Agent. The District notes that it will issue one fully registered certificate for each maturity of the Bonds in the principal amount of such maturity, and suggests that this is what the first numbered paragraph below intends to convey.

1. The Depository Trust Company (“DTC”), New York, New York, will act as securities depository for the Bonds (the “Securities”). The Securities will be issued as fully-registered securities registered in the name of Cede & Co. (DTC’s partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Security certificate will be issued for each maturity of the Securities, in the aggregate principal amount of such issue, and will be deposited with DTC. If, however, the aggregate principal amount of any issue exceeds \$500 million, one certificate will be issued with respect to each \$500 million of principal amount, and an additional certificate will be issued with respect to any remaining principal amount of such issue.

2. DTC, the world’s largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a “banking organization” within the meaning of the New York Banking Law, a member of the Federal Reserve System, a “clearing corporation” within the meaning of the New York Uniform Commercial Code, and a “clearing agency” registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC’s participants (“Direct Participants”) deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants’ accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation (“DTCC”). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly (“Indirect Participants”). DTC has a Standard & Poor’s rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com and www.dtc.org.

3. Purchases of Securities under the DTC system must be made by or through Direct Participants, which will receive a credit for the Securities on DTC’s records. The ownership interest of

each actual purchaser of each Security (“Beneficial Owner”) is in turn to be recorded on the Direct and Indirect Participants’ records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Securities are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in Securities, except in the event that use of the book-entry system for the Securities is discontinued.

4. To facilitate subsequent transfers, all Securities deposited by Direct Participants with DTC are registered in the name of DTC’s partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Securities with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Securities; DTC’s records reflect only the identity of the Direct Participants to whose accounts such Securities are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

5. Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time.

6. Redemption notices shall be sent to DTC. If less than all of the Securities within an issue are being redeemed, DTC’s practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

7. Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to the Securities unless authorized by a Direct Participant in accordance with DTC’s MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the District as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.’s consenting or voting rights to those Direct Participants to whose accounts the Securities are credited on the record date (identified in a listing attached to the Omnibus Proxy).

8. Redemption proceeds, distributions, and dividend payments on the Securities will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC’s practice is to credit Direct Participants’ accounts, upon DTC’s receipt of funds and corresponding detail information from the District or the Paying Agent, on payable date in accordance with their respective holdings shown on DTC’s records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in “street name,” and will be the responsibility of such Participant and not of DTC, the Paying Agent or the District, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds, distributions, and dividend payments to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the District or the Paying Agent, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

9. DTC may discontinue providing its services as depository with respect to the Securities at any time by giving reasonable notice to the District or the Paying Agent. Under such circumstances, in the

event that a successor depository is not obtained, Security certificates are required to be printed and delivered.

10. The District may decide to discontinue use of the system of book-entry-only transfers through DTC (or a successor securities depository). In that event, Security certificates will be printed and delivered to DTC.

11. The information in this Appendix F concerning DTC and DTC's book-entry system has been obtained from sources that the District believes to be reliable, but the District takes no responsibility for the accuracy thereof.